

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. See "TAX MATTERS" herein.

\$9,740,000

**COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY)
OF THE CITY OF OXNARD
2002 SPECIAL TAX BONDS**

Dated: Date of Delivery

Due: September 1, as shown on inside front cover

Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard 2002 Special Tax Bonds are being issued and delivered to finance various public improvements needed to develop property located within Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard. The Community Facilities District has been formed by and is located in City of Oxnard in Ventura County, California.

The Bonds are authorized to be issued pursuant to the Mello-Roos Community Facilities Act of 1982, as amended, and an Indenture, dated as of December 1, 2002, by and between the Community Facilities District and Wells Fargo Bank, National Association, as Fiscal Agent. The Bonds are special obligations of the Community Facilities District, and they are payable solely from revenues derived from certain annual Special Taxes to be levied on the taxable land within of the Community Facilities District and from certain other funds pledged under the Indenture, as further described herein.

The Bonds are being issued in book-entry form and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York. Purchasers of Bonds will not receive certificates representing their beneficial ownership thereof but will receive credit balances on the books of their respective nominees. The Bonds will not be transferable or exchangeable except for transfer to another nominee of The Depository Trust Company or as otherwise described herein. Individual purchases may be made in principal amounts of \$5,000 and integral multiples thereof.

Interest on the Bonds will be payable semiannually on each March 1 and September 1, commencing March 1, 2003. Principal of and interest on the Bonds will be paid by the Fiscal Agent to Cede & Co., and such payments are expected to be disbursed to the beneficial owners of the Bonds through their nominees.

Neither the faith and credit nor the taxing power of City of Oxnard, the Community Facilities District (except to the extent described herein), the State of California or any political subdivision thereof is pledged to the payment of the Bonds. Except for the Special Taxes, no other taxes are pledged to the payment of the Bonds.

The Bonds are subject to optional redemption, extraordinary redemption resulting from the prepayment of Special Taxes, and mandatory sinking fund redemption prior to maturity, as described herein.

*This cover page contains certain information for quick reference only. It is **not** a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.*

The Bonds are not rated by any rating agency, and investment in the Bonds involves risks which may not be appropriate for certain investors. Therefore, only persons with substantial financial resources who understand the risks of investment in the Bonds should consider such an investment. See the section of this Official Statement entitled "SPECIAL RISK FACTORS" for a discussion of certain risk factors that should be considered, in addition to the matters set forth herein, in evaluating the investment quality of the Bonds.

The Bonds are offered when, as and if issued and received by the Underwriter, subject to the approval of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California, Bond Counsel, and to certain other conditions. Certain legal matters will be passed upon for the Community Facilities District by the City Attorney of the City of Oxnard. It is anticipated that the Bonds will be available for delivery to The Depository Trust Company in New York, New York on or about December 19, 2002.

E. J. DE LA ROSA & CO., INC.

Dated: December 3, 2002

MATURITY SCHEDULE

COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY) OF THE CITY OF OXNARD 2002 SPECIAL TAX BONDS

\$3,010,000 Serial Bonds

<i>Maturity Date (September 1)</i>	<i>Principal Amount</i>	<i>Interest Rate</i>	<i>Yield</i>	<i>CUSIP No.</i>
2008	\$ 40,000	4.250%	4.250%	691901AP7
2009	50,000	4.500	4.500	691901AQ5
2010	65,000	4.750	4.750	691901AR3
2011	85,000	5.000	5.000	691901AS1
2012	100,000	5.125	5.150	691901AT9
2013	120,000	5.250	5.300	691901AU6
2014	140,000	5.250	5.450	691901AV4
2015	160,000	5.400	5.600	691901AW2
2016	180,000	5.500	5.700	691901AX0
2017	205,000	5.700	5.800	691901AY8
2018	235,000	5.750	5.900	691901AZ5
2019	260,000	5.750	6.000	691901BA9
2020	290,000	5.900	6.050	691901BB7
2021	325,000	5.900	6.100	691901BC5
2022	360,000	6.000	6.125	691901BD3
2023	395,000	6.000	6.150	691901BE1

\$40,000 3.75% Term Bonds due September 1, 2007 - Price: 100% CUSIP No. 691901AN2

\$2,015,000 6.00% Term Bonds due September 1, 2027 - Yield: 6.20% CUSIP No. 691901BF8

\$4,675,000 6.00% Term Bonds due September 1, 2033 - Yield: 6.25% CUSIP No. 691901BG6

* Copyright 2002, American Bankers Association. CUSIP data herein is provided by Standard & Poor's, CUSIP Service Bureau, a division of The McGraw-Hill Companies, Inc.

CITY OF OXNARD

Mayor and City Council

Dr. Manuel M. Lopez, Mayor
Dean Maulhardt, Mayor Pro Tem
Bedford Pinkard, Councilman
John C. Zaragoza, Councilmember
Andres Herrera, Councilmember

City Staff

Edmund F. Sotelo, City Manager
Karen R. Burnham, Assistant City Manager
Gary Gillig, City Attorney
Granville Bowman, Director of Public Works
Daniel Martinez, City Clerk
Dale V. Belcher, City Treasurer
Stan Kleinman, Finance and Management Services Director
Michael J. More, Financial Services Manager
Tamara Sexton, Financial Analyst III

PROFESSIONAL SERVICES

Appraiser

Parkcenter Realty Advisors
Santa Ana, California

Bond Counsel and Disclosure Counsel

Stradling Yocca Carlson & Rauth, a Professional Corporation
Newport Beach, California

Financial Advisor

Fieldman, Rolapp & Associates
Irvine, California

Fiscal Agent

Wells Fargo Bank, National Association
Los Angeles, California

Market Absorption Consultant

Empire Economics
Capistrano Beach, California

Special Tax Consultant

David Taussig & Associates Inc.
Newport Beach, California

Investment in the Bonds involves risks which are not appropriate for certain investors. Therefore, only persons with substantial financial resources (in net worth and/or income) who understand (either alone or with competent investment advice) the risks of investment in the Bonds should consider such investment.

No dealer, broker, salesperson or other person has been authorized by the Community Facilities District to provide any information or to make any representations other than as contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by the Community Facilities District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of Bonds. Statements contained in this Official Statement that involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as a representation of facts.

The information set forth herein has been obtained from the City of Oxnard, the Community Facilities District, the owner of the property in the Community Facilities District and certain other sources. Such information is believed to be reliable but is not guaranteed as to its accuracy or completeness. The information and expressions of opinion herein are subject to change without notice, and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City of Oxnard, the Community Facilities District or the owner of the property in the Community Facilities or any matters expressed herein since the date hereof. All summaries contained herein of the Indenture or other documents are made subject to the provisions of such documents and do not purport to be complete statements of any or all of such provisions.

The Underwriter has provided the following sentence for inclusion in this Official Statement:

The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

CAUTIONARY INFORMATION REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute "Forward-Looking Statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used, such as "plan," "expect," "estimate," "budget" and other similar words and include, but are not limited to, statements that describe possible future development of property within the Community Facilities District and the costs associated with such development.

The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. While the Community Facilities District has agreed to provide certain on-going financial and operating data for a limited period of time (see "CONTINUING DISCLOSURE" and Appendix F hereto), it does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which statements are based change.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENTS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE COVER PAGE HEREOF, AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE UPON AN EXEMPTION CONTAINED IN SUCH ACT. THE BONDS HAVE NOT BEEN REGISTERED OR QUALIFIED UNDER THE SECURITIES LAWS OF ANY STATE.

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\$9,740,000
COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY)
OF THE CITY OF OXNARD
2002 SPECIAL TAX BONDS

INTRODUCTION

The purpose of this Official Statement, **which** includes the cover page and the appendices hereto, is to provide certain information concerning the Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard, 2002 Special Tax Bonds (the "Bonds").

The Mello-Roos Community Facilities Act of 1982, as amended, commencing at Section 53311, et seq., of the California Government Code (the "Act"), was enacted by the California Legislature to provide an alternative method of funding certain **essential** public capital facilities and services, especially in developing areas of the State of California. **Once duly** established, a community facilities district is a legally constituted governmental entity, with the governing board or legislative body of the local agency acting on its behalf. Subject to approval by a two-thirds vote of the qualified electors voting and compliance with the provisions of the Act, a legislative body of a local agency may issue bonds for a community facilities district or for an **improvement area** within a community facilities district and may levy and collect a special tax within such district **or improvement area** to repay such indebtedness.

Pursuant to the Act, on August 29, 2000 the City Council (the "City Council") of City of Oxnard (the "City") adopted its Resolution No. 11,814 in which it declared its intention to establish Community Facilities District No. 1 (Westport at Mandalay Bay) (the "Community Facilities District") and its Resolution No. 11,816 in which it declared its intention to authorize bonded indebtedness for the Community Facilities District. On October 3, 2000, the Community Facilities District was formed pursuant to City Council Resolution No. 11,823 and an election was held pursuant to the Act in the Community Facilities District. The qualified elector in the Community Facilities District, being the then sole owner of land in the Community Facilities District, authorized the Community Facilities District to incur bonded indebtedness in an aggregate principal amount not to exceed \$10,000,000 in order to finance certain public facilities and various costs related thereto (the "Project") and approved a rate and method of apportionment of special tax and the levy of a special tax (the "Special Tax") on the taxable property within the Community Facilities District to pay the principal of and interest on the Bonds and annual administrative expenses of the Community Facilities District and to make any replenishments to the reserve fund for the Bonds (the "Reserve Fund"). A Notice of Special Tax Lien was recorded in the office of the County Recorder of Ventura County by the City on October 18, 2000 as Document No. 2000-0164189-00. The rate and method of apportionment of special tax so approved was subsequently revised pursuant to City Council Resolution No. 12,082, and the revised version thereof was approved by the sole qualified elector in the Community Facilities District at an election held on January 29, 2002 (as so revised and approved, the "Rate and Method of Apportionment"). A Revised Notice of Special Tax Lien, reflecting the Rate and Method of Apportionment as revised, was recorded by the City on February 11, 2002 as Document No. 2002-0033485-00.

Pursuant to the Act, the five members of the City Council now act as the legislative body for the Community Facilities District. Community Facilities District administrative services are provided by the City's staff.

The Bonds are being issued an Indenture, dated as of December 1, 2002 (the "Indenture"), by and between the Community Facilities District and Wells Fargo Bank, National Association (the "Fiscal Agent"), as the fiscal agent for the Bonds.

The Indenture provides that the Bonds shall be secured by a pledge of the Net Taxes (which consist of the Special Taxes minus certain administrative expenses) and amounts on deposit in the Special

Tax Fund (exclusive of the Administrative Expense Account in said fund), the Bond Payment Fund and the Reserve Fund established pursuant to the Indenture and the Letter of Credit described below under the caption "SECURITY FOR THE BONDS — Letter of Credit."

The Special Taxes are expected to be included on the regular property tax bills sent to the record owners of property within the Community Facilities District. See "SECURITY FOR THE BONDS — The Special Tax." The Community Facilities District has covenanted for the benefit of the owners of the Bonds that, under certain circumstances described herein, it will commence judicial foreclosure proceedings with respect to delinquent Special Taxes by October 1 following the close of the Fiscal Year in which such Special Taxes were due and will diligently pursue such proceedings. See "SECURITY FOR THE BONDS — Covenant for Superior Court Foreclosure."

Neither the faith and credit nor the taxing power of the City of Oxnard (the "City"), the Community Facilities District, the State or any political subdivision thereof (other than the taxing power of the Community Facilities District) is pledged to the payment of the Bonds. Except for the Net Taxes, no other taxes are pledged to the payment of the Bonds. The Bonds are not general or special obligations of the City, but are limited obligations of the Community Facilities District payable solely from Net Taxes and certain amounts held under the Indenture, as more fully described herein.

See the section of this Official Statement entitled "SPECIAL RISK FACTORS" for a discussion of special factors which should be considered, in addition to the other matters set forth herein, in considering the investment quality of the Bonds.

The property in the Community Facilities District consists of a proposed development known as Westport at Mandalay Bay, a 58.3-acre community located near the coast that is part of a 220-acre specific plan area known as Mandalay Bay — Phase IV. The development represents a proposed expansion of the inland waterway off the existing Reliant Energy Canal and is planned to create a variety of waterfront living and recreation opportunities including single-family residences with canal frontages and boat slips, a mix of multi-family housing types, a small boat lagoon and a boardwalk promenade with a neighborhood retail component, all linked by a series of jogging paths, parks and view corridors.

All of the property within the Community Facilities District is currently owned by LB/L-SunCal Mandalay LLC (the "Developer"), a Delaware limited liability company the members of which are SunCal of Northern California and LB/Lakeside Capital Partners, LLC. The Developer's current plans for its land include approximately 11.06 acres for single family residential development, 2.91 acres for a duplex residential development, 6.20 acres for a townhouse development and 7.41 acres for mixed commercial and residential uses. The remaining 30.72 acres are expected to be used for public waterways, parks, and roadways and will not be subject to the Special Tax.

The Community Facilities District has obtained an appraisal (the "Appraisal") for the property included in the Community Facilities District. The Appraisal was prepared for the Community Facilities District by Parkcenter Realty Advisors of Santa Ana, California (the "Appraiser"). Based upon the assumptions (including the assumption that the property is enhanced by the improvements to be financed by the Community Facilities District) and subject to the limitations set forth in the Appraisal, the Appraiser is of the opinion that, as of November 1, 2002, the market value of the property within the Community Facilities District was \$34,475,000. See "THE COMMUNITY FACILITIES DISTRICT — Property Values." A copy of the Appraisal is included as Appendix B to this Official Statement.

This Official Statement sets forth brief descriptions of the Bonds, the Community Facilities District, the Indenture, the Community Facilities District's Continuing Disclosure Agreement, the Continuing Disclosure Agreement of the Developer and certain other matters. Such descriptions do not purport to be comprehensive or definitive. All references herein to any of the aforesaid documents are qualified in their entirety by reference to the forms thereof, which are available for inspection at the office

of the City Clerk in Oxnard, California. Capitalized terms not defined herein shall have the respective meanings ascribed to them in Appendix A hereto or, if not defined in Appendix A, the meanings ascribed to them in the Indenture. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

THE BONDS

Authority for Issuance

The Community Facilities District was established and bonded indebtedness was authorized for pursuant to the provisions of the Act. The proposition relating to the incurring of the indebtedness was consolidated with the proposition relating to authorizing the levy of the Special Tax into one proposition which was submitted to and approved by the qualified elector of the Community Facilities District on October 3, 2000. In accordance with the Act, the only qualified elector was the Developer, the then sole owner of land located therein. The rate and method of apportionment of the special tax so approved was subsequently revised, and the revised version thereof was approved by the sole qualified elector in the Community Facilities District at an election held on January 29, 2002 (as so revised and approved, the "Rate and Method of Apportionment"). The Rate and Method of Apportionment and the amount of the Special Tax that can be collected from the property within the Community Facilities District are more fully described in the section herein entitled "SECURITY FOR THE BONDS — The Special Tax" and "THE COMMUNITY FACILITIES DISTRICT." See also Appendix D — "RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX." The Bonds will be issued pursuant to the Act and the Indenture.

General Provisions

The Bonds will be dated as of the Delivery Date and bear interest at the rates and mature (subject to prior redemption as described below) on the dates set forth on the inside front cover page hereof. Interest on such Bonds will be calculated on the basis of a 360-day year consisting of twelve 30-day months and will be payable on March 1 and September 1 of each year commencing March 1, 2003 (each such date, an "Interest Payment Date"). The Bonds are issued in fully registered form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository of the Bonds. Ownership interests in the Bonds may be purchased in book-entry form only in denominations of \$5,000 and any integral multiple. See the subsection hereof entitled "Book-Entry System."

Redemption

Optional Redemption. The Bonds may be redeemed, at the option of the Community Facilities District, from any source of funds (other than Prepayments) on September 1, 2009, and on any Interest Payment Date thereafter prior to maturity in whole or in part (in such amounts and maturities as may be designated by the Community Facilities District, with the particular Bonds of such maturities to be selected by the Fiscal Agent by lot), at the following redemption prices, expressed as a percentage of the principal amount to be redeemed, together with accrued interest to the date of redemption:

<i>Redemption Dates</i>	<i>Redemption Prices</i>
September 1, 2009 and March 1, 2010	102%
September 1, 2010 and March 1, 2011	101
September 1, 2011 and thereafter	100

Mandatory Sinking Fund Redemption. Bonds maturing on September 1, 2007, September 1, 2027 or September 1, 2033 (the "Term Bonds") are subject to fund redemption in part, by lot, prior to maturity from sinking fund payments in the respective amounts shown below on September 1, 2006,

September 1, 2024 and September 1, 2028, respectively, and on each September 1 thereafter to and including September 1, 2007, September 1, 2027 and September 1, 2033, respectively, at a redemption price equal to the principal amount thereof plus accrued interest to the redemption date without premium.

Term Bonds

<i>2007 Term Bonds</i>		<i>2027 Term Bonds</i>		<i>2033 Term Bonds</i>	
<i>September 1</i>	<i>Principal Amount</i>	<i>September 1</i>	<i>Principal Amount</i>	<i>September 1</i>	<i>Principal Amount</i>
2006	\$15,000	2024	\$435,000	2028	\$625,000
2007 (maturity)	25,000	2025	480,000	2029	685,000
		2026	525,000	2030	740,000
		2027 (maturity)	575,000	2031	805,000
				2032	875,000
				2033 (maturity)	945,000

If the Community Facilities District delivers to the Fiscal Agent at least 45 days prior to an applicable redemption date Term Bonds that the Community Facilities District has purchased, the Fiscal Agent shall credit the principal amount of Bonds so purchased to reduce the upcoming sinking fund payment for the Term Bonds in question and shall cancel such Bonds in accordance with the applicable Indenture.

In the event of a redemption of any of the Term Bonds (other than as a result of sinking fund payments), each of the remaining sinking fund payments for such Term Bonds as set forth above, will be reduced, as nearly as practicable, on a pro rata basis.

Extraordinary Redemption from Special Tax Prepayments. The Bonds are also subject to extraordinary redemption on any Interest Payment Date prior to maturity from the proceeds of the prepayment of Special Taxes deposited in the Redemption Account pursuant to the Indenture and amounts transferred from the Reserve Fund in connection with such prepayment. Such extraordinary redemption of Bonds shall be at the following redemption prices (expressed as percentages of the principal amount of the Bonds to be redeemed), together with accrued interest thereon to the date of redemption:

<i>Redemption Dates</i>	<i>Redemption Prices</i>
March 1, 2003 through March 1, 2010	102%
September 1, 2010 and March 1, 2011	101
September 1, 2011 and thereafter	100

The Fiscal Agent shall select Bonds for redemption from all maturities of all Bonds then Outstanding so that the ratio of Outstanding Bonds to the Bonds initially issued shall be approximately the same in each maturity. The particular Bonds of each maturity to be redeemed shall be selected by lot in whatever manner the Fiscal Agent chooses. In lieu of applying amounts in the Redemption Fund to redeem Bonds, an Authorized Representative of the District may instruct the Fiscal Agent to apply such amounts to purchase Bonds in the open market at a price not in excess of the principal amount thereof.

Notice of Redemption. When Bonds are due for redemption under the Indenture, the Fiscal Agent shall give notice, in the name of the Community Facilities District, of the redemption of the Bonds. Such notice of redemption shall (a) specify the CUSIP numbers, the serial numbers and the maturity date or dates of the Bonds selected for redemption, except that where all the Bonds are subject to redemption, or all the Bonds of one series or maturity are to be redeemed, the serial numbers thereof need not be specified; (b) state the date fixed for redemption and surrender of the Bonds to be redeemed; (c) state the redemption price; (d) state the place or places where the Bonds are to be redeemed; (e) in the case of the

Bonds to be redeemed only in part, state the portion of such Bond which is to be redeemed; (f) state the date of issue of the Bonds as originally issued; (g) state the rate of interest borne by each Bond being redeemed; and (h) state any other descriptive information needed to identify accurately the Bonds being redeemed as shall be specified by the Community Facilities District. Such notice shall further state that on the date fixed for redemption, there shall become due and payable on each Bond or portion thereof called for redemption, the principal thereof, together with any premium, and interest accrued to the redemption date, and that from and after such date, interest thereon shall cease to accrue and be payable.

At least 30 days but no more than 45 days prior to the redemption date, the Fiscal Agent shall mail a copy of such notice, by first class mail, postage prepaid, to the Original Purchaser and to the respective registered Owners thereof at their addresses appearing on the Bond Register. The actual receipt by the Owner of any Bond of notice of such redemption shall not be a condition precedent to redemption, and neither any defect therein nor any failure of an Owner to receive such notice shall affect the validity of the proceedings for the redemption of such Bonds, or the cessation of interest on the redemption date. A certificate by the Fiscal Agent that notice of such redemption has been given as herein provided shall be conclusive as against all parties and the Owner shall not be entitled to show that he or she failed to receive notice of such redemption.

Book-Entry System

DTC will act as securities depository for the Bonds, and the Bonds will be registered in the name of Cede & Co. (DTC's nominee). One fully-registered Bond certificate will be issued for each maturity of the Bonds in the aggregate principal amount of such maturity and will be deposited with DTC. So long as Cede & Co. is the registered owner of the Bonds, references herein to the Owners of the Bonds shall mean Cede & Co. and shall not mean the actual purchasers (the "Beneficial Owners") of the Bonds. The Community Facilities District does not give any assurances that DTC, its Participants or others will distribute payments with respect to the Bonds or notices concerning the Bonds to the Beneficial Owners thereof or that DTC will service and act in the manner described in this Official Statement.

See Appendix E for a further description of DTC and its book-entry system. The information presented therein is based solely on information provided by DTC, and no representation is made by the Community Facilities District concerning the accuracy thereof.

Estimated Sources and Uses of Funds

The Bond proceeds are expected to be applied approximately as follows:

Sources:

Principal Amount of the Bonds	\$ 9,740,000.00
Less: Original Issue Discount	<u>(256,005.35)</u>
Total	\$ 9,483,994.65

Uses:

Deposit to Improvement Fund	\$ 7,612,451.54
Deposit to Bond Payment Fund ⁽¹⁾	390,341.03
Deposit to Reserve Fund ⁽²⁾	948,190.84
All-In Costs of Issuance	341,706.39
Underwriter's Discount	<u>191,304.85</u>
TOTAL USES	\$ 9,483,994.65

⁽¹⁾ Together with investment earnings, estimated to equal or exceed interest payable on the Bonds through September 1, 2003.

⁽²⁾ 125% of Annual Debt Service on the Bonds.

Debt Service Schedule

The tables below set forth the estimated annual debt service payments for the Bonds assuming no redemptions of Bonds prior to maturity except scheduled mandatory sinking fund redemptions.

<i>Year Ending September 1</i>	<i>Principal</i>	<i>Interest</i>	<i>Total Debt Service</i>
2003	\$	\$ 401,264.50	\$ 401,264.50 ⁽¹⁾
2004		573,235.00	573,235.00
2005		573,235.00	573,235.00
2006	15,000	573,235.00	588,235.00
2007	25,000	572,672.50	597,672.50
2008	40,000	571,735.00	611,735.00
2009	50,000	570,035.00	620,035.00
2010	65,000	567,785.00	632,785.00
2011	85,000	564,697.50	649,697.50
2012	100,000	560,447.50	660,447.50
2013	120,000	555,322.50	675,322.50
2014	140,000	549,022.50	689,022.50
2015	160,000	541,672.50	701,672.50
2016	180,000	533,032.50	713,032.50
2017	205,000	523,132.50	728,132.50
2018	235,000	511,447.50	746,447.50
2019	260,000	497,935.00	757,935.00
2020	290,000	482,985.00	772,985.00
2021	325,000	465,875.00	790,875.00
2022	360,000	446,700.00	806,700.00
2023	395,000	425,100.00	820,100.00
2024	435,000	401,400.00	836,400.00
2025	480,000	375,300.00	855,300.00
2026	525,000	346,500.00	871,500.00
2027	575,000	315,000.00	890,000.00
2028	625,000	280,500.00	905,500.00
2029	685,000	243,000.00	928,000.00
2030	740,000	201,900.00	941,900.00
2031	805,000	157,500.00	962,500.00
2032	875,000	109,200.00	984,200.00
2033	945,000	56,700.00	1,001,700.00
Totals	\$ 9,740,000	\$ 13,547,567.00	\$ 23,287,567.00

⁽¹⁾ To be paid from capitalized interest.

LIMITATION OF LIABILITY

The Bonds are secured only by the Net Taxes and amounts on deposit in the Special Tax Fund (exclusive of the Administrative Expense Account in said fund), the Bond Payment Fund, the Redemption Fund and the Reserve Fund and the Letter of Credit. In the event of delinquencies in the payment of Special Taxes, neither the City nor the Community Facilities District is required to advance any funds for the payment of debt service on the Bonds. The Community Facilities District will only be required to enforce delinquent Special Taxes in the manner provided in the Act and in its covenant to take judicial foreclosure proceedings as set forth in the Indenture. The full faith and credit of the City and the Community Facilities District are not pledged to the payment of the Bonds, nor is the payment of the

Bonds secured by any encumbrance, mortgage or other pledge of property of the City or the Community Facilities District, except the pledge described above.

SECURITY FOR THE BONDS

General

The Indenture defines the term “Net Taxes” to mean Gross Taxes minus amounts set aside to pay Administrative Expenses. The term “Gross Taxes” is defined by the Indenture to mean the amount of all Special Taxes received by the Community Facilities District, together with proceeds collected from the sale of property pursuant to the foreclosure provisions of the Indenture for the delinquency of such Special Taxes that remain after payment of all costs related to such foreclosure actions which were not paid from the Administrative Expense Account. The Indenture does not limit the amount of Administrative Expenses that can be paid from Gross Taxes prior to the payment of any principal of or interest on the Bonds. See Appendix A — “SUMMARY OF INDENTURE — Definitions.”

The Bonds will be secured by a pledge of the Net Taxes and all moneys on deposit in the Special Tax Fund, the Bond Payment Fund, the Redemption Fund and the Reserve Fund and the Letter of Credit. The Bonds are not secured by moneys on deposit in the Administrative Expense Account, the Acquisition and Construction Fund, the Rebate Fund, the Letter of Credit Fund or the Surplus Fund.

In the opinion of Bond Counsel, under existing laws, regulations, rulings and judicial decisions, the Special Taxes are exempt from the tax rate limitation of California Constitution Article XIII A pursuant to Section 4 thereof because they constitute a “special tax” authorized by a two-thirds vote of the qualified electors in the Community Facilities District. Consequently, the Community Facilities District is legally authorized and has covenanted in the Indenture to cause the levy and collection of the Special Taxes in an amount determined according to the Rate and Method of Apportionment. See “SECURITY FOR THE BONDS — The Special Tax” below. The Rate and Method of Apportionment apportions the total amount of Special Taxes to be collected among the taxable parcels in the Community Facilities District as more particularly described herein. See “THE COMMUNITY FACILITIES DISTRICT — Rate and Method of Apportionment” and Appendix D — “RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX.”

Although the Special Taxes will be levied against parcels within the Community Facilities District constituting Taxable Property, they do not constitute a personal indebtedness of the respective property owners. There is no assurance that the property owners will be financially able to pay the annual Special Taxes or that they will pay such taxes even if financially able to do so. See “SPECIAL RISK FACTORS” herein.

The Special Tax

The Special Tax applicable to each parcel of Taxable Property within each Fiscal Year is required to be calculated pursuant to the Rate and Method of Apportionment. See “THE COMMUNITY FACILITIES DISTRICT — Rate and Method of Apportionment” and Appendix D — “RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX.”

The Special Taxes are expected to be levied by the Community Facilities District and collected by the County at the same time and in the same manner as general *ad valorem* property taxes. The Indenture requires that, except as noted below, the Community Facilities District shall deposit all Special Taxes received, including any penalties and interest received on the foreclosure of any delinquent properties, in the Special Tax Fund which the Community Facilities District is required to establish and maintain. The Community Facilities District may from time to time withdraw money on deposit in the Special Tax Fund and deposit in the Administrative Expense Account of the Special Tax Fund amounts

necessary to make timely payment of Administrative Expenses. Money remaining in the Special Tax Fund after the deposit of money in the Administrative Expense Account is required to be held in said fund until the Business Day prior to each Interest Payment Date.

On the Business Day prior to each Interest Payment Date, the Community Facilities District is required to transfer to the Fiscal Agent (i) for deposit in the Bond Payment Fund, the amount necessary to pay interest, principal and Sinking Fund Payments, if any, due on the Bonds on said Interest Payment Date and (ii) for deposit in the Redemption Fund, the amount, if any, necessary to pay the redemption price of any Bonds called for extraordinary redemption on said Interest Payment Date. After making such transfers the Community Facilities District shall transfer to the Fiscal Agent: (i) for deposit in the Reserve Fund, the amount, if any, necessary to cause the balance on deposit therein to equal the Reserve Requirement and (ii) for deposit in the Rebate Fund, the amount, if any, required to pay rebate payments to the federal government. Notwithstanding the foregoing, delinquent Special Taxes (net of Administrative Expenses paid from the Administrative Expense Account) for which proceeds of a draw on the Letter of Credit were deposited in the Special Tax Fund shall be transferred by the Community Facilities District to the Fiscal Agent for deposit in the Letter of Credit Fund. See Appendix A — “SUMMARY OF INDENTURE — Creation of Funds; Application of Proceeds, Net Taxes and Letter of Credit.”

Reserve Requirement

In order to secure further the payment of principal and interest on the Bonds, the Community Facilities District shall deposit proceeds of the Bonds in an amount equal to the Reserve Requirement into the Reserve Fund to be held by the Fiscal Agent. The Reserve Requirement is defined in the Indenture as the least of (i) Maximum Annual Debt Service, (ii) one hundred twenty-five percent (125%) of Average Annual Debt Service, or (iii) ten percent (10%) of the initial principal amount of the Bonds.

Moneys in the Reserve Fund shall be used solely for the purpose of paying principal of and interest on Bonds in the event of any deficiency in the Bond Payment Fund as further described herein.

Covenant for Superior Court Foreclosure

Pursuant to Section 53356.1 of the Act, the Community Facilities District covenants in the Indenture for the benefit of the Owners of the Bonds that it will order, and cause to be commenced, on or before October 1 of the Fiscal Year immediately following the Fiscal Year in which a delinquency in the payment of an Special Tax occurs, and thereafter diligently prosecute to judgment (unless such delinquency is theretofore brought current), an action in the superior court to foreclose the lien of any Special Tax or installment thereof not paid when due. However, the Community Facilities District is not required to commence or pursue such proceedings with respect to any property other than property owned by a single property owner who is delinquent in the payment of Special Taxes in the amount of \$5,000 or more if both (i) the aggregate amount of such delinquent Special Taxes does not exceed five percent (5%) of the total Special Taxes due and payable for the Fiscal Year in question and (ii) the balance on deposit in the Reserve Fund is not less than the Reserve Requirement.

Pursuant to Section 53340 of the Act, the Community Facilities District may waive delinquency penalties and redemption penalties if it determines that (i) the waivers shall apply only to parcels delinquent at the time of the determination, (ii) the waivers shall only be available with respect to parcels for which all past due and currently due Special Taxes and all other costs are paid in full within a limited period of time specified in the determination, (iii) the waivers shall be available only with respect to parcels sold or otherwise transferred to new owners unrelated to the owner responsible for the delinquency, and (iv) the waivers are in the best interest of the Owners of the Bonds.

In the event foreclosure or foreclosures are necessary, there may be a delay in payments to Bond owners pending prosecution of the foreclosure proceedings and receipt by the Community Facilities District of the proceeds of the foreclosure sale; it is also possible that no bid for the purchase price or applicable property would be received at the foreclosure sale. See "SPECIAL RISK FACTORS — Enforcement Delays - Bankruptcy." Notwithstanding any other provision of the Indenture, the City is not obligated to advance available funds from the City Treasury to cure any deficiency in the Special Tax Fund.

Letter of Credit

Pursuant to the Agreement for Construction and Acquisition of Public Improvements entered into by and between the City and the Developer (the "Acquisition Agreement"), the Developer is required to deliver to the City either an irrevocable standby letter of credit or a surety bond (in either case, a "Letter of Credit") in an amount equal to the estimated annual Special Taxes which will be levied on property within the Community Facilities District owned by the Developer at the time of the issuance of the Bonds. The Acquisition Agreement requires the Developer to maintain the Letter of Credit until the beginning of the fiscal year in which the Developer and its Affiliates will not own property within the Community Facilities District that, in the aggregate, will be responsible for the payment of 25% or more of the total amount of the Special Taxes that will be levied to pay Annual Debt Service on the Bonds. The Letter of Credit must permit the City or its agent to draw thereon amounts sufficient to pay any delinquent installment of Special Taxes on land owned by the Developer or its Affiliates. The amount of the Letter of Credit will be reduced by the amount of any draw pursuant thereto, and the Letter of Credit is not required to be reinstated. The amount of the Letter of Credit is permitted to be reduced each July 1 to reflect the reduced amount of the Special Taxes applicable to property owned by the Developer or its Affiliates if the Developer conveyed any portion of its property during the preceding fiscal year. The Developer expects that the Letter of Credit will be issued by California Bank & Trust.

During the period in which the Letter of Credit is in effect, the Fiscal Agent will be permitted to draw thereon in the amount of any delinquent Special Taxes applicable to any property which is owned by the Developer. The proceeds of any such drawing will be deposited in the Special Tax Fund. If and to the extent the amount of the delinquency is later recovered, the net proceeds of such recovery will be deposited in the Letter of Credit Fund and used to reimburse the issuer of the Letter of Credit for the amount of such draw. Although the amount of a draw on the Letter of Credit is equal to the amount of Special Taxes applicable to certain property, the proceeds of such draw will not be deemed to have paid the delinquent Special Taxes.

As discussed below under the caption "PROPERTY OWNERSHIP AND DEVELOPMENT," the Developer expects to convey its land to others, in some cases shortly after the issuance of the Bonds. Such conveyances will result in reductions in the required amount of the Letter of Credit; and, if and when the cumulative effect of such conveyances is to cause the Developer to own land the Special Taxes applicable to which are less than 25% of the total Special Taxes applicable to all of the property in the Community Facilities District, the Letter of Credit will terminate.

No Parity Bonds

The Community Facilities District has covenanted that it will not issue any bonds payable from the amounts pledged to the Bonds under the Indenture on a parity with the Bonds.

THE COMMUNITY FACILITIES DISTRICT

The Community Facilities District was organized by the City Council under the Act to provide for the financing of public improvements to meet the needs of new development within the Community Facilities District. The qualified elector within the boundaries the Community Facilities District, being at

the time of the formation of the Community Facilities District the sole owner of the property in the Community Facilities District, authorized the Community Facilities District to incur bonded indebtedness and approved the Rate and Method of Apportionment and the levy of the Special Tax within the Community Facilities District.

General Information Regarding the Community Facilities District

The property within the Community Facilities District consists of a proposed development known as Westport at Mandalay Bay. It is located in the Channel Islands neighborhood of the western-coastal portion of the City and is part of a 220-acre specific plan area known as Mandalay Bay – Phase IV. The Community Facilities District is on the south side of Wooley Road, east of Harbor Boulevard. It is bordered on the west by the Reliant Energy Canal and vacant sand dune land between the canal and Harbor Boulevard. The property to the south of the Community Facilities District has been developed with various types of residential structures within the original portion of the Mandalay Bay development. An aerial photograph of the Community Facilities District appears on page 11. The plan for the development of the land within the Community Facilities District represents an expansion of the inland waterway off the existing Reliant Energy Canal. The development is planned to create a variety of waterfront living and recreational opportunities including single-family residences with canal frontages and boatslips, a mix of multi-family housing types, a small boat lagoon and a boardwalk promenade with a neighborhood retail component, all linked by a series of jogging paths, parks and view corridors.

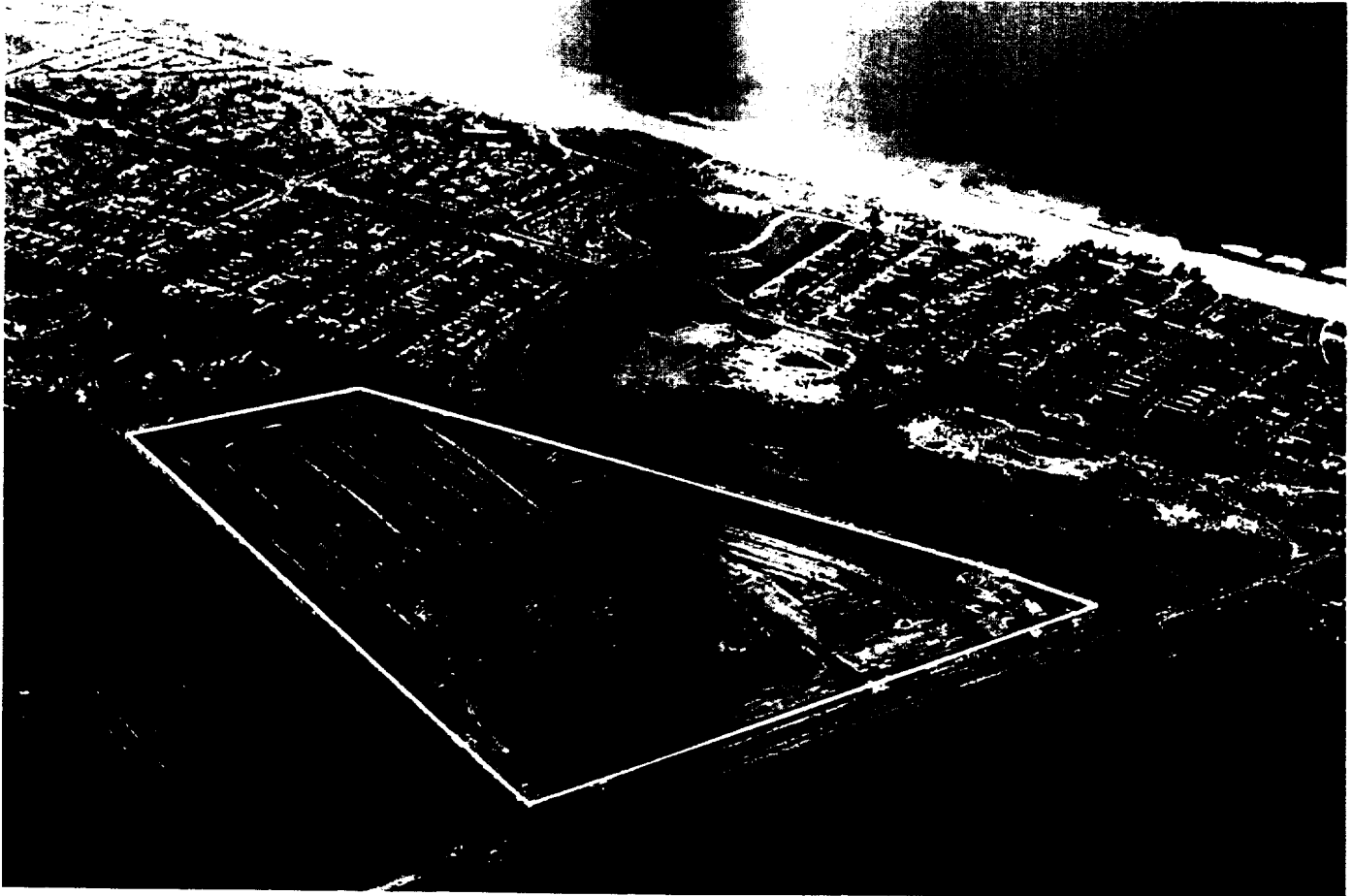
The zoning applicable to the property within the Community Facilities District is consistent with the City's Specific Plan for Mandalay Bay – Phase IV (the "Specific Plan") and the Oxnard Coastal Land Use Plan. The specific zoning classifications applicable to the developable property include: (a) "R-W-1" which permits single-family residences on lots with a minimum width of 40 feet and which is applicable to approximately 11.06 acres of the developable land within the Community Facilities District, (b) "R-2-C" which permits duplex units on lots with a minimum area of 3,500 square feet and which is applicable to approximately 2.91 acres of the developable land within the Community Facilities District, (c) "R-3-C" which permits multi-family residences-townhouses with minimum lot areas of 2,400 square feet and which is applicable to approximately 6.20 acres of the developable land within the Community Facilities District and (d) "C-V-C" which permits a combination of multi-family residential and commercial uses and which is applicable to approximately 7.41 acres of the developable land within the Community Facilities District.

The City has approved Tentative Tract No. 5196, Final Tract Maps Nos. 5196-1 and 5196-2 and a Development Agreement applicable to the property. The Developer has also obtained permits from the California Coastal Commission, United States Army Corp. of Engineers, California Department of Fish and Game, California Regional Water Quality Control Board and the County of Ventura that are necessary in order to commence improvement of the site while final subdivision tract maps are being processed.

The property is not within a known Fault Rupture Hazard Zone, and therefore the potential for ground rupture in the event of an earthquake is considered to be low. However, like most of southern California, the property is subject to seismic activity. Moreover, the property is located within the tsunami (seismically-induced sea waves) hazard zone identified by the City and the County of Ventura. (That zone consists of all lands within one mile of the coast with an elevation lower than twenty feet above mean sea level.)

Water and sewer services will be provided by the City, except that the on-site sewer system within private streets and driveways in the condominium area will be privately owned and maintained. Electrical power will be provided by Southern California Edison, natural gas service by Southern California Gas Company, telephone service by General Telephone Company of California (Verizon) and cable television service by Adelphia Communications.

***COMMUNITY FACILITIES DISTRICT #1
WESTPORT AT MANDALAY BAY
OXNARD, CALIFORNIA***



***Community Facilities District #1
(outlined area)***

All of the property within the Community Facilities District is also included in a second community facilities district, Community Facilities District No. 2 (Westport at Mandalay) of the City of Oxnard. The second community facilities district was formed to finance some of the services relating to the waterways within and adjacent to the Community Facilities District. The currently projected annual cost of the services to be so provided is approximately \$445,000, and it increases at the rate of two percent (2%) per year.

Additional information with respect to the land within is contained in the Appraisal. See Appendix B — “APPRAISAL REPORT.”

The Project

Pursuant to the Acquisition Agreement, the Developer will construct the various improvements that constitute the Project, and the City will acquire them from the Developer upon their completion, paying for them if and to the extent that there are sufficient Bond proceeds available for such purpose. Thus, the Developer will be required to advance its own funds to pay for an improvement that is part of the Project and will not be reimbursed prior to the completion thereof. The Developer will not be reimbursed amounts in excess of available Bond proceeds.

The following table lists the improvements that comprise the Project, the current status thereof, the expected completion date and the estimated acquisition price.

Improvements Comprising The Project

<i>Improvement</i>	<i>Status of Construction as of November 1, 2002</i>	<i>Estimated Completion Date</i>	<i>Estimated Acquisition Price</i>
Wooley Road Street Improvements	85% complete	January, 2003	\$ 811,500
Wooley Road Storm Drain and Water Improvements	90% complete	December, 2002	391,575
Channel Improvements ⁽¹⁾	30% complete	August, 2003	7,409,354 ⁽¹⁾

⁽¹⁾ 79.9% of the total contract price.

Source: The Developer.

Rate and Method of Apportionment

The Rate and Method of Apportionment is contained in Appendix D — “RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX.” In general, the Rate and Method of Apportionment imposes a different Maximum Special Tax on Taxable Property within the Community Facilities District depending upon (i) whether such Taxable Property is classified as “Developed Property” (all Taxable Property, exclusive of Property Owner Association Property, or Taxable Public Property, for which a building permit for new construction was issued as of January 1 of the previous Fiscal Year), Property Owner Association Property, Taxable Public Property or Undeveloped Property and (ii) the Land Use Class to which Developed Property is assigned. There are six Land Use Classes applicable to Residential Property and one Land Use Class applicable to Non-Residential Property.

The Maximum Special Tax for Developed Property is the greater of the Assigned Special Tax or the Back-up Special Tax. The Assigned Special Tax for Residential Property for Fiscal Year 2003-04 ranges from \$1,179.35 per dwelling unit in the case of condominium property to \$4,106.08 per unit in the case of single family detached residences located on lots greater than 5,500 square feet in area. The Assigned Special Tax applicable to Non-Residential Property for Fiscal Year 2003-04 is \$0.7133 per square foot of Non-Residential Floor Area. The Back-up Special Tax for Developed Property for Fiscal

Year 2003-04 is equal to \$0.6708 per square foot of the applicable Assessor's Parcel. The Assigned Special Tax and the Back-up Special Tax will be increased on each July 1, commencing July 1, 2004 by an amount equal to 2% of the amount in effect for the previous Fiscal Year. If an Assessor's Parcel of Developed Property contains more than one Land Use Class, the Maximum Special Tax shall be the sum of the Maximum Special Taxes that can be levied for all Land Use Classes located on such parcel. The Maximum Special Tax for Undeveloped Property, Property Owner Association Property and Taxable Public Property for Fiscal Year 2003-04 is \$29,218.92 per acre. Said amount will increase on each July 1, commencing July 1, 2004, by an amount equal to 2% of the amount in effect for the previous Fiscal Year.

Pursuant to the Rate and Method of Apportionment, the City Council is required to determine the "Special Tax Requirement" for each Fiscal Year. The Special Tax Requirement is the amount required in any Fiscal Year to pay: (i) debt service on all Outstanding Bonds, (ii) periodic costs on the Bonds (such as credit enhancement and rebate payments), (iii) Administrative Expenses, (iv) any amounts required to establish or replenish the Reserve Fund, (v) reasonably anticipated delinquent Special Taxes based on the delinquency rate for Special Taxes levied in the previous Fiscal Year, less (vi) a credit for funds available to reduce the annual Special Tax levy as determined pursuant to the Indenture.

The Special Tax Requirement is to be satisfied first by levying the Special Tax Proportionately on each Assessor's Parcel of Developed Property at up to 100% of the applicable Assigned Special Tax. If additional moneys are needed to satisfy the Special Tax Requirement, the Special Tax shall be levied "Proportionately" (as defined in the Rate and Method of Apportionment) on each Assessor's Parcel of Undeveloped Property at up to 100% of the Maximum Special Tax for Undeveloped Property. If additional moneys are still needed to satisfy the Special Tax Requirement, the Special Tax that is to be levied on each Parcel of Developed Property whose Maximum Special Tax is derived by the application of the Backup Special Tax shall be increased Proportionately from the Assigned Special Tax up to the Maximum Special Tax. Finally, any additional amounts required in order to satisfy the Special Tax Requirement shall be raised by the levy of the Special Tax Proportionately on each Parcel of Taxable Public Property and Property Owner's Association Property at up to 100% of the applicable Maximum Special Tax. Notwithstanding the foregoing, the Special Tax levied against any Assessor's Parcel of Residential Property for which a permit allowing occupancy for residential use has been issued may be increased by more than 10% as a consequence of delinquency or default by the owner of any other Assessor's Parcel.

The Developer's current plans for the development of the property within the Community Facilities District contemplate that approximately 30.72 acres will be used for public waterways, parks and roadways. The Rate and Method exempts from the Special Tax up to 30.72 acres of Public Property.

Property Values

Market Absorption Study. In order to provide information with respect to the potential market demand for the proposed development within the Community Facilities District, the Community Facilities District has commissioned three absorption analyses, one in July, 2000, one in August, 2001 and one in October, 2002. For the last such study the Community Facilities District retained Empire Economics, LLC (the "Market Absorption Consultant") to conduct an absorption analysis and to prepare a report with respect thereto (the "Market Absorption Study"). An executive summary of the Market Absorption Study is attached to this Official Statement as Appendix G, and entire the Market Absorption Study as well as the other absorption analyses are available from the Community Facilities District. Reference is made to Appendix G for the conclusions of the Market Absorption Consultant and for the assumptions on which those conclusions are based and certain risks associated therewith.

Appraisal. In order to provide information with respect to the value of the land within the Community Facilities District, the Community Facilities District engaged Parkcenter Realty Advisors of Santa Ana, California (the "Appraiser"), to prepare an appraisal report (the "Appraisal"). The Appraiser

was selected by the Community Facilities District and has no material relationships with the City, the Community Facilities District or the owners of the land within other than the relationship represented by the engagement to prepare the Appraisal. The City instructed the Appraiser to prepare its analysis and report in conformity with City-approved guidelines and the Appraisal Standards for Land Secured Financings published in 1994 by the California Debt Advisory Commission. A copy of the Appraisal is included as Appendix B to this Official Statement.

The purpose of the Appraisal was to estimate the “as is” aggregate market value of the fee simple estate, subject to special tax and special assessment liens, of the property within the Community Facilities District, as enhanced by the Project. Subject to the contingencies, assumptions and limiting conditions set forth in the Appraisal, the Appraiser concluded that, as of November 1, 2002, the aggregate value of the land within was \$34,475,000. Reference is made to Appendix B for a complete list of the contingencies, assumptions and limiting conditions identified in the Appraisal.

In reaching the opinion of value referred to above, the Appraiser first determined the retail value of the land comprising each of the six different classifications of proposed development within the Community Facilities District and then undertook a discounted cashflow analysis to arrive at a bulk-sale value. Reference is made to Appendix B for a complete description of the discounted cash flow analysis.

In addition to the other assumptions and limiting conditions specifically listed in the Appraisal, the value reported in the Appraisal is based upon certain assumptions about the growth of Ventura County, the demand for housing in the area, the ability of Westport at Mandalay Bay to capture a portion of that demand, the rate at which land values will increase in the future, interest rates, and other variables which are impossible to predict with certainty. In the event that any of the contingencies, assumptions and limiting conditions are not actually realized, the value of the property within may be less than the amount reported in the Appraisal. In any case, there can be no assurance that any portion of the property within would actually sell for the price indicated by the Appraisal.

Value to Bond Ratios

The value of the land within the Community Facilities District is significant because in the event of a delinquency in the payment of Special Taxes the Community Facilities District may foreclose only against delinquent parcels. The appraised value of the land within as set forth in the Appraisal is \$34,475,000, or approximately 3.54 times the principal amount of the Bonds. Although the Appraisal determined individual retail values for the portions of the Community Facilities District expected to be developed in each of six major categories, the Appraisal does not allocate the \$34,475,000 total value to those portions of the Community Facilities District. Moreover, at this point, the actual Special Tax that will be applicable to each of those areas has not yet been determined. Accordingly, the Community Facilities District is not able to present value-to-bond ratios for individual portions of the Community Facilities District.

As discussed below under the caption “Direct and Overlapping Debt,” the property within the Community Facilities District is also subject to taxation to pay debt service on bonds of governmental agencies other than the Community Facilities District. David Taussig Associates, Inc., the Community Facilities District’s Special Tax Administrator, estimates that the proportionate share of the principal amount of such bonds attributable to the property within the Community Facilities District is \$104,886. The ratio of the appraised value of such property to the sum of the principal amount of the Bonds plus \$104,886 is approximately 3.50 to 1.

Direct and Overlapping Debt

The land within the Community Facilities District is included within the boundaries of numerous overlapping local agencies providing governmental services. Some of these local agencies have

outstanding bonds, and/or the authority to issue bonds, payable from taxes or assessments. The existing and authorized indebtedness payable from taxes and assessments that may be levied upon the property within is shown in the table below. In addition to current debt, new community facilities districts and/or special assessment districts could be formed in the future encompassing all or a portion of the property within the Community Facilities District; and, such districts or the agencies that formed them could issue more bonds and levy additional special taxes or assessments.

Secured Property Tax Roll and Direct and Overlapping Debt

<i>Overlapping Debt</i>	<i>FY 2002-2003 Total Levy</i>	<i>Amount of Levy on Parcels in District⁽¹⁾</i>	<i>Percent of Levy on Parcels in District</i>	<i>Total Debt Outstanding⁽²⁾</i>	<i>District Share of Total Debt Outstanding</i>
Oxnard Elementary School District Series 1988 Bond	\$2,694,356	\$2,942	0.1092%	\$28,665,672	\$31,295
Oxnard Elementary School District Series Bond #2	3,073,188	3,104	0.1010	47,495,000	47,976
Oxnard Union High School District Series 1996 Bond	3,605,369	1,075	0.0298	51,989,913	15,508
Ventura Community College District Series 2002	10,789,696	1,035	0.0096	85,000,000	8,152
Metropolitan Water District Annexation #10	100,238,961	389	0.0004	503,075,000	1,955
Estimated Share of Overlapping Debt Allocable to the District					\$104,886
Plus CFD No. 1 Bonds					\$9,740,000
Estimated Share of Direct and Overlapping Debt					\$9,844,886

⁽¹⁾ Based on FY 2002-03 tax bills for parcels 188-0-110-405 and 188-0-110-415 provided by the County of Ventura Treasurer/Tax Collector.

⁽²⁾ As of September 1, 2002.

Source: David Taussig Associates, Inc.

PROPERTY OWNERSHIP AND DEVELOPMENT

The information about the Developer and its proposed development is contained in this Official Statement has been provided by the Developer and has not been independently confirmed or verified by the Community Facilities District. Such information is included because it may be relevant to an informed evaluation of the security for the Bonds. However, no assurance can be given that the planned development will occur at all, will occur in a timely manner or will occur as presently anticipated and described below.

The Developer

General. As of November 1, 2002, all of the property within was owned by the Developer, LB/L – SunCal Mandalay LLC, a Delaware limited liability company. The Developer was formed as a single-asset entity to develop and construct homes on the property in the Community Facilities District. Its sole member is LB/L SunCal Master LLC, a Delaware limited liability company. The members of LB/L SunCal Master LLC are SunCal of Northern California, LLC and LB/Lakeside Partners LLC. SunCal of Northern California, LLC is a Delaware limited liability company formed on or about August 11, 1998. Its members are Bruce Elieff and Todd Kurtin. LB/Lakeside Partners LLC is a Delaware limited liability company whose owners are Lakeside Realty Advisors, LLC, a California limited liability company, LB/Lakeside Capital Managers, LLC, a Delaware limited liability company, and LB Lakeside I, Inc., a Delaware corporation.

Development Experience - SunCal. Bruce Elieff and Todd Kurtin (the “SunCal Principals”), the active members of SunCal of Northern California, LLC, have been involved with various land

development projects, primarily through CWC, Inc. d/b/a SunCal Companies ("SunCal"), a California corporation established in 1973 of which they are the two sole shareholders. Together they possess approximately 40 years of real estate experience in development and management services throughout Southern California. Since its inception, SunCal has been involved in the development of more than 30,000 residential lots, single-family homes, condominium and apartments. As of December 31, 2000, SunCal was involved by ownership and/or in a project management role in the development of approximately 15,000 residential lots and controlled an additional 5,000.

Since the early 1990's, SunCal or its affiliates have been involved in various land development projects throughout California representing the entitlement and/or development of over 15,000 residential lots. SunCal's involvement in these projects has varied from providing construction and development management services, to acting as a managing partner or member in a joint venture, to providing some level of equity investment. The projects are typically owned by a single asset company and active projects are in various stages of development.

The SunCal Principals recently participated in a master planned development known as Olinda Ranch located in the City of Brea, California (the "Olinda Ranch Project"). The SunCal Principals collectively own two-thirds of the shares of common stock of Olinda Properties, Inc., a California corporation, which is a member of Brea Olinda Venture, LLC, a Delaware limited liability company ("Brea Olinda Venture"), the owner of developable land in, and the master developer for, the Olinda Ranch Project. Olinda Properties, Inc. holds a 5% ownership interest in Brea Olinda Venture. Until August, 1999, SunCal served as the project manager of the Olinda Ranch Project, responsible for land use entitlement and development activities and merchant builder sales negotiations pursuant to a management agreement with Brea Olinda Venture. In 1998 and 1999, Brea Olinda Venture experienced delays in completing lot sales to merchant builders due to delays in obtaining approvals for, and completing the construction of, improvements that were pre-closing conditions for such sales. As a result of those delays, and after unsuccessfully attempting to negotiate an extension of the maturity date of a project loan, Brea Olinda Venture defaulted on the loan. On January 29, 2000, Brea Olinda Venture petitioned for bankruptcy protection under Chapter 11 of the United States Bankruptcy Code. A proposed plan of reorganization was confirmed by the Bankruptcy Court in September 2000, pursuant to which all of Brea Olinda Venture's creditors were paid in full.

Development Experience - Lakeside. Lakeside Realty Advisors LLC ("Lakeside") was formed in 1998 to be a new source of capital for the residential land development and home building industry. Lakeside's source of capital is LB/Lakeside Capital Partners, a partnership with Lehman Brothers in New York. Over the past three and one-half years, Lakeside/Lehman have committed to over sixty-nine projects and the aggregate equity investment in these projects approximates \$350 million. Most of these projects are in California, but some are in Oregon, New Mexico and Colorado.

The owners of Lakeside are Ronald Lee and Melvin Andrews. Prior to forming Lakeside, Mr. Lee and Mr. Andrews managed Olympic Realty Advisors, which was a partner with CalPERS and Shamrock Holdings. Management of Lakeside is provided by Mr. Lee, as Chief Executive Officer, and Mr. Andrews as President and Chief Investment Officer. Mr. Lee has twenty-eight years of direct real estate experience, with most of his career with Security Pacific Bank where he served as Executive Vice President of the Bank and was responsible for Security Pacific's Real Estate Industry Group through 1988. He was President of Security Pacific Real Estate Capital Company until 1991. Mr. Andrews has twenty years of direct real estate experience and worked with Mr. Lee at Security Pacific Bank for most of his career. Mr. Andrews and Mr. Lee conceived and managed Security Pacific Realty Ventures which provided capital for over \$2 billion of real estate projects in the form of joint ventures and participating mortgages. Over one half of the investments were in residential projects.

History of Property Tax Payments; Loan Defaults; Bankruptcy. The Developer makes the following representations:

Neither the Developer nor its **members** has ever defaulted in the payment of special taxes or assessments in connection with any community facilities district or assessment district.

Neither the Developer nor its **members** is currently in default on any loans, lines of credit or other obligation, the result of which could materially adversely affect the development by the Developer of its property in the Community Facilities District.

The Developer and its members are solvent; and no proceedings are pending or, to the actual knowledge of the Developer, threatened in which the Developer or its members may be adjudicated as bankrupt or become the debtor in a bankruptcy proceeding, or discharged from all of their respective debts or obligations, or granted an extension of time to pay their respective debts or a reorganization or readjustment of their respective debts.

There is no litigation or administrative proceeding of any nature in which the Developer or its members have been served, or to their actual knowledge, is pending or threatened against the Developer or its **members**, which if successful, would materially adversely affect the ability of the Developer to complete the development and sale of its property within the Community Facilities District or to pay the Special Taxes or ordinary *ad valorem* property tax obligations when due on its property within the Community Facilities District or which challenges or questions the validity or enforceability of the Bonds or the Indenture.

The Developer's Development Plan

The information set forth under this heading has been obtained from the Developer. The Community Facilities District has not independently verified it, cannot assure that it is accurate and complete and makes no representation as to its accuracy and completeness. Moreover, the information contained under this heading includes forward-looking statements. See the cautionary information regarding forward-looking statements at the front of this Official Statement for information relating to the risks of such statements.

Land uses for the Westport at Mandalay Bay development ("Westport") are governed by the City's Local Coastal Program, the City's Land Use Plan, the Specific Plan, Coastal Zoning Regulations, and Tentative Tract Map No. 5196 and final subdivision maps that have been or will be recorded pursuant thereto. The City's Local Coastal Program includes Local Coastal Policy No. 45 contained in the Land Use Plan which required the preparation of the Specific Plan for the Mandalay Bay 220-acre project site of which Westport is a part and outlines the required contents of the Specific Plan. Westport is being developed in accordance with the requirements the Specific Plan.

In July 2000, the City Council approved a coastal development permit (PZ 99-5-61) and associated tentative subdivision map (PZ 99-5-62) for the development of Westport. An appeal of the City's action granting these permits was filed by the California Coastal Commission in August 2000. On August 10, 2001, the Coastal Commission granted to the Developer permit 4-00-241, subject to certain conditions, thereby allowing the project to proceed.

The Developer's development activities in connection with the 58.3-acre Westport site are expected to include the removal of prime agricultural soil, the creation of channels and waterways, the satisfaction of the conditions set forth in the Specific Plan and Tentative Tract Map No. 5196 and the

recordation of six final subdivision maps permitting the development and construction of 96 single-family residences (82 with private boat docks), 34 residential duplexes, 88 townhouse condominiums, a mixed-use development with 88 stacked condominiums and 22,000 square feet of visitor-serving commercial uses, a marina with 83 public boat docks, and 8 acres of public parks with a trail system. The first two of such final subdivision maps were approved by the City Council on October 29, 2002 and are expected to be recorded in November or December, 2002.

The removal and transport of prime agricultural soil to a sub-standard farm site, as required by the Specific Plan, was completed in January 2002. The widening and reconstruction of Wooley Road is also a component of the Specific Plan, and it requires the relocation of existing electrical lines, installation of new sewer and water facilities, and construction of a landscape buffer wall to mitigate impacts of the adjacent farm field. These operations are underway and are expected to be completed in December 2002. Additionally, the top ten feet of the site has been recompacted to mitigate potential liquefaction conditions as recommended in the soils report prepared for the Developer. Channel excavation and seawall construction commenced in August 2002 under a public bid contract and completion thereof is targeted for June 2003.

Upon its recordation (which is expected to occur in November or December, 2002), Final Map No. 5196-1 will establish two lots for the purposes of subdivision and construction of a mixed-use site consisting of 88 stacked condominiums and approximately 22,000 square feet of commercial use space as well as the construction of 14 acres of channels and waterways. Upon its recordation (which is expected to occur in November or December, 2002), Final Map No. 5196-2 will establish two lots for the purposes of subdivision and construction of 88 townhome units and approximately 1.5 acres of parks. Final Map No. 5196-3 will establish lots for single family and duplex product lines consisting of fourteen approximately 5,500 square foot lots, four approximately 5,000 square foot lots, six duplex lots (one of which will permit a triplex). It also includes approximately six acres of parks. It is scheduled to record in December 2002. Final Map No. 5196-4 will establish nineteen approximately 4,000 square foot lots, ten duplex lots (one of which will permit a triplex) and approximately one acre of parks and is expected to record in December 2002. Final Map No. 5196-5 will create thirty-two approximately 5,000 square foot lots, and Final Map No. 5196-6 will create nine approximately 5,000 square foot lots and eighteen approximately 4,000 square foot lots. Both of these maps are slated to record in the spring of 2003.

In general, the Developer intends to dispose of its residential land by selling parcels to merchant builders. The Developer typically enters into an option agreement with the merchant builder which requires the payment of an option consideration by the merchant builder for the right to purchase a particular parcel at a price specified in the option agreement. The option consideration may be refundable if the merchant builder terminates the option agreement prior to the end of a diligence period or if certain conditions to closing do not occur. Upon the closing, the balance of the purchase price is to be paid to the Developer in cash, and the Developer is to deed the parcel to the builder. The Developer has entered into such option agreements with Beazer Homes for both the townhome and duplex products and Larwin Company for the 4,000 square foot lots. The Beazer Homes townhome transaction (88 units) is scheduled to close in November 2002. The first takedown of the duplex transaction (13 units) is scheduled to close in January 2003; the second takedown (21 units) is scheduled to close in April 2003. The first takedown of the Larwin Company transaction (19 units) is scheduled to close in April 2003, and the second takedown (18 units) is scheduled to close in December 2003.

The Developer's Financing Plan

The Developer acquired the property within the Community Facilities District in December 1998 for \$6,279,972. Financing for the acquisition and for the entitlement work necessary for the project was obtained from Lehman Brothers and from the Developer's own funds. The total amount of this financing was approximately \$12.5 million.

The Developer obtained a construction loan in August 2002 to finance the installation of infrastructure and to grade the residential neighborhoods for sale to merchant builders. The construction loan is for \$26,000,000 with a term of 18 months and a six-month loan extension. The loan is secured by a first deed of trust on the Developer's property within the Community Facilities District. To date, \$10,321,529 has been drawn down on the loan. The loan is not in default, and the Developer is able to continue to draw against the loan according to its terms. The Developer anticipates that the construction loan will be paid off in the second half of 2003.

The following table shows the Developer's cash flow analysis with respect to its development activities for Westport. The Developer expects to deliver lots to merchant builders starting in the fourth quarter of 2002 and to continue selling lots through 2003 until the project is sold out in the fourth quarter of 2003.

Westport Cash Flow Analysis

	<i>Inception through Nov. 2002</i>	<i>Dec. 02 May 03</i>	<i>June Nov. 2003</i>	<i>Dec. 2003 May 2004</i>	<i>Total</i>
Revenues					
Land Residual Total	\$ 1,475,869	\$34,835,805	\$ 9,606,502	\$ 4,268,252	\$50,186,428
Less: Commissions	--	(675,170)	(225,152)	(103,406)	(1,003,729)
Net Project Revenue	<u>\$ 1,475,869</u>	<u>\$34,160,635</u>	<u>\$ 9,381,349</u>	<u>\$ 4,164,846</u>	<u>\$49,182,699</u>
Add: Other Revenue	1,360,384	525,000	7,440,000	--	9,325,384
Total Revenues	2,836,253	34,685,635	16,821,349	4,164,846	58,508,084
Costs					
Development Costs	\$19,678,388	\$12,540,241	\$ 4,510,699	\$ 254,472	\$36,983,800
Marketing, G&A, Construction Mgmt., Insurance, Legal, Property Taxes, Working Capital	3,600,554	660,534	472,485	568,908	5,302,481
Financing Costs	<u>473,959</u>	<u>355,685</u>	<u>21,666</u>	<u>--</u>	<u>851,309</u>
Total Costs	<u>\$23,752,901</u>	<u>\$13,556,459</u>	<u>\$ 5,004,849</u>	<u>\$ 823,380</u>	<u>\$43,137,590</u>
Cash Flow Before Financing	<u>\$(20,916,648)</u>	<u>\$21,129,176</u>	<u>\$11,816,500</u>	<u>\$ 3,341,466</u>	<u>\$15,370,494</u>
Acquisition & Development Loan Advances	12,737,742	13,262,355	21,666	--	26,021,762
Acquisition & Development Loan Repayments	--	(21,840,272)	(4,181,490)	--	(26,021,762)
Investor Equity	12,561,877	--	--	--	12,561,877
Improvement Cost Reserve – Sourced	8,449,676	3,341,431	4,400,720	--	16,191,827
Improvement Cost Reserve – Used	<u>(5,816,705)</u>	<u>(294,104)</u>	<u>(10,081,017)</u>	<u>--</u>	<u>(16,191,827)</u>
Total Financing Cash Flow	<u>\$27,932,590</u>	<u>\$ (5,530,591)</u>	<u>\$ (9,840,122)</u>	<u>\$ --</u>	<u>\$12,561,877</u>
Total Cash Available for Distribution	<u>\$ 7,015,942</u>	<u>\$15,598,585</u>	<u>\$ 1,976,378</u>	<u>\$ 3,341,466</u>	<u>\$27,932,371</u>

Source: The Developer

SPECIAL RISK FACTORS

The purchase of the Bonds involves a **high degree** of investment risk, and the Bonds are not appropriate investments for many types of investors. The following information supplements other sections of this Official Statement in order to **highlight** certain risks associated with the Bonds. The order in which the risks are presented is not intended to **reflect** either the likelihood that a particular event will occur or the relative significance of such an event.

Insufficiency of Special Tax Revenues

As discussed below, the Special Taxes **may not** produce revenues sufficient to pay the debt service on Bonds because of non-payment of the amounts levied or because property within the Community Facilities District becomes exempt from taxation due to the transfer of title to a public agency

or because the payment of Administrative Expenses leaves Net Taxes that are insufficient to pay debt service or because of any combination of the foregoing.

Non-Payment of Special Taxes. In order to pay debt service on the Bonds, it is necessary that the Special Taxes be paid in a timely manner. Should the Special Taxes not be paid on time, the Community Facilities District has established a Reserve Fund in an amount equal to the Reserve Requirement to pay debt service on the Bonds to the extent other funds are not available. See "SECURITY FOR THE BONDS — Reserve Requirement." The Community Facilities District has covenanted to maintain in the Reserve Fund an amount equal to the Reserve Requirement subject, however, to the limitation that the Community Facilities District may not levy the Special Tax in any fiscal year at a rate in excess of the maximum amounts permitted under the Rate and Method of Apportionment. As a result, if a significant number of delinquencies occurs, the Community Facilities District could be unable to replenish the Reserve Fund to the Reserve Requirement due to the limitations on the Maximum Special Tax. If such defaults were to continue in successive years, the Reserve Fund could be depleted and a default on the Bonds could occur.

The Community Facilities District has covenanted to institute foreclosure proceedings to sell any property with delinquent Special Taxes in order to obtain funds to pay debt service on the Bonds. If foreclosure proceedings were ever instituted, any mortgage or deed of trust holder could, but would not be required to, advance the amount of the delinquent Special Tax to protect its security interest. See "SECURITY FOR THE BONDS — Covenant for Superior Court Foreclosure" for provisions which apply in the event of such foreclosure and which the Community Facilities District is required to follow in the event of delinquencies in the payment of the Special Tax.

In the event that sales or foreclosures of property are necessary, there could be a delay in payments to Owners of the Bonds (if the Reserve Fund has been depleted) pending such sales or the prosecution of such foreclosure proceedings and receipt by the Community Facilities District of the proceeds of sale. However, within the limits of the Special Tax, the Community Facilities District may adjust the future Special Tax levied on taxable parcels in the Community Facilities District, subject to the limitation on the Maximum Special Tax, to provide an amount required to pay interest on, principal of, and redemption premiums, if any, on the Bonds, and the amount, if any, necessary to replenish the Reserve Fund to an amount equal to the Reserve Requirement and to pay all current expenses. There is, however, no assurance that the total amount of the Special Tax that could be levied and collected against taxable parcels in will be at all times sufficient to pay the amounts required to be paid by the Indenture, even if the Special Tax is levied at the Maximum Special Tax rates. See "— Enforcement Delays - Bankruptcy."

No assurance can be given that the real property subject to sale or foreclosure will be sold, or if sold, that the proceeds of sale will be sufficient to pay any delinquent installments of the Special Tax. The Act does not require the Community Facilities District or the City to purchase or otherwise acquire any lot or parcel of property to be sold at foreclosure if there is no other purchaser at such sale. The Act and the Indenture do specify that the Special Tax will have the same lien priority as for *ad valorem* property taxes in the case of delinquency. Section 53356.6 of the Act requires that property sold pursuant to foreclosure under the Act be sold for not less than the amount of judgment in the foreclosure action, plus post judgment interest and authorized costs, unless the consent of the owners of 75% of the Outstanding Bonds is obtained.

Prior to July 1, 1983, the right of redemption from foreclosure sales was limited to a period of one year from the date of sale. Under legislation effective July 1, 1983, the statutory right of redemption from such foreclosure sales has been repealed. However, a period of 20 days must elapse after the date notice of levy of the interest in real property was served on the judgment debtor before the sale of such lot or parcel can be made. Furthermore, if the purchaser at the sale is the judgment creditor (e.g., the Community Facilities District), an action may be commenced by the delinquent property owner within

90 days after the date of sale to set aside such sale. The constitutionality of the aforementioned legislation, which repeals the one year redemption period, has not been tested and there can be no assurance that, if tested, such legislation will be upheld. (Section 701.680 of the Code of Civil Procedure of the State.)

Exempt Property. The Act provides that, if any property within not otherwise exempt from the Special Tax is acquired by a public entity through a negotiated transaction, or by gift or devise, the Special Tax will continue to be levied on and enforceable against the public entity that acquired the property. In addition, the Act provides that, if property subject to the Special Tax is acquired by a public entity through eminent domain proceedings, the obligation to pay the Special Tax with respect to that property is to be treated as if it were a special assessment and be paid from the eminent domain award. The constitutionality and operation of these provisions of the Act have not been tested in the courts. If for any reason property within the Community Facilities District in excess of the 30.72 acres exempted from the Special Tax in the Rate and Method of Apportionment becomes exempt from taxation by reason of ownership by a non-taxable entity such as the federal government or another public agency, subject to the limitation of the Maximum Special Tax, the Special Tax will be reallocated to the remaining taxable parcels within the Community Facilities District. This would result in the owners of such property paying a greater amount of the Special Tax and could have an adverse impact upon their willingness and/or ability to pay the Special Tax. Moreover, if a substantial portion of additional land within became exempt from the Special Tax because of public ownership, or otherwise, the Maximum Special Tax which could be levied upon the remaining acreage might not be sufficient to pay principal of and interest on the Bonds when due and a default will occur with respect to the payment of such principal and interest.

Administrative Expenses. The Bonds are payable from Net Taxes (Gross Taxes minus amounts set aside to pay Administrative Expenses). The Indenture does not place any limit on the amount of Special Taxes that may be applied to pay Administrative Expenses. Thus, there can be no assurance that the Net Taxes will be adequate to pay debt service on the Bonds.

Concentration of Ownership

As of November 1, 2002, all of the taxable property within the Community Facilities District was owned by the Developer. While the Developer intends to develop and sell its land, there can be no assurance that development within will proceed as planned. Thus, there is no assurance of any further diversification of ownership of the properties within the Community Facilities District. Unless and until such ownership is more broadly diversified, the inability or refusal of the Developer to pay Special Taxes when due could result in the total depletion of the Reserve Fund prior to reimbursement thereof from enforcement proceedings. Under such circumstances, there could be insufficient moneys with which to pay principal of and/or interest on the Bonds.

Uncertainties in Land Development – General

None of the parcels in the Community Facilities District have buildings on them. Since land without completed buildings is generally less valuable than land containing completed buildings, the vacant land will provide less security for the Bonds should it be necessary for the Community Facilities District to commence enforcement proceedings with respect to such land as a result of the non-payment of the Special Taxes. In short, the successful development of the land within the Community Facilities District is important to the ultimate security for, and the payment of principal of and interest on, the Bonds.

There are many reasons why a project may not be developed in the manner and within the time frame and budget originally planned. For example, a project might be adversely affected by opposition to it, unfavorable economic conditions, an inability of the landowner to obtain financing, fluctuations in the local real estate market, fluctuations in interest rates, unexpected increases in development costs, changes

in federal, state or local governmental policies relating to the ownership and development real estate, and the appearance of previously unknown environmental considerations or material changes in known environmental considerations. Some of these factors are discussed below as individual risk factors.

Future Land Use Regulations and Growth Control Initiatives

It is possible that future growth control initiatives could be enacted by the voters or that future local, state or federal land use regulations could be adopted by governmental agencies and be made applicable to the development of the vacant land within with the effect of negatively impacting the ability of the owner or owners of such land to complete the development of such land if they should desire to develop it. See also “— Endangered Species” below. Potential purchasers of the Bonds should assume that any reduction in the permitted density, significant increase in the cost of development or substantial delay in development caused by growth and building permit restrictions or more restrictive land use regulations would cause the values of such vacant land within the Community Facilities District to decrease.

Completion of construction of any proposed structures on the vacant land within the Community Facilities District is subject to the receipt of approvals from a number of public agencies concerning the layout and design of such structures, land use, health and safety requirements and other matters. The failure to obtain any such approval could adversely affect the planned development of such land.

Under current State law, it is generally accepted that proposed development is not exempt from future land use regulations until building permits have been issued and substantial work has been performed and substantial liabilities have been incurred in good faith reliance on the permits. Because future development of vacant property in the Community Facilities District could occur over several years, if at all, the application of future land use regulations to the development of the vacant land could cause delays and cost increases not currently anticipated, thereby reducing the development potential of the vacant property and the ability or willingness of owners of such land to pay the Special Taxes when due or causing land values of such land within to decrease substantially from those in the Appraisal.

Geologic, Topographic and Climatic Conditions

The market value of the land and improvements within the Community Facilities District can be adversely affected by a variety of factors, particularly those which may affect infrastructure and other public improvements and private improvements of the parcels and the continued habitability and enjoyment of such public and private improvements. Such additional factors include, without limitation, geologic conditions (such as earthquakes and tsunamis), topographic conditions (such as earth movements) and climatic conditions (such as droughts, fire hazard and floods).

Building codes require that some of these factors be taken into account in the design of private improvements of the parcels, and the City has adopted the Uniform Building Code standards with regard to seismic standards. Design criteria in any of these circumstances are established upon the basis of a variety of considerations and may change, leaving previously designed improvements unaffected by more stringent subsequently established criteria. In general, design criteria reflect a balance at the time of establishment between the present costs of protection and the future costs of lack of protection, based in part upon a present perception of the probability that the condition will occur and the seriousness of the condition should it occur. Consequently, neither the absence of nor the establishment of design criteria with respect to any particular condition means that the applicable governmental agency has evaluated the condition and has established design criteria in the situations in which such criteria are needed to preserve value, or has established such criteria at levels that will preserve value. To the contrary, the Community Facilities District expects that one or more of such conditions may occur and may result in damage to improvements of varying seriousness, that the damage may entail significant repair or replacement costs and that repair or replacement may never occur either because of the cost or because repair or

replacement will not facilitate habitability or other use, or because other considerations preclude such repair or replacement. Under any of these circumstances, the actual value of the parcels may well depreciate or disappear, notwithstanding the establishment of design criteria for any such condition.

Hazardous Substances

While government taxes, assessments and charges are a common claim against the value of a parcel, other less common claims may also be relevant. One of the most serious in terms of the potential reduction in the value of a parcel is a claim with regard to a hazardous substance. In general, the owners and operators of a parcel may be required by law to remedy conditions relating to releases or threatened releases of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as "CERCLA" or the "Super Fund Act", is the most well known and widely applicable of these laws, but California laws with regard to hazardous substances are also stringent and similar in effect. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition of a parcel whether or not the owner (or operator) had anything to do with creating or handling the hazardous substance. The effect, therefore, should any of the parcels within be affected by a hazardous substance, is to reduce the marketability and value by the costs of remedying the condition because the prospective purchaser of such a parcel will, upon becoming the owner of such parcel, become obligated to remedy the condition just as the seller of such a parcel is. The Appraisal does not take into account the possible liability of the owner (or operator) for the remedy of any hazardous substance affecting any such parcel.

A Limited Phase 2 Environmental Site Assessment of the Westport site, dated October 8, 1998 (the "Environmental Study"), was prepared by Sezgin Consulting, Inc. Part of the scope of the Environmental Study was additional review of a Phase 1 and Phase 2 Hazardous Materials Site Assessment report dated May 22, 1990 prepared by ERC Environmental and Energy Services Co. and a Phase I Environmental Site Assessment Report dated June 16, 1998 prepared by Gorian & Associates, Inc. The Environmental Study prepared by Sezgin Consulting, Inc. addressed concerns related to the historical agricultural use of the Westport site and a former oil field waste disposal sump site located nearby. Soil and groundwater testing did not find evidence of regulated pesticides, herbicides, fungicides or metals that might be related to agricultural uses; and testing for toxic compounds did not indicate the former oil field waste disposal dump site had impacted the Westport site.

Notwithstanding the conclusions set forth in the Environmental Study, there can be no assurance that hazardous materials or waste will not be discovered on the property during or subsequent to the development of the land. Should such a discovery be made, the permitted land uses and/or the marketability of some or all of the property could be adversely affected, or the owners of contaminated sites could incur significant costs to implement any remedial action required under state or federal law to clean up such contamination, or significant liabilities to third parties injured as a result of such contamination.

The Developer is not aware that the owner of any parcel within the Community Facilities District has a current liability for hazardous materials. However, it is possible that such liabilities do currently exist and that the Developer is not aware of such liabilities.

It is possible that hazardous substance liabilities may arise in the future with respect to any of the parcels within the Community Facilities District resulting from the existence, currently, of a substance presently classified as hazardous but which has not been released or the release of which is not presently threatened, or may arise in the future resulting from the existence, currently, on the parcel of a substance not presently classified as hazardous but which may in the future be so classified. Additionally, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling such substance. All of these possibilities could have the effect of reducing the value of a parcel.

Endangered Species

During the last several years, there has been an increase in activity at the State and federal level related to the listing of certain plant and animal species found in the Southern California area as threatened or endangered. Applicable law precludes activity that constitutes a "taking" of any federally-listed endangered species except pursuant to a permit. The Developer is currently unaware of the presence on its land of any other species currently listed as threatened or endangered. However, it is always possible that a species for which its land provides habitat could be so listed.

Enforcement Delays - Bankruptcy

In the event of a delinquency in the payment of Special Taxes, the Community Facilities District is required under certain circumstances to commence enforcement proceedings as described under the heading "SECURITY FOR THE BONDS — Covenant for Superior Court Foreclosure." However, prosecution of such proceedings could be delayed due to crowded local court calendars, dilatory legal tactics, or bankruptcy. It is also possible that the Community Facilities District will be unable to realize proceeds in an amount sufficient to pay the applicable delinquencies. Moreover, the ability of the Community Facilities District to commence and prosecute enforcement proceedings may be limited by bankruptcy, insolvency and other laws generally affecting creditors' rights and by the laws of the State relating to judicial and non-judicial foreclosure. Although bankruptcy proceedings would not cause the liens of the Special Taxes to become extinguished, bankruptcy of a property owner could result in a delay in the enforcement proceedings because federal bankruptcy laws provide for an automatic stay of foreclosure and tax sale proceedings. Any such delay could increase the likelihood of delay or default in payment of the principal of and interest on the Bonds. The various legal opinions delivered in connection with the issuance of the Bonds, including Bond Counsel's approving legal opinion, are qualified as to the enforceability of the Bonds and the Indenture by reference to bankruptcy, reorganization, moratorium, insolvency and other laws affecting the rights of creditors generally or against public corporations such as the Community Facilities District.

The United States Court of Appeals for the Ninth Circuit has issued an opinion in a bankruptcy case entitled "*In re Glaspy Marine Industries*" to the effect that *ad valorem* real property taxes levied by a county in the State of Washington after the filing of a petition for bankruptcy were not entitled to priority over a secured creditor with a prior lien on the property. Although the court upheld the priority of unpaid taxes imposed prior to the filing of the bankruptcy petition, unpaid taxes imposed after such filing were declared to be "administrative expenses" of the bankruptcy estate, payable only after payment of all secured creditors. As a result, a secured creditor was able to foreclose on the subject property and retain all the proceeds of the sale except the amount of the pre-petition taxes.

The Bankruptcy United States Reform Act of 1994 included a provision which excepts from the Bankruptcy Code's automatic stay provisions, "the creation of a statutory lien for an *ad valorem* property tax imposed by . . . a political subdivision of a state if such tax comes due after the filing of the petition [by a debtor in bankruptcy court]." This amendment effectively makes the *Glaspy* holding inoperative as it relates to *ad valorem* real property taxes. However, it is possible that the original rationale of the *Glaspy* ruling could still result in the treatment of post-petition special taxes as "administrative expenses," rather than as tax liens secured by real property, at least during the pendency of bankruptcy proceedings.

FDIC/Federal Government Interests in Parcels

The ability of the Community Facilities District to collect interest and penalties specified by the Act and to foreclose the lien of delinquent Special Taxes may be limited in certain respects with regard to parcels in which the Federal Deposit Insurance Corporation (the "FDIC") has or obtains an interest. Specifically, in the event that any financial institution making a loan which is secured by parcels is taken

over by the FDIC and the applicable Special Tax is not paid, the remedies available to the Community Facilities District may be constrained. The FDIC's policy statement regarding the payment of state and local real property taxes (the "Policy Statement") provides that taxes other than *ad valorem* taxes which are secured by a valid lien in effect before the FDIC acquired an interest in a property will be paid unless the FDIC determines that abandonment of its interests is appropriate. The Policy Statement provides that the FDIC generally will not pay installments of *non-ad valorem* taxes which are levied after the time the FDIC acquires its fee interest, nor will the FDIC recognize the validity of any lien to secure payment except in certain cases where the Resolution Trust Corporation had an interest in property on or prior to December 31, 1995. Moreover, the Policy Statement provides that, with respect to parcels on which the FDIC holds a mortgage lien, the FDIC will not permit its lien to be foreclosed out by a taxing authority without its specific consent, nor will the FDIC pay or recognize liens for any penalties, fines or similar claims imposed for the non-payment of taxes.

The FDIC has taken a position similar to that expressed in the Policy Statement in legal proceedings brought against Orange County in United States Bankruptcy Court and in Federal District Court. While not all of the claims have yet been finally resolved, the Bankruptcy Court issued a ruling in favor of the FDIC on certain of such claims. Orange County appealed that ruling, and the FDIC cross-appeal. On August 28, 2001, the United States Court of Appeals for the Ninth Circuit issued a ruling favorable to the FDIC except with respect to the payment of pre-receivership liens based upon delinquent property tax. The FDIC has also filed suit concerning Special Taxes levied by Orange County after 1994. However, that action has been stayed pending resolution of the FDIC's appeal regarding the bankruptcy case.

The Community Facilities District is unable to predict what effect the application of the Policy Statement would have in the event of a delinquency with respect to parcels in which the FDIC has or obtains an interest, although prohibiting the lien of the FDIC to be foreclosed out at a judicial foreclosure sale would prevent or delay the foreclosure sale.

The Community Facilities District's remedies may also be limited in the case of delinquent Special Taxes with respect to parcels in which other federal agencies (such as the Internal Revenue Service and the Drug Enforcement Administration) have or obtain an interest.

Direct and Overlapping Indebtedness

The ability of an owner of land within to pay the Special Taxes could be affected by the existence of other taxes and assessments imposed upon taxable parcels within the Community Facilities District, including for example, the special tax levied by Communities Facilities District No. 2 (Westport at Mandalay Bay) of the City of Oxnard. In addition, the City and other public agencies whose boundaries overlap those of could impose additional taxes or assessment liens on the property within in order to finance public improvements or services to be located or provided inside of or outside of such area. The lien created on the property within through the levy of such additional taxes may be on a parity with the lien of the Special Taxes.

The imposition of additional liens on a parity with the Special Taxes may reduce the ability or willingness of the landowners to pay the Special Taxes and increase the possibility that foreclosure proceeds will not be adequate to pay delinquent Special Taxes.

Reductions in Property Values

The value of the land within is a critical factor in determining the investment quality of the Bonds. If a property owner is delinquent in the payment of Special Taxes, the Community Facilities District's only remedy is to commence foreclosure proceedings in an attempt to obtain funds to pay the Special Taxes. Reductions in property values due to a downturn in the economy, physical events such as

earthquakes or floods, stricter land use regulations, delays in development or other events will adversely impact the security underlying the Special Taxes.

The Appraiser has estimated, on the basis of certain assumptions and limiting conditions contained in the Appraisal, that as of November 1, 2002 the value of the land and improvements within was \$34,475,000. The Appraisal is based on the assumptions stated in Appendix B — “APPRAISAL REPORT.” The Appraisal does not reflect any possible negative impact which could occur by reason of future slow or no growth voter initiatives, any potential limitations on development occurring due to time delays, an inability of landowners within the Community Facilities District to obtain any needed development approval or permit, the presence of hazardous substances within the Community Facilities District, the listing of endangered species or the determination that habitat for endangered or threatened species exists within the Community Facilities District, or other similar situations.

No Acceleration Provision

The Bonds do not contain a provision allowing for the acceleration of the Bonds in the event of a payment default or other default under the terms of the Bonds or the Indenture.

Ballot Initiatives

Articles XIII A, XIII B, XIII C, and XIII D of the California Constitution were adopted pursuant to measures qualified for the ballot pursuant to the State’s constitutional initiative process. From time to time, other initiative measures could be adopted by California voters. The adoption of any such initiative might place limitations on the ability of the State, the City, or other local agencies to increase revenues or to increase appropriations or on the ability of the landowners to complete the development of the vacant land within the Community Facilities District. See “SPECIAL RISK FACTORS — Uncertainties in Land Development - General” and “— Future Land Use Regulations and Growth Control Initiatives” above.

Proposition 218

An initiative measure entitled “The Right to Vote on Taxes Act” (“Proposition 218”) was approved by the voters at the November 5, 1996 statewide general election. Among other things, Proposition 218 added a new Article XIII C to the California Constitution which states that “. . . the initiative power shall not be prohibited or otherwise limited in matters of reducing or repealing any local tax, assessment, fee or charge.” The Act provides for a procedure which includes notice, hearing, protest and voting requirements to alter the rate and method of apportionment of an existing special tax. However, the Act prohibits a legislative body from adopting any resolution to reduce the rate of any special tax or terminate the levy of any special tax pledged to repay any debt incurred pursuant to the Act unless such legislative body determines that the reduction or termination of the special tax would not interfere with the timely retirement of that debt. While Proposition 218 has not yet been interpreted by the courts and the matter is not completely free from doubt, it is not likely that Proposition 218 has conferred on the voters the power to effect a repeal or reduction of the Special Tax if the result thereof would be to impair the security of the Bonds.

It may be possible, however, for voters or the City Council, acting as the legislative body of the Community Facilities District, to reduce the Special Taxes in a manner which does not interfere with the timely repayment of the Bonds, but which does reduce the maximum amount of Special Taxes that may be levied in any year below the existing levels. Therefore, no assurance can be given with respect to the future levy of Special Taxes in amounts greater than the amount necessary for the timely retirement of the Bonds. Nevertheless, to the maximum extent that the law permits it to do so, the Community Facilities District has covenanted that it will not initiate proceedings under the Act to reduce the maximum Special Tax rates for the Community Facilities District, unless, in connection therewith, (i) the Community

Facilities District receives a certificate from one or more Independent Financial Consultants which, when taken together, certify that, on the basis of the parcels of land and improvements existing in as of the July 1 preceding the reduction, the maximum amount of the Special Tax which may be levied on then existing Developed Property (as defined in the Rate and Method of Apportionment then in effect) in each Bond Year for any Bonds Outstanding will equal at least 110% of the sum of the estimated Administrative Expenses and gross debt service in each Bond Year on all Bonds to remain Outstanding after the reduction is approved, (ii) the Community Facilities District finds that any reduction made under such conditions will not adversely affect the interests of the Owners of the Bonds, and (iii) the Community Facilities District is not delinquent in the payment of the principal of or interest on the Bonds. For purposes of estimating Administrative Expenses for the foregoing calculation, the Independent Financial Consultants shall compute the Administrative Expenses for the current Fiscal Year and escalate that amount by two percent (2%) in each subsequent Fiscal Year. The Community Facilities District also has covenanted that, in the event an initiative is adopted which purports to reduce or otherwise alter the Rate and Method of Apportionment, it will commence and pursue legal action in order to preserve its ability to comply with the foregoing covenant. However, no assurance can be given as to the enforceability of the foregoing covenants.

The interpretation and application of the Initiative will ultimately be determined by the courts with respect to a number of the matters discussed above, and it is not possible at this time to predict with certainty the outcome of such determination or the timeliness of any remedy afforded by the courts.

Loss of Tax Exemption

As discussed under the heading "TAX MATTERS," interest on the Bonds could cease to be excluded from gross income for purposes of federal income taxation, retroactive to the date the Bonds were issued, as a result of future acts or omissions of the Community Facilities District. In addition, it is possible that future changes in applicable federal tax laws could cause interest on the Bonds to be included in gross income for federal income taxation or could otherwise reduce the equivalent taxable yield of such interest and thereby reduce the value of the Bonds.

Limited Secondary Market

There can be no guarantee that there will be a secondary market for the Bonds or, if a secondary market exists, that such Bonds can be sold for any particular price. Although the Community Facilities District has committed to provide certain statutorily-required financial and operating information, there can be no assurance that such information will be available to Bond owners on a timely basis. The failure to provide the required annual financial information does not give rise to monetary damages but merely an action for specific performance. Occasionally, because of general market conditions, lack of current information, the absence of a credit rating for the Bonds or because of adverse history or economic prospects connected with a particular issue, secondary marketing practices in connection with a particular issue are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

TAX MATTERS

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, Newport Beach, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to

corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income which may affect the alternative minimum tax liability of such corporations.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of a Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

Bond Counsel's opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the Community Facilities District and others and is subject to the condition that the Community Facilities District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The Community Facilities District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of Bonds of another series or other similar bonds).

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the Closing Date. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Indenture and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the Community Facilities District continues to comply with certain requirements of the Code, the ownership of the Bonds

and the accrual or receipt of interest (and original issue discount) with respect to the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

A copy of the proposed form of opinion of Bond Counsel is attached hereto as Appendix C.

ABSENCE OF LITIGATION

In connection with the issuance of the Bonds, the City's City Attorney will deliver a certificate to the effect that, to his actual knowledge, after due inquiry and investigation, there is no action, suit, proceeding or investigation at law or in equity before or by any court, public board or body, pending or threatened, or any unfavorable decision, ruling or finding, against or affecting the Community Facilities District, which would adversely impact the Community Facilities District's ability to complete the transactions described in, or contemplated by, the Indenture or this Official Statement, restrain or enjoin the collection of the Special Taxes, or in any way contest or affect the validity of the Bonds, the Indenture, the Special Taxes, or the transactions described herein.

ABSENCE OF RATINGS

The Community Facilities District has not made, and does not contemplate making, application to any rating organization for a rating on the Bonds.

UNDERWRITING

The Bonds are being purchased by E. J. De La Rosa & Co., Inc. (the "Underwriter"). The Underwriter has agreed to purchase the Bonds at a price of \$9,292,689.80 (\$9,740,000 principal amount, less original issue discount of \$256,005.35 and less the Underwriter's discount of \$191,304.85). The Bond Purchase Agreement relating to the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in the Bond Purchase Agreement, the approval of certain legal matters by counsel and certain other conditions. The Underwriter's compensation is contingent upon the successful issuance of the Bonds.

The Underwriter may offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the cover page hereof. The offering prices may be changed from time to time by the Underwriter.

CONTINUING DISCLOSURE

The Community Facilities District will execute a continuing disclosure agreement for the benefit of the Owners and Beneficial Owners of the Bonds to provide certain financial information and operating data relating to the Community Facilities District (the "Annual Report") and to provide notices of the occurrence of certain enumerated events (the "Listed Events"). The Annual Report is required to be filed by the Fiscal Agent as the Dissemination Agent with each Nationally Recognized Municipal Securities Information Repository. Notices of Listed Events will be filed by the Dissemination Agent with the Municipal Securities Rulemaking Board. The specific nature of the information to be included in the Annual Reports and the notices of Listed Events is set forth in Appendix F — "FORMS OF CONTINUING DISCLOSURE AGREEMENTS." This agreement will be entered into in order to assist the Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the "Rule").

The Developer will enter into a Developer Disclosure Agreement, the format of which is also attached as Appendix F hereto (the "Developer's Disclosure Undertaking"). The Developer's Disclosure Undertaking will inure solely to the benefit of the Dissemination Agent, the Underwriter and owners or beneficial owners from time to time of the Bonds.

It should be noted that the Community Facilities District is required to file certain financial statements with the Annual Reports. This requirement has been included in the agreement solely to satisfy the provisions of the Rule. The inclusion of this information does not mean that the Bonds are secured by any resources or property of the Community Facilities District other than as described hereinabove. See "LIMITATION OF LIABILITY," "SECURITY FOR THE BONDS" and "SPECIAL RISK FACTORS." It should also be noted that the list of significant events which the Community Facilities District has agreed to report includes three items which have absolutely no application whatsoever to the Bonds. These items have been included in the list solely to satisfy the requirements of the Rule. Thus, any implication from the inclusion of these items in the list to the contrary notwithstanding, there are no credit enhancements applicable to the Bonds, there are no credit or liquidity providers with respect to the Bonds, and the Bonds have not been assigned a rating.

The Community Facilities District has never failed to comply in all material respects with any previous undertakings with regard to the Rule to provide annual reports or notices of material events. Although other companies affiliated with SunCal have entered into such undertakings, the Developer has not previously done so.

CERTAIN LEGAL MATTERS

Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, will render an opinion with respect to the validity and enforceability of the Indenture and as to the validity of the Bonds. A copy of the form of such approving opinion is attached hereto as Appendix C. Copies of such approving opinion will accompany each Bond. Bond Counsel has not undertaken any responsibility for the accuracy, completeness or fairness of the Official Statement or other offering materials relating to the Bonds and expresses no opinion relating thereto. Certain legal matters will be passed upon for the Community Facilities District by the City's City Attorney.

In addition to serving as Bond Counsel in connection with the issuance and sale of the Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, serves as Disclosure Counsel. Although it is serving as bond counsel and disclosure counsel to the Community Facilities District in connection with the issuance and sale of the Bonds, Bond Counsel has represented the Underwriter in connection with other financings and matters unrelated to the Bonds.

Compensation for Bond Counsel and Disclosure Counsel services is contingent upon the successful issuance and sale of the Bonds.

MISCELLANEOUS

So far as any statements made in this Official Statement involve matters of opinion, assumptions, projections, anticipated events or estimates, whether or not expressly stated, they are set forth as such and not as presentations of fact, and actual results may differ substantially from those set forth therein. Neither this Official Statement nor any statement that may have been made verbally or in writing is to be construed as a contract with the Owners of the Bonds.

The summaries of certain provisions of the Bonds, statutes and other documents or agreements referred to in this Official Statement do not purport to be complete, and reference is made to each of them for a complete statement of their provisions. Copies are available for review by making requests to the City.

The appendices are an integral part of this Official Statement and must be read together with all other parts of the Official Statement.

The distribution of this Official Statement has been authorized by the Community Facilities District.

/s/ Stan Kleinman

Finance and Management Services Director

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APPENDIX A

SUMMARY OF INDENTURE

The following is a brief summary of certain provisions of the Indenture. This summary is not intended to be definitive and is qualified in its entirety by reference to such documents for the complete terms thereof. Copies of the Indenture are available upon request from the Community Facilities District.

DEFINITIONS

Unless the context otherwise requires, the following terms shall have the following meanings when used in the Indenture:

“Account” means any account created pursuant to the Indenture.

“Act” means the Mello-Roos Community Facilities Act of 1982, as amended, Sections 53311 *et seq.* of the California Government Code.

“Acquisition Agreement” means that certain Agreement for Acquisition dated as of September 21, 2000 by and between the City and SunCal Companies, LLC, as it may be amended from time to time.

“Acquisition and Construction Fund” means the fund by that name established pursuant to the Indenture.

“Administrative Expenses” means the administrative costs with respect to the calculation and collection of the Special Taxes levied and collected within the District, including all attorneys’ fees and other costs related thereto, costs of foreclosure, the fees and expenses of the District, any fees and related costs for credit enhancement for the Bonds which are not otherwise paid as Costs of Issuance and any other costs otherwise incurred by the City staff on behalf of the District in order to carry out the purposes of the District as set forth in the Resolution of Formation and any obligation of the District under the Indenture.

“Administrative Expense Account” means the account by that name established in the Special Tax Fund.

“Annual Debt Service” means the principal amount of any Outstanding Bonds payable in a Bond Year either at maturity or pursuant to a Sinking Fund Payment and any interest payable on any Outstanding Bonds in such Bond Year, if the Bonds are retired as scheduled.

“Authorized Investments” means any of the following which at the time of investment are legal investments under the laws of the State for the moneys proposed to be invested therein:

1. (a) Direct obligations (other than an obligation subject to variation in principal repayment) of the United States of America (“United States Treasury Obligations”), (b) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by the United States of America, (c) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by any agency or instrumentality of the United States of America when such obligations are backed by the full faith and credit of the United States of America, or (d) evidences of ownership of proportionate interests in future interest and principal

payments on obligations described above held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying government obligations are not available to any person claiming through the custodian or to whom the custodian may be obligated.

2. Federal Housing Administration debentures.

3. The listed obligations of government-sponsored agencies which are not backed by the full faith and credit of the United States of America:

- Federal Home Loan Mortgage Corporation (FHLMC)
Participation certificates (excluded are stripped mortgage securities which are purchased at prices exceeding their principal amounts)
Senior Debt obligations
- Farm Credit Banks (formerly: Federal Land Banks, Federal Intermediate Credit Banks and Banks for Cooperatives)
Consolidated system-wide bonds and notes
- Federal Home Loan Banks (FHL Banks)
Consolidated debt obligations
- Federal National Mortgage Association (FNMA)
Senior debt obligations
Mortgage-backed securities (excluded are stripped mortgage securities which are purchased at prices exceeding their principal amounts)
- Student Loan Marketing Association (SLMA)
Senior debt obligations (excluded are securities that do not have a fixed par value and/or whose terms do not promise a fixed dollar amount at maturity or call date)
- Financing Corporation (FICO)
Debt obligations
- Resolution Funding Corporation (REFCORP)
Debt obligations

4. Unsecured certificates of deposit, time deposits, and bankers' acceptances (having maturities of not more than 30 days) of any bank (including the Fiscal Agent and any affiliate) the short-term obligations of which are rated "A-1" or better by Standard & Poor's.

5. Deposits the aggregate amount of which are fully insured by the Federal Deposit Insurance Corporation (FDIC), in banks (including the Fiscal Agent and any affiliate) which have capital and surplus of at least \$5 million.

6. Commercial paper (having original maturities of not more than 270 days rated "A-1+" by Standard & Poor's and "Prime-1" by Moody's.

7. Money market funds rated "AAm" or "AAm-G" by Standard & Poor's, or better (including those of the Fiscal Agent or its affiliates).

8. "State Obligations," which means:

A. Direct general obligations of any state of the United States of America or any subdivision or agency thereof to which is pledged the full faith and credit of a state the unsecured general obligation debt of which is rated "A3" by Moody's and "A" by Standard & Poor's, or better, or any obligation fully and unconditionally guaranteed by any state, subdivision or agency whose unsecured general obligation debt is so rated.

B. Direct general short-term obligations of any state agency or subdivision or agency thereof described in (A) above and rated "A-1+" by Standard & Poor's and "Prime-1" by Moody's.

C. Special Revenue Bonds (as defined in the United States Bankruptcy Code) of any state, state agency or subdivision described in (A) above and rated "AA" or better by Standard & Poor's and "Aa" or better by Moody's.

9. Pre-refunded municipal obligations rated "AAA" by S & P and "Aaa" by Moody's meeting the following requirements:

A. the municipal obligations are (1) not subject to redemption prior to maturity or (2) the Fiscal Agent for the municipal obligations has been given irrevocable instructions concerning their call and redemption and the issuer of the municipal obligations has covenanted not to redeem such municipal obligations other than as set forth in such instructions;

B. the municipal obligations are secured by cash or United States Treasury Obligations which may be applied only to payment of the principal of, interest and premium on such municipal obligations;

C. the principal of and interest on the United States Treasury Obligations (plus any cash in the escrow) has been verified by the report of independent certified public accountants to be sufficient to pay in full all principal of, interest, and premium, if any, due and to become due on the municipal obligations ("Verification");

D. the cash or United States Treasury Obligations serving as security for the municipal obligations are held by an escrow agent or Fiscal Agent in trust for owners of the municipal obligations;

E. no substitution of a United States Treasury Obligation shall be permitted except with another United States Treasury Obligation and upon delivery of a new Verification; and

F. the cash or United States Treasury Obligations are not available to satisfy any other claims, including those by or against the Fiscal Agent or escrow agent.

10. Repurchase agreements:

With (1) any domestic bank, or domestic branch of a foreign bank, the long term debt of which is rated at least "A" by Standard & Poor's and Moody's; or (2) any broker-dealer with "retail customers" or a related affiliate thereof which broker-dealer has, or the parent company (which guarantees the provider) of which has, long-term debt rated at least "A" by Standard & Poor's and Moody's, which broker-dealer falls under the jurisdiction of the Securities

Investors Protection Corporation; or (3) any other entity rated "A" or better by Standard & Poor's and Moody's, provided that:

a. The market value of the collateral is maintained at levels equal to 104% of the amount of cash transferred by the Fiscal Agent to the provider of the repurchase agreement plus accrued interest with the collateral being valued weekly and marked-to-market at one current market price plus accrued interest;

b. The Fiscal Agent or a third party acting solely as agent therefor or for the District (the "Holder of the Collateral") has possession of the collateral or the collateral has been transferred to the Holder of the Collateral in accordance with applicable state and federal laws (other than by means of entries on the transferor's books);

c. The repurchase agreement shall state and an opinion of counsel shall be rendered at the time such collateral is delivered that the Holder of the Collateral has a perfected first priority security interest in the collateral, any substituted collateral and all proceeds thereof (in the case of bearer securities, this means the Holder of the Collateral is in possession);

d. The repurchase agreement shall provide that if during its term the provider's rating by either Moody's or Standard & Poor's is withdrawn or suspended or falls below "A-" by Standard & Poor's or "A3" by Moody's, as appropriate, the provider must, at the direction of the District or the Fiscal Agent, within 10 days of receipt of such direction, repurchase all collateral and terminate the agreement, with no penalty or premium to the District or Fiscal Agent.

Notwithstanding the above, if a repurchase agreement has a term of 270 days or less (with no evergreen provision), collateral levels need not be as specified in (a) above, so long as such collateral levels are 103% or better and the provider is rated at least "A" by Standard & Poor's and Moody's, respectively.

11. Investment agreements with a domestic or foreign bank or corporation (other than a life or property casualty insurance company) the long-term debt of which or, in the case of a guaranteed corporation the long-term debt, or, in the case of a monoline financial guaranty insurance company, claims paying ability, of the guarantor is rated at least "AA" by Standard & Poor's and "Aa" by Moody's; provided that, by the terms of the investment agreement:

(1) interest payments are to be made to the Fiscal Agent at times and in amounts as necessary to pay debt service (or, if the investment agreement is for the Acquisition and Construction Fund, construction draws) on the Bonds;

(2) the invested funds are available for withdrawal to make payments or transfers required under the Indenture, without penalty or premium, at any time upon not more than seven days' prior notice; the District and the Fiscal Agent hereby agree to give or cause to be given notice in accordance with the terms of the investment agreement so as to receive funds thereunder with no penalty or premium paid;

(3) the investment agreement shall state that is the unconditional and general obligation of, and is not subordinated to any other obligation of, the provider thereof, or, in the case of a bank, that the obligation of the bank to make payments under the agreement ranks *pari passu* with the obligations of the bank to its other depositors and its other unsecured and unsubordinated creditors;

(4) the District and the Fiscal Agent receives the opinion of domestic counsel (which opinion shall be addressed to the District and the Fiscal Agent) that such investment agreement is legal, valid, **binding** and enforceable upon the provider in accordance with its terms and of foreign counsel (if applicable) in form and substance acceptable, and addressed to, the District;

(5) the investment agreement shall provide that if during its term

(a) the provider's rating by either Standard & Poor's or Moody's falls below "AA-" or "Aa3", respectively, the provider shall, at its option, within 10 days of receipt of publication of such downgrade, **either** (i) collateralize the investment agreement by delivering or transferring in accordance with applicable state and federal laws (other than by means of entries on the provider's books) to the District, the Fiscal Agent or a third party acting solely as agent therefor (the "Holder of the Collateral") collateral free and clear of any third-party liens or claims the market value of which collateral is maintained at levels and upon such conditions as would be acceptable to Standard & Poor's and Moody's to maintain an "A" rating in an "A" rated structured financing (with a market value approach); or (ii) repay the principal of and accrued but unpaid interest on the investment; and

(b) the provider's rating by either Standard & Poor's or Moody's is withdrawn or suspended or falls below "A-" or "A3", respectively, the provider must, at the direction of the District or the Fiscal Agent, within 10 days of receipt of such direction, repay the principal of and accrued but unpaid interest on the investment, in either case with no penalty or premium to the District or Fiscal Agent; and

(6) the investment agreement shall state and an opinion of counsel shall be rendered, in the event collateral is required to be pledged by the provider under the terms of the investment agreement at the time such collateral is delivered, that the Holder of the Collateral has a perfected first priority security interest in the collateral, any substituted collateral and all proceeds thereof (in the case of bearer securities, this means the Holder of the Collateral is in possession);

(7) the investment agreement must provide that if during its term

(a) the provider shall default in its payment obligations, the provider's obligations under the investment agreement shall, at the direction of the District or the Fiscal Agent, be accelerated and amounts invested and accrued but unpaid interest thereon shall be repaid to the District or Fiscal Agent, as appropriate, and

(b) the provider shall become insolvent, not pay its debts as they become due, be declared or petition to be declared bankrupt, etc. ("event of insolvency"), the provider's obligations shall automatically be accelerated and amounts invested and accrued but unpaid interest thereon shall be repaid to the District or Fiscal Agent, as appropriate.

12. The State of California Local Agency Investment Fund; provided that the Fiscal Agent may restrict investments in such Fund to the extent necessary to keep monies available for the purposes of the Indenture.

13. Any other investment which the City is permitted by law to make.

“Authorized Representative of the District” means the City Manager, the Assistant City Manager or the Financial Services Manager or any other person or persons designated by the City Council of the City and authorized to act on behalf of the City or the District by a written certificate signed on behalf of the City by the Mayor of the City and containing the specimen signature of each such person.

“Average Annual Debt Service” means the average amount of Annual Debt Service determined as of the Delivery Date.

“Bond Counsel” means an attorney at law or a firm of attorneys selected by the City or the District of nationally recognized standing in matters pertaining to the tax-exempt nature of interest on bonds issued by states and their political subdivisions duly admitted to the practice of law before the highest court of any state of the United States of America or the District of Columbia.

“Bond Payment Fund” means the fund by that name established pursuant to the Indenture.

“Bond Register” means the books which the Fiscal Agent shall keep or cause to be kept on which the registration and transfer of the Bonds shall be recorded.

“Bondowner” or “Owner” means the person or persons in whose name or names any Bond is registered.

“Bonds” means the Community Facilities District No. 1 (Westport at Mandalay Bay) 2002 Special Tax Bonds.

“Bond Year” means the twelve month period commencing on September 2 of each year and ending on September 1 of the following year, except that the first Bond Year shall begin on the Delivery Date and end on the first September 1 which is not more than 12 months after the Delivery Date.

“Business Day” means a day which is not a Saturday or Sunday or a day of the year on which banks in New York, New York, Los Angeles, California, or the city where the corporate trust office of the Fiscal Agent is located, are not required or authorized to remain closed.

“Certificate of an Authorized Representative” means a written certificate or warrant request executed by an Authorized Representative of the District.

“City” means the City of Oxnard.

“Code” means the Internal Revenue Code of 1986, as amended, and any Regulations, rulings, judicial decisions, and notices, announcements, and other releases of the United States Treasury Department or Internal Revenue Service interpreting and construing it.

“Costs of Issuance” means the costs and expenses incurred in connection with the formation of the District and the issuance and sale of the Bonds, including the acceptance and initial annual fees and expenses of the Fiscal Agent, legal fees and expenses, costs of printing the Bonds and the preliminary and final official statements for the Bonds, fees of financial consultants and all other related fees and expenses, as set forth in a Certificate of an Authorized Representative of the City.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Delivery Date” means the date on which the Bonds were issued and delivered to the initial purchasers thereof.

"Depository" shall mean The Depository Trust Company, New York, New York, and its successors and assigns as securities depository for the Certificates, or any other securities depository acting as Depository under the Indenture.

"District" means Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard established pursuant to the Act and the Resolution of Formation.

"Federal Securities" means any of the following: (a) non-callable direct obligations of the United States of America ("Treasuries"), (b) evidence of ownership of proportionate interests in future interest and principal payments on Treasuries held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying Treasuries are not available to any person claiming through the custodian or to whom the custodian may be obligated, and (c) pre-refunded municipal obligations rated "AAA" and "Aaa" by Standard & Poor's and Moody's, respectively (or any combination thereof).

"Fiscal Agent" means Wells Fargo Bank, National Association, a national banking corporation duly organized and existing under the laws of the United States of America, at its principal corporate trust office in Los Angeles, California, and its successors or assigns, or any other bank or trust company which may at any time be substituted in its place as provided in the Indenture and any successor thereto.

"Fiscal Year" means the period beginning on July 1 of each year and ending on the next following June 30.

"Gross Taxes" means the amount of all Special Taxes received by the District, together with the proceeds collected from the sale of property pursuant to the foreclosure provisions of the Indenture for the delinquency of such Special Taxes that remain after the payment of all costs related to such foreclosure actions which were not paid from the Administrative Expense Account.

"Independent Financial Consultant" means a financial consultant or firm of such consultants generally recognized to be well qualified in the financial consulting field, appointed and paid by the District, who, or each of whom:

- (1) is in fact independent and not under the domination of the District;
- (2) does not have any substantial interest, direct or indirect, in the District; and
- (3) is not connected with the District as a member, officer or employee of the District, but who may be regularly retained to make annual or other reports to the District.

"Indenture" means the Indenture, together with any Supplemental Indenture approved pursuant to the Indenture.

"Interest Payment Date" means each March 1 and September 1, commencing March 1, 2003; provided, however, that, if any such day is not a Business Day, interest up to the Interest Payment Date will be paid on the Business Day next preceding such date.

"Investment Agreement" means one or more agreements for the investment of funds of the District complying with the criteria therefor as set forth in Subsection (11) of the definition of Authorized Investments.

“Letter of Credit” means any letter of credit delivered to the City or the Fiscal Agent pursuant to the terms of the Acquisition Agreement naming the Fiscal Agent as the beneficiary.

“Letter of Credit Fund” means the fund by that name established pursuant to the Indenture.

“Maximum Annual Debt Service” means the maximum amount of Annual Debt Service for any Bond Year.

“Moody’s” means Moody’s Investors Service, its successors and assigns.

“Net Taxes” means Gross Taxes minus amounts set aside to pay Administrative Expenses.

“Nominee” shall mean the nominee of the Depository, which may be the Depository, as determined from time to time pursuant to the Indenture.

“Ordinance” means Ordinance No. 2541 adopted by the legislative body of the District on October 24, 2000, as amended by Ordinance No. 2591 adopted by the legislative body of the District on February 5, 2002 providing for the levying of the Special Tax.

“Outstanding” or “Outstanding Bonds” means all Bonds theretofore issued by the District, except:

(1) Bonds theretofore cancelled or surrendered for cancellation in accordance with the Indenture;

(2) Bonds for payment or redemption of which monies shall have been theretofore deposited in trust (whether upon or prior to the maturity or the redemption date of such Bonds), provided that, if such Bonds are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or any applicable Supplemental Indenture; and

(3) Bonds which have been surrendered to the Fiscal Agent for transfer or exchange or for which a replacement has been issued pursuant to the Indenture.

“Participants” shall mean those broker-dealers, banks and other financial institutions from time to time for which the Depository holds Bonds as securities depository.

“Person” means natural persons, firms, corporations, partnerships, associations, trusts, public bodies and other entities.

“Prepayments” means any amounts paid by the District to the Fiscal Agent and designated by the District as a prepayment of Special Taxes for one or more parcels in the District made in accordance with the Revised Rate and Method of Apportionment of Special Taxes attached to Resolution No. 12,081 adopted by the City on January 29, 2002.

“Principal Office of the Fiscal Agent” means the office of the Fiscal Agent located in Los Angeles, California, or such other office or offices as the Fiscal Agent may designate from time to time, or the office of any successor Fiscal Agent where it principally conducts its business of serving as Fiscal Agent under indentures pursuant to which municipal or governmental obligations are issued.

“Project” means those public facilities **described** in the Resolution of Formation which are to be acquired or constructed within and outside of the **District**, including all engineering, planning and design services and other incidental expenses related to **such facilities** and other facilities, if any, authorized by the qualified electors within the District from time to time.

“Project Costs” means the amounts **necessary** to finance the Project, to create and replenish any necessary reserve funds, to pay the initial and **annual costs** associated with the Bonds, including, but not limited to, credit enhancement (except the **Letter of Credit**), Fiscal Agent and other fees and expenses relating to the issuance of the Bonds and the **formation** of the District, and to pay any other “incidental expenses” of the District, as such term is defined in the Act.

“Rating Agency” means Moody’s or **Standard & Poor’s**, or both, as the context requires.

“Rebate Fund” means the fund by that **name** established pursuant to the Indenture.

“Rebate Regulations” means any final, **temporary** or proposed Regulations promulgated under Section 148(f) of the Code.

“Record Date” means the **fifteenth day** of the month preceding an Interest Payment Date, regardless of whether such day is a Business Day.

“Redemption Fund” means the fund by that **name** established pursuant to the Indenture.

“Regulations” means the regulations **adopted** or proposed by the Department of Treasury from time to time with respect to obligations issued pursuant to Section 103 of the Code.

“Representation Letter” shall mean the **Blanket** Letter of Representations from the District and the Paying Agent to the Depository.

“Reserve Fund” means the fund by that **name** established pursuant to the Indenture.

“Reserve Requirement” means that amount as of any date of calculation equal to the lesser of (i) 10% of the initial principal amount of the **Bonds**, (ii) Maximum Annual Debt Service; and (iii) 125% of Average Annual Debt Service.

“Resolution of Formation” means **Resolution No. 11,823** adopted by the City Council of the City on October 3, 2000, pursuant to which the City **formed** the District.

“Sinking Fund Payment” means the **annual payment** to be deposited in the Bond Payment Fund to redeem a portion of the Term Bonds in accordance **with** the schedule set forth in the Indenture.

“Six-Month Period” means the period of **time** beginning on the Delivery Date of each issue of Bonds, as applicable, and ending six consecutive **months** thereafter, and each six-month period thereafter until the latest maturity date of the Bonds (and **any obligations** that refund an issue of the Bonds).

“Special Tax Fund” means the fund by that **name** established pursuant to the Indenture.

“Special Taxes” means the taxes **authorized to be** levied by the District on property within the District in accordance with the Ordinance, the **Resolution** of Formation, the Act and the voter approval obtained at the October 3, 2000 election in the **District** and as modified by the voters at an election held in the District on January 29, 2002.

“Standard & Poor’s” means Standard & Poor’s Ratings Group, a division of McGraw-Hill, its successors and assigns.

“Supplemental Indenture” means any supplemental indenture amending or supplementing the Indenture.

“Surplus Fund” means the fund by that name established pursuant to the Indenture.

“Tax Certificate” means the certificate by that name to be executed by the District on a Delivery Date to establish certain facts and expectations and which contains certain covenants relevant to compliance with the Code.

“Tax-Exempt” means, with reference to an Authorized Investment, an Authorized Investment the interest earnings on which are excludable from gross income for federal income tax purposes pursuant to Section 103(a) of the Code, other than one described in Section 57(a)(5)(C) of the Code.

“Term Bonds” means the Bonds maturing on September 1, 2007, September 1, 2027, and September 1, 2033.

“Treasurer” means the Treasurer of the City acting as the Treasurer of the District.

“Underwriter” means E. J. De La Rosa & Co., Inc.

CREATION OF FUNDS AND APPLICATION OF PROCEEDS AND LETTER OF CREDIT

Creation of Funds; Application of Proceeds and Letter of Credit. There is created and established and shall be maintained by the District the following fund and account:

- (1) The Community Facilities District No. 1 (Westport at Mandalay Bay) Special Tax Fund (the “Special Tax Fund”), in which there shall be established and created an Administrative Expense Account.

There is created and established and shall be maintained by the Fiscal Agent the following funds and accounts:

- (1) The Community Facilities District No. 1 (Westport at Mandalay Bay) Bond Payment Fund (the “Bond Payment Fund”);
- (2) The Community Facilities District No. 1 (Westport at Mandalay Bay) Letter of Credit Fund (the “Letter of Credit Fund”);
- (3) The Community Facilities District No. 1 (Westport at Mandalay Bay) Reserve Fund (the “Reserve Fund”);
- (4) The Community Facilities District No. 1 (Westport at Mandalay Bay) Redemption Fund (the “Redemption Fund”);
- (5) The Community Facilities District No. 1 (Westport at Mandalay Bay) Rebate Fund (the “Rebate Fund”), in which there shall be established a Rebate Account;

- (6) The Community Facilities District No. 1 (Westport at Mandalay Bay) Costs of Issuance Fund (the "Costs of Issuance Fund");
- (7) The Community Facilities District No. 1 (Westport at Mandalay Bay) Acquisition and Construction Fund (the "Acquisition and Construction Fund"); and
- (8) The Community Facilities District No. 1 (Westport at Mandalay Bay) Surplus Fund (the "Surplus Fund").

The amounts on deposit in the foregoing funds, accounts and subaccounts shall be held by the Fiscal Agent and the Fiscal Agent shall be invested and disbursed to such funds, accounts and subaccounts in accordance with the provisions of the Indenture and shall disburse investment earnings thereon in accordance with the provisions of the Indenture.

The Fiscal Agent may, in its discretion, establish a temporary fund or account in its books and records to facilitate such transfers.

Special Tax Fund and Administrative Expense Account of the Special Tax Fund. The District shall deposit all Special Taxes received, including any penalties and interest received on the foreclosure of any delinquent properties, in the Special Tax Fund. From money in the Special Tax Fund, the District shall deposit in the Administrative Expense Account of the Special Tax Fund from time to time amounts necessary to make timely payment of Administrative Expenses. The Treasurer shall disburse money from the Administrative Expense Account to pay Administrative Expenses as directed by the Financial Services Manager or his or her designee. Except for amounts required to be transferred to the Letter of Credit Fund, as described below, money remaining in the Special Tax Fund after the deposit of money in the Administrative Expense Account shall be held in said fund until the Business Day prior to each Interest Payment Date. On the Business Day prior to each Interest Payment Date, the Treasurer shall transfer to the Fiscal Agent: (i) for deposit in the Bond Payment Fund, the amount necessary to pay interest, principal, Sinking Fund Payments, if any, on the Bonds on said Interest Payment Date and (ii) for deposit in the Redemption Fund, the amount, if any, necessary to pay the redemption price of any Bonds called for extraordinary redemption on said Interest Payment Date. After making such transfers, the Treasurer shall transfer to the Fiscal Agent: (i) for deposit in the Reserve Fund, the amount, if any, necessary to cause the balance on deposit therein to equal the Reserve Requirement and (ii) for deposit in the Rebate Fund, the amount, if any, required to pay rebate payments to the federal government. Notwithstanding the foregoing, delinquent Special Taxes (net of Administrative Expenses paid from the Administrative Expense Account) for which proceeds of a draw on the Letter of Credit were deposited in the Special Tax Fund shall be transferred by the Treasurer to the Fiscal Agent for deposit in the Letter of Credit Fund. Moneys in the Special Tax Fund may be invested as authorized by the Treasurer.

Costs of Issuance Fund. The moneys in the Costs of Issuance Fund shall be applied exclusively to pay the Costs of Issuance in accordance with the Acquisition Agreement. Amounts for Costs of Issuance shall be disbursed by the Fiscal Agent from the Costs of Issuance Fund as specified in a Request for Disbursement of Costs of Issuance and Costs of Issuance, substantially in the form of Exhibit B attached hereto, which must be submitted in connection with each requested disbursement.

Upon receipt of a Certificate of an Authorized Representative stating that all or a specified portion of the amount remaining in the Costs of Issuance Fund is no longer needed to pay Costs of Issuance, the Fiscal Agent shall transfer all or such specified portion, as applicable, of the moneys remaining on deposit in the Costs of Issuance Fund to the Acquisition and Construction Fund, the Bond Payment Fund or the Surplus Fund, as directed in the Certificate, provided that in connection with any direction to transfer amounts to the Surplus Fund there shall have been delivered to the Fiscal Agent with

such Certificate an opinion of Bond Counsel to the effect that such transfer to the Surplus Fund will not adversely affect the exclusion from gross income for federal income tax purposes of interest on the Bonds which were issued on a tax-exempt basis for federal income tax purposes.

Acquisition and Construction Fund. The moneys in the Acquisition and Construction Fund shall be applied exclusively to pay the Project Costs in accordance with the Acquisition Agreement. Amounts for Project Costs shall be disbursed by the Fiscal Agent from the Acquisition and Construction Fund as specified in a Request for Disbursement of Costs of Issuance and Project Costs, substantially in the form of Exhibit B attached hereto, which must be submitted in connection with each requested disbursement.

Upon receipt of a Certificate of an Authorized Representative stating that all or a specified portion of the amount remaining in the Acquisition and Construction Fund is no longer needed to pay Project Costs, the Fiscal Agent shall transfer all or such specified portion, as applicable, of the moneys remaining on deposit in the Acquisition and Construction Fund to the Bond Payment Fund or to the Surplus Fund, as directed in the Certificate, provided that in connection with any direction to transfer amounts to the Surplus Fund there shall have been delivered to the Fiscal Agent with such Certificate an opinion of Bond Counsel to the effect that such transfer to the Surplus Fund will not adversely affect the exclusion from gross income for federal income tax purposes of interest on the Bonds which were issued on a tax-exempt basis for federal income tax purposes.

Deposits to and Disbursements from Bond Payment Fund. Except as set forth above, the Fiscal Agent shall, on each date on which the Special Taxes are received from the District, deposit the Special Taxes in the Bond Payment Fund to be held in trust for the Owners. The Fiscal Agent shall apply the Special Taxes on deposit in the Bond Payment Fund to pay the interest, principal, Sinking Fund Payments premiums, if any, on each Interest Payment Date.

At maturity of all of the Bonds and, after all principal and interest then due on the Bonds then Outstanding has been paid or provided for and any amounts owed to the Fiscal Agent have been paid in full, moneys in the Bond Payment Fund shall be transferred to the District and may be used by the District for any lawful purpose.

Letter of Credit and Letter of Credit Fund. The Letter of Credit, which shall name the Fiscal Agent as the beneficiary, shall be held by the Fiscal Agent in trust for the Owners of the Bonds. In the event that the Fiscal Agent receives a Certificate of an Authorized Representative stating that an event has occurred which requires a draw under the Letter of Credit, the Fiscal Agent shall draw on the Letter of Credit in the amount set forth in the Certificate and shall deposit the proceeds of such draw in the Bond Payment Fund.

In the event that the Fiscal Agent receives a Certificate of an Authorized Representative stating that the conditions to the reduction of the amount of the Letter of Credit contained in the Acquisition Agreement have been satisfied and the amount to which the amount of the Letter of Credit may be reduced, the Fiscal Agent shall return the Letter of Credit to the Issuer thereof upon such receipt by the Fiscal Agent of a new Letter of Credit in the reduced principal amount.

In the event that the Fiscal Agent receives a Certificate of an Authorized Representative stating that the conditions to the release of the Letter of Credit contained in the Acquisition Agreement have been satisfied, the Fiscal Agent shall release the Letter of Credit to the provider of the Letter of Credit and upon such release neither the Fiscal Agent nor the Owners of the Bonds shall have any further right, title and interest in the Letter of Credit.

Any provision of the Indenture to the **contrary** notwithstanding, in the event that the District collects delinquent Special Taxes from any **parcel whose** delinquency caused a draw on the Letter of Credit which has not been reimbursed, such **Special Taxes** shall be transferred to the Fiscal Agent for deposit in the Letter of Credit Fund, and the **Fiscal Agent** shall disburse to the provider of the Letter of Credit from such Special Taxes the amount **specified in a Certificate of an Authorized Representative.**

Redemption Fund. Prepayments deposited to the Redemption Fund shall be applied on the redemption date established for the use of such **Prepayments** to the payment of the principal of, premium, and interest on the Bonds to be redeemed with **such Prepayments**, as directed by the District.

Moneys set aside in the Redemption Fund **shall** be used solely for the purpose of redeeming Bonds and shall be applied on or after the **redemption date** to the payment of principal of and interest and premium, if any, on the Bonds to be redeemed **upon presentation** and surrender of such Bonds; provided, however, that in lieu or partially in lieu of such **call and redemption**, moneys deposited in the Redemption Fund may be used to purchase Outstanding Bonds **in the manner** provided in the Indenture. Purchases of Outstanding Bonds may be made by the District **at public** or private sale as and when and at such prices as the District may in its discretion determine but **only at prices** (including brokerage or other expenses) not more than par plus accrued interest, plus, in the **case of** moneys set aside for an optional redemption, the premium applicable at the next following call **date** according to the premium schedule established pursuant to the Indenture. Any accrued interest **payable** upon the purchase of Bonds may be paid from the amount reserved in the Bond Payment Fund for the payment of interest on the next following Interest Payment Date.

Reserve Fund. There shall be maintained in the Reserve Fund an amount equal to the Reserve Requirement. The amounts in the Reserve Fund **shall be applied** as follows:

Moneys in the Reserve Fund **shall be used** solely for the purpose of paying the principal of, including Sinking Fund Payments, and interest on the Bonds when due in the event that the moneys in the Bond Payment Fund (including proceeds of a **draw on the Letter of Credit**) are insufficient therefor and for the purpose of making any required transfer to the Rebate Fund upon receipt of a Certificate of an Authorized Representative. If the amounts in the **Bond Payment Fund** are insufficient to pay the principal of, including Sinking Fund Payments, or interest on **when due**, or amounts in the Bond Payment Fund are insufficient to make transfers to the Rebate Fund **when required**, the Fiscal Agent shall withdraw from the Reserve Fund for deposit in the Bond Payment Fund **or the Rebate Fund**, as applicable, moneys necessary for such purposes.

The Fiscal Agent shall transfer to the **Reserve Fund** from available moneys in the Bond Payment Fund, or from any other legally available funds **which the District elects** to apply to such purpose, the amount needed to restore the amount of such **Reserve Fund** to the Reserve Requirement under the circumstances described in the Indenture. If **amounts in the Bond Payment Fund** together with any other amounts transferred to replenish the Reserve Fund **are inadequate** to restore the Reserve Fund to the Reserve Requirement, then the District shall **include the amount necessary** fully to restore the Reserve Fund to the Reserve Requirement in the next **annual Special Tax levy** to the extent of the maximum permitted Special Tax rates.

In connection with an optional or **extraordinary** redemption of Bonds or a partial defeasance of Bonds, amounts in the Reserve Fund may be **applied to** such redemption or partial defeasance so long as the amount on deposit in the Reserve Fund **following such redemption or partial defeasance** equals the Reserve Requirement. The District shall **set forth in a Certificate of an Authorized Representative** the amount in the Reserve Fund to be transferred to the **Redemption Fund** on a redemption date or to be

transferred to partially defease Bonds, and the Fiscal Agent shall make such transfer on the applicable redemption or defeasance date, subject to the limitation in the preceding sentence.

Moneys in the Reserve Fund in excess of the Reserve Requirement not transferred in accordance with the provisions described above shall be withdrawn from the Reserve Fund on the fifth Business Day before each March 1 and September 1 and shall be transferred to the Bond Payment Fund. To the extent that the Reserve Fund is at the Reserve Requirement as of the first day of the final Bond Year for the Bonds, amounts in the Reserve Fund may be applied to pay the principal of and interest due on the Bonds, as applicable, in the final Bond Year. Any remaining balance therein shall be transferred to the District.

Rebate Fund. The Fiscal Agent shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund and shall establish a separate Rebate Account therein. All money at any time deposited in the Rebate Account of the Rebate Fund shall be held by the Fiscal Agent in trust, for payment to the United States Treasury. A separate subaccount of the Rebate Account and the Alternate Penalty Account shall be established for the Bonds the interest on which is excluded from gross income for federal income tax purposes. All amounts on deposit in the Rebate Fund with respect to the Bonds shall be governed by the Indenture and the Tax Certificate, unless the District obtains an opinion of Bond Counsel that the exclusion from gross income for federal income tax purposes of interest payments on the Bonds will not be adversely affected if such requirements are not satisfied.

Surplus Fund. After transferring to the Fiscal Agent the amounts required to be so transferred for the purposes described above, the Treasurer may, from time to time, transfer additional amounts from the Special Tax Fund to the Fiscal Agent. After making the transfers described above, as soon as practicable after each September 1, and in any event prior to each October 1, the Fiscal Agent shall transfer all remaining amounts in the Bond Payment Fund to the Surplus Fund, unless on or prior to such date, it has received a Certificate of an Authorized Representative directing that certain amounts be retained in the Bond Payment Fund because the District has included such amounts as being available in the Bond Payment Fund in calculating the amount of the levy of Special Taxes for such Fiscal Year pursuant to the Indenture. Moneys deposited in the Surplus Fund will be transferred by the Fiscal Agent at the direction of an Authorized Representative of the District (i) to the Bond Payment Fund to pay the principal of, including Sinking Fund Payments, premium, if any, and interest on the Bonds when due in the event that moneys in the Bond Payment Fund and the Reserve Fund are insufficient therefor, (ii) to the Reserve Fund in order to replenish the Reserve Fund to the Reserve Requirement, (iii) to the District for deposit to the Administrative Expense Account to pay Administrative Expenses to the extent that the amounts on deposit in the Administrative Expense Account are insufficient to pay Administrative Expenses, (iv) to the Acquisition and Construction Fund to pay Project Costs, or (v) to the District to pay for any other lawful purpose of the District.

The amounts in the Surplus Fund are not pledged to the repayment of the Bonds and may be used by the District for any lawful purpose. In the event that the District reasonably expects to use any portion of the moneys in the Surplus Fund to pay debt service on any Outstanding Bonds, the District will notify the Fiscal Agent in a Certificate of an Authorized Representative and the Fiscal Agent will segregate such amount into a separate subaccount and the moneys on deposit in such subaccount of the Surplus Fund shall be invested at the written direction of the Treasurer in Authorized Investments the interest on which is excludable from gross income under Section 103 of the Code (other than bonds the interest on which is a tax preference item for purposes of computing the alternative minimum tax of individuals and corporations under the Code) or in Authorized Investments at a yield not in excess of the yield on the issue of Bonds to which such amounts are to be applied, unless, in the opinion of Bond Counsel, investment at a higher yield will not adversely affect the exclusion from gross income for federal income

tax purposes of interest on the Bonds which were issued on a tax-exempt basis for federal income tax purposes.

Investments. Moneys held in any of the funds and accounts under the Indenture shall be invested at the written direction of the Treasurer in accordance with the limitations set forth below only in Authorized Investments which shall be deemed at all times to be a part of such Funds and Accounts. Any loss resulting from such Authorized Investments shall be credited or charged to the Fund or Account from which such investment was made, and any investment earnings on a Fund or Account shall be applied as follows: (i) investment earnings on all amounts deposited in the Bond Payment Fund, the Redemption Fund, the Acquisition and Construction Fund, the Surplus Fund, the Letter of Credit Fund, and the Rebate Fund and any account therein shall be deposited in those respective Funds and Accounts, and (ii) investment earnings on all amounts deposited in the Reserve Fund shall be applied as set forth above. Moneys in the funds and accounts held under the Indenture may be invested by the Fiscal Agent as directed in writing by the Treasurer, from time to time, in Authorized Investments subject to the following restrictions:

Moneys in the Costs of Issuance Fund and the Acquisition and Construction Fund shall be invested in Authorized Investments which will by their terms mature, or in the case of an Investment Agreement are available without penalty, as close as practicable to the date the District estimates the moneys represented by the particular investment will be needed for withdrawal from the Costs of Issuance Fund and the Acquisition and Construction Fund. Notwithstanding anything in the Indenture to the contrary, amounts remaining in the Costs of Issuance Fund and the Acquisition and Construction Fund three years after the Delivery Date for the Bonds shall be invested by the District only in Authorized Investments the interest on which is excluded from gross income under Section 103 of the Code (other than bonds the interest on which is a tax preference item for purposes of computing the alternative minimum tax of individuals and corporations under the Code) or in Authorized Investments at a yield not in excess of the yield on the issue of Bonds, unless in the opinion of Bond Counsel such restriction is not necessary to prevent interest on the Bonds from being included in gross income for federal income tax purposes.

Moneys in the Bond Payment Fund and the Redemption Fund shall be invested only in Authorized Investments which will by their terms mature, or in the case of an Investment Agreement are available for withdrawal without penalty, on such dates so as to ensure the payment of principal of, premium, if any, and interest on the Bonds as the same become due.

Moneys in the Reserve Fund may be invested only in Authorized Investments which, taken together, have a weighted average maturity not in excess of five years; provided that such amounts may be invested in an Investment Agreement to the later of the final maturity of the Bonds so long as such amounts may be withdrawn at any time, without penalty, for application in accordance with the Indenture; and provided that no such Authorized Investment of amounts in the Reserve Fund allocable to the Bonds shall mature later than the respective final maturity date of the Bonds.

Moneys in the Rebate Fund shall be invested only in Authorized Investments of the type described in clause (1) of the definition thereof which by their terms will mature, as nearly as practicable, on the dates such amounts are needed to be paid to the United States Government pursuant to the Indenture or in Authorized Investments of the type described in clause (7) of the definition thereof.

In the absence of written investment directions from the District, the Fiscal Agent shall invest solely in Authorized Investments specified in clause (7) of the definition thereof.

The Fiscal Agent shall sell, or present for redemption, any Authorized Investment whenever it may be necessary to do so in order to provide moneys to meet any payment or transfer to such funds and accounts or from such funds and accounts. For the purpose of determining at any given time the balance in any such funds and accounts, any such investments constituting a part of such funds and accounts shall be valued at their cost, except that amounts in the Reserve Fund shall be valued at the market value thereof at least semiannually on or before each Interest Payment Date. In making any valuations under the Indenture, the Fiscal Agent may utilize such computerized securities pricing services as may be available to it, including, without limitation, those available through its regular accounting system, and conclusively rely thereon. Notwithstanding anything in the Indenture to the contrary, the Fiscal Agent shall not be responsible for any loss from investments, sales or transfers undertaken in accordance with the provisions of the Indenture.

The Fiscal Agent may act as principal or agent in the making or disposing of any investment. The Fiscal Agent may sell at the best market price obtainable, or present for redemption, any Authorized Investment so purchased whenever it shall be necessary to provide moneys to meet any required payment, transfer, withdrawal or disbursement from the fund or account to which such Authorized Investment is credited, and, subject to the provisions of the Indenture, the Fiscal Agent shall not be liable or responsible for any loss resulting from such investment. For investment purposes, the Fiscal Agent may commingle the funds and accounts established under the Indenture, but shall account for each separately.

The District acknowledges that, to the extent regulations of the Comptroller of the Currency or other applicable regulatory entity grant the District the right to receive brokerage confirmations of security transactions as they occur, the District specifically waives receipt of such confirmations to the extent permitted by law. The Fiscal Agent will furnish the District periodic cash transaction statements which include detail for all investment transactions made by the Fiscal Agent under the Indenture.

COVENANTS AND WARRANTY

Warranty. The District shall preserve and protect the security pledged under the Indenture to the Bonds against all claims and demands of all persons.

Covenants. So long as any of the Bonds issued under the Indenture are Outstanding and unpaid, the District makes the following covenants with the Bondowners under the provisions of the Act and the Indenture (to be performed by the District or its proper officers, agents or employees), which covenants are necessary and desirable to secure the Bonds and tend to make them more marketable; provided, however, that said covenants do not require the District to expend any funds or moneys other than the Special Taxes and other amounts deposited to the Special Tax Fund and the Bond Payment fund:

Punctual Payment; Against Encumbrances. The District covenants that it will receive all Special Taxes in trust for the Owners and will instruct the Treasurer of the City to deposit all Special Taxes in the Special Tax Fund immediately upon their apportionment to the District, and the District shall have no beneficial right or interest in the amounts so deposited except as provided by the Indenture. All such Special Taxes shall be disbursed, allocated and applied solely to the uses and purposes set forth in the Indenture, and shall be accounted for separately and apart from all other money, funds, accounts or other resources of the District.

The District covenants that it will duly and punctually pay or cause to be paid the principal of and interest on every Bond issued under the Indenture, together with the premium, if any, thereon on the date, at the place and in the manner set forth in the Bonds and in accordance with the Indenture to the extent that Net Taxes and other amounts pledged under the Indenture are available therefor, and that the payments into the Funds and Accounts created under the Indenture will be made, all in strict conformity

with the terms of the Bonds, and the Indenture, and that it will faithfully observe and perform all of the conditions, covenants and requirements of the Indenture and of the Bonds issued under the Indenture.

The District will not mortgage or otherwise encumber, pledge or place any charge upon any of the Net Taxes except as provided in the Indenture, and will not issue any obligation or security having a lien or charge upon the Net Taxes superior to or on a parity with the Bonds. Nothing in the Indenture shall prevent the District from issuing or incurring indebtedness which is payable from a pledge of Net Taxes which is subordinate in all respects to the pledge of Net Taxes to repay the Bonds.

Levy of Special Tax. Beginning in Fiscal Year 2003-04 and so long as any Bonds issued under the Indenture are Outstanding, the legislative body of the District covenants to levy the Special Tax in an amount sufficient, together with other amounts on deposit in the Special Tax Fund and in the Bond Payment Fund and available for such purpose, to pay (1) the principal of and interest on the Bonds when due, (2) the Administrative Expenses, and (3) any amounts required to replenish the Reserve Fund of the Bond Payment Fund to the Reserve Requirement (the "Special Tax Requirement"). The District further covenants that it will take no actions that would discontinue or cause the discontinuance of the Special Tax levy or the District's authority to levy the Special Tax for so long as the Bonds are Outstanding.

Commence Foreclosure Proceedings. The District covenants for the benefit of the Owners of the Bonds that it (i) will commence judicial foreclosure proceedings against parcels with delinquent Special Taxes in excess of \$5,000 by the October 1 following the close of each Fiscal Year in which such Special Taxes were due and (ii) will commence judicial foreclosure proceedings against all parcels with delinquent Special Taxes by the October 1 following the close of each Fiscal Year in which it receives Special Taxes in an amount which is less than 95% of the total Special Tax levied and the amount on deposit in the Reserve Fund is at less than the Reserve Requirement, and (iii) will diligently pursue such foreclosure proceedings until the delinquent Special Taxes are paid; provided that, notwithstanding the foregoing, the District may elect to defer foreclosure proceedings on any parcel so long as the amount in the Reserve Fund of the Bond Payment Fund is at least equal to the Reserve Requirement. The District may, but shall not be obligated to, advance funds from any source of legally available funds other than transfers from the Special Tax Fund, in order to maintain the Reserve Fund of the Bond Payment Fund at the Reserve Requirement.

The District covenants that it will deposit the net proceeds (remaining after the payment of Administrative Expenses relating to the foreclosure proceeding) of any foreclosure in the Bond Payment Fund and the Fiscal Agent shall apply such net proceeds to make current payments of principal and interest on the Bonds, to bring the amount on deposit in the Reserve Fund up to the Reserve Requirement and to pay any delinquent installments of principal or interest due on the Bonds.

Payment of Claims. The District will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien or charge upon the Net Taxes or other funds in the Bond Payment Fund (other than the Administrative Expense Account therein), or which might impair the security of the Bonds or then Outstanding; provided that nothing in the Indenture contained shall require the District to make any such payments so long as the District in good faith shall contest the validity of any such claims.

Books and Accounts. The District will keep proper books of records and accounts, separate from all other records and accounts of the District, in which complete and correct entries shall be made of all transactions relating to the Project, the levy of the Special Tax and the deposits to the Special Tax Fund. Such books of records and accounts shall at all times during business hours be subject to the inspection of the Fiscal Agent or of the Owners of not less than 10% of the principal amount of the Bonds then Outstanding or their representatives authorized in writing.

Federal Tax Covenants. Notwithstanding any other provision of the Indenture, absent an opinion of Bond Counsel that the exclusion from gross income of interest on the Bonds issued on a tax-exempt basis for federal income tax purposes will not be adversely affected for federal income tax purposes, the District covenants to comply with all applicable requirements of the Code necessary to preserve such exclusion from gross income and specifically covenants, without limiting the generality of the foregoing, as follows:

(1) Private Activity. The District will take no action or refrain from taking any action or make any use of the proceeds of the Bonds or of any other monies or property which would cause the Bonds issued on a tax-exempt basis for federal income tax purposes to be "private activity bonds" within the meaning of Section 141 of the Code;

(2) Arbitrage. The District will make no use of the proceeds of the Bonds or of any other amounts or property, regardless of the source, or take any action or refrain from taking any action which will cause the Bonds issued on a tax-exempt basis for federal income tax purposes to be "arbitrage bonds" within the meaning of Section 148 of the Code;

(3) Federal Guaranty. The District will make no use of the proceeds of the Bonds or take or omit to take any action that would cause the Bonds issued on a tax-exempt basis for federal income tax purposes to be "federally guaranteed" within the meaning of Section 149(b) of the Code;

(4) Information Reporting. The District will take or cause to be taken all necessary action to comply with the informational reporting requirement of Section 149(e) of the Code;

(5) Hedge Bonds. The District will make no use of the proceeds of the Bonds or any other amounts or property, regardless of the source, or take any action or refrain from taking any action that would cause the Bonds issued on a tax-exempt basis for federal income tax purposes to be considered "hedge bonds" within the meaning of Section 149(g) of the Code unless the District takes all necessary action to assure compliance with the requirements of Section 149(g) of the Code to maintain the exclusion from gross income for federal income tax purposes of interest on the Bonds; and

(6) Miscellaneous. The District will take no action or refrain from taking any action inconsistent with its expectations stated in the Tax Certificate executed on the Delivery Date by the District in connection with the Bonds and will comply with the covenants and requirements stated therein and incorporated by reference in the Indenture.

(7) Other Tax Exempt Issues. The District will not use proceeds of other tax exempt securities to redeem any Bonds without first obtaining the written opinion of Bond Counsel that doing so will not impair the exclusion from gross income for federal income tax purposes of interest on the Bonds issued on a tax-exempt basis.

(g) Reduction of Maximum Special Taxes. The District finds and determines that, historically, delinquencies in the payment of special taxes authorized pursuant to the Act in community facilities Districts in Southern California have from time to time been at levels requiring the levy of special taxes at the maximum authorized rates in order to make timely payment of principal of and interest on the outstanding indebtedness of such community facilities districts. For this reason, the District determines that a reduction in the maximum Special Tax rates authorized to be levied on parcels in the District below the levels described under this caption would interfere with the timely retirement of the Bonds. The District determines it to be necessary in order to preserve the security for the Bonds to

covenant, and, to the maximum extent that the law permits it to do so, the District does covenant, that it shall not initiate proceedings to reduce the maximum Special Tax rates for the District, unless, in connection therewith, (i) the District receives a certificate from one or more Independent Financial Consultants which, when taken together, certify that, on the basis of the parcels of land and improvements existing in the District as of the July 1 preceding the reduction, the maximum amount of the Special Tax which may be levied on then existing Developed Property (as defined in the Rate and Method of Apportionment of Special Taxes then in effect in the District) in each Bond Year for any Bonds Outstanding will equal at least 110% of the sum of the estimated Administrative Expenses and Annual Debt Service in each Bond Year on all Bonds to remain Outstanding after the reduction is approved, (ii) the District finds that any reduction made under such conditions will not adversely affect the interests of the Owners of the Bonds, and (iii) the District is not delinquent in the payment of the principal of or interest on the Bonds. For purposes of estimating Administrative Expenses for the foregoing calculation, the Independent Financial Consultants shall compute the Administrative Expenses for the current Fiscal Year and escalate that amount by two percent (2%) in each subsequent Fiscal Year.

(h) Covenants to Defend. The District covenants that, in the event that any initiative is adopted by the qualified electors in the District which purports to reduce the minimum or the maximum Special Tax below the levels specified above or to limit the power of the District to levy the Special Taxes for the purposes set forth above, it will commence and pursue legal action in order to preserve its ability to comply with such covenants.

(i) Limitation on Right to Tender Bonds. The District covenants that it will not adopt any policy pursuant to Section 53341.1 of the Act permitting the tender of Bonds in full payment or partial payment of any Special Taxes unless the District shall have first received a certificate from an Independent Financial Consultant that the acceptance of such a tender will not result in the District having insufficient Special Tax revenues to pay the principal of and interest on the Bonds when due.

(j) Letter of Credit. The District covenants to deliver any Letter of Credit received by it pursuant to the terms of the Acquisition Agreement to the Fiscal Agent and if an event occurs which permits a draw on the Letter of Credit to deliver a Certificate of an Authorized Representative to the Fiscal Agent. Notwithstanding the foregoing, the District and the Fiscal Agent each has the right to amend the provisions of the Acquisition Agreement relating to the Letter of Credit in any manner, including authorizing its release by the Fiscal Agent, without the consent of the Bondowners, and neither the District nor the District shall be liable to any person or entity, including Bondowners, for any such amendment.

(k) Continuing Disclosure. The District covenants to comply with the terms of that certain Continuing Disclosure Certificate executed by the District with respect to the Bonds to assist the Underwriter in complying with Rule 15(c)2-12 adopted by the Securities and Exchange Commission.

(l) Further Assurances. The District shall make, execute and deliver any and all such further agreements, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of this Resolution and for the better assuring and confirming unto the Owners of the Bonds of the rights and benefits provided in this Resolution.

AMENDMENTS TO INDENTURE

Supplemental Indentures or Orders Not Requiring Bondowner Consent. The District may from time to time, and at any time, without notice to or consent of any of the Bondowners, adopt Supplemental Indentures for any of the following purposes:

(a) to cure any ambiguity, to correct or supplement any provisions in the Indenture which may be inconsistent with any other provision in the Indenture, or to make any other provision with respect to matters or questions arising under the Indenture or in any additional resolution or order, provided that such action is not materially adverse to the interests of the Bondowners;

(b) to add to the covenants and agreements of and the limitations and the restrictions upon the District contained in the Indenture, other covenants, agreements, limitations and restrictions to be observed by the District which are not contrary to or inconsistent with the Indenture as theretofore in effect or which further secure Bond payments;

(c) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, or to comply with the Code or regulations issued thereunder, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially adversely affect the interests of the Owners of the Bonds then Outstanding; or

(d) to modify, alter or amend the rate and method of apportionment of the Special Taxes in any manner so long as such changes do not reduce the maximum Special Taxes that may be levied in each year on property within the District to an amount which is less than 110% of the principal and interest due in each corresponding future Bond Year with respect to the Bonds Outstanding as of the date of such amendment; or

(e) to modify, alter, amend or supplement the Indenture in any other respect which is not materially adverse to the Bondowners.

Supplemental Indentures or Orders Requiring Bondowner Consent. Exclusive of the Supplemental Indentures described above, the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding shall have the right to consent to and approve the adoption by the District of such Supplemental Indentures as shall be deemed necessary or desirable by the District for the purpose of waiving, modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Indenture; provided, however, that nothing in the Indenture shall permit, or be construed as permitting, (a) an extension of the maturity date of the principal, or the payment date of interest on, any Bond, (b) a reduction in the principal amount of, or redemption premium on, any Bond or the rate of interest thereon, (c) a preference or priority of any Bond over any other Bond, or (d) a reduction in the aggregate principal amount of the Bonds the Owners of which are required to consent to such Supplemental Indenture, without the consent of the Owners of all Bonds then Outstanding.

If at any time the District shall desire to adopt a Supplemental Indenture which shall require the consent of the Bondowners, the District shall so notify the Fiscal Agent and shall deliver to the Fiscal Agent a copy of the proposed Supplemental Indenture. The Fiscal Agent shall, at the expense of the District, cause notice of the proposed Supplemental Indenture to be mailed, by first class mail, postage prepaid, to all Bondowners at their addresses as they appear in the Bond Register. Such notice shall briefly set forth the nature of the proposed Supplemental Indenture and shall state that a copy thereof is on file at the office of the Fiscal Agent for inspection by all Bondowners. The failure of any Bondowners to receive such notice shall not affect the validity of such Supplemental Indenture when consented to and approved by the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding. Whenever at any time within one year after the date of the first mailing of such notice, the Fiscal Agent shall receive an instrument or instruments purporting to be executed by the Owners of not less than a majority in aggregate principal amount of the Bonds Outstanding, which instrument or instruments shall refer to the proposed Supplemental Indenture described in such notice, and shall

specifically consent to and approve the adoption **thereof** by the District substantially in the form of the copy referred to in such notice as on file with the Fiscal Agent, such proposed Supplemental Indenture, when duly adopted by the District, shall thereafter become a part of the proceedings for the issuance of the Bonds. In determining whether the Owners of a majority of the aggregate principal amount of the Bonds have consented to the adoption of any Supplemental Indenture, Bonds which are owned by the District or by any person directly or indirectly controlling or controlled by or under the direct or indirect common control with the District, shall be disregarded and shall be treated as though they were not Outstanding for the purpose of any such determination.

Upon the adoption of any Supplemental Indenture and the receipt of consent to any such Supplemental Indenture from the Owners of not less than a majority in aggregate principal amount of the Outstanding Bonds in instances where such consent is required, the Indenture shall be, and shall be deemed to be, modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the District and all Owners of Outstanding Bonds shall thereafter be determined, exercised and enforced under the Indenture, subject in all respects to such modifications and amendments.

Notation of Bonds; Delivery of Amended Bonds. After the effective date of any action taken as provided above, the District may determine that the Bonds or may bear a notation, by endorsement in form approved by the District, as to such action, and in that case upon demand of the Owner of any Outstanding Bond at such effective date and presentation of his Bond for the purpose at the office of the Fiscal Agent or at such additional offices as the Fiscal Agent may select and designate for that purpose, a suitable notation as to such action shall be made on such Bonds. If the District shall so determine, new Bonds so modified as, in the opinion of the District, shall be necessary to conform to such action shall be prepared and executed, and in that case upon demand of the Owner of any Outstanding Bond at such effective date such new Bonds shall be exchanged at the office of the Fiscal Agent or at such additional offices as the Fiscal Agent may select and designate for that purpose, without cost to each Owner of Outstanding Bonds, upon surrender of such Outstanding Bonds.

FISCAL AGENT

Fiscal Agent. Wells Fargo Bank, National Association shall be the Fiscal Agent for the Bonds unless and until another Fiscal Agent is appointed by the District under the Indenture. The District may, at any time, appoint a successor Fiscal Agent satisfying the requirements of the Indenture for the purpose of receiving all money which the District is required to deposit with the Fiscal Agent under the Indenture and to allocate, use and apply the same as provided in the Indenture.

The Fiscal Agent is authorized to and shall mail by first class mail, postage prepaid, or wire transfer, interest payments to the Bondowners, to select Bonds for redemption, and to maintain the Bond Register. The Fiscal Agent is authorized to pay the principal of and premium, if any, on the Bonds when the same are duly presented to it for payment at maturity or on call and redemption, to provide for the registration of transfer and exchange of Bonds presented to it for such purposes, to provide for the cancellation of Bonds all as provided in the Indenture, and to provide for the authentication of Bonds, and shall perform all other duties assigned to or imposed on it as provided in the Indenture. The Fiscal Agent shall keep accurate records of all funds administered by it and all Bonds paid, discharged and cancelled by it.

The Fiscal Agent is authorized to redeem the Bonds when duly presented for payment at maturity, or on redemption prior to maturity. The Fiscal Agent shall cancel all Bonds upon payment thereof.

The District shall from time to time, subject to any agreement between the District and the Fiscal Agent then in force, pay to the Fiscal Agent compensation for its services, reimburse the Fiscal Agent for all its advances and expenditures, including, but not limited to, advances to and fees and expenses of independent accountants or counsel employed by it in the exercise and performance of its powers and duties under the Indenture, and indemnify and save the Fiscal Agent, its officers, directors, employees and agents, harmless against costs, claims, expenses and liabilities, including, without limitation, fees and expenses of its attorneys, not arising from its own negligence or willful misconduct which it may incur in the exercise and performance of its powers and duties under the Indenture. The foregoing obligation of the District to indemnify the Fiscal Agent shall survive the removal or resignation of the Fiscal Agent or the discharge of the Bonds.

Removal of Fiscal Agent. The District may at any time at its sole discretion remove the Fiscal Agent initially appointed, and any successor thereto, by delivering to the Fiscal Agent a written notice of its decision to remove the Fiscal Agent and may appoint a successor or successors thereto; provided that any such successor shall be a bank or trust company having a combined capital (exclusive of borrowed capital) and surplus of at least \$50,000,000, and subject to supervision or examination by federal or state authority. Any removal shall become effective only upon acceptance of appointment by the successor Fiscal Agent. If any bank or trust company appointed as a successor publishes a report of condition at least annually, pursuant to law or to the requirements of any supervising or examining authority above referred to, then the combined capital and surplus of such bank or trust company shall be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. Any removal of the Fiscal Agent and appointment of a successor Fiscal Agent shall become effective only upon acceptance of appointment by the successor Fiscal Agent and notice being sent by the successor Fiscal Agent to the Bondowners of the successor Fiscal Agent's identity and address.

Resignation of Fiscal Agent. The Fiscal Agent may at any time resign by giving written notice to the District and by giving to the Owners notice sixty days prior to the date designated of such resignation, which notice shall be mailed to the Owners at their addresses appearing in the registration books in the office of the Fiscal Agent. Upon receiving such notice of resignation, the District shall promptly appoint a successor Fiscal Agent satisfying the criteria in the Indenture by an instrument in writing. Any resignation or removal of the Fiscal Agent and appointment of a successor Fiscal Agent shall become effective only upon acceptance of appointment by the successor Fiscal Agent.

Liability of Fiscal Agent. The recitals of fact and all promises, covenants and agreements contained in the Indenture and in the Bonds shall be taken as statements, promises, covenants and agreements of the District, and the Fiscal Agent assumes no responsibility for the correctness of the same and makes no representations as to the validity or sufficiency of the Indenture, the Bonds, and shall incur no responsibility in respect thereof, other than in connection with its duties or obligations specifically set forth in the Indenture, in the Bonds, or in the certificate of authentication assigned to or imposed upon the Fiscal Agent. The Fiscal Agent shall be under no responsibility or duty with respect to the issuance of the Bonds or for value. The Fiscal Agent shall not be liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct.

The Fiscal Agent shall be protected in acting upon any notice, resolution, request, consent, order, certificate, report, Bond, or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Fiscal Agent may consult with counsel, who may be counsel to the District, with regard to legal questions, and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered under the Indenture in good faith and in accordance therewith.

The Fiscal Agent shall not be bound to **recognize** any person as the Owner of a Bond unless and until such Bond is submitted for inspection, if **required**, and his title thereto satisfactorily established, if disputed.

Whenever in the administration of its **duties** under the Indenture the Fiscal Agent shall deem it necessary or desirable that a matter be proved or **established** prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof be in the Indenture specifically prescribed) may, in the absence of bad faith on the **part** of the Fiscal Agent, be deemed to be conclusively proved and established by a written certificate of **the District**, and such certificate shall be full warrant to the Fiscal Agent for any action taken or suffered **under** the provisions of the Indenture upon the faith thereof, but in its discretion the Fiscal Agent may, **in lieu** thereof, accept other evidence of such matter or may require such additional evidence as to it may **seem** reasonable.

The Fiscal Agent shall have no duty or **obligation** whatsoever to enforce the collection of Special Taxes or other funds to be deposited with it **under the Indenture**, or as to the correctness of any amounts received, but its liability shall be limited to the **proper** accounting for such funds as it shall actually receive. No provision in the Indenture shall **require the** Fiscal Agent to expend or risk its own funds or otherwise incur any financial liability in the **performance** of any of its duties under the Indenture, or in the exercise of its rights or powers.

The Fiscal Agent shall not be deemed to **have** knowledge of any default or event of default until an officer at the Fiscal Agent's corporate trust office **responsible** for the administration of its duties under the Indenture shall have actual knowledge thereof **or the** Fiscal Agent shall have received written notice thereof at its corporate trust office.

EVENTS OF DEFAULT; REMEDIES

Events of Default. Any one or more of the following events shall constitute an "event of default":

(a) Default in the due and punctual **payment** of the principal of or redemption premium, if any, on any Bond when and as the same shall **become** due and payable, whether at maturity as therein expressed or from mandatory redemption;

(b) Default in the due and punctual **payment** of the interest on any Bond when and as the same shall become due and payable; or

(c) Default by the District in the **observance** of any of the agreements, conditions or covenants on its part in the Indenture or in the **Bonds contained**, and the continuation of such default for a period of thirty (30) days after the District shall **have been** given notice in writing of such default by the Owners, provided that if within 30 days the **District has** commenced curing of the default and diligently pursues elimination thereof, such period shall be **extended** to permit such default to be eliminated.

Remedies of Owners. Following the **occurrence** of an event of default, any Owner shall have the right for the equal benefit and protection of all **Owners** similarly situated:

(a) By mandamus or other suit or **proceeding** at law or in equity to enforce his or her rights against the District and any of the members, **officers and** employees of the District, and to compel the District or any such members, officers or employees **to perform** and carry out their duties under the Act and their agreements with the Owners as provided **in the Indenture**;

(b) By suit in equity to enjoin any actions or things which are unlawful or violate the rights of the Owners; or

(c) Upon the happening of an event of default, by a suit in equity to require the District and its members, officers and employees to account as the trustee of an express trust.

Nothing in the Indenture, or in the Bonds, shall affect or impair the obligation of the District, which is absolute and unconditional, to pay the interest on and principal of the Bonds to the respective owners of the Bonds at the respective dates of maturity out of the Net Taxes pledged for such payment, or affect or impair the right of action, which is also absolute and unconditional, of such Owners to institute suit to enforce such payment by virtue of the contract embodied in the Bonds and in the Indenture.

A waiver of any default or breach of duty or contract by any Owner shall not affect any subsequent default or breach of duty or contract, or impair any rights or remedies on any such subsequent default or breach. No delay or omission by any Owner to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein, and every power and remedy conferred upon the Owners by the Act or by the Indenture may be enforced and exercised from time to time and as often as shall be deemed expedient by the Owners.

If any suit, action or proceeding to enforce any right or exercise any remedy is abandoned or determined adversely to the Owners, the District and the Owners shall be restored to their former positions, rights and remedies as if such suit, action or proceeding had not been brought or taken.

No remedy conferred upon or reserved to the Owners is intended to be exclusive of any other remedy. Every such remedy shall be cumulative and shall be in addition to every other remedy given under the Indenture or now or hereafter existing, at law or in equity or by statute or otherwise, and may be exercised without exhausting and without regard to any other remedy conferred by the Act or any other law.

In case the moneys held by the Fiscal Agent after an event of default consisting of a failure to pay principal of or interest on the Bonds shall be insufficient to pay in full the whole amount so owing and unpaid upon the Bonds, then all available amounts shall be applied to the payment of such principal and interest without preference or priority of principal over interest, or interest over principal, or of any installment of interest over any other installment of interest, ratably to the aggregate of such principal and interest.

DEFEASANCE

Defeasance. If the District shall pay or cause to be paid, or there shall otherwise be paid, to the Owner of an Outstanding Bond the interest due thereon and the principal thereof, at the times and in the manner stipulated in the Indenture or any Supplement Indenture, then the Owner of such Bond shall cease to be entitled to the pledge of Net Taxes and other amounts pledged under the Indenture to the repayment of such Bond, and, other than as set forth below, all covenants, agreements and other obligations of the District to the Owner of such Bond under the Indenture and any Supplement shall thereupon cease, terminate and become void and be discharged and satisfied. In the event of a defeasance of all Outstanding Bonds, the Fiscal Agent shall execute and deliver to the District all such instruments as may be desirable to evidence such discharge and satisfaction, and, after payment of any amounts due the Fiscal Agent under the Indenture, the Fiscal Agent shall pay over or deliver to the District's general fund all money or securities held by it pursuant to the Indenture which are not required for the payment of the interest due on and the principal of such Bonds.

Any Outstanding Bond shall be deemed to **have** been paid within the meaning expressed above if such Bond is paid in any one or more of the following ways:

(a) by paying or causing to be paid **the principal of, premium, if any, and interest on such Bond, as and when the same become due and payable;**

(b) by depositing with the **Fiscal Agent, in trust**, at or before maturity, money which, together with the amounts then on deposit in the **Special Tax Fund**, (exclusive of the Administration Expense Account) and in the **Bond Payment Fund** and **available under the terms of the Indenture to pay such Bond**, is fully sufficient to pay the principal of, premium, if any, and interest on such Bond, as and when the same shall become due and payable; or

(c) by depositing with the **Fiscal Agent, or another escrow bank appointed by the District, in trust**, direct, noncallable Federal Securities in **which the District may lawfully invest its money**, in such amount as an Independent Financial Consultant **shall determine will be sufficient**, together with the interest to accrue thereon and moneys then on **deposit** in the **Special Tax Fund**, (exclusive of the Administration Expense Account) and the **Bond Payment Fund** and **available for such purpose**, together with the interest to accrue thereon, to pay and **discharge the principal of, premium, if any, and interest on such Bond, as and when the same shall become due and payable;**

then, notwithstanding that any Outstanding Bond shall not have been surrendered for payment, all obligations of the District under the Indenture and any Supplement with respect to such Bond shall cease and terminate, except for the obligation of the Fiscal Agent to pay or cause to be paid to the Owners of any such Bond not so surrendered and paid, all sums due thereon and except for the covenants of the District referred to in the Indenture. In connection with a defeasance under (b) or (c) above, there shall be provided to the District a certificate of a **certified public accountant** stating its opinion as to the sufficiency of the moneys or securities deposited **with the Fiscal Agent or the escrow bank** to pay and discharge the principal of and interest on any Outstanding Bond to be defeased, as and when the same shall become due and payable, and an opinion of **Bond Counsel** (which may rely upon the opinion of the certified public accountant) to the effect that the **Bonds** being defeased have been legally defeased in accordance with the Indenture and that such **defeasance will not adversely affect the exclusion from gross income for federal income tax purposes of interest on the Bonds**. Upon a defeasance, the Fiscal Agent shall release the rights of the Owners of such **Bonds which have been defeased under the Indenture** and execute and deliver to the District all such instruments provided to it as may be desirable to evidence such release, discharge and satisfaction. In the case of a defeasance under the Indenture of all Outstanding Bonds, the Fiscal Agent shall pay over or deliver to **the District** any funds after payment of all fees and expenses of the Fiscal Agent held by the **Fiscal Agent at the time of a defeasance**, which are not required for the purpose of paying and discharging the **principal of or interest on the Bonds when due**. The Fiscal Agent shall, at the written direction of the **District, mail, first class, postage prepaid**, a notice to the Bondowners whose Bonds have been defeased, **in the form directed by the District**, stating that the defeasance has occurred.

MISCELLANEOUS

Cancellation of Bonds. All Bonds surrendered to the Fiscal Agent for payment upon maturity or for redemption shall be upon payment therefor, and any Bond purchased by the District as authorized in the Indenture and delivered to the Fiscal Agent for such purpose shall be, cancelled forthwith and shall not be reissued. The Fiscal Agent shall destroy such **Bonds**, as provided by law, and, upon request of the District, furnish to the District a certificate of such **destruction**.

Execution of Documents and Proof of Ownership. Any request, direction, consent, revocation of consent, or other instrument in writing required or permitted by the Indenture to be signed or executed by Bondowners may be in any number of concurrent instruments of similar tenor may be signed or executed by such Owners in person or by their attorneys appointed by an instrument in writing for that purpose, or by the bank, trust company or other depository for such Bonds. Proof of the execution of any such instrument, or of any instrument appointing any such attorney, and of the ownership of Bonds shall be sufficient for the purposes of the Indenture (except as otherwise provided in the Indenture), if made in the following manner:

(a) The fact and date of the execution by any Owner or his or her attorney of any such instrument and of any instrument appointing any such attorney, may be proved by a signature guarantee of any bank or trust company located within the United States of America. Where any such instrument is executed by an officer of a corporation or association or a member of a partnership on behalf of such corporation, association or partnership, such signature guarantee shall also constitute sufficient proof of his authority.

(b) As to any Bond, the person in whose name the same shall be registered in the Bond Register shall be deemed and regarded as the absolute owner thereof for all purposes, and payment of or on account of the principal of any such Bond, and the interest thereon, shall be made only to or upon the order of the registered Owner thereof or his or her legal representative. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Bond and the interest thereon to the extent of the sum or sums to be paid. Neither the District nor the Fiscal Agent shall be affected by any notice to the contrary.

Nothing contained in the Indenture shall be construed as limiting the Fiscal Agent or the District to such proof, it being intended that the Fiscal Agent or the District may accept any other evidence of the matters stated in the Indenture which the Fiscal Agent or the District may deem sufficient. Any request or consent of the Owner of any Bond shall bind every future Owner of the same Bond in respect of anything done or suffered to be done by the Fiscal Agent or the District in pursuance of such request or consent.

Unclaimed Moneys. Anything in the Indenture to the contrary notwithstanding, any money held by the Fiscal Agent, including money held by the Fiscal Agent in trust for the payment and discharge of any of the Outstanding Bonds, which remain unclaimed for two years after the date when such Outstanding Bonds have become due and payable, if such money was held by the Fiscal Agent at such date, or for two years after the date of deposit of such money if deposited with the Fiscal Agent after the date when such Outstanding Bonds become due and payable, shall be repaid by the Fiscal Agent to the District, as its absolute property and free from trust, and the Fiscal Agent shall thereupon be released and discharged with respect thereto and the Owners shall look only to the District for the payment of such Outstanding Bonds; provided, however, that, before being required to make any such payment to the District, the Fiscal Agent at the written request of the District shall, at the expense of the District, cause to be mailed by first-class mail, postage prepaid, to the registered Owners of such Outstanding Bonds at their addresses as they appear on the registration books of the Fiscal Agent a notice that said money remains unclaimed and that, after a date named in said notice, which date shall not be less than 30 days after the date of the mailing of such notice, the balance of such money then unclaimed will be returned to the District.

Provisions Constitute Contract. The provisions of the Indenture shall constitute a contract between the District and the Bondowners and the provisions of the Indenture shall be construed in accordance with the laws of the State of California.

In case any suit, action or proceeding to **enforce** any right or exercise any remedy shall be brought or taken and, should said suit, action or **proceeding be** abandoned, or be determined adversely to the Bondowners or the Fiscal Agent, then the District, **the** Fiscal Agent and the Bondowners shall be restored to their former positions, rights and remedies as **if such** suit, action or proceeding had not been brought or taken.

After the issuance and delivery of the **Bonds** the Indenture shall be irrevocable, but shall be subject to modifications to the extent and in the **manner** provided in the Indenture, but to no greater extent and in no other manner.

Future Contracts. Nothing contained in **the** Indenture shall be deemed to restrict or prohibit the District from making contracts or creating bonded or other indebtedness payable from a pledge of the Net Taxes which is subordinate to the pledge under **the** Indenture, or which is payable from the general fund of the District or from taxes or any source other **than the** Net Taxes and other amounts pledged under the Indenture.

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Appraisal of:

***COMMUNITY FACILITIES DISTRICT #1
WESTPORT AT MANDALAY BAY
OXNARD, CALIFORNIA***

Prepared for:

**Mr. Mike More
Financial Services Manager
CITY OF OXNARD
300 West Third Street, Suite 302
Oxnard, California 93030**

Prepared by:

***PARKCENTER REALTY ADVISORS
801 North Parkcenter Drive, Suite 210
Santa Ana, California 92705***

PRA File No. 2002-9-1

***Date of Value*
November 1, 2002**

***Date of Report*
November 4, 2002**

November 4, 2002

CITY OF OXNARD

300 West Third Street, Suite 302
Oxnard, California 93030

Attention: Mr. Mike More
Financial Services Manager

Reference: Appraisal of
Community Facilities District No. 1
Westport at Mandalay Bay
Oxnard, California

PRA File No. 2002-09-1

Gentlemen:

At your request, I have personally examined and appraised the above referenced property, comprising approximately 58.3 acres of raw land that is currently being improved for development as the Westport at Mandalay Bay residential project. The purpose of this appraisal is to estimate the market value of the fee simple interest in the subject land parcels, reflecting the property's "as is" condition on November 1, 2002, as enhanced by infrastructure improvements to be financed by Community Facilities District (CFD) No. 1 W-MB in the City of Oxnard.

Following is a self-contained report, which sets forth the findings of my complete appraisal, including the matters, data, conclusions and limiting conditions upon which the opinions rendered are predicated.

Respectfully submitted,

PARKCENTER REALTY ADVISORS

By:

Christopher N. Hardy, MAI
Senior Vice President
Certified General Real Estate Appraiser
State of California No. AG003369

CNH:pmd

Executive Summary

Client: City of Oxnard

Project: Community Facilities District No. 1 (CFD-1)

Property Location: South side of Wooley Road and east of the Reliant Energy Canal, Oxnard, California

Purpose and Intended Use of the Appraisal: The purpose of the appraisal is to estimate the fee simple interest in the subject land parcels in their "as is" condition, as enhanced by infrastructure improvements to be financed by Community Facilities District No. 1 (CFD-1). The appraisal will be used to identify the level of security associated with Community Facilities District Bonds to pay for a portion of infrastructure and other required improvements.

Intended Users: City of Oxnard, its authorized agents, bond underwriter, legal counsel and investors.

Appraiser: Christopher N. Hardy, MAI

Rights Appraised: Fee Simple Interest

Assessor Parcel Numbers: Ventura County – 188-0-110-405; 188-0-110-415

Date of Value: November 1, 2002

Date of Inspection: September 23, 2002

Owner of Record: LB/L – Suncal Mandalay LLC, a Delaware Limited Liability Company

Land Area: The property comprises a gross land area of 58.30 acres. Division of land uses upon build-out according to Tentative Tract No. 5196 is:

Mixed-Use Visitor Commercial	
Condominium.....	7.41 acres
Open Water	14.49 acres
Parks.....	8.16 acres
Single-Family Residential	11.06 acres
Duplex Residential	2.91 acres
Townhouse Residential	6.20 acres
Roads.....	<u>8.07 acres</u>
Total.....	58.30 acres

Zoning (Mixed): R-W-1 (Single-Family Residences)
R-2-C (Multi-Family Residences – Duplex)
R-3-C (Multi-Family Residences – Townhouse)
C-V-C (Visitor Commercial – Mixed Use)

Specific Plan: Mandalay Bay (Phase IV)

Highest & Best Use: Mixed residential and coastal visitor-serving commercial development consistent with Mandalay Bay Specific Plan and Tentative Tract No. 5196.

**Summary of Aggregate
Retail Value Opinions:**

SFR Lots (5,500 SF – No Docks).....	\$ 5,403,000
SFR Lots (5,000 SF – Docks).....	16,921,000
SFR Lots (4,000 SF – Docks).....	10,412,000
Duplex Unit Lots	4,100,000
Townhouse Lots.....	7,159,000
Condominium/Commercial Land	<u>6,741,000</u>
Total Aggregate Retail Value	\$50,736,000

Estimated Market Value: Assuming Bulk Sale at November 1, 2002.... **\$34,475,000**

Market Exposure Time: Six months or less.

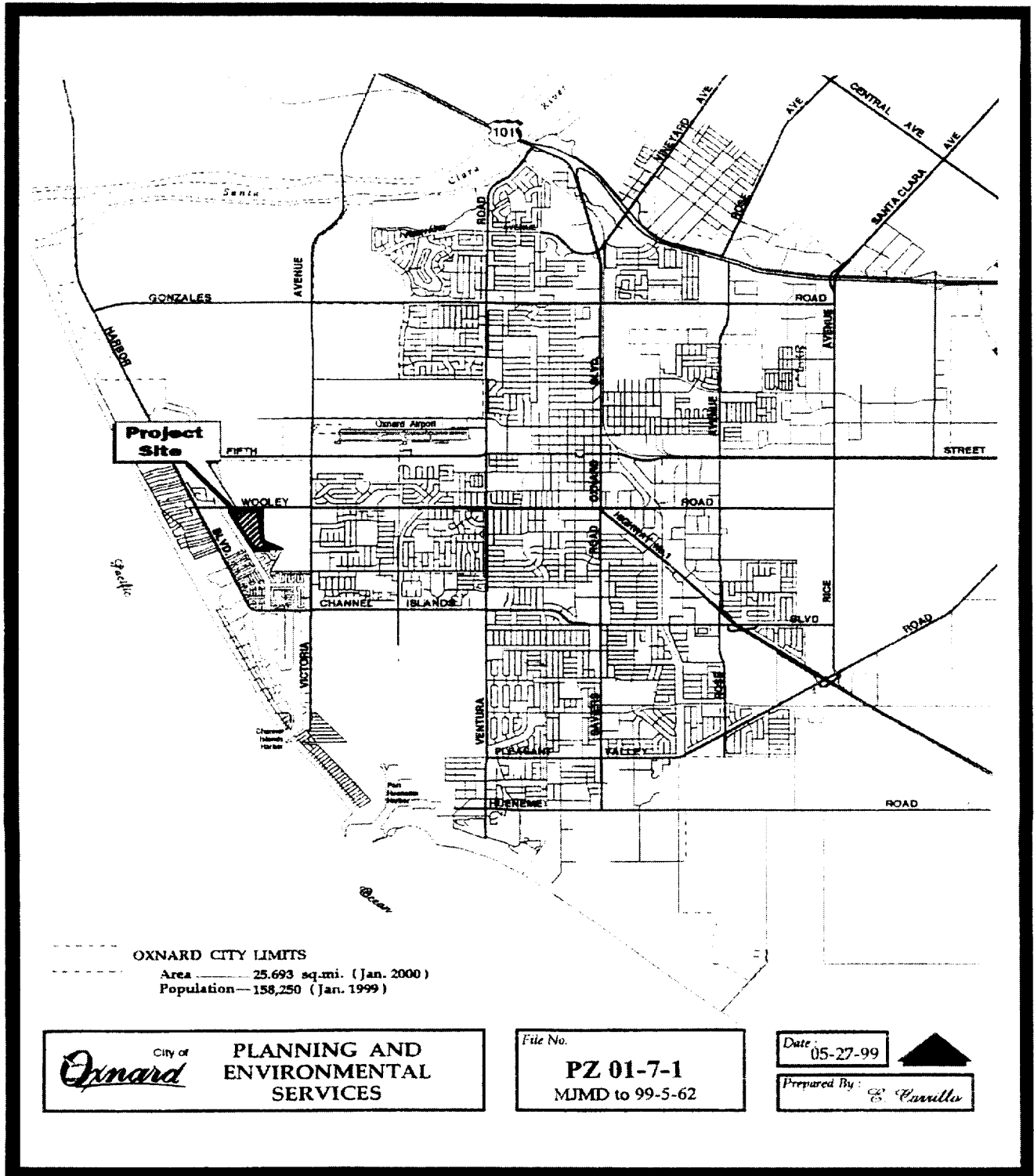
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EXHIBIT A - NEIGHBORHOOD PHOTOGRAPHS
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VICINITY MAP



INTRODUCTION AND NATURE OF ASSIGNMENT

Location And Brief Property Description

Westport at Mandalay Bay is a proposed 58.3-acre community located near the Coast in Oxnard, California. The project is unique in that it is one of the few approved water-oriented expansion projects in Southern California. This proposed expansion of the inland waterway off the existing Reliant Energy Canal will create a variety of waterfront living and recreation opportunities, including single-family residences with canal frontages and boat slips; a mix of multi-family housing types; a small boat lagoon; and a boardwalk promenade with a neighborhood retail component, all linked by a series of jogging paths, parks and view corridors.

The property is part of a 220-acre Specific Plan identified as Mandalay Bay-Phase IV. The subject Westport at Mandalay Bay property is situated at the northwesterly section of Mandalay Bay-Phase IV. Tentative Tract Map No. 5196 and a host of other development entitlements have been processed for the project. Westport will offer a diverse mix of housing types and lot sizes, including waterfront estate lots (5,500 square feet); canal frontage lots with private boat docks (5,000 square foot and 4,000 square foot lots); village duplexes; attached townhouse villas; and stacked flat condominiums over neighborhood retail. Breakdown of the Final Development Plan density classification for the subject property follows.

<i>Land Use</i>	<i>Acres</i>	<i>DU/Ac</i>	<i>No. of Units</i>
Single Family Residential	11.06	8.7	96
Duplex	2.91	11.7	34
Townhouse	6.20	14.2	88
Mixed Use	7.41	--	88
Parks	8.16	--	--
Roads	8.07	--	--
Open Water	14.49	--	--
Westport at Mandalay Bay	58.30	--	306

Currently, the land is in the process of being graded and improved in order to extend the waterways, provide public and private access roads, and enhance and extend utility services throughout the property. A portion of these infrastructure improvements will be financed through Communities Facilities District No. 1, Westport-Mandalay Bay (CFD No.1 W-MB). Sale agreements have been reached with merchant builders for several of the residential building sites in Westport-Mandalay Bay. Closing of the initial land sale transaction is scheduled during November 2002, pending final tract map approval and completion of basic infrastructure improvements.

Legal Description

The subject property is situated in the City of Oxnard, County of Ventura, State of California and is legally identified as a Portion of Parcel A, as shown on a map filed in Book 35, Page 23 of Parcel Maps, in the office of the County Recorder of said County.

Current Ownership and Three-Year Property History

The property that is subject to this appraisal was purchased in August 1998 from Shamrock Real Estate Investors I by LB/L-SunCal Mandalay, a Delaware Limited Liability Company. The purchase price was \$6,279,972.13, which involved 53.48 acres of the subject acreage, an irregular shaped contiguous 5.02-acre parcel, and 2.28 acres of waterway to the south. Upon verification with Mike Walline of SunCal Companies, the price essentially related to the larger acreage. The 5.02-acre piece was turned over to the City of Oxnard, while the 2.28 acres of waterway permits a non-exclusive easement for boat docks. The subject acreage of 58.3 acres resulted from a lot line adjustment. The purchase price equates to \$107,718 per acre for 58.3 acres of raw land with only Specific Plan approval. Other development entitlements were processed by the owner subsequent to purchase of the land.

As of the date of this report, the owner of the subject land is under contract for sale of three of the residential neighborhoods. Purchase offers presented on two other neighborhoods did not progress to the point of final sale agreements. Currently, there is interest from other merchant builders in the remaining land product, but no formal offers are under consideration. Pending transactions and offers are summarized below in Table 1 and will be presented and discussed in detail in the valuation section of this appraisal report.

Table 1
Westport at Mandalay Bay - Lot Sale Status

<i>Product</i>	<i># Units</i>	<i>Offer/Contract Price Per Finished Lot</i>	<i>Status</i>	<i>Merchant Builder</i>	<i>Projected Closing Date</i>
Condo-Stacked Flats	88	\$100,000	Asking	--	--
Townhouses	88	\$130,000	Escrow	Beazer Homes	November-02
Duplexes	34	\$120,588	Escrow	Beazer Homes	January-02 April-03
SFR - 5,500 s.f. lots Without Private Docks	14	\$420,000	Asking	--	May-03
SFR - 5,000s.f. lots With Private Docks	45	\$410,000	Asking	--	May-03 June-03 July-03
SFR - 4,000 s.f. lots With Private Docks	37	\$320,000	Escrow	Larwin Co.	April-03

Appraisal Process/Report Format

This report represents a complete appraisal presented in a self-contained format. It is intended to comply with the reporting requirements set forth under Standards Rule 2-2(a) of USPAP. It contains full discussion of the data, reasoning and analyses that were used to develop the opinions of value. This appraisal complies with California Debt and Investment Advisory Commission Appraisal Guidelines.

Purpose, Intended Use, Intended Users, And Scope Of The Appraisal

The *purpose of this appraisal* is to estimate the market value of the fee simple interest in land parcels comprising the Westport at Mandalay Bay project, reflecting the property's "as is" condition as enhanced by infrastructure improvements to be financed by Community Facilities District (CFD) No. 1 W-MB in the City of Oxnard.

The *intended use of the report* is to provide security for, and assist officials at the City of Oxnard, their authorized agents, bond underwriter, and legal counsel, with respect to the marketing of community facility district bonds to investors.

The *intended users* of the report are the employees of the City of Oxnard, their authorized agents, affiliates, designees and assignees, rating agencies, prospective bond holders, and bond holders. No other party shall have any right to rely on any service provided by Parkcenter Realty Advisors without prior written consent.

The *scope of this appraisal* involved an inspection of the subject property and a search of public records for sales of vacant residential and commercial land parcels. Residential land data investigated included sales of individual lots within the existing Oxnard Shores and Mandalay Bay Coastal neighborhoods, as well as bulk sales of lots to merchant builders from other inland areas within the cities of Oxnard and Ventura. Verification of the property transfers was made with buyers, sellers, brokers, and others familiar with the residential real estate market in Oxnard and nearby areas of Ventura County. A survey was also conducted of home sales within Coastal and Harbor neighborhoods as to pricing and absorption of product. Analysis of the property was made under assumed conditions at the time of sale to merchant builders or other developers of the land parcels, reflecting its enhancement by infrastructure improvements to be financed by Community Facilities District No. 1. This was accomplished through Sales Comparison to individual finished residential lots and bulk sales of lots in "blue top" condition. Commercial land sales data in Oxnard was gathered and used in the comparative valuation of the commercial element of Westport at Mandalay Bay. The analysis performed recognizes estimated costs required to put the land in saleable condition, timing required to improve and sell the lots, and profit required to attract investment to the land development project, a methodology known as Discounted Cash Flow or Subdivision Analysis. The results of these studies and analyses provide an opinion of value of the "as is" condition of the real property being appraised, as enhanced by infrastructure improvements to be financed by CFD No. 1 W-MB. Market value estimates are provided for both the Retail Value of land parcels in condition at time of projected sale to builders, and of the Bulk Sale Value for the land in its current condition as of the date of value.

Property Rights Appraised

The property rights appraised in this report are those of the *fee simple interest*, subject to special tax and special assessment liens, in the property described herein as:

"absolute ownership unencumbered by any other interest or estate; subject only to the limitations of eminent domain, escheat, police power, and taxation."

Source: The Dictionary of Real Estate Appraisal, American Institute of Real Estate Appraisers

Date Of Report

This report is dated November 4, 2002.

Date Of Value

The value estimate rendered assumes market conditions as of November 1, 2002. The property was inspected on September 23, 2002.

Definition Of Market Value

Market Value means, "the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- a) buyer and seller are typically motivated;
- b) both parties are well informed or well advised, and acting in what they consider their own best interests;
- c) a reasonable time is allowed for exposure in the open market;
- d) payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and
- e) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."

Source: Glossary of the Uniform Standards of Professional Appraisal Practice

Definition Of Retail Value

Retail Value is, "an estimate of what an end user would pay for a finished property under the conditions requisite to a fair sale." The ***Aggregate Retail Value*** is, "the sum total of the retail values estimated for each parcel."

Definition Of Bulk Sale Value

Bulk Sale Value is, "the most probable price, in a sale of *all* parcels within a tract or development project, to a single purchaser or sales to multiple buyers, over a reasonable absorption period discounted to present value, as of a specified date, in cash, or in terms equivalent to cash, for which the property rights should sell after reasonable exposure, in a competitive market under all conditions requisite to a fair sale, with buyer and seller each acting prudently, knowledgeably, and for self-interest, and assuming that neither is under undue stress."

Definition Of Blue Top Lot

Blue Top Lots are, “padded lots certified as being within 1/10th of a foot of the finished pad elevation. It describes an intermediate state of development between a mass graded site and a finished lot that includes cut, but unpaved interior streets, completed off tract improvements including primary access roads and utilities brought to the perimeter of the parcel.”

Definition Of Finished Lot

Finished Lots are defined as, “those that are ready to build upon, that is, graded to finish pad elevation with all streets, utilities, community walls, retaining walls and common area improvements (if any) completed. It also includes payment of all fees due up to the time a building permit is issued, excluding the building permit itself. These fees may be for mass transportation, regional transportation, schools, fire safety, water, sewer or other capital improvements.”

Condition Of Employment

This appraisal was performed in accordance with authorization from the City of Oxnard received as of September 15, 2002 under Agreement for Consulting Services No. 1345-02-FN. The appraisal assignment was not based on a requested minimum valuation, a specific valuation, or approval of a loan.

Underlying Assumptions And Limiting Conditions

Consulting reports provided for my review in performance of this assignment include:

<i>Document</i>	<i>Source</i>	<i>Date</i>
CFD Report, CFD#1	David Taussig & Assoc.	1/15/02
CFD Report, CFD#2	David Taussig & Assoc.	1/15/02
Market Absorption Study, CFD#1	Empire Economics, Inc.	10/8/02
Market Update, Westport @ M.B.	The Concorde Group	8/14/02
Design Guidelines, Westport @ M.B.	Van Tilburg Banvard & Soderbergh, AIA	Undated
Limited Phase II Site Assessment	Sezgin Consulting, Inc.	10/8/98
Geotechnical Investigation, Tr. 5196	Geolabs - Westlake Village	1/12/01

This appraisal is subject to additional assumptions and limiting conditions, which include:

- that the proposed project will be completed in accordance with the development concept as related to the appraisers and detailed herein and is consistent with appropriate approvals and zoning;

- that the construction costs furnished by the developer and others, as utilized in the analyses, are accurate and a reasonable indication of the ultimate cost to complete all phases of the Westport at Mandalay Bay development;
- that the subject acreage possesses the necessary water and sewage disposal capacities, as well as utilities to service the proposed development;
- that there are no geological constraints and the soils are of adequate load-bearing capacity to support the proposed residential development, as well as future improvements. Furthermore, that all recommendations, grading and soil preparation be completed as set forth in soils reports and geologic studies prepared on the subject acreage as required by all appropriate agencies; and
- that Community Facilities District funding for a portion of the offsite land development work will be made available as detailed in this report.

OVERVIEW OF MARKET AREA

Ventura County

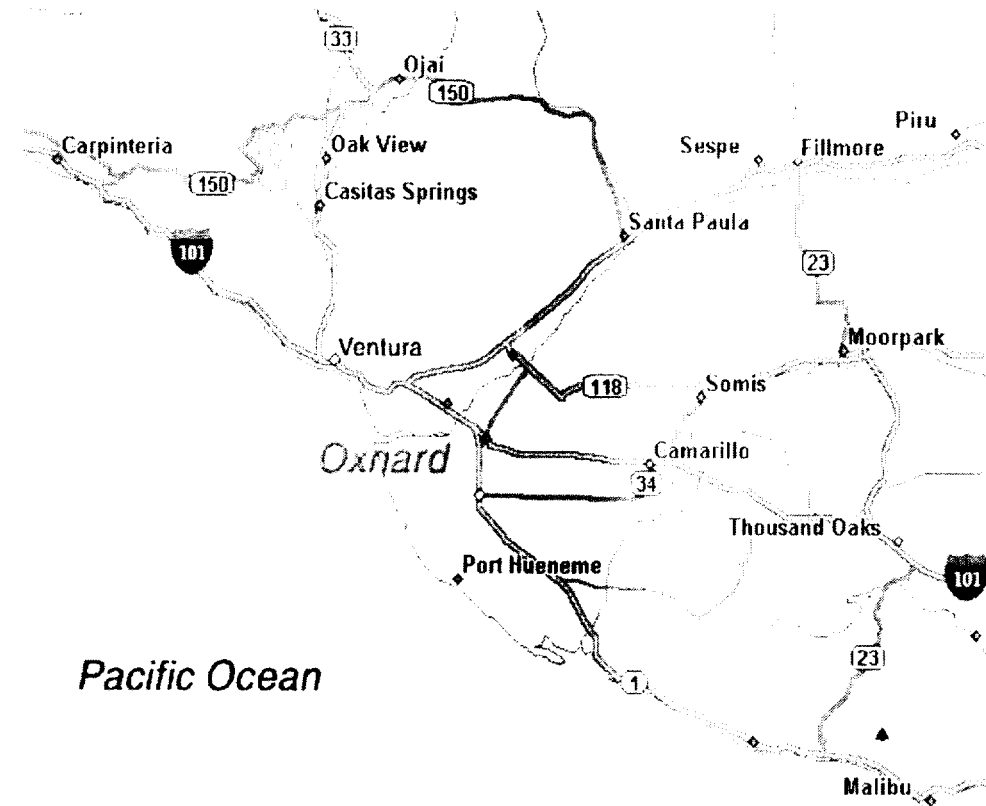
The Greater Los Angeles area is generally comprised of Los Angeles, Orange, Riverside, San Bernardino and Ventura Counties. Ventura County lies approximately 65 miles northwest of the Los Angeles Civic Center, and is bordered by the following jurisdictions.

Los Angeles County	on the east
Santa Barbara County	on the west
San Luis Obispo County	on the northwest
Kern County.....	on the north
Pacific Ocean.....	on the south

Ventura County enjoys a Coastal location having a pleasant Mediterranean climate with moderate temperatures and typical annual rainfall of 15 inches along the Coast and 30 inches in the mountainous regions. Primary access to the County is provided by U.S. Highway 101, which extends from the Los Angeles area on the east to Santa Barbara and beyond on the west and north. State Highway 1 extends through Coastal portions of the County, intersecting U.S. Highway 101 in the Oxnard area. Secondary freeways include State Highways 23, 118 and 126.

Covering an area of 1,873 square miles, Ventura County contains a wide range of geographic amenities which include attractive Coastal areas with well established recreational and commercial harbors; the Oxnard Plain which has some of the most fertile farm land in the world; and the scenic mountainous regions of the Los Padres National Forest.

OXNARD LOCATION MAP



Historic population growth within Ventura County has been consistent with the performance of the other counties that comprise the Los Angeles Metropolitan area. As a whole, population within the Los Angeles Basin grew by approximately 44% between 1980 and 2000, and Ventura County held steady at 4.6% of the total regional population. The following chart summarizes population figures of the five counties that comprise the Los Angeles Metropolitan area, obtained from information published in "California Cities, Towns & Counties" and the State of California Department of Finance Demographic Research Unit.

County	1970		Population Summary (000s)				2000		2001	
	Total	%	Total	%	Total	%	Total	%	Total	%
Ventura	376.4	3.8	529.2	4.6	669.0	4.6	759.4	4.6	773.5	4.6
Los Angeles	7,031.1	70.5	7,477.5	65.0	8,863.2	61.0	9,693.1	58.4	9,802.8	58.2
Orange	1,420.4	14.2	1,932.7	16.8	2,410.6	16.6	2,867.7	17.2	2,925.7	17.3
Riverside	459.1	4.6	663.2	5.8	1,170.4	8.1	1,557.8	9.4	1,609.4	9.5
San Bernardino	684.1	6.9	895.0	7.8	1,418.4	9.7	1,726.8	10.4	1,764.3	10.4
Total	9,972.1	100.0	11,497.6	100.0	14,531.6	100.0	16,604.8	100.0	16,875.7	100.0

Ventura County is comprised of ten incorporated cities and areas of unincorporated territory. A summary of population trends for the communities within Ventura County is detailed as follows.

<i>Ventura County Population</i>							
<i>Community</i>	<i>1970</i>	<i>1980</i>	<i>1990</i>	<i>2000</i>	<i>2001</i>	<i>Annual Chg. 1990-00</i>	<i>Change 2000-01</i>
CAMARILLO	19,219	37,797	52,303	57,300	58,800	0.9%	2.6%
Fillmore	6,285	9,602	11,992	13,850	14,100	1.6%	1.8%
Moorpark	--	--	25,494	31,700	32,150	2.4%	1.4%
Ojai	5,591	6,816	7,613	7,925	7,975	0.4%	0.6%
Oxnard	71,225	108,195	142,216	172,600	177,700	2.1%	2.9%
Port Hueneme	14,295	17,803	20,319	22,150	22,250	9.0%	0.5%
Ventura	55,797	74,393	92,575	101,800	102,600	1.0%	0.8%
Santa Paula	18,001	20,552	25,062	29,150	29,300	1.6%	0.5%
Simi Valley	56,464	77,500	100,217	111,600	114,800	1.1%	2.9%
Thousand Oaks	36,344	77,072	104,352	117,300	119,400	1.2%	1.8%
Unincorporated	93,209	99,444	86,873	93,900	94,400	0.8%	0.5%
Ventura County	376,430	529,174	669,016	759,400	773,500	1.4%	1.9%

Ventura County experienced strong population gains between 1970 and 1980, averaging roughly 4% per year. More recently, since 1990, its average growth rate was slightly less than 1.5% per year, a result of the controlled growth policies of several communities. Much of the population growth has occurred in the southern portion of the County, in the communities of Simi Valley, Thousand Oaks, Oxnard and Camarillo. This has resulted from in-migration from Los Angeles County areas on the east, with many of the new residents maintaining employment in Los Angeles County.

Demographic data reveals the median age of Ventura County residents at 34.2 years. Moreover, median household income in the County has consistently exceeded national and state levels. In 1999, it was estimated to be at \$61,944. More recent forecasts place the median family income close to \$70,000 with half of all families in Ventura County earning more than \$68,500, higher than that for Los Angeles, Santa Barbara and statewide. The County is home to several exclusive residential neighborhoods, including Lake Sherwood and North Ranch in Thousand Oaks, and Spanish Hills in Camarillo. Along the Coast, expensive beachfront and marina-oriented homes are found in the Oxnard Shores and Mandalay Bay neighborhoods near Channel Islands Harbor in Oxnard.

Ventura County, as a whole, enjoys a strong economic base with a large and diverse labor pool for industries that include agriculture, biotechnology, telecommunications, advanced technologies, manufacturing, tourism, military testing and development. Also playing a significant role in the local economy is Port Hueneme, the State's only deep water port between Los Angeles and San Francisco; the Naval Air Station at Point Mugu; and the Naval Construction Battalion Center in Port Hueneme.

Wage and salary employment for Ventura County, as reported in the August 2002 Employment Development Department Labor Market Bulletin, is summarized as follows.

<i>Employment By Category</i>			
<i>Industry</i>	<i>August 2002</i>	<i>% of Total</i>	<i>Change from August 2001</i>
Agriculture	20,700	6.9	-5.5%
Mining	900	0.3	0.0%
Construction	15,300	5.1	-6.7%
Manufacturing	41,200	13.6	-0.2%
Transportation & Public Utilities	11,200	3.7	0.9%
Wholesale Trade	13,000	4.3	-1.5%
Retail Trade	53,600	17.7	0.9%
Finance Insurance & Real Estate	18,800	6.2	2.7%
Services	82,100	27.2	-0.6%
Government	45,400	15.0	6.6%
Total	302,200	100.0	0.3%

Over the past 12 months, Ventura County employment, including farm jobs, has been steady, increasing by less than 1,000 jobs. Strongest growth has been in government and finance, insurance and real estate. Prior to September 11th, Ventura County was on track to create a projected 6,300 new non-farm jobs for the year 2001, with unemployment projected to average a record low of 4.1%. However, the increase in joblessness to 5.2% experienced in September has been sustained through the end of August 2002 (5.7%). For the most part, Ventura County's economy, due to its fairly diverse base, is doing better than the state of California as a whole. As of mid-November 2001, the Economic Forecast Project at UC Santa Barbara projected Ventura County's economic growth for 2001 to be 7.1%, with a decline to 3.4% next year. These figures compare to economic growth rates of 14.2% in 1999 and 9.4% in 2000, and illustrate the nature of the economic slowdown that is being experienced. The projected year 2002 growth rate of 3.4% for Ventura County is still above the average annual growth rate of about 3.1% for the nation.

Real estate development in the County is quite diverse, ranging from small rural developments in the northern and western sections of the County, to urban type commercial development in the Conejo Valley, Simi Valley and Oxnard Plain. Countywide development consists of older downtown districts, newly created retail areas and shopping centers ranging from small convenience centers to regional malls, which include The Oaks Mall in Thousand Oaks; Centerpoint Mall and The Esplanade in Oxnard; and Buenaventura Plaza in Ventura.

Ventura County industrial vacancy rates have increased from 6.4% at midyear 2001 to 7.0% at the end of second quarter 2002. The rise in vacancy in 2002 can be partially attributed to more than 925,000 square feet of new space being completed and coming on the market. Leasing activity has risen during the first and second quarters of 2002, but still remains weaker than levels seen in 1999 and 2000. Approximately 29% of the industrial and flex space inventory is located in Oxnard. Meanwhile, office vacancy rates have declined slightly over recent months, helped by the trend in purchases by office space users. The decreasing amount of new construction will result in a much-needed breather for this market, as it continues to absorb the flood of new development that occurred during the past 18 months. Greater Oxnard Plain office space comprises 26% of the county total, and exhibits a 10.9% vacancy rate compared to 13.5% for Ventura County as a whole. In the Greater Oxnard Plain, only one building totaling 50,600 square feet is currently under construction.

Residential development in the County has historically been affected by growth control initiatives, as the majority of the 10 incorporated cities in the County restrict annual building permits. Oxnard is one of the cities that does not have any growth restrictions. The most active development areas in the County are Oxnard, Camarillo, Thousand Oaks and Simi Valley. Construction of new houses and apartments in the County has, for the last four years, failed to keep up with local job creation. Since 1997, Ventura County businesses have created 41,000 new non-farm jobs. During that same time, only 15,400 new homes were permitted, and not all of those have been built. This housing gap is a problem Statewide, driving up prices and threatening to negatively impact future economic growth if adequate affordable housing cannot be provided for workers. Adding to the strain on the local housing market is a growing number of workers from the Santa Barbara area who are house hunting in Ventura County. While house prices in Ventura County are on the rise, hitting a median sales price of \$388,690 in August 2002 (up 8.9% over the previous August), housing costs in Santa Barbara are even higher. In August 2002, the median sale price of a home in Santa Barbara County was \$437,500, with a median of \$606,590 in the Santa Barbara South Coast submarket. While the housing affordability index now stands at 28% in Ventura County, the squeeze between rising prices and household incomes is even more evident in the Santa Barbara area where affordability fell to 20% in August 2002.

Ventura County has been one of the most rapidly growing metropolitan areas in the United States. Several major freeways provide access to all parts of Southern California from Ventura, with the Ventura Freeway (U.S. Highway 101) representing the major link to the Los Angeles Basin and points north. Although agriculture has historically played a major role in the Ventura County economy, retail trade and service industries are expected to generate nearly half of all new jobs in the County through the year 2001. Growth control policies will almost certainly play a significant role in limiting future expansion. A majority of incorporated cities in the County have enacted some form of growth limitation measures.

City of Oxnard

The City of Oxnard is located in Western Ventura County, midway between Santa Barbara and Los Angeles. It is one of several communities in the fertile Oxnard Plain, a scenic region with a booming economy. Oxnard was incorporated in 1903 and officially named after the Oxnard brothers who established the American Beet Sugar Company between 1887-1889. The city grew steadily into what is now a population of 177,700, representing 21% of the population within Ventura County. Recent Census figures show that the population of Oxnard grew by nearly 20% from 1990 to 2000, which actually represents a slowdown from the 30% growth experienced over the previous 10 years. The fastest growing ethnic group is the Latino population, which grew by 46% from 1990 to 2000 and now represents 66% of the population in Oxnard.

The city's beginning was primarily in agriculture due to the fortuitous combination of moist Coastal air and reliable sunshine resulting in highly productive conditions. Crop options include strawberries, tomatoes, lettuce, peppers, broccoli and cauliflower. While agriculture still represents an important sector of the local economy, Oxnard has been very successful over the years in attracting new businesses and industries, thus, broadening the economic base. To this end, the Greater Oxnard Economic Development Corporation was established in 1994 to work individually with companies to support their growth plans through assistance in the permit process; connections to sources of appropriate and affordable financing; assistance in

developing training programs; and **generally** providing a one-stop source of information and problem solving for business growth. **Recently**, firms that deal in manufacturing, distribution, offices and other endeavors have **relocated** or expanded to Oxnard from cities such as Thousand Oaks, Moorpark, Santa Monica, Westlake Village, Ventura, Somis and Newbury Park. The overwhelming majority of these **businesses** are in Oxnard's two industrial parks; the 1,400-acre Pacific Commerce Center, **and the** 200-acre Channel Islands Business Center. One of the factors that allows Oxnard to **accommodate** business growth and relocation is that it had more non-farm land available for **commercial** and manufacturing uses than other cities in Ventura County before passage of S.O.A.R. (Save Open-space and Agricultural Resources), an initiative that preserves farmland and **open space**. Although fewer than 200 acres are available for immediate development between Oxnard's two primary business center developments, an additional 400 acres, currently being **used** for agriculture and not affected by S.O.A.R. restrictions, are available for future **industrial** growth. The Greater Oxnard Economic Development Corporation reports that 800 to 1,000 new jobs were created in Oxnard in 2000 as a result of relocation of about two-dozen "**extremely diverse**" commercial businesses.

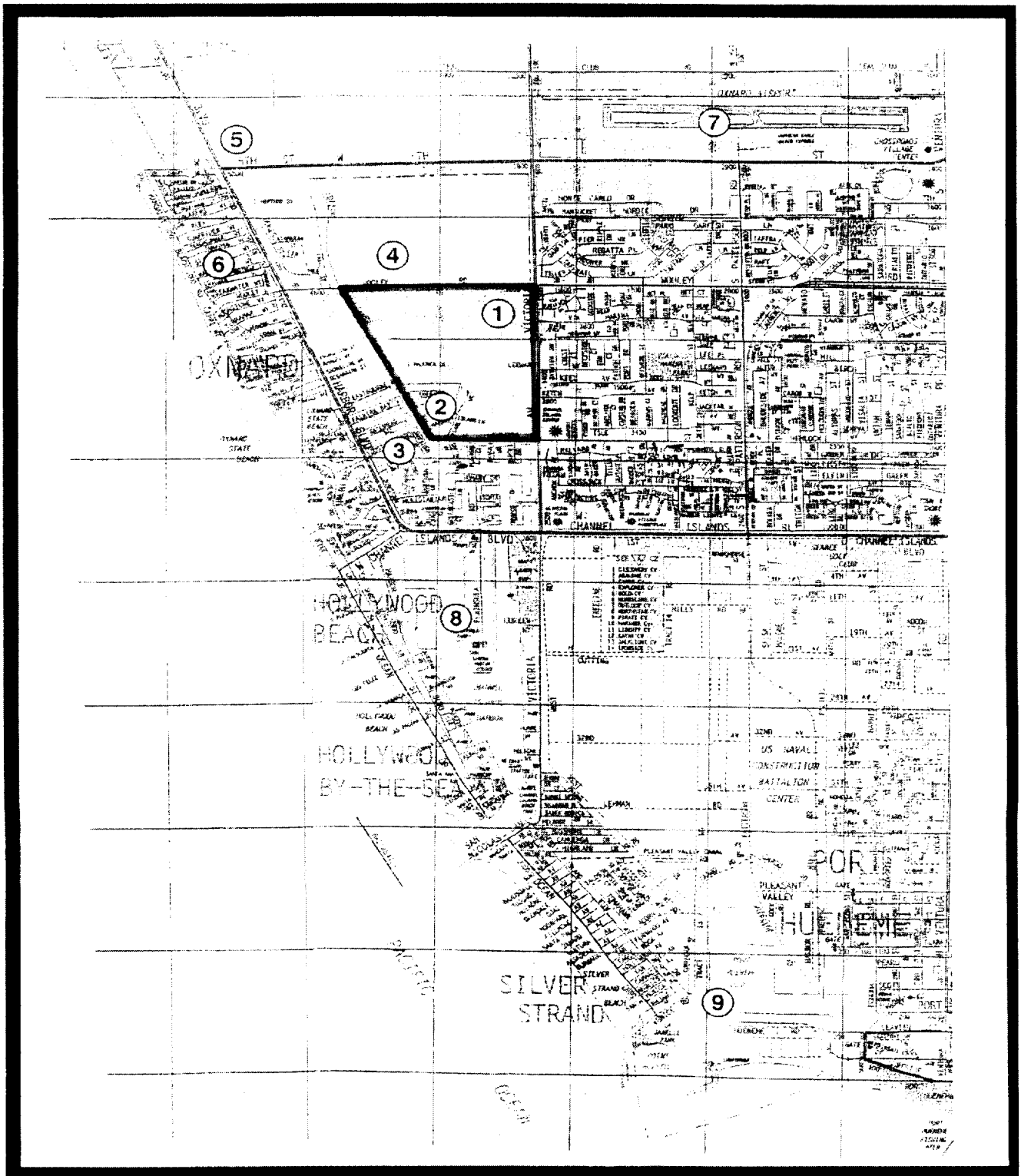
Oxnard is home of Port Hueneme, the **only** deep-water harbor between Los Angeles and the San Francisco Bay area. As the U.S. Port of Entry for California's Central Coast region, it serves international businesses and ocean **carriers** from both the Pacific Rim and Europe. The Port of Hueneme ranks among the top seaports in California for general cargo throughput. The niche markets that Hueneme serves include: the import and export of automobiles; heavy agricultural equipment and industrial vehicles; fresh fruit, fresh produce, forest products, and project cargo. The Port of Hueneme is the **top** seaport in the United States for citrus export and ranks among the top ten ports in the **country** for automobile and banana imports. Its unique positioning near the Santa Barbara Channel has also made the Port of Hueneme the primary support facility for the offshore oil industry in California's Central Coast area.

Major projects completed in the city of Oxnard in the last few years include a 72,000-square foot, state-of-the-art library; and a newly **renovated** 1,600-seat auditorium, Heritage Square, a unique collection of restored vintage structures anchoring a revitalized downtown area; the new 261-bed St. John's Regional Medical Center; and an integrated auto mall/power retail/factory outlet center. Furthermore, the city **features** several beaches, resort facilities, and the 2,600-slip, Channel Islands Harbor, **helping to** attract and sustain a healthy tourist industry.

The Ventura Freeway (US Highway 101) **and** Pacific Coast Highway (State Route 1) provide access through the city. The 216-acre Oxnard Airport is currently operated as a commuter service airport. The Oxnard Transportation Terminal, located at Fourth and Meta Streets, is a modern rail station providing connections to local and distant transit service. Amtrak and Metrolink provide passenger and **commuter** rail service; with Southern Pacific Railroad and Ventura County Railway providing **freight** service.

The city of Oxnard has seen tremendous **growth** in its residential sector and corresponding commercial and industrial growth. **Given the** natural boundaries of the Pacific Ocean to the west and Santa Monica Mountains to the **south**, future growth is expected to parallel the more recent past and reflect only moderate **increases**. The city's growing economic base should ensure vitality over the long term.

LOCATION MAP



NEIGHBORHOOD DATA

Location and Development Overview

The subject Westport at Mandalay Bay property is located in the Channel Islands neighborhood in West/Coastal Oxnard. The neighborhood has established a reputation for luxury detached and attached housing, which can be attributed to its proximity to the coastline, as well as its ocean accessibility via Channel Islands Boulevard. General location of the subject property is on the south side of Wooley Road, east of Harbor Boulevard. The Reliant Energy Canal borders along the west side of the Westport Mandalay Bay property, and vacant sand dune land occupies the narrow strip between the canal and Harbor Boulevard to the west. A mixture of detached homes, duplexes and oceanfront luxury residences exist west of Harbor Boulevard in the Oxnard Shores neighborhood. To the south are found detached residences, attached townhouses, and stacked condominiums, all with private boat docks and within the original section of Mandalay Bay. The subject project represents an extension of this housing concept, which, aside from the oceanfront lots in Oxnard Shores, represents the highest priced housing product in Oxnard. North and immediately east of the subject property is vacant land devoted to agricultural usage.

Outlined in red on the facing map is the boundary of the Mandalay Bay-Phase IV Specific Plan, with the subject highlighted in yellow. Identity of other properties referenced in this report and their proximity to the subject property is summarized below and plotted on the facing map.

(1)	Seabridge (Tract 5266)	adjacent east
(2)	Harbour Pointe.....	adjacent south
(3)	Mandalay Bay	southwest across canal
(4)	Agricultural Land.....	across Wooley Road
(5)	North Shore Project	0.7 miles northwest
(6)	Oxnard Shores	0.5 miles west
(7)	Oxnard Airport.....	1 mile northeast
(8)	Channel Islands Harbor	1 mile south
(9)	Port of Hueneme	2.8 miles southeast

Further description and specific characteristics of significant properties, or pending projects in the immediate area, are further discussed.

Seabridge

Adjacent east and also part of the Mandalay Bay-Phase IV Specific Plan is a 135-acre proposed residential project known as Seabridge. In concept, the project would be a larger version of Westport at Mandalay Bay, involving further extension of the canal waterways to provide additional water-oriented residential development. A total of 708 residential units as well as mixed use commercial and visitor commercial areas are proposed for this property. Nearly 40% of the residential units are to be single-family homes with lot sizes ranging from 4,000 to 6,000 square feet. Forty-one percent of the detached homes will be water oriented, with boat docks. Similar to Westport, the remainder of the residential units planned for this project will be duplexes, condominiums and townhouses. A much larger area, 34.8 acres, is proposed to comprise visitor commercial and mixed-use development. EIR certification has been received

from the City of Oxnard Planning Commission, and tentative tract map approval is pending before the Planning Commission in early November. If approved, the matter could be submitted for City Council approval prior to year-end 2002. A delay in the start of grading could be encountered if this project is appealed to the Coastal Commission. The site is currently utilized for farming and would require removal of the top two feet of topsoil prior to commencement of grading and canal improvements. Considering the timing experienced for grading, site improvement work, and final tract map processing at Westport, initial land sales and home development at Seabridge might be expected to occur during the first quarter of 2004, at the earliest. From a practical timing standpoint, this project is not expected to compete with the Westport at Mandalay Bay land sale program, although there will undoubtedly be some overlap in marketing and sale of the housing product between the two projects.

Harbour Pointe Condominiums

To date, the only portion of the Mandalay Bay-Phase IV Specific Plan that has been developed is located just south and across an existing channel from the proposed Westport project. The Harbour Pointe project includes 129 condominium units within a gated community. Stacked flat units are situated within three-story buildings with waterfront, boat dock and view amenities. Units were built between 1988 and 1992 and range in size from about 1,937 to 2,164 square feet. Recent resale prices for other than penthouse units have ranged generally from about \$400,000 to \$500,000. Except for age, these condominium units are considered to be relevant market indicators for proposed stacked flat condominium units at Westport.

Mandalay Bay Townhouses and Leeward Estates

The original Mandalay Bay development, comprising townhouses and Leeward Estates detached homes, is located immediately south and southwest. The subject Westport project involves an extension of the canals from this area. In terms of Coastal proximity and harbor/canal features, homes in the original Mandalay Bay project are considered to represent comparable residential product to the product being proposed at Westport. The primary difference is that the original Mandalay Bay homes were built some time ago, primarily during 1971 to 1978. Within the Leeward Estates neighborhoods, individual development of custom homes on vacant lots continues today. Lot sizes are generally from 4,000 to 5,000 square feet, and private boat docks are featured. Neighborhoods designated for townhouses have all been developed. There are reportedly some 200 single-family homes and 100 townhouse units in this project. Recently recorded sales of detached homes have approached or exceeded \$1.0 million. Prices of vacant single-family home lots range from about \$250,000 to \$525,000. Recent sales of the average attached townhouses typically reflect prices from \$450,000 to \$600,000.

Proposed North Shore Project

This proposed development of 300 homes on about 90 acres of land at the northeast corner of 5th Street and Harbor Boulevard has been plagued by environmental, legal and financial troubles. Following Coastal Commission approval, revisions to the coastal permit and tentative tract map are being processed through the City of Oxnard. Completion of the entitlement process is not expected prior to the first quarter of 2003. Environmental concerns are present on this site, with discovery of the Ventura marsh milk vetch plant, previously thought to be extinct. Environmental groups have reportedly threatened legal action if the project receives

development approval. Under the best-case scenario, the start of construction for this project may commence toward the end of 2003. The proposed project would have no canal influence, aside from its proximity along the east side of the Reliant Energy Canal. Within the community, however, there would be no canal extension or private boat docks. Lot sizes for the proposed detached homes range are 5,000 to 5,500 square feet. Features of this project as well as the likely timing of construction are sufficiently different from the Westport project that competition is unlikely.

Oxnard Shores

This ocean-oriented enclave of custom home lots, detached homes and townhouses is situated directly west of Westport, across Harbor Boulevard. Owing to the wide variety of ages and condition of homes, and oceanfront proximity, recent sale prices for the newer homes are recorded in a very broad range of about \$600,000 to \$1.8 million. There is also significant vacant lot sale activity in this neighborhood, again reflecting a very broad range in finished lot prices. Inland lot prices range from about \$150,000 to \$250,000, while oceanfront lot prices are from \$600,000 to \$950,000. There has been a tremendous amount of appreciation in property values in this neighborhood over the past 24 months, both from the standpoint of vacant lots and homes. Because of ocean proximity, home and lot sales within this neighborhood are not thought to be directly comparable to the subject Westport product. However, analysis of the resale data is relevant as an indicator of market demand and activity for high-end housing product and custom lots in Oxnard, and the relationship exhibited by price of a finished lot compared to the retail price of housing product.

Channel Islands Harbor

Channel Islands Harbor, situated south of Channel Islands Boulevard, lies approximately one mile south of the Westport Mandalay Bay property. The Harbor, owned by the County of Ventura, is the gateway to the Channel Islands Marine Sanctuary and National Park located just off the Coast. The Harbor area offers shopping, dining, boating, sport fishing, island excursions, lodging, a maritime museum, and a weekly farmers market. It also features pleasure boat marinas with over 2,600 boat slips, as well as customary support facilities.

Of interest in comparison to the Westport project is the Fisherman's Wharf commercial area at the corner of Channel Islands Boulevard and Victoria Avenue. Within this visitor-oriented commercial area are shops and offices, as well as public walkways along the wharf providing access to boat slips and launch ramps, and water taxis. A somewhat similar concept is proposed for the commercial use designated area within Westport at Mandalay Bay. The main channel of Channel Islands Harbor connects to the canals extending into Mandalay Bay and eventually into the Westport project.

Oxnard Airport

The 216-acre Oxnard Airport located approximately one mile northeast of the subject property is currently operated as a commuter airport. American Eagle and United Express offer passenger service via a 10,000 square foot, passenger terminal. General aviation needs are met by 56,100 square feet of hangar space with the capacity to store 100 aircraft, and tie-down area for 140 aircraft. The east-west runway ends east of Victoria Avenue, and the subject property is not impacted by aircraft overflight.

Other Commercial/Shopping Facilities

Closest commercial and shopping facilities are within the Oliveira Plaza at the northeast corner of Channel Islands Boulevard and Victoria Avenue, approximately one mile southeast of the subject site. This neighborhood shopping center is anchored by a Vons market and Rite-Aid drug store. Also present are Bank of America, Wells Fargo Bank, and Cal Fed Bank financial centers; a veterinary hospital; several restaurants; and a host of service commercial shops. Further east along the north side of Channel Islands Boulevard, Mandalay Village Marketplace offers additional and alternative neighborhood shopping opportunities with retailers such as Ralphs market, Longs drugstore, Petco, Washington Mutual Bank, and more restaurants, offices and commercial shops. Recently, a small convenience center at the northwest corner of Harbor Boulevard and Wooley Road has been renovated. Tenants include a liquor store, dry cleaners, bakery, laundromat, small restaurants, and small apparel stores.

St. John's Regional Medical Center

St. John's Regional Medical Center was constructed and opened in 1992 on a site located approximately five miles northeast of the subject property. The 261-bed, acute-care facility provides a full array of health programs and services and an excellent staff. Distinguished centers include HeartOne for cardiac care, the Cancer Center of Ventura County, and The Parkinson's Center at St. John's. In 1993, St. John's Regional Medical Center and Pleasant Valley Hospital merged to form the largest acute-care health organization in Ventura County, and in 1997 joined Catholic Healthcare West as part of Catholic Healthcare West Central Coast.

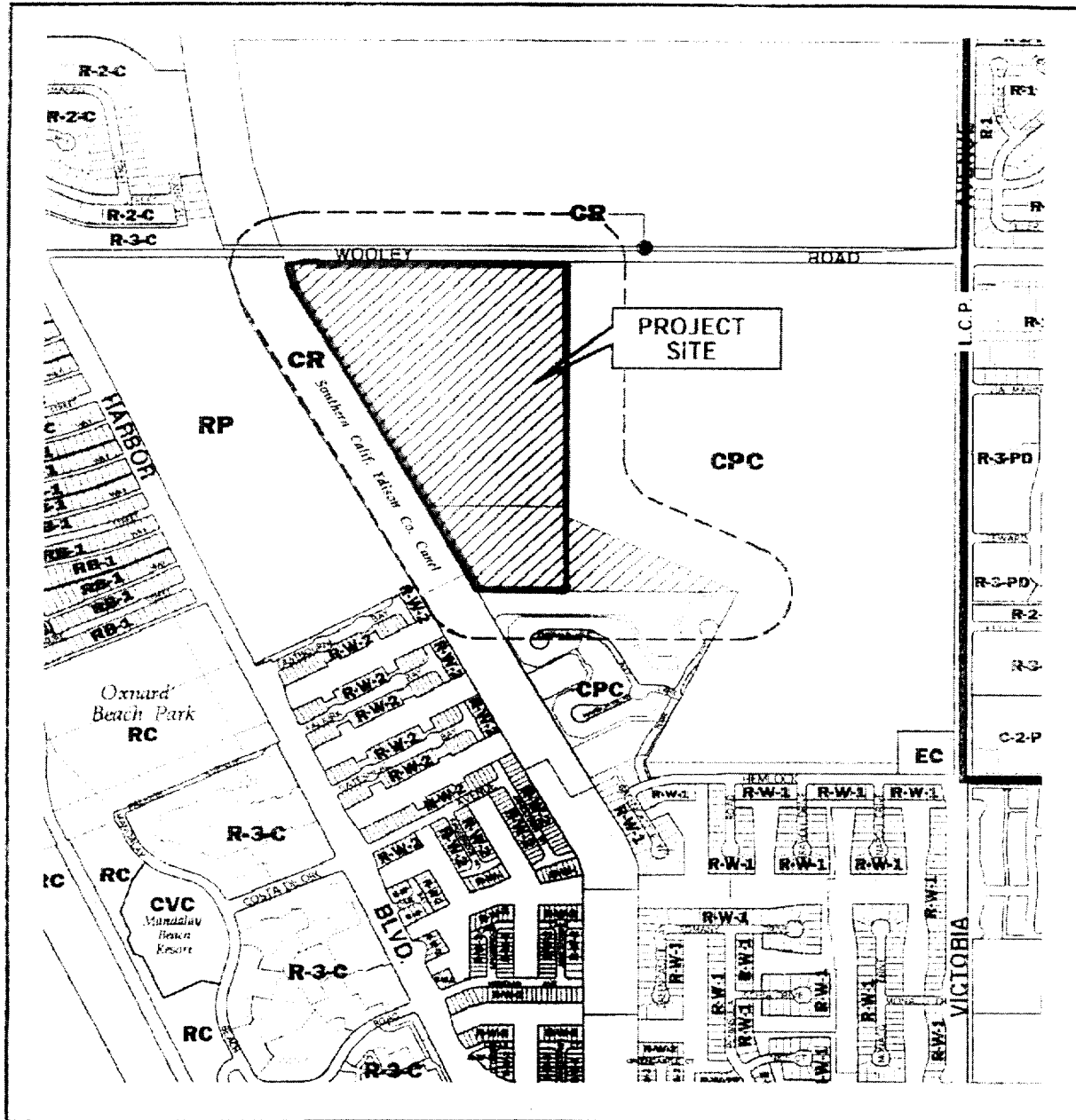
Significance Of Immediate Surroundings

While the state of the general housing market in Oxnard and Ventura is of interest in the appraisal of the subject property, the primary focus is on conditions and property pricing levels within the immediate Channel Islands neighborhood. This is the only district that offers similar Coastal and Harbor orientation, as well as opportunities for private boat docks. Thus, resale activity for both housing products and vacant land parcels is felt to be of importance in comparison to the subject property because similar economics, pricing and buyer profiles apply. In contrast, these same conditions and motivation factors are not directly provided through comparison to tract activity throughout inland areas of Oxnard and Ventura.

With respect to comparison of vacant residential lots in the neighborhood, it is recognized that most sales involve single lots for the purpose of construction of custom homes. This differs from the situation for the Westport project, geared toward bulk lot sales to merchant builders for construction of production homes. In my analysis and valuation of the subject property, a combination of comparisons will be made to both individual lot sales in the Channel Islands neighborhood and bulk lot sales in nearby areas of the local housing market.

The subject is considered to be well located from the standpoint of health-related services, commercial and shopping opportunities, recreational activities and transportation routes that are typically of importance to potential homebuyers.

PROJECT SITE



City of
Oxnard

PLANNING
AND
ENVIRONMENTAL SERVICES

File No.:

PZ 01-7-1

MJMD to 99-5-62

Date:

5-24-99

Prepared By:

S. Carrillo



PERTINENT SITE INFORMATION

Location

Southeasterly corner of Wooley Road and the Reliant Energy Canal, Oxnard, California.

Area

58.3 acres

Existing Condition

Grading and site improvement work has been in process on the site for over 12 months. Work continues on completion of Wooley Road improvements, grading and improvement of development areas to "blue top lot" condition, and channel/waterway improvements.

Topography

The general topography of the site is characterized by gentle, south-to-west sloping terrain with some easterly-sloped variations due to the row crop drainage configuration and Reliant Energy Canal construction.

Soils

According to a geotechnical investigation by GeoLabs-Westlake Village, as of January 12, 2001, the Westport at Mandalay Bay property is underlain by alluvial deposits consisting of both fine-grained and coarse-grained soils. Predominant soil types are lean clay, silty sand, clean sand (well and poorly graded) and lean silt. The upper 8 to 12 feet of the soil profile consists primarily of silty sand, which is generally loose-to-medium dense. Below these silty sands are fine-grained materials consisting primarily of lean clay, with some lean silt. These materials are generally soft-to-medium stiff/stiff and on the order of 10 to 15 feet thick. The lean clay is then underlain by clean sand inter-bedded with some fine-grained lean silt and lean clay. The clean sands are classified as well-graded sand and poorly-graded sand; however, vary only slightly in particle size. These sands are typically medium-dense to dense. The loose zones and some of the looser-medium density zones appear to have a potential to liquefy during a design level earthquake. The inter-bedded, fine-grained lean silt and clays have sufficient clay material to be considered unsusceptible to liquefaction during a design level earthquake. It is assumed that this potential for liquefaction will be addressed in the grading plans and mitigated where necessary by removal of collapsible soils.

Groundwater was encountered during soil testing. Water was noted in borings at depths ranging from 5 to 8 feet below the existing ground surface.

Seismology

According to the report by GeoLabs-Westlake Village, the subject site contains no known active or potentially active faults, nor is it within an Alquist-Priolo Fault Rupture Hazard Zone. Therefore, the potential for ground rupture is considered to be low. Nevertheless, the Westport

at Mandalay Bay property is located within the seismically active Southern California region. The subject site is also within the tsunami (seismically-induced sea waves) hazard zone defined by the City of Oxnard and County of Ventura. The zone consists of all lands within one mile of the Coast with an elevation lower than 20 feet mean sea level. As is typical with most projects in Southern California, substantial ongoing soils and geologic work will need to be performed as individual areas are constructed.

Environmental

A Limited Phase 2 Site Assessment was prepared for this project by Sezgin Consulting, Inc. on October 8, 1998. Part of their review included additional review of a Phase 1 and Phase 2 Hazardous Materials Site Assessment report (May 22, 1990) prepared by ERC Environmental and Energy Services Co. and a Phase I Environmental Site Assessment report (June 16, 1998) by Gorian & Associates, Inc. In the report by Sezgin Consulting, Inc., environmental concerns related to the historic agricultural land use of the subject, and a former oil field waste disposal sump site nearby were addressed. Soil and groundwater testing did not find evidence of regulated pesticides, herbicides, fungicides, or metals that might be related to current and historical agricultural uses. Furthermore, results of testing for toxic compounds did not appear to indicate that the former, oil field, waste product, disposal sump site located in the sand dunes to the west had impacted the subject property.

Utilities

Water

Twelve-inch water mains are located in Victoria Avenue and Harbor Boulevard. The developer of the project must install a minimum 12-inch diameter water line in Wooley Road from Harbor Boulevard to Victoria Avenue. Much of this work has been completed. The onsite system will be designed to provide a looped water system for the project, capable of meeting Oxnard fire flow requirements.

Sewer

There are existing City sewer lines to be connected in Hemlock and Victoria Avenue. Wooley Road has a force main. Much of the work for a parallel gravity flow line to connect at Victoria has been completed. The sewer system will be designed to provide capacity for all properties fronting on Wooley Road, between the Reliant Energy Canal and Victoria Avenue, including the output from the existing sewer pump station on the west side of the Reliant Energy Canal. The existing 12-inch force main in Wooley Road will be tied into the proposed 12-inch gravity main. A sewer lift station is under construction to lift sewage from the project and place it into the gravity line in Wooley Road. The onsite sewer system within private streets or driveways will be privately owned and maintained. Maintenance responsibility for these facilities will be included in the property owner's CC&Rs.

Electricity

Electrical power service is provided by Southern California Edison Company. Existing power poles are located along Wooley Road. The developer will place all overhead utility lines on or adjacent to the project underground in accordance with City ordinances.

Gas

Gas service is provided by Southern California Gas Company and currently exists in Victoria Avenue and Harbor Boulevard. Extension of gas service to the site is currently in process as part of the site improvement work.

Telephone

General Telephone Company of California (Verizon) provides telephone service to the site. It will be extended throughout the project neighborhoods and no extraordinary costs associated with the provision of telephone service to the project are anticipated.

Cable Television

Cable service is provided by Adelphia. Site improvement work includes relocation of these lines from their present position on the north side of Wooley Road.

Site Drainage

As conditions of Tentative Subdivision Map approval, surface drainage will not be allowed over the seawall or riprap. All drainage, including single lot drainage, shall be directed towards the street or other suitable point of discharge. Storm drain lines shall enter the channel underwater or as otherwise approved.

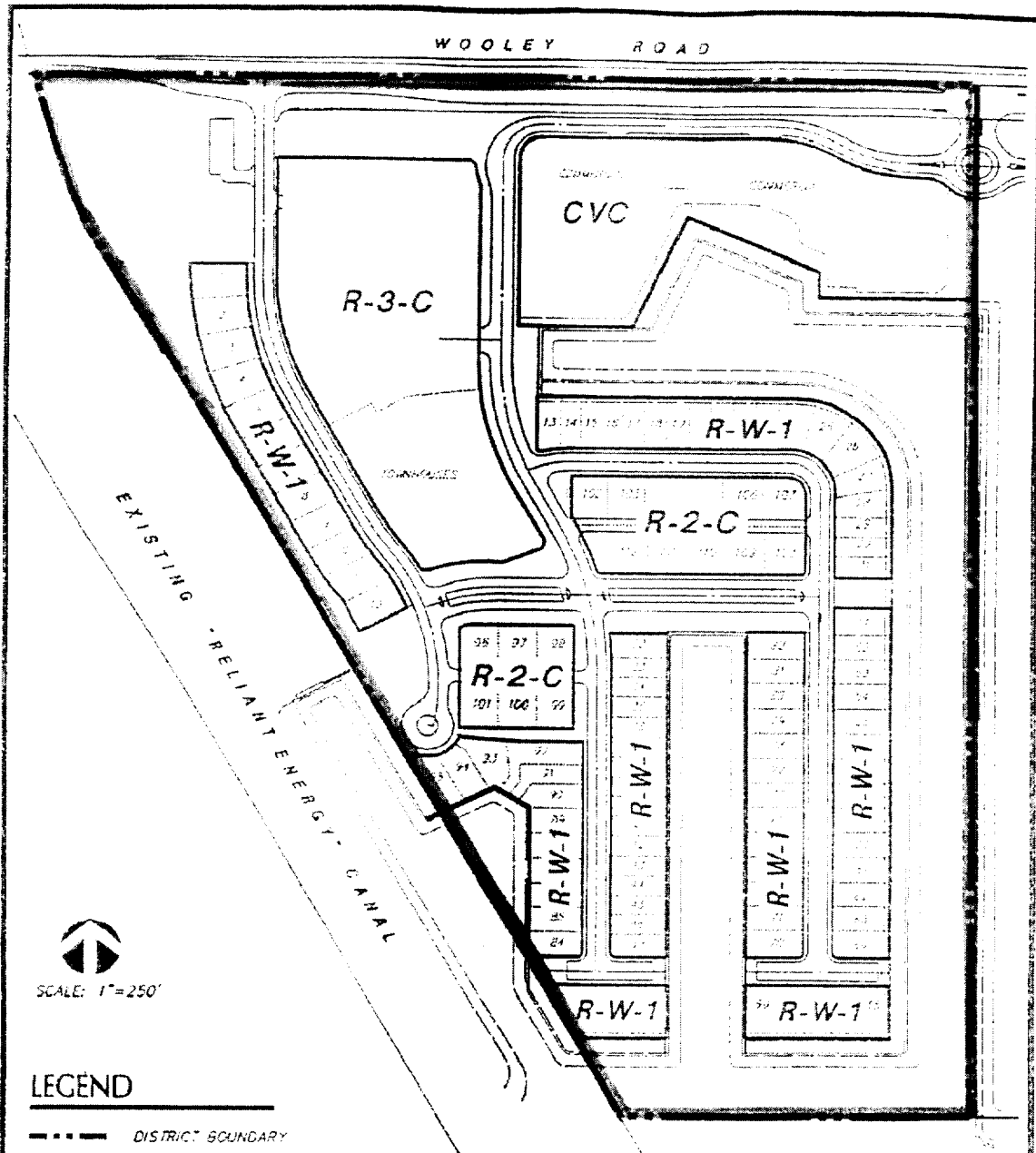
A detailed storm drain study has been prepared which addresses site drainage and all upstream drainage areas in accordance with City standards. This report includes a study of the existing underground tile lines serving the adjacent farms. The developer's engineer has designed the drainage runoff from the adjacent farm drain lines (ditches and tile lines) to the east of the project such that no discharge or runoff into the channel areas shall result in nuisance or adverse shoaling or siltation. All of the above operations have been completed.

Streets

Wooley Road is an east-west arterial that borders north of the project. It currently provides one lane of travel in each direction. The street is paved with asphalt and has an asphalt curb along the subject frontage. Project conditions require the upgrade of Wooley Road. The new Wooley Road will be expanded to a 110-foot right-of-way featuring a 14-foot median separation between opposing traffic. Right-of-way along the south side of the street will provide for a 36-foot traffic and bike lane, and 15-foot parkway to include an 8-foot path. There will be two major access drives into the site from Wooley Road. A 200-foot setback from the north line of Wooley Road will be provided as an agricultural buffer to mitigate the impact of continued farming use along the north side of Wooley Road.

Internal street access will be through a series of primary corridor streets linking to the residential streets within each tract.

ZONING MAP



LB/L Suncal Mandalay, LLC.
 21601 Devonshire Blvd., Ste. 100
 Chatsworth, CA 91311
 Phone: (818) 772-1977
 Fax: (818) 772-2567

Westport at Mandalay Bay
**OXNARD LOCAL COASTAL PROGRAM
 ZONING DESIGNATIONS**

ASSESSED VALUATION AND TAXES

The subject property is identified by the Ventura County Assessor's Office as Parcel Numbers 188-0-110-405 and 188-0-110-415. Total assessments and real estate taxes for fiscal year 2001/2002 are summarized below.

<i>Parcel #</i>	<i>Land</i>	<i>Improvements</i>	<i>Property Taxes</i>	<i>Tax Rate Area</i>
188-0-110-405	\$4,807,688	0	\$59,620.54	03078
188-0-110-415	<u>891,622</u>	0	<u>11,049.98</u>	03078
	\$5,699,310	0	\$70,670.52	

WESTPORT AT MANDALAY BAY PROJECT

Zoning

Zoning is in compliance with the Mandalay Bay Specific Plan and Oxnard Coastal Land Use Plan, which designate the property as part of a Planned Unit Development to provide a mix of residential, commercial and visitor serving recreational uses. Specific zoning division on the site is illustrated on the facing page, and detailed as follows.

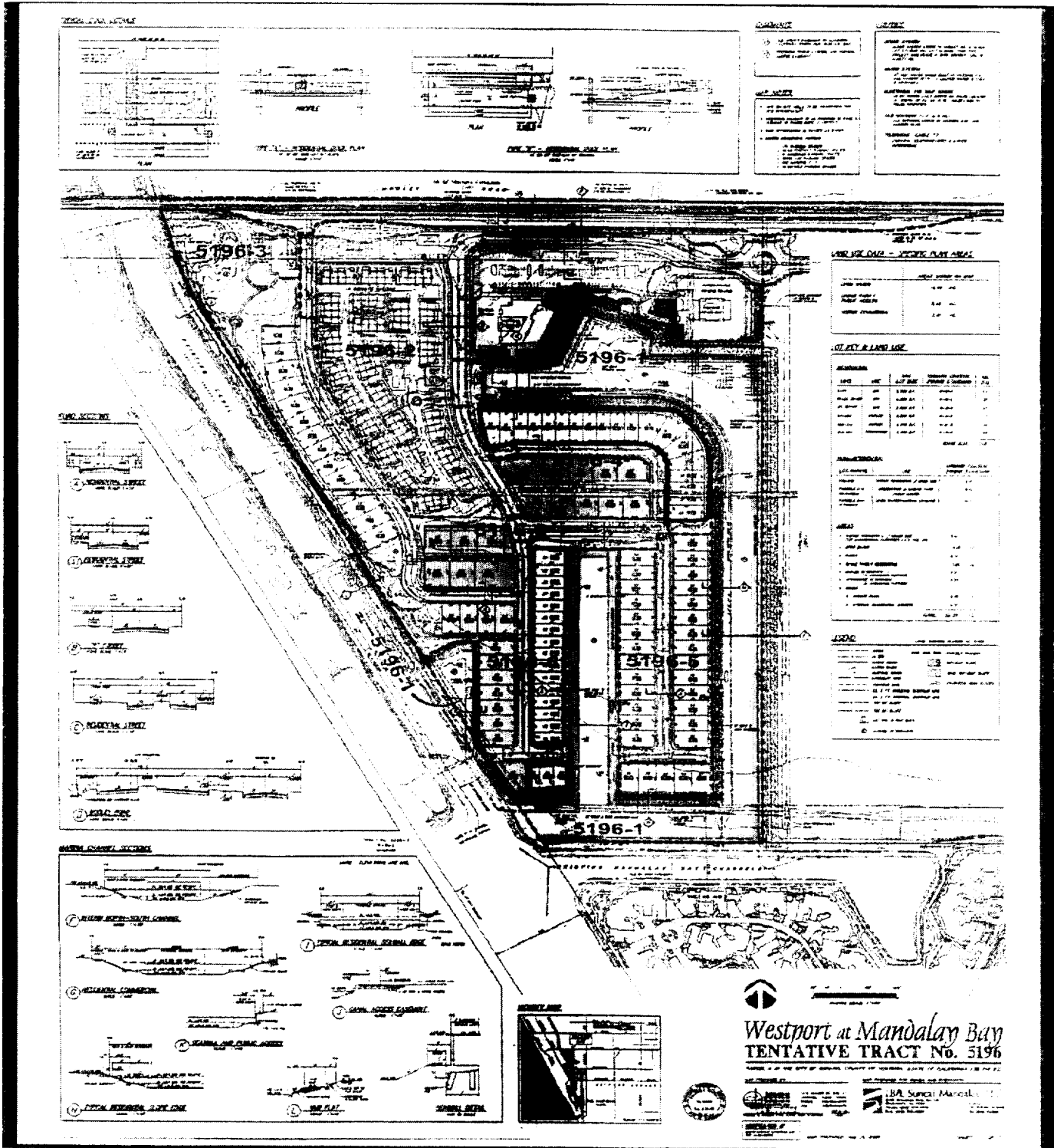
R-W-1

The designation is for single-family residences with minimum lot width of 40 feet. Maximum building height is limited to two stories, not to exceed 28 feet. Within the subject Westport project, three lot sizes will be featured; 4,000 square feet, 5,000 square feet and 5,500 square feet. All will comply with setback standards; 15 feet for front yards; 4 to 5 feet for side yards; 12 feet for rear lots on a waterway and 20 feet for rear lots that do not abut a waterway. Specific limitations and requirements of single-family residential lots are that each dwelling shall provide a minimum of two spaces within a garage for each dwelling unit; no continuous garage footing shall be more than two cars wide; and, no exterior decks are permitted above the height of the second floor.

R-2-C

This zone designates multi-family residences, specifically duplex units. Minimum lot area is 3,500 square feet with 50-foot minimum lot width. Building heights are limited to a maximum of two stories, not to exceed 25 feet. Setback requirements are 15 feet for front yards, 5 feet for side yards and 25 feet for rear yards. Garage requirements are for a minimum of two garage spaces for each dwelling unit. No more than six dwelling units may be attached in any building cluster.

SITE PLAN



R-3-C

The designation is for multi-family residences-townhouses. Minimum lot area is 2,400 square feet per dwelling unit, with 60-foot minimum lot width. Maximum building height is three stories, not to exceed 35 feet. Setback requirements are 20 feet for front yards, 25 feet for rear yards, and either 5 feet or 10 feet for side yards depending on whether the structure is two or three stories in height. Parking garage and clustering requirements are similar to those for duplexes.

C-V-C

This mixed-use designation permits a combination of multi-family residential and commercial uses. Commercial uses permitted within the zone are consistent with the CNC (Coastal Neighborhood Commercial) and CVC (Coastal Visitor-Serving Commercial) zones. Maximum building height is three stories, or 35 feet. Minimum dwelling sizes are 700 square feet for one-bedroom units, and 900 square feet for two or more bedroom units.

Land Use Entitlement Status

Approved entitlements for the Westport project include Tentative Tract No. 5196, a Development Agreement with the City of Oxnard, and other jurisdictional permits required of the California Coastal Commission, Army Corps of Engineers, California Department of Fish and Game, California Regional Water Quality Control Board, and County of Ventura, which allowed for the start of site development while final tract maps are being processed. The breakdown of land uses for the property per Tentative Tract No. 5196 follow.

<i>Land Use</i>	<i>Acres</i>	<i>%</i>	<i>DU/Ac</i>	<i>Units</i>	<i>%</i>
Single Family Residential	11.06	19.0	8.7	96	31.4
Duplex	2.91	5.0	11.7	34	11.0
Townhouse	6.20	10.6	14.2	88	28.8
Mixed Use	7.41	12.7	--	88	28.8
Parks	8.16	14.0	--	--	--
Roads	8.07	13.8	--	--	--
Open Water	14.49	24.9	--	--	--
Total	58.30	100.0	--	306	100.0

Specific uses, characteristics and initial design criteria for development of the various neighborhoods in Westport at Mandalay Bay are identified below and illustrated on the facing site map.

Estate Lots (Yellow)

Fourteen estate lots with minimum lot sizes of 5,500 square feet. These lots will front on the westerly canal but will not have private boat docks. Homes will be two stories with attached two or three-car garages, featuring the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
A1	3,300	4	4	Maid
A2	3,566	4	3.5	Maid/Den
A3	3,709	4	4.5	Maid/Den
Average	3,525			

Inland Waterway Lots (Orange)

Forty-five lots with minimum lot sizes of 5,000 square feet. These lots will have canal frontage and private boat docks. Homes will be two stories with attached two or three-car garages, featuring the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
B1	3,243	4	4.5	Maid
B2	3,437	4	3	Maid/Den
B3	3,620	4	3.5	Maid/Loft
Average	3,433			

Channel Lots (Red)

Thirty-seven lots with minimum lot sizes of 4,000 square feet. These lots will have canal frontage and private boat docks. Homes will be two stories with attached two or three-car garages, featuring the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
C1	2,752	3	2.5	--
C2	2,923	3	2.5	--
C3	3,011	4	3.5	--
Average	2,895			

Village Duplex Lots (Purple)

Sixteen lots with minimum lot sizes of 3,500 square feet will allow for development of 34 duplex units. Lots will be at the interior of the development without canal frontage or private boat docks. Homes will be two stories with attached two-car garages, featuring the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
D1	2,300	3	2.5	--
D2	2,400	3	2.5	--
D3	2,605	3	2.5	Loft
Average	2,435			

Townhouse Villas (Green)

Eight-eight townhouse villa units will be featured in three-plex and four-plex buildings on minimum 2,400 square foot lots. Lots will be at the interior of the development without canal frontage or private boat docks. Homes will be two stories over two-car garages, featuring the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
T1	1,700	2	2.5	Den
T2	1,860	2	2.5	Den
T3	2,000	2	2.5	Den/Lib
Average	1,853			

Residential/Commercial Parcel (Pink)

Eighty-eight stacked flat condominium units will be built over 22,000 square feet of ground-level, retail and commercial space. This portion of the site fronts on Wooley Road at the easterly, signalized entrance to the project. It will also feature frontage on the canal and will be adjacent to 83 public boat slips. Public paths and corridors will be provided to allow access to the waterfront areas. Condominiums will feature the following preliminary design criteria.

<i>Plan</i>	<i>Sq. Ft.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Other</i>
A	1,450	2	2.5	Terrace
B	1,700	2	2.5	Terrace
C	1,800	3	2.5	Terrace
Average	1,650			

Waterways/Canals (Blue)

Development of Westport will require extension of the existing Mandalay Bay canals to the south and widening of the Reliant Energy Canal to 300 feet along the west boundary. Construction of the channels, seawalls, and riprap slope protection will be the responsibility of the developer. All waterways within the project will be dedicated in fee simple to the City of Oxnard. Dedication will extend from the face of the seawall and shall include all riprap slopes.

Boat Dock Easements

Ownership of the boat dock easements adjoining each single-family lot will be permanently tied to the adjoining lot. Boat dock easements cannot be sold or transferred separately from the adjoining single-family lot. Public boat slips will be available for both short-term visitor use and monthly rental.

Project Phasing

Project phasing as depicted on Tentative Tract No. 5196 and in the Development Agreement calls for construction of land improvements and delivery of lots in six phases, plus separate construction scheduling for agricultural soil transfer and Wooley Road construction. Following is a summary of phasing identification.

Phase 1		Mass Grading; Channel Excavation; Mixed Use Pad (88)
Phase 2		Townhouse Lot Parcels (88)
Phase 3		Duplex Units (13); 5,500 SF Lots (14)
Phase 4		Duplex Units (21); 4,000 SF Lots (19)
Phase 5		5,000 SF Lots (32)
Phase 6		4,000 SF Lots (18); 5,000 SF Lots (13)

Estimates of construction scheduling and product delivery are summarized in the following chart.

Phasing Function	Soil Transfer	Wooley Road	Phase 1	Phase 2	Phase 3	Phase 4	Phase 5	Phase 6
Start Date	8/30/01	3/04/02	2/11/02	9/16/02	8/26/02	2/10/03	3/12/03	4/02/03
Finish Date	1/09/02	1/10/03	6/16/03	12/13/02	5/23/03	4/30/03	6/13/03	7/29/03
Duration (Days)	90	225	351	65	195	58	68	85
Product Delivery Date	N/A	N/A	2/07/03	11/15/02	1/13/03; 5/30/03	4/30/03	5/27/03; 6/13/03	7/29/03

Community Facilities District

The developer is pursuing the formation of Community Facilities District (CFD) No. 1, Westport at Mandalay Bay that will fund a portion of the regional and backbone infrastructure improvements. Of the total 58.3 gross acres of the project, approximately 27.58 acres is to be developed into uses subject to a Mello-Roos special tax levy. At build-out, it is expected that CFD No. 1 will consist of approximately 306 residential units and 22,000 square feet of non-residential property. Estimated costs for the proposed public improvements follow:

Waterway Improvements.....	\$7,318,389
Sanitary Sewer Facilities	471,080
Roadway Improvements	467,188
Water Facilities.....	203,800
Contingency, Engineering, Surveying, Staking & Construction Management	<u>2,538,137</u>
Total Estimated Facilities Cost.....	\$10,998,594

Estimated total bonded indebtedness for CFD No. 1 is \$9,550,000. It is anticipated that CFD No. 1 will sell one bond issue, with a term not to exceed 40 years, in the fourth quarter of 2002.

CFD No. 2, encompassing the same land area at Westport Mandalay Bay, is likewise being formed to finance all or some of the services relating to the waterways within and adjoining CFD No. 2 and the harbor. These services include police protection services, including, but not limited to, enforcement of codes; maintenance of parks, parkways and open spaces; and storm drain filtration maintenance. Projected annual cost of such services is estimated as follows:

Landscaping & Lighting	\$183,750
Channel Maintenance/Storm Drain Filtration	125,000
Code Enforcement	135,000
Harbor Dredging.....	68,100
Canal Water Circulation	<u>46,000</u>
Total Annual Services Cost	\$557,850

Impact of CFD Special Taxes

A special tax will be levied on each parcel of taxable property within the CFD to pay for the construction, acquisition and rehabilitation of public facilities, to pay for authorized services or to repay bonded indebtedness or other related expenses incurred by CFD No. 1. The special tax will be levied for a period not to exceed forty years, commencing in fiscal year 2003-2004. The maximum special tax for undeveloped property, property owner association property, and

taxable public property shall be \$29,280 per acre in fiscal year 2003-2004. On each July 1, commencing on July 1, 2004, the assigned special tax for either improved or undeveloped property will be increased by an amount equal to 2% of the amount in effect for the previous fiscal year.

Table 2 below summarizes the estimated special taxes from CFD No. 1 and CFD No. 2, Westport at Mandalay Bay, identified by product type. These annual special tax estimates are based on the estimated average unit values resulting from an economic market study performed by Empire Economics. For each category of product proposed for development at Westport, Mandalay Bay, the total effective tax rate including special taxes, does not exceed 2% of the estimated average unit market value.

Table 2
Westport @ Mandalay Bay Property Tax Analysis By Product Type

<i>Property Category</i>	<i>Average Value/Unit</i>	<i>Base Eff. Tax Rate</i>	<i>Effective Base Tax</i>	<i>CFD-1</i>	<i>CFD-2</i>	<i>Total Special Tax</i>	<i>Total Tax</i>	<i>Total Eff. Tax Rate</i>
				<i>Annual Special Tax</i>	<i>Annual Special Tax</i>			
Estate Lots	\$853,000	1.2130%	\$10,347	\$3,947	\$2,766	\$6,713	\$17,060	2.00%
Inland Waterway Lots	\$809,000	1.2134%	\$9,816	\$3,743	\$2,621	\$6,364	\$16,180	2.00%
Channel Lots	\$636,000	1.2153%	\$7,729	\$2,943	\$2,048	\$4,991	\$12,720	2.00%
Village Duplex Property	\$396,000	1.2146%	\$4,810	\$1,832	\$1,278	\$3,110	\$7,920	2.00%
Townhouse Property	\$288,000	1.2193%	\$3,512	\$1,333	\$916	\$2,249	\$5,761	2.00%
Condominium Property	\$245,000	1.2216%	\$2,993	\$1,134	\$774	\$1,908	\$4,901	2.00%

Source: David Taussig and Associates, Inc.

Site Development

As of the date of inspection, September 23, 2002, site development in the form of grading and infrastructure has been underway for about 1 year. The soil transfer of topsoil affected by the former farming operation was completed, involving removal of soil across the entire site to a depth of about 2 feet. The entire site has been over excavated to a depth of 12 feet and recompacted pursuant to the soils report recommendations. Pads have been graded for the Village Duplex and Townhouse sites that are under contract for sale to Beazer Homes. Grading for the detached residential lot neighborhoods is also underway. Preliminary canal excavation has taken place to a depth of about 10 feet, where ground water has been encountered. Ultimate channel depths of about 23 feet will be achieved through staged excavation. Wells have been drilled that will be used to pump and lower the level of ground water on the site as further excavation occurs. Slopes have been graded for setting of rip rap along the canal frontage; backcuts and footing excavations for bulkhead seawalls are underway. Two elevated pads for the mixed-use site have been over excavated and surcharge piles have been placed to enhance settling. Wooley Road improvements that have been accomplished include rough grading of the expansion route along the south side of the street; extension of main lines for domestic water and sewer service to Victoria Avenue; and concrete curb and gutter along the south line of the street. Completion of street paving will commence shortly. Considerable work has commenced with respect to underground placement of overhead power and fibre optic lines

along the north side of the street, including conduit placement and underground utility vault installation. Additional operations will **proved** for extension of these services onto the subject property.

Estimated Development Costs

Development Plan for the 58.3-acre Westport at Mandalay Bay project, which is the subject of this appraisal, calls for improving most of the Planning Areas to "blue top" condition for sale to merchant builders. All engineering and **approvals** will be completed, bonds will be posted, and final maps will be recorded for sale to **merchant** builders. Exceptions are the townhouse, duplex and condominium/commercial parcels, **which** will be delivered in a graded "super pad" state.

Budget cost estimates for master land **development** and in-tract site finishing costs have been provided by SunCal Companies, master land developer of the project. Site finishing cost estimates (in-tract improvements, fees and permits) are identified for each of the subject product types, as identified within the **summary** on the facing page. In the discounted cash flow analysis, presented later in this **report**, these cost estimates have been deducted from the finished lot retail value estimates to **arrive** at the estimated gross lot sale revenue for the project.

Total estimated master land development costs are \$29,935,828. The Community Facilities District being formed is estimated to **provide** reimbursement of approximately \$7,585,000 to the master land developer, or about 25% of these improvement costs. A summary of the estimated direct costs is presented in the following Table 3. Based on the current developer's project cash flow summary, it is estimated that as of November 1, 2002 a total of \$13,275,607 has been spent from the budgeted amounts for grading and site development work to date. Remaining master land development costs, as of November 1, 2002, are estimated in the gross amount of \$17,395,221. After reimbursement for work outside of the CFD improvements, remaining net master site development costs are estimated to be \$16,660,221. These costs are expected to be incurred over the ensuing 14 months following the effective date of valuation, with completion of the project estimated in December 2003.

Table 3

Estimated Site Finishing Costs

	<i>SFR Lots 5,500 Sq. Ft.</i>	<i>SFR Lots 5,000 Sq. Ft.</i>	<i>SFR Lots 4,000 Sq. Ft.</i>	<i>Duplex Units</i>	<i>Townhouse Units</i>	<i>Stacked Condos</i>
Construction Costs	\$57,173	\$244,283	\$423,566	\$0	\$2,146,098	\$730,363
Indirect Costs	\$419,691	\$1,284,543	\$1,004,690	\$0	\$2,135,208	\$1,900,534
Total Costs	\$476,864	\$1,528,826	\$1,428,256	\$0	\$4,281,306	\$2,630,897
# Lots/Units	14	45	37	34	88	88
Finishing Costs/Lot	\$34,062	\$33,974	\$38,602	\$0	\$48,651	\$29,897

Table 3 (continued)

Master Land Development Costs

	Budget Total	Per Unit	Actual & Budget Prior to 11/01/02	Remaining at 11/1/02
Site Prep & Grading	14,359,195	46.925	6,136,803	8,222,392
Storm Drain	1,032,690	3,375	79,969	952,721
Sewer	735,914	2,405	286,811	449,103
Water	636,175	2,079	252,529	383,646
Dry Utilities	1,671,550	5,463	904,634	766,916
Street Improvements	1,899,735	6,208	300,000	1,599,735
Amenities & Specialties	2,490,456	8,139	127,387	2,363,069
Subtotal Hard Costs	\$22,825,715	\$74,594	\$8,088,133	\$14,737,582
Contingency @ 7%	1,500,000	4,902	0	\$1,500,000
Total Hard Costs	\$24,325,715	\$79,496	\$8,088,133	\$16,237,582
Fees, Assessments & Bonds *	2,648,864	8,656	2,470,200	\$178,664
Consultants & Engineering *	3,606,249	11,785	2,717,274	\$888,975
Subtotal Indirect Costs	6,255,113	20,442	5,187,474	1,067,639
Reimbursements	(645,000)	(2,108)	0	(645,000)
Total Net Indirect Costs	\$5,610,113	\$18,334	\$5,187,474	\$422,639
Total Master Land Development	\$29,935,828	\$97,830	\$13,275,607	\$16,660,221

* Includes 9% contingency

RESIDENTIAL MARKET OVERVIEW

Market Study - The Concorde Group

The Concorde Group has preformed a site evaluation and market study of the Westport at Mandalay Bay project, utilized by the developer in marketing the land for sale to merchant builders. The report, prepared for SunCal Companies, is dated August 14, 2002. Following are highlights from the report's site evaluation that are of particular relevance to my appraisal.

1. The site represents one of the few remaining opportunities for new water oriented housing an all of Southern California. Coastal Oxnard is where the most prestigious and expensive housing in the city is located, however even coastal Oxnard lacks the prestige of many Los Angeles County sites. The area is primarily a second home location for Los Angeles area residents as there is very little high-end employment in the area. The lack of high end employment in the area caps the potential for high priced primary residences. However, the location along the canal, along with the existing get-away nature of the surrounding neighborhood combine to make this site well suited for the proposed development.
2. Access to the site is rated "good", noting Highway 101 linking the site to Ventura and Los Angeles Counties, water access via the marina, and limited private aircraft access afforded by Oxnard Airport.
3. Visibility of the site is considered excellent for marketing of the housing product. Visitors to Oxnard State Beach and the Mandalay Beach Resort that travel via Wooley Road will pass directly by the site and are likely to be interested in the water oriented project. In the planned high-end community, being at "the end of the road" is considered a plus.
4. The size, shape, and condition of the property are appropriate for residential development. The adjoining canal makes the site appropriate for the proposed marina oriented product. The canal extensions will be a major selling point for the project.
5. Compatibility is indicated with surrounding land uses. The type and character of canals and open space as well as the density of surrounding development is very good for the proposed residential use. The proximity to the beach will be beneficial in the marketing and sales effort.
6. All major services are a short distance from the site. Since many of the homes will be used a secondary residences or retirement homes, the lack of quality primary schools nearby is not considered to be a major issue for this project, as most buyers are expected to have children already out of primary schools.

Presented on the following page as Table 4 is The Concorde Group pricing recommendation for the proposed housing product to be offered at Westport at Mandalay Bay. It is noted that there is no discussion regarding the impact on recommended pricing of the special tax assessments resulting from CFD 1 and 2 affecting homes at Westport, Mandalay Bay. The average rate of increase in pricing recommendation between March 2001 and July 2002 is about 10% to 10.5% for each of the product types.

Table 4

**Pricing Recommendations for Proposed Westport At Mandalay Bay
Attached and Detached Home Product
Oxnard, California - July 2002**

Product Type	March 2001					July 2002					Projected Absorption	
	Total Lots	Lot Size/ Density	Unit Size	Price Range	Value Ratio	Total Lots	Lot Size/ Density	Unit Size	Price Range ⁽¹⁾	Value Ratio	Units	Years
Single-Family Detached Residential												
SFD 4,000 (No Docks)	2	4,000	2,752 3,011	\$550,000 \$600,000	\$200 \$199	Not Offered						
SFD 4,000 (With Docks)	38	4,000	2,752 3,011	\$665,000 \$715,000	\$242 \$237	37	4,000	2,752 3,011	\$736,000 \$791,000	\$267 \$263	60	0.6
SFD 5,000 (With Docks)	43	5,000	3,243 3,620	\$845,000 \$920,000	\$261 \$254	45	5,000	3,243 3,620	\$935,000 \$1,018,000	\$288 \$281	36	1.3
SFD 5,500 (No Docks)	12	5,000	3,300 3,709	\$860,000 \$945,000	\$261 \$255	14	5,500	3,300 3,709	\$952,000 \$1,046,000	\$288 \$282	36	0.4
Subtotal	95					96					132	
Attached Residential												
Townhomes (10 du/acre)	88	N/A 12 du/ac	1,700 2,000	\$295,000 \$335,000	\$174 \$168	88	N/A 10 du/ac	1,700 2,400	\$326,000 \$371,000	\$192 \$155	36	2.4
Duplex (3,500)	35	3,500	2,300 2,605	\$405,000 \$455,000	\$176 \$175	34	3,500	2,300 2,605	\$448,000 \$504,000	\$195 \$193	48	0.7
Condominiums (Stacked Flats)	88	--	1,400 1,850	\$290,000 \$350,000	\$207 \$189	88	--	1,450 1,800	\$321,000 \$387,000	\$221 \$215	60	1.5
Subtotal	211					210					144	
Total	306					306					276	

⁽¹⁾ Price appreciation based upon a resale analysis of average July 2000 to June 2001 and July 2001 to June 2002 pricing in the following coastal Oxnard and Ventura communities: Hollywood by the Sea/Beach, Leeward, Mandalay Bay, Oxnard Shore, The Colony, Silver Strand, Harbor Island and Ventura Keys.

Source: The Concord Group

Market Absorption Study – Empire Economics

Empire Economics has performed a study of the regional and local housing market on behalf of the City of Oxnard for the purpose of forming absorption and pricing estimates for the housing product proposed for Westport at Mandalay Bay. I have reviewed this study, dated October 8, 2002, and have concluded that the reasoning and conclusions presented in this report are sound and support my own independent analysis of the market.

Following are highlights from the report's observations and conclusions that are of particular relevance to my appraisal.

- a) The market area (Oxnard, Ventura and Camarillo) has recently experienced a significant increase in the number of resale homes sold, as well as rising prices for resale housing. Consequently, the market for resale housing in the vicinity of CFD No. 1 W-MB has established a recovery from decline during the recessionary years of the early and mid-1990s. In 2001, the market area encompassing CFD No. 1 W-MB attained record levels in both sales activity and housing prices. This is important because the market for the Westport housing product is luxury move-up housing, the purchase of which generally requires the sale of an existing home.
- b) There are no active housing projects within the Housing Market Area that exhibit the same or similar characteristics of location and amenities that will be featured by the product proposed for Westport at Mandalay Bay. While the projected prices of homes at Westport are higher than for alternative new housing product in the greater Oxnard-Ventura-Camarillo market, homes at Westport will provide the move-up market with higher priced housing as an alternative to relocating to the Southeast Ventura County market, which is closer to Los Angeles.
- c) The only forthcoming competitive project is Seabridge, expected to bring to the market some 700 housing units, similar in product type and amenities as Westport at Mandalay Bay. While the Empire Economics absorption projection for sale of housing units at Westport is critically dependent on maintaining a competitive market advantage over the Seabridge project due to earlier market entry, the impact of forthcoming Seabridge lots is not nearly as critical to the timing of sale of Westport lots to merchant builders. A majority of the Westport lots already have commitments for sale, and initial lot closings at Westport are expected prior to start of land improvement work at the Seabridge project.

A summary presented on the following page as Table 5 depicts the pricing and absorption estimates made by Empire Economics for the proposed housing product at Westport at Mandalay Bay. These estimates take into consideration the impact of projected special district taxes on the subject homes, as a result of the CFD No. 1 W-MB bonded indebtedness.

Table 5
Absorption Schedules
City of Oxnard - CFD No. 1 Westport At Mandalay Bay
October 2002, Subject to Revision

Product Type	Product Characteristics										Totals - Residential		Commercial
	Condominium	Duplex	Townhomes	Detached				5,000 sf Lots	5,500 sf Lots	No	Annually	Cumulative	Retail
				4,000 sf Lots	Yes	5,000 sf Lots	Yes						
Boat Docks	No	No	No										
Expected Builder	N/A	Beazer Homes	Beazer Homes	Larwin Company		JM Development, Inc.			JM Development, Inc.				
Development Status													
Total	88	34	88	37		45		14			306		22,000
Occupied	0	0	0	0		0		0			0		0
Forthcoming	88	34	88	37		45		14			306		22,000
Share - Forthcoming	28.8%	11.1%	28.8%	12.1%		14.7%		4.6%			100.0%		
Commence Escrow Closings	2004	2003	2003	2003		2004		2004					
Base Prices - Estimated (Developer)													
Lower	\$321,000	\$448,000	\$326,000			\$935,000		\$952,000					
Average	\$354,000	\$476,000	\$348,500			\$763,500		\$976,500					
Upper	\$387,000	\$504,000	\$371,000			\$791,000		\$1,018,000					
Living Area - Estimated													
Lower	1,400	2,300	1,700			3,243		3,300					
Average	1,600	2,453	2,050			3,432		3,505					
Upper	1,800	2,605	2,400			3,620		3,709					
Value Ratio													
	\$221	\$194	\$170			\$285		\$285					
2003	0	13	36	5		0		0			54	54	0
2004	30	21	52	24		20		7			154	208	0
2005	45	0	0	8		25		7			85	293	22,000
2006	13	0	0	0		0		0			13	306	0
Total	88	34	88	37		45		14			306		22,000
Average											98		

Source: Empire Economics, Inc.

Estimated Retail Pricing-Westport at Mandalay Bay Housing Product

I have performed my own analysis of trends in the residential resale market in coastal Oxnard. Presented in Exhibit B of this report is a summary of sales data gathered from the various competitive neighborhoods in the Channel Islands district, covering approximately a 30-month period from April 2000. Focus is placed on sales of detached homes, townhouses and condominiums in the Leeward Estates section of Mandalay Bay, Harbour Pointe, The Colony at Mandalay Beach, and to a limited extent, Oxnard Shores. Because of proximity to the ocean rather than a harbor environment, pricing levels and trends in property sales within Oxnard Shores have been given relative consideration, particularly in analysis of vacant lot sales to be discussed later in this report, rather than as direct market comparisons. The coastal Oxnard residential property resale data has been used to indicate either my consensus with The Concorde Group and Empire Economics recommendations of retail sale prices, or to support a different opinion of average pricing estimates for proposed residential units at Westport Mandalay Bay. In performing my analysis of the resale data, several adjustments have been made to recognize differences in market prices for resale homes in the area versus the proposed new housing product for Westport at Mandalay Bay. Following is the reasoning for the adjustments made.

Adjustment for Special Assessment District Taxes

Only condominium residences on Harbour Island are subject to CFD special taxes at levels similar to those estimated for the residences in Westport at Mandalay Bay, with creation of CFD No. 1. Other homes and lots located in Leeward Estates, The Colony, and Oxnard Shores neighborhoods are not subject to CFD special taxes. Accordingly, when comparison is made to sales of either detached or attached homes at locations other than Harbour Island in the coastal Oxnard area, an adjustment to the indicated comparative sale price must be made to reflect the impact of these additional annual special taxes. The chart presented as Table 6 on the following page depicts the estimated magnitude of the adjustment for each product type proposed for Westport at Mandalay Bay. In each case, adjustments are derived by the estimated reduction in home buyer purchasing power, given current residential mortgage terms, that would result through payment of the special taxes on a monthly impound basis. For instance, in the case of the Estate Lots, the total monthly special tax encumbrance resulting from CFD Nos. 1 and 2 is estimated to be \$559.42. At the monthly debt service constant estimated for a typical jumbo loan, this amount would otherwise amortize an additional \$116,546 in home price. For the Estate Lot proposed average product size, this reduced home purchasing opportunity equates to \$33 per square foot of living area, or \$21 per square foot of average lot area. Computations for the other product types are similarly estimated.

Table 6
Comparative Home Value Adjustment
CFD Special Tax Assessments

Assumptions:

Jumbo Loan		Conventional Loan	
Interest Rate:	6.00%	Interest Rate:	5.75%
Term:	30 yrs	Term:	30 yrs
L/V Ratio:	80%	L/V Ratio:	80%
Mo. Constant:	0.006	Mo. Constant:	0.00584

Property Category	Type Loan	Monthly Special Tax	Value Adjustment	Avg. Home Sq.Ft.	Adjustment Per Sq.Ft.	Avg. Lot Sq.Ft.	Adjustment Per Sq.Ft.
Estate Lots	Jumbo	\$559.42	\$116,546	3,525	\$33	5,500	\$21
Inland Waterway Lots	Jumbo	\$530.33	\$110,485	3,433	\$32	5,000	\$22
Channel Lots	Jumbo	\$415.92	\$86,650	2,895	\$30	4,000	\$22
Village Duplex Property	Jumbo	\$259.16	\$53,992	2,435	\$22	3,500	\$15
Townhouse Property	Conventional	\$187.42	\$40,116	1,853	\$22	2,400	\$17
Condominium Property	Conventional	\$159.00	\$34,033	1,625	\$21	N/A	N/A

Canal Frontage/Boat Docks

Existing homes and duplexes in the adjacent Leeward Estates and Mandalay Bay neighborhoods all have canal frontage and boat docks. For purposes of comparison to prices paid for homes in these neighborhoods, adjustment has been made in deriving estimates of average home prices for the Westport at Mandalay Bay product that will not feature such amenities. The closest market comparison for estimating the value of canal frontage with a boat dock results from comparison of recent sales data involving lots in the Leeward Estates neighborhood that have canal frontage and boat docks, to inland lots in Oxnard Shores that do not. This comparison is made because lots in both neighborhoods are about the same average size and will accommodate custom home construction. The comparison does not include the ocean front lots within Oxnard Shores. Analysis of recent lot sales data reveals an average price differential between the two locations of about \$25 per square foot of lot area, or about \$100,000 per lot for the minimum 4,000 square foot lot. The adjustment derived is considered to be indicative of the difference in atmosphere that comes from the nature of development in the two neighborhoods and not solely from the presence or absence of a boat dock.

New Home Construction

Analysis of sales for recently built homes versus older existing homes in Oxnard Shores indicates a premium of about \$30 per square foot of living area for new construction. Adjustments consistent with this data have been applied in estimating prices for the proposed homes in Westport at Mandalay Bay, in comparison to sales data involving comparable but older homes in coastal Oxnard.

Lot Size Adjustments

Pricing comparisons are adjusted to recognize differences in lot sizes between the Westport home products and comparable sales data drawn from other neighborhoods in coastal Oxnard. Where applicable, premiums are recognized for oversized lots and negative pricing adjustments

are made for undersized lots, based on the land price rates supported by lot sales comparisons. Comparative finished lot values in the market are estimated at \$80 per square foot for the detached home lots, and \$45 to \$50 per square foot for the clustered housing lots.

The following discussion and estimates of retail prices for housing product proposed for Westport Mandalay Bay are based on the comparative sales data presented in Exhibit B, reflecting adjustments for previously discussed differences in lot sizes, age of improvements, canal orientation and boat dock amenities, and the impact of CFD special taxes.

Estate Lots – 5,500 Square Feet

Preliminary design criteria indicate an average size home of 3,525 square feet. These homes will overlook the Reliant Energy Channel but will not have private boat docks. All homes will have westerly view exposure. Emphasis in pricing comparison is made to the sales of existing homes in the Leeward Estates neighborhoods of Mandalay Bay. The sales summary referenced in Exhibit B indicates substantial appreciation in prices for these homes over the past 2 to 3 years. A summary of representative homes that have sold over the past year, sorted by size of homes, is presented on the following page as Table 7. Considering the 3,525 square foot average home size proposed for the Estate Lots at Westport, an average market price of about \$275 per square foot is supportable by the data, before adjustment for differences. After adjustments, summarized below, it is my opinion that the estimated average pricing supported by market comparison for the homes proposed to be built on the Estate Lots is \$280 per square foot.

Comparative Price/Sq.Ft.....	\$275
Lot Size Adjustment	23
Canal/Boat Dock Adjustment	(15)
New Construction Adjustment	30
CFD Special Tax Adjustment.....	<u>(33)</u>
Adjusted Comparative Price/Sq.Ft.	\$280

The adjustment for lack of boat docks is about one-half the adjustment supported by market comparison, considering that these lots will still have canal frontage and westerly view exposure. In my opinion, current market support is found at \$280.00 per square foot for the average retail sale price of homes for the estate lots, with an average selling price estimated as:

3,525 square feet x \$280.00/square foot.....	\$987,000
	Say \$987,000

Table 7
Summary of Sales Activity - Leeward Estates

<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg. Sq.Ft.</i>	<i>Yr.</i>	<i># Built</i>	<i># Sty.</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
HOME SALES												
2531 Victoria Ave	4,240	W	42 ft	1,730	SFR	N/A	1	3	2.5	Apr-02	\$580,000	\$335.26
4040 Ischia Dr	4,000	S	40 ft	1,943	SFR	N/A	2	3	2.5	Oct-01	\$535,000	\$275.35
2161 S. Victoria	4,800	W	40 ft	2,062	SFR	1978	2	2	2.5	Nov-01	\$605,000	\$293.40
2051 Peninsula Rd	4,444	W	44 ft	2,098	SFR	1977	2	3	2.5	Feb-02	\$749,000	\$357.01
Average				1,958							\$617,250	\$315.20
4020 Ischia Dr	4,547	S	70 ft	2,266	SFR	1978	2	2	2.5	Apr-02	\$745,000	\$328.77
4020 Hemlock St	6,000	S	45 ft	2,332	SFR	1977	3	3	2.25	Aug-02	\$703,000	\$301.46
2241 Greencastle Ln	4,275	W	45 ft	2,367	SFR	1969	2	3	2.5	Dec-01	\$687,500	\$290.45
2240 Monaco Dr	4,192	E	42 ft	2,388	SFR	N/A	2	2	2.5	Dec-01	\$535,000	\$224.04
2034 Napoli Dr	4,376	E	40 ft	2,443	SFR	1976	2	3	3.25	Nov-01	\$565,000	\$231.27
Average				2,359							\$647,100	\$274.29
2310 Jamestown Ln	4,400	E	45 ft	2,802	SFR	1971	2	4	2.5	Oct-01	\$750,000	\$267.67
3840 Hemlock St.	4,000	S	40 ft	2,989	SFR	1980	2	3	2.5	Aug-01	\$740,000	\$247.57
2241 Monaco Dr	4,298	W	40 ft	3,020	SFR	N/A	2	4	2.5	Jan-02	\$740,000	\$245.03
2300 Peninsula Rd	4,500	E	45 ft	3,177	SFR	1980	2	3	3.5	Nov-01	\$950,000	\$299.02
2041 Greencastle Wy	4,833	W	41 ft	3,220	SFR	1985	2	4	3	Aug-01	\$990,000	\$307.45
Average				3,042							\$834,000	\$274.20
2525 Peninsula Rd	5,661	W	44 ft	3,480	SFR	1980	2	3	3.25	Dec-01	\$840,000	\$241.38
2540 Peninsula Rd	4,520	E	54 ft	3,801	SFR	1981	2	3	3.25	Dec-01	\$630,000	\$165.75
2221 Monaco Dr	7,196	N & W	55 ft	3,831	SFR	1980	2	4	4	Aug-02	\$1,471,000	\$383.97
Average	4,722			3,704							\$980,333	\$264.67

Inland Waterway Lots – 5,000 Square Feet

Preliminary design criteria indicate an average size home of 3,433 square feet. These homes have canal frontage and private boat docks. Although slightly smaller than the Estate Lots, Inland Waterway lots will support only slightly smaller homes. Taking into consideration the private boat dock amenity, which is comparable to the recent sales referenced for detached home sales in Mandalay Bay, it is my opinion that current market support is found at \$285.00 after adjustment of the market pricing comparative data.

Comparative Price/Sq.Ft.....	\$275
Lot Size Adjustment	12
Canal/Boat Dock Adjustment	0
New Construction Adjustment	30
CFD Special Tax Adjustment.....	(32)
Adjusted Comparative Price/Sq.Ft.	\$285

In my opinion, the market supports an average retail sale price of homes for the inland waterway lots of \$285 per square foot, with an average selling price estimated as:

3,433 square feet x \$285.00/square foot.....	\$978,405
	Say \$978,000

Channel Lots – 4,000 Square Feet

Preliminary design criteria indicate an **average** size home of 2,895 square feet. These homes have canal frontage and private boat docks. These lots are smaller than the Inland Waterway lots and will support smaller homes. **After adjustment** for lot size, new construction and CFD special taxes, analysis of recent sales of **similar** size homes in Mandalay Bay indicate pricing support at \$261 per square foot, including **private** boat dock amenity.

Comparative Price/Sq.Ft.....	\$275
Lot Size Adjustment	(14)
Canal/Boat Dock Adjustment.....	0
New Construction Adjustment	30
CFD Special Tax Adjustment.....	<u>(30)</u>
Adjusted Comparative Price/Sq.Ft.	\$261

In my opinion, the average retail sale **price of homes** on the channel lots is estimated as:

2,895 square feet x \$261/square foot.....	\$755,595
	Say \$756,000

Village Duplex Lots– 3,500 Square Feet

Preliminary design criteria indicate an **average** size duplex home of 2,435 square feet. These homes will be at the interior of the **project** and will not offer canal frontage or private boat docks. In this respect, they are **different** than the similar size existing duplex homes in Mandalay Bay. Over the past 12 months, **sales** of Mandalay Bay townhouse units ranging from 2,150 square feet to 2,300 square feet **reflect** a median price of \$230 per square foot. The median price was deemed applicable in **this** analysis, considering much higher prices paid for the westerly facing townhouse units. **Each** Westport duplex unit will have an equivalent minimum lot area of 3,500 square feet, **also** comparable to the lot sizes for the Mandalay Bay townhouse homes. After other adjustments for lack of canal frontage and boat docks, new construction, and CFD special tax differences, market support for duplex unit average pricing is indicated at \$197 per square foot, in my **opinion**.

Comparative Price/Sq.Ft.....	\$230
Lot Size Adjustment	0
Canal/Boat Dock Adjustment	(41)
New Construction Adjustment	30
CFD Special Tax Adjustment.....	<u>(22)</u>
Adjusted Comparative Price/Sq.Ft.	\$197

In my opinion the average retail sale **price of duplex** homes proposed for Westport Mandalay Bay is:

2,435 square feet x \$197.00/square foot.....	\$479,695
	Say \$480,000

Table 8

Summary of Sales Activity - Mandalay Bay Townhouses

<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg. Sq.Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
2000 Kingsbridge Wy	3,252	E	33 ft	2,192	Twnhse	1971	2	4	3	Aug-01	\$465,000	\$212.14
2511 Jamestown Ct.	2,800	W	28 ft	2,237	Twnhse	1971	2	3	2.5	Feb-01	\$480,000	\$214.57
2450 Jamestown Ct.	2,800	N	28 ft	2,237	Twnhse	1971	2	3	2.5	May-01	\$486,000	\$217.26
4536 Falkirk Bay	2,800	SE	28 ft	2,264	Twnhse	1976	2	3	2	Mar-02	\$490,000	\$216.43
2110 Kingsbridge Wy	2,800	E	20 ft	2,192	Twnhse	1971	2	4	3	Aug-01	\$500,000	\$228.10
2510 Oldham Cir	2,800	E	28 ft	2,237	Twnhse	1971	2	3	2.5	Dec-01	\$520,000	\$232.45
2215 Kingsbridge Ln	2,800	N	40 ft	2,300	Twnhse	1971	2	3	2.5	Nov-01	\$525,000	\$228.26
2231 Kingsbridge Ln	3,402	W	35 ft	2,192	Twnhse	1971	2	4	3	Apr-02	\$537,000	\$244.98
4620 Eastbourne Bay	3,000	S	30 ft	2,153	Twnhse	1976	1	2	3	Oct-01	\$572,000	\$265.68
2001 Kingsbridge Wy	3,252	W	33 ft	2,192	Twnhse	1971	2	4	3	Jun-02	\$590,000	\$269.16
2111 Kingsbridge Wy	2,800	W	28 ft	2,237	Twnhse	1971	2	3	2.5	Jul-01	\$590,000	\$263.75

Townhouse Villa Lots – 2,400 Square Feet

Preliminary design criteria indicate an average size townhouse villa home of 1,853 square feet. These homes will also be at the interior of the project and will not offer canal frontage or private boat docks. Again, best comparative pricing indicators are considered to be the Mandalay Beach townhouse units, after adjusting for canal frontage and boat dock amenities. A summary chart on the following page as Table 9 illustrates an average price for sales of similar size units over the past year to be about \$260 per square foot. After adjustments to comparative pricing for other differences previously discussed, it is my opinion that market support is found at the rate of \$202 per square foot for the average retail sale price of Westport townhouse units.

Comparative Price/Sq.Ft.....	\$260
Lot Size Adjustment	(16)
Canal/Boat Dock Adjustment	(50)
New Construction Adjustment	30
CFD Special Tax Adjustment.....	<u>(22)</u>
Adjusted Comparative Price/Sq.Ft.	\$202

Following is the estimated average estimated retail sale price of the Westport Townhouse Villa units.

1,853 square feet x \$202.00/square foot.....	\$374,306
	Say \$374,000

Table 9
Summary of Sales Activity - Mandalay Bay Townhouses

<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg Sq.Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
2041 Kingsbridge Wy	2,950	E	29.5 ft	1,800	Twnhse	1971	2	3	2.5	Aug-01	\$345,000	\$191.67
2160 Kingsbridge Wy	2,800	SE	28 ft	1,800	Twnhse	1971	2	3	2.5	Sep-01	\$485,000	\$269.44
2551 Jamestown Ct	2,800	W	28 ft	1,800	Twnhse	1971	2	3	2.5	Sep-01	\$507,500	\$281.94
2160 Kingsbridge Wy	2,800	S	28 ft	1,800	Twnhse	1971	2	3	2.5	Sep-01	\$485,000	\$269.44
2565 Greencastle Ct	5,413	W	40 FT	1,800	Twnhse	1971	2	3	2.5	Oct-01	\$575,000	\$319.44
4440 Meridian Ave.	2,940	S	28 ft	1,991	Twnhse	1971	2	3	2.5	Feb-01	\$485,000	\$243.60
2530 Oldham Cir.	2,800	E	28 ft	1,991	Twnhse	1971	2	3	2.5	Jul-01	\$479,000	\$240.58
4135 W. Channel Is.	2,921	N	28 ft	1,800	Twnhse	1971	2	3	2.5	Jun-02	\$518,000	\$287.78
2435 Oldham Cir	2,885	NW	29 ft	1,800	Twnhse	1971	2	3	2.5	Jun-02	\$540,000	\$300.00
4515 Gateshead Bay	2,800	NW	28 ft	1,804	Twnhse	1976	2	4	2	Mar-02	\$490,000	\$271.62
4510 Gateshead Bay	2,800	SE	28 ft	1,804	Twnhse	1976	2	4	2	Jul-02	\$510,000	\$282.71
2160 Jamestown Wy	3,032	SE	28 ft	1,991	Twnhse	1971	2	3	2.5	Jun-02	\$576,000	\$289.30
4350 Meridian Ave	<u>2,800</u>	SE	28 ft	<u>1,991</u>	<u>Twnhse</u>	1971	2	3	2.5	Jul-02	<u>\$330,000</u>	<u>\$165.75</u>
Average	3,057			1,859							\$486,577	\$261.69

Stacked Flat Condominium Units

Preliminary design criteria indicate an average size condo flat home of 1,650 square feet. These units will be within 3-story buildings built over ground floor commercial space and will offer some canal frontage locations and opportunities for boat dock access. The best market comparisons, in my opinion, are similar stacked flat condominium units that are in the Harbour Pointe area of Mandalay Bay-Phase IV, just south of the subject property. Sales over about the last 12 months show an average price of about \$213 per square foot for a slightly larger average unit size of 2,061 square feet. A comparative price for the smaller Westport condo units would be \$220 per square foot, in my opinion. However, it is noted that the Harbour Island units are oriented so that all units have canal views whereas only about 37.5% of the Westport condominium units will have similar canal view orientation. Also, the Harbour Island location is more exclusive since it has a guarded entry and does not have the public element of commercial space on the ground floor of the complex. Only one-half of the market-derived new construction adjustment is applied in this analysis because of the newer condition of the Harbour Island condo units, built between 1988 and 1992. After applying adjustments for these differences, an estimated average price of \$183 per square foot is indicated for the Westport condominium units.

Comparative Price/Sq.Ft.....	\$220
Commercial Influence (-10%).....	(22)
Canal/Boat Dock Adjustment (62.5% of units)	(30)
New Construction Adjustment	15
CFD Special Tax Adjustment.....	<u>0</u>
Adjusted Comparative Price/Sq.Ft.	\$183

The estimated average retail sale price of Westport stacked condominiums is the amount of:

1,650 square feet x \$183/square foot.....	\$301,950
	Say \$302,000

Table 10
Summary of Sales Activity - Harbour Pointe Condos

<i>Address</i>	<i>Bldg. Sq.Ft.</i>	<i>Yr. Blt.</i>	<i>Floor Location</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
1709 Emerald Isle Way	2,164	1991	H-2	1	2	2	Aug-01	\$450,000	\$207.95
1717 Pearl Way	2,164	1992	Q-3	1	2	2	Jul-01	\$480,000	\$221.81
4216 Harbour Island	1,937	1988	A-3	1	2	2	Sep-01	\$400,000	\$206.50
4223 Harbor Island	2,164	1988	E-1	1	2	2	Nov-01	\$399,000	\$184.38
4228 Harbour Island	1,937	1988	B-3	1	2	2	Aug-01	\$394,500	\$203.67
4211 Harbour Island	1,937	1992	N-3	1	2	2	Dec-01	\$385,000	\$198.76
1741 Pearl Way	1,937	1992	O-1	1	2	2	Feb-02	\$430,000	\$221.99
1733 Emerald Isle Way	1,937	1991	G-3	1	2	2	Apr-02	\$430,000	\$221.99
1711 Pearl Way	2,164	1992	O-2	1	2	2	Escrow	\$480,000	\$221.81
4226 Harbour Island	2,164	1988	B-2	1	2	2	Sep-02	\$480,000	\$221.81
1729 Emerald Isle Way	2,164	1991	G-2	1	2	2	Aug-02	\$485,000	\$224.12
Average	2,061							\$437,591	\$212.34

HIGHEST AND BEST USE

The term “*highest and best use*” is defined as:

“the reasonably probable and legal use of property (vacant land or an improved property), which is physically possible, appropriately supported, financially feasible, and that results in the highest value. The four criteria that highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum profitability.”

Source: The Dictionary of Real Estate Appraisal, Second Edition, American Institute of Real Estate Appraisers

Implied in the foregoing definition is the recognition of the contribution of that specific use to the community environment or to community development goals in addition to wealth maximization of individual property owners. Also implied is that the determination of highest and best use results from the appraiser’s judgment and analytical skills, i.e., that the use determined from said analysis represents his opinion.

The concept of highest and best use in appraisal practice is the underlying premise upon which a value estimate is based. That determination is based on consideration of social, physical and economic forces that affect the subject property and influence value. In analyzing these forces for the purpose of determining the highest and best use for the land “as if vacant”, attention has been given to the property’s conformity to zoning, supply and demand patterns in the marketplace; adaptability and physical characteristics; conversion potential; and potential for economic returns.

Conformity To Zoning

Analysis of the individual Planning Areas of Westport at Mandalay Bay is made in compliance with provisions of Tentative Tract No. 5196, and other development entitlements in place to date, which specifies land uses, maximum development densities and other issues consistent with the zoning entitlements for the property.

Physical Characteristics

Physical constraints imposed on the property with respect to drainage, topography, provision of parkland, and public access to coastal and recreation amenities are adequately addressed, in my opinion, in the proposed site development plan and land development costs.

The property is in the process of being graded and developed into five distinctly different residential neighborhoods of varying product types and densities. The master developer has marketed the parcels for sale to merchant builders on a "blue top" lot basis for the single-family neighborhoods, and as mass-graded, super pads for the duplex, condominium/commercial and townhouse sites. Some of the sale contracts are expected to close shortly. Delivery of the parcels in the identified conditions will place the parcels in a readily developable position. The land is in the process of being developed according to maximum allowable densities, reflecting a site layout and development pattern that will result in maximum water orientation while providing a lot yield that is capable of generating a favorable return to the land.

There is no separate parcel designated for the proposed commercial space development. Instead, it will be part of the mixed-use parcel also containing 88 stacked condominium units, and will consist of airspace condominium rights with zoning and permits to construct commercial, office, retail or restaurant uses. In valuing these property rights, I have made a market comparison to estimate the amount of land required to support 22,000 square feet of ground-level, commercial/retail space. In my opinion, site coverage of 25% would be typical, indicating equivalent commercial land for the subject project of 88,000 square feet, or 2.02 acres. This estimate of equivalent commercial land area has been used in my valuation by land sales comparison for the subject commercial use element.

Supply and Demand

Current and projected supply and demand characteristics are positive with respect to the proposed residential development. Support is taken from the Empire Economics Market Absorption Study previously referenced, as well as my own investigation and analysis of sales of vacant lots and existing homes in the Channel Islands District neighborhoods of Oxnard Shores, Mandalay Bay and The Colony, where similar products to those proposed for the subject land are found. In particular, the water orientation and private boat dock features are considered to be an attractive marketing advantage and represent an enhancement in value to the proposed lots.

Economic Return Potential

The economic projections and analysis which follow suggest the proposed development to be economically feasible at the level of resultant "as is" market value estimate as enhanced by infrastructure improvements to be financed by Community Facilities District No. 1-Westport at Mandalay Bay.

Conclusion - Highest and Best Use

In my opinion, the proposed plan of development for Westport at Mandalay Bay per Tentative Tract No. 5196 is considered to be the highest and best use of the property.

APPRAISAL METHODOLOGY

The valuation process starts with forming an opinion of the retail value of the land reflecting its condition at the time that it would be marketable to merchant builders. For the neighborhoods where ultimate product development would involve individual lots, such as the single-family and duplex unit projects, this condition is defined as being "blue top" lots with final tract map ready to record. For the townhouse and condominium/commercial land, the condition would be that of a mass-graded "super pad" with utilities and access provided to the site. From the aggregate of these individual retail values is subtracted the costs to achieve the assumed condition at the time of sale. Such costs would include the infrastructure costs assumed to be financed by CFD No.1-WMB, as well as all other site improvement and indirect costs to reach the condition of either "blue top" lots or "super pad" condition. The net projected sale proceeds are then discounted over the anticipated development and absorption period, resulting in an indication of the raw land bulk sale value, as enhanced by the infrastructure improvements to be financed by CFD No.1-WMD. This last step in the appraisal process is known as a Developmental Analysis because it mirrors the analysis performed by a land developer in determining the feasibility of a project.

Each of the five Westport residential neighborhoods has different physical characteristics, lot sizes and build-out potential. The market confirms that competition between the phases or neighborhoods in terms of sales of finished housing products would not be expected. Hence, these various lot neighborhoods could be simultaneously marketed and absorbed without the need for phased lot absorption, except in the case where the number of lots or units is sufficient in size to be purchased in more than one phase. The time period reflected in the Developmental Analysis is that required for the completion of infrastructure development and site improvements, projected at intermediate periods over a total 14 months from the date of value. Sale of the various residential neighborhoods is estimated upon completion of the phased construction according to the tract map phasing requirements.

The Sales Comparison Approach has been used as the primary methodology in estimating the market value of the retail values of land in the various Westport neighborhoods.

SALES COMPARISON APPROACH

Background And Methodology

The Sales Comparison Approach is a process whereby actual prices paid for properties similar to the subject property are used to establish an indicated value for the subject property. This approach is based on the principle of substitution, which states that a prudent investor will pay no more to buy a property than it will cost to buy a comparable substitute property elsewhere in the market. Invoking this approach establishes what typical investors in the market (merchant builders) are willing to pay for properties similar to the subject ("blue top" lots or mass graded "super pads"), reflecting the motivation of making a reasonable profit on the sale of homes.

Merchant builders employ a nearly universal method of analysis upon which residential land purchase decisions are based. The common unit of comparison is the price per finished lot, defined earlier in this report to be a condition reflecting improvement of the land to individual lots ready to build upon. Most often, however, while this measure of value is used in reaching agreement between buyer and seller, the lots often change hands before all the finishing costs are completed, or when the lots are in "blue top" condition. This leaves the cost to finish the in-tract site improvements and payment of fees to the buyer (merchant builder), and the actual selling price of the lots is adjusted accordingly per agreement between the parties as to what the level of the remaining costs and fees are.

The finished lot cost is a unit of production to the merchant builder and, like similar units, (house construction costs, home selling prices, financing costs, marketing costs, and administrative costs) is a critical element in determining the feasibility of the project. In other words, a merchant builder will buy the lots at a price that is expected to permit a reasonable probability for making a profit upon sale of the homes to be built. Of course, in the recent market where availability of readily buildable land is short and demand for homes is high, competition affects the market for finished residential lots. In a market of accelerating land prices, builders either have to be confident of rising homes prices by the time the product comes to market, or be willing to accept lower profit margins in order to justify the higher lot prices. With these factors in mind, the finished lot price unit of comparison is an accurate reflection of the dynamic forces at work in the real estate market, and is an appropriate measure for estimating the retail value of the subject Westport land at the point where it is marketable to merchant builders.

Finished lot prices can differ significantly between projects that reflect different amenities and appeal to different sectors of the market, i.e., luxury Coastal-oriented homes versus modest entry-level homes. One of the difficulties in the appraisal analysis, when drawing comparisons between market sales of finished lots and the subject lots, is in adjusting for the differences that are reflected in the variation among finished lot prices. Absent the ability to analyze and compare all of the pro forma cost projections and units of production that determine the feasibility and profit potential for the comparisons, as well as the subject property, a simplified method of comparison is the "finished lot price to pro forma home sale price ratio". This method of comparison recognizes a relationship between the price that a merchant builder can afford and is willing to pay for a finished lot, compared to the average anticipated selling prices of the homes to be built on those lots. The relationship is expressed as a percentage. As the

data to be presented and discussed will show, the finished lot cost as a percentage of the pro forma average home selling price generally ranges in the local market from about 35% to 45%. The comparisons and analysis to be made will discuss and support the reasons for this range in support of forming an opinion of retail value for the subject lots.

Since the water-oriented concept and luxury residential product envisioned for Westport at Mandalay Bay fits a unique market niche, the search for and presentation of land sale comparisons has necessarily focused on three segments of the market. This is because the project does not match well with any particular segment of the existing market in Oxnard or Ventura that might otherwise yield direct applicable lot sale comparisons. The three market comparisons made are: 1) consideration of contracts, letters of intent, and other evidence of market value offered for the subject lots; 2) sales of individual finished residential lots and resale homes in nearby Channel Islands neighborhoods that exhibit similar Coastal orientation and private boat dock amenities; and, 3) analysis and comparison of bulk lot sale transactions to merchant builders involving land that does not possess Coastal influence.

Bulk Lot Sale Comparisons

Presented on the following pages are details pertaining to bulk purchases by merchant builders of residential lots in the Oxnard and Ventura area. Analysis of these transactions by the finished lot ratio unit of comparison is relevant and useful information to be considered in forming an opinion of market value for the subject lots, assuming finished condition.

Residential Lots – Bulk Sale No. 1

Location: North of Thille Street, at Ringo Avenue, Ventura
Property Type: Single Family Lots
APN: Portion 083-050-34-0
Project Name: Camden
Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: 20 acres
Utilities: Available, but need extension.
Topography: Level
Condition at Sale: Raw Land
Lot Finishing Costs: \$86,000
Proposed Use: Single-Family Homes
No. of Lots: 76
Typical Lot Size: 7,000 square feet
Density: 3.6 lots per acre

Proposed Homes: Camden homes are offered in three basic floor plans featuring either 3 or 4 bedrooms and 3 baths. Living areas range in size from 2,526 to 3,552 square feet. Pro forma sale price estimates for the homes at the time the lots were acquired averaged \$350,000.

SALE DATA
Property Rights: Closed Sale
Grantor: Fee Simple
Grantee: Frances Henderson, et al
Date Recorded: Greystone Homes
Doc. #: August 16, 2000
Sale Price: 220713
Terms: \$3,967,808 (allocated to SFR lots)
Price/Lot: Cash
Finished Lot Cost: \$52,208
Finished Lot Ratio: \$138,208
39.5%

Comments: Total land acquired was 35 acres, with 20 acres designated for the single-family home project, and the remaining 15 acres to be developed with townhouses. The price reported was the amount allocated from the purchase to the single-family lot acquisition. The agreement for sale was reached in 1998, conditioned on tract map approval. Pro forma home price estimates at the time the price was negotiated averaged \$350,000. Currently, prices for these homes are from \$440,000 to \$508,000.

Residential Lots – Bulk Sale No. 2

Location: North side of Telephone Road, at Saratoga Avenue, Ventura

Property Type: Townhouse Land

APN: Portion 083-050-34-0

Project Name: Camden

Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: 15 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$58,341

Proposed Use: Townhouses

No. of Units: 152

Typical Lot Size: N/A

Density: 10.1 units per acre

Proposed Homes: Camden townhouses are presented in four-plex configuration. Units range in size from 1,511 to 1,804 square feet. Pro forma sale price estimates for the homes at the time the lots were acquired averaged \$215,000.

SALE DATA

Property Rights: Fee Simple

Grantor: Frances Henderson, et al

Grantee: Greystone Homes

Date Recorded: August 16, 2000

Doc. #: 220713

Sale Price: \$2,532,192 (allocated to Townhouse land)

Terms: Cash

Price/Unit: \$16,659

Finished Lot Cost: \$75,000

Finished Lot Ratio: 34.9%

Closed Sale

Comments: Total land acquired was 35 acres, with 15 acres intended for the townhouses and the remaining 20 acres to be developed with single-family homes. The price reported was the amount allocated from the purchase to the townhouse land acquisition. The agreement for sale was reached in 1998, conditioned on tentative tract map approval. Pro forma home price estimates at the time the price was negotiated averaged \$215,000.

Residential Lots – Bulk Sale No. 3

Location: Southeasterly of Williams Drive and Socorro Way, Oxnard

Property Type: Townhouse Land

APN: 213-031-47-0

Project Name: Sonrisa

Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: 11.46 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$54,979

Proposed Use: Second phase of existing Sonrisa townhouses.

No. of Units: 84

Typical Lot Size: N/A

Density: 7.33 units per acre

Proposed Homes: Sonrisa townhouses are presented in duplex configuration. Units range in size from 1,002 to 1,885 square feet. Pro forma sale price estimates for the townhouses, at the time the lot acquisition was analyzed, averaged \$225,738.

SALE DATA

Closed Sale

Property Rights: Fee Simple

Grantor: Cambridge Development Co.

Grantee: Shea Homes

Date Recorded: August 28, 2000

Doc. #: N/A

Sale Price: \$3,775,000

Terms: Cash

Price/Unit: \$44,940

Finished Lot Cost: \$99,919

Finished Lot Ratio: 44.3%

Comments: Subsequent to the purchase, Shea Homes decided to change development plans and has filed for a major site revision to 71 detached units that will be a continuation of their Solana product at Aldea Del Mar. These are larger units with sizes ranging from 1,890 to 2,235 square feet. Average pro forma price for these units is in the high \$200,000 range, which should result in a more profitable project than was originally envisioned at the time the land was purchased.

Residential Lots – Bulk Sale No. 4

Location: North side of Channel Islands Blvd, west of Rose Avenue, Oxnard

Property Type: Detached Condominium Land

APN: Portion of 220-021-35-5

Project Name: Channel Pointe

Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: 10 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$56,810

Proposed Use: Detached Condominiums

No. of Units: 141

Typical Lot Size: 3,500 square feet

Density: 14 units per acre

Proposed Homes: Three floor plans are proposed that would be similar to the Pacific Breeze project by the same developer. Units range in size from 1,620 to 2,186 square feet with pro forma pricing in the range of \$250,000 to \$280,000.

SALE DATA

Property Rights: Closed Sale

Grantor: Fee Simple

Grantee: Oxnard Village Limited

Date Recorded: American Pacific Homes

Doc. #: July 2001

Sale Price: N/A

Terms: \$5,400,000

Price/Unit: Cash

Finished Lot Cost: \$38,298

Finished Lot Ratio: \$95,107

36%

Comments: The sale closed in July 2001 with Tentative Tract Map approval. Final map approval is anticipated by year-end 2001. The average pro forma price of about \$265,000 indicates a finished lot ratio of 36% as basis of analysis of the land acquisition.

Residential Lots – Bulk Sale No. 5

Location: Southwesterly of Graves Avenue and Santiago Court, Oxnard

Property Type: Detached Condominium Land

APN: 213-082-09-5 and 213-082-17-5

Project Name: Mayfield Village

Entitlements: Approved Tentative Tract Map #5294

PROPERTY DATA

Gross Land Area: 11.4 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$55,000

Proposed Use: Detached Condominiums

No. of Units: 90

Typical Lot Size: 3,600 square feet

Density: 7.9 units per acre

Proposed Homes: Three floor plans are proposed with units ranging in size from 1,500 to 2,100 square feet. Average pro forma pricing is estimated to be in the high \$200,000 range. An average price of \$265,000 is assumed in the pro-forma analysis. Units will be detached, with the appearance of small single-family homes and will be targeted toward first move-up buyers.

SALE DATA

Closed Sale

Property Rights: Fee Simple

Grantor: Oxnard Village Limited

Grantee: Mayfield Village LLC

Date Recorded: July 27, 2001

Doc. #: 120949

Sale Price: \$3,650,000

Terms: Cash

Price/Unit: \$40,555

Finished Lot Cost: \$95,555

Finished Lot Ratio: 36.1%

Comments: The property had been subject to a previous escrow involving Centex Homes. The buyer has received numerous offers for the property from public companies, but has rejected all as being too low, noting that no other product is available in the area.

Residential Lots – Bulk Sale No. 6

Location: Northeast corner of Victoria Avenue and Gonzales Road, Oxnard

Property Type: Single Family Lots

APN: N/A (Parcel A of Tentative Tract 5234)

Project Name: N/A

Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: N/A

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$100,000

Proposed Use: Single-Family Homes

No. of Lots: 151

Typical Lot Size: 6,000 to 8,000 square feet

Density: N/A

Proposed Homes: Few details are available about the product proposed for this site. The pro forma analysis reportedly estimated prices for the homes ranging from the high \$300,000's to the low \$500,00's and averaging about \$450,000.

SALE DATA

Property Rights: Closed Sale

Grantor: Fee Simple

Grantee: Expo Development

Date Recorded: DR Horton

Doc. #: January 18, 2002

Sale Price: 13603

Terms: \$12,080,000

Price/Lot: Cash

Finished Lot Cost: \$80,000

Finished Lot Ratio: \$180,000

40%

Comments: Escrow is expected to close in January 2002. Property represents the western portion of the residential element of the Oxnard Northwest Specific Plan that will include a school site, a church site, and an 18-hole municipal golf course, in addition to a total of 418 single-family homes. Some lots will front along the proposed municipal golf course.

Residential Lots – Bulk Sale No. 7

Location: Northwesterly of Patterson Road and Gonzales Road, Oxnard

Property Type: Single Family Lots

APN: N/A (Parcel B of Tentative Tract 5234)

Project Name: N/A

Entitlements: Approved Tentative Tract Map

PROPERTY DATA

Gross Land Area: N/A

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$100,000

Proposed Use: Single-Family Homes

No. of Lots: 267

Typical Lot Size: 6,000 to 8,000 square feet

Density: N/A

Proposed Homes: Few details are available about the product proposed for this site. The pro forma analysis reportedly estimated prices for the homes ranging from the high \$300,000's to the low \$500,00's, and averaging about \$450,000.

SALE DATA

Closed Sale

Property Rights: Fee Simple

Grantor: Expo Development

Grantee: Western Pacific Homes

Date Recorded: January 18, 2002

Doc. #: 13604

Sale Price: \$18,690,000

Terms: Cash

Price/Lot: \$70,000

Finished Lot Cost: \$170,000

Finished Lot Ratio: 38%

Comments: Escrow is expected to close in January 2002. Property represents the eastern portion of the residential element of the Oxnard Northwest Specific Plan that will include a school site, a church site, and an 18-hole municipal golf course, in addition to a total of 418 single-family homes. Some lots will front along the proposed municipal golf course. Although structured as a venture project between several entities, the sale will close as a single bulk lot acquisition.

Residential Lots – Bulk Sale No. 8

Location: East side of Mandalay Beach Road, between Amalfi Way and Shoreline Way, Oxnard

Property Type: Single Family Lots
APN: Numerous (12 Lots – Tract 4777)
Project Name: The Monterey Collection
Entitlements: Recorded Tract Map

PROPERTY DATA

Gross Land Area: N/A
Utilities: Available to each lot.
Topography: Level
Condition at Sale: Improved Lots
Lot Finishing Costs: \$23,000 (Fees)
Proposed Use: Single-Family Homes
No. of Lots: 12
Typical Lot Size: 10,000 square feet
Density: N/A

Proposed Homes: Originally, two plans were proposed for the site, each with 3 bedrooms and 3 baths. Living area varied only slightly from 2,900 to 3,000 square feet. Homes featured different elevations and exterior finish that helped to vary the appearance of the project. Pro forma sale prices of the homes were estimated at less than \$600,000 at the time the lots were purchased.

SALE DATA
Property Rights: Closed Sale
Grantor: Fee Simple
Grantee: Oxnard Shores Company
Date Recorded: Oxnard Shores LLC
Doc. #: August 12, 1999
Sale Price: 153291
Terms: \$2,450,000
Price/Lot: Cash
Finished Lot Cost: \$204,167
Finished Lot Ratio: \$227,167
40%

Comments: Lots were basically in finished condition at time of sale except for over-excavation and payment of development fees in the amount of \$23,000 per lot. The site had been passed over by previous development. It was formerly an oil drilling site, and zoned RP, Resource Protection. The final map had been recorded in 1995.

Residential Lots – Bulk Sale No. 9

Location: East side of Rose Avenue, south side of Socorro Way, Oxnard

Property Type: Detached Condo Lots

APN: 213-031-24, 30 and 31

Project Name: Cantada

Entitlements: Buyer processed Tract Map 5214

PROPERTY DATA

Gross Land Area: 17 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$70,000/lot

Proposed Use: Detached Condominiums

No. of Lots: 113

Typical Lot Size: 3,600 square feet

Density: 6.65 units per acre

Proposed Homes: Cantada homes are detached condos offered in three floor plans ranging from 2,042 to 2,389 square feet in size. Pro forma average home price was estimated at about \$265,000.

SALE DATA

Property Rights: Fee Simple

Grantor: McGrath

Grantee: Lyon Homes

Date Recorded: April 26, 2001

Doc. #: 73658

Sale Price: \$3,879,049

Terms: Cash

Price/Lot: \$34,300

Finished Lot Cost: \$104,300

Finished Lot Ratio: 39.4%

Comments: Site development costs and fees to deliver finished lots were estimated at \$70,000 per lot. The indicated finished lot ratio is 39.4%.

Residential Lots – Bulk Sale No. 10

Location: Southwesterly of the corner of Rose Avenue and Gonzales Road, Oxnard

Property Type: Detached Condominium and Single-Family Home Lots

APN: 215-061-04-5 and portion of 215-061-05-5

Project Name: Cantabria and Coronado

Entitlements: Buyer processing Tract Map 5228

PROPERTY DATA

Gross Land Area: 37 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$70,000/lot

Proposed Use: Detached Condominiums (87 units); Single-Family Homes (110 units)

No. of Lots: 197

Typical Lot Size: 3,600 square feet (condos); 4,500 square feet (SFR)

Density: 5.3 units per acre

Proposed Homes: Cantabria condo units will be offered in three floor plans ranging in size from 1,650 to 2,080 square feet. Prices are projected to start from the mid-\$200,000s. Coronado single-family homes will range in size from 2,600 to 2,900 square feet, priced from the low \$300,000s.

SALE DATA

Property Rights: Closed Sale

Grantor: Fee Simple

Grantee: McGrath

Date Recorded: Lyon Homes

Doc. #: October 26, 2001

Sale Price: 213779

Terms: \$7,600,000

Price/Lot: Cash

Finished Lot Cost: \$38,600

Finished Lot Ratio: \$108,600

37.5%

Comments: Site development costs and fees to deliver finished lots were estimated at \$70,000 per lot. The blended average selling price for the homes and condos is about \$296,000, resulting in an indicated finished lot ratio of 36.7%.

Residential Lots – Bulk Sale No. 11

Location: North Bank Drive, east of Petit Avenue, Ventura

Property Type: Single Family Home Lots

APN: 129-011-02, 03, 06 and 26 through 35

Project Name: Unknown

Entitlements: Tentative Tract Map 4425 for 69 lots in the first phase and allocation for second phase of 66 lots expected in 2002.

PROPERTY DATA

Gross Land Area: 39.1 acres

Utilities: Available, but need extension.

Topography: Level

Condition at Sale: Raw Land

Lot Finishing Costs: \$87,000/lot

Proposed Use: Single Family Homes

No. of Lots: 135

Typical Lot Size: N/A

Density: 3.5 units per acre

Proposed Homes: Pro forma analysis at the time of sale projected homes ranging in size from 2,100 to 3,043 square feet. Prices for finished product were projected to range from \$340,000 to \$440,000.

SALE DATA

Closed Sale

Property Rights: Fee Simple

Grantor: Polygon Homes/Darcy Investors

Grantee: Standard Pacific Homes

Date Recorded: January 3, 2001

Doc. #: 4605

Sale Price: \$11,070,000

Terms: Cash

Price/Lot: \$82,000

Finished Lot Cost: \$169,000

Finished Lot Ratio: 43.3%

Comments: Site development cost estimates of \$87,000 per lot (including fees) reflected the need for erosion control in the adjoining Santa Clara River Channel. At the time of sale, allocations and tentative tract map approval existed for the first phase of Tract 4425 consisting of 69 lots. Allocations and a separate development agreement will be required for the second phase of 66 lots. The next allocation hearing is in the Spring of 2002.

Table 11
Bulk Lot Sales Data
Finished Lot Ratio Analysis

<i>Data No.</i>	<i>Product</i>	<i># Lots or/Units</i>	<i>Sale Date</i>	<i>Price Per Raw Lot</i>	<i>Finish Costs Per Lot</i>	<i>Finished Lot Cost</i>	<i>Average Home Price</i>	<i>Finished Lot Ratio</i>
1	SFR Homes	72	Aug-00	\$52,208	\$86,000	\$138,208	\$350,000	39.5%
2	Townhouses	152	Aug-00	\$16,659	\$58,341	\$75,000	\$215,000	34.9%
3	Townhouses	84	Aug-00	\$44,940	\$54,979	\$99,919	\$225,738	44.3%
4	Detached Condos	141	Jul-01	\$38,298	\$56,810	\$95,107	\$265,000	35.9%
5	Detached Condos	90	Jul-01	\$40,555	\$55,000	\$95,555	\$265,000	36.1%
6	SFR Homes	151	Jan-02	\$80,000	\$100,000	\$180,000	\$450,000	40.0%
7	SFR Homes	267	Jan-02	\$70,000	\$100,000	\$170,000	\$450,000	37.8%
8	SFR Homes	12	Aug-99	\$204,167	\$23,000	\$227,167	\$575,000	39.5%
9	Detached Condos	113	Apr-01	\$34,300	\$70,000	\$104,300	\$265,000	39.4%
10	Detached Condos	197	Oct-01	\$38,600	\$70,000	\$108,600	\$296,000	36.7%
	& SFR Homes							
11	SFR Homes	135	Jan-01	\$82,000	\$87,000	\$169,000	\$390,000	43.3%

Analysis of Bulk Lot Sales Data

As previously related, merchant builders most often perform a land residual analysis as part of residential lot acquisitions, the key unit of comparison being the estimated finished lot cost. My analysis of the sales utilizes a similar methodology to derive a finished lot ratio (average cost of a finished lot divided by the average pro forma selling price of a home), shown by the market data to be within a general range of about 35% to 44%. Several key observations relating to the data that were learned during the verification process are discussed further because of their relevance to the appraisal of the subject land, assuming finished lot condition.

The land acquisition agent at Greystone Homes indicated that his typical land residual pro forma analysis for a detached residential project would be expected to yield a finished lot ratio of between 42% to 44% of the average projected home price in order for the project to be feasible. Such an analysis would include an 8% profit expectation. However, it was also revealed that finished lot ratios tend to be lower for the lower priced homes. Sale No. 1, as reported, was negotiated in 1998, but didn't close until receipt of entitlement approval in August 2000. The analysis made at the time of the purchase agreement indicates a finished lot ratio of nearly 40%, which would be slightly lower than the ratio for competitive prices in today's land market, particularly for high-end luxury housing. Note that the finished lot ratio indicated for Sale No. 2, a lower-priced, attached townhouse project, is 35%. This ratio is generally confirmed to define the lower end of value for finished lots in the local market.

Sale No. 3 indicates that at the time of the land purchase, the buyer's analysis suggested a finished lot ratio for the project of 44.3%. Such an indicator would be above the range in value that would be generally expected in order for a project to be feasible, especially for a moderately priced townhouse project. Perhaps as confirmation of this fact, the developer subsequently submitted a revised development plan for the site, proposing a smaller number of

higher priced homes. Based on the new proposal, indications are that the effective finished lot ratio would decline to about 36%.

Although an older transaction dating to August 1999, Sale No. 8 is presented because it is the most recent purchase of multiple lots with Coastal Oxnard proximity. In general, the 40% finished lot ratio indicated for the lot purchase could be considered to be slightly below other market comparisons, particularly when noting the tendency toward higher finished lot ratios for higher priced housing projects. However, the buyer related the long history of delays associated with development of this land parcel and uncertainty as to how the homes would fit the infill market of the surrounding developed neighborhood. Brokers who were consulted about the proposed housing product offered that an average pro forma housing price under \$600,000 at this Coastal location amid much older homes might be perceived as too expensive for tract housing and too cheap for custom homes. By the time homes were marketed in Fall 2000, prices in the mid \$600,000's were achieved, rising to between \$700,000 and \$800,000 per home at sellout nearly 12 months later. The experience for this project illustrates the market advances over the past two years, particularly in the Coastal Oxnard area. While the improved lot ratio indicated by the 1999 transaction is useful in my analysis, the finished price paid for 10,000 square foot Coastal lots is substantially below current market pricing levels.

Finally, the executed sale agreement to Larwin Homes for the 37 Channel Lots (4,000 square feet) at Westport Mandalay Bay specifies an estimated sale price for the residential units as \$750,000 per home. Considering the \$320,000 per lot finished price called for in the sale agreement, a finished lot ratio of 42.67% is indicated by this transaction, in support of the ratios derived from the other comparable sales data.

In the final analysis, it is my opinion that the market evidence indicates appropriate finished lot value ratios of 43% of the average projected home price for the detached housing lots, and 35% for the higher density attached product. Having considered the market data and units of comparison associated with bulk purchases of residential lots, indications of retail market value are formed for the subject Westport neighborhood land parcels, assuming condition as finished lots.

Bulk Lot Sale Comparison
Value Estimates Per Lot (Unit)

Estate Lots	
\$987,000 x 43%	\$424,410
Inland Water Way Lots	
\$978,000 x 43%	\$420,540
Channel Lots	
\$756,000 x 43%	\$325,080
Village Duplex Units	
\$480,000 x 35%	\$168,000
Townhouse Villa Units	
\$374,000 x 35%	\$130,900
Stacked Flat Condo Units	
\$302,000 x 35%	\$105,700

Lot Sales in Channel Islands District

Summarized below as Table 12 is a listing of vacant residential lot sale activity within the immediate coastal neighborhoods of Mandalay Bay and Oxnard Shores. Sales were researched over approximately the last 30 months and are grouped according to amenities and location attributes. Land parcels referenced, while fully improved, are not considered to be finished lots according to the definition used earlier, because payment remains for development fees that can be expected to amount to about \$20,000 for a detached home. Fees would add an additional \$4.00 to \$5.00 per square foot based on the average size lot. Following are discussions and analysis of the data for the purpose of drawing comparison to the subject land in assumed condition as finished lots.

Table 12
Summary of Sales Activity - Coastal Residential Lots

<i>Leeward Estates</i>	<i>Lot Sq.Ft.</i>	<i>Canal Exposure</i>	<i>Dock Length</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
RAVOLI DR. LOT 137	4,518	E	42 ft	R1 Lot	May-00	\$270,000	\$59.76
Greencastle, Lot 59	4,036	W	69 ft	R1 Lot	May-00	\$433,500	\$107.41
Greencastle, Lot 120	4,623	SW	44 ft	R1 Lot	Aug-00	\$525,000	\$113.56
Romany Dr, Lot 181	5,059	E	50 ft	R1 Lot	Nov-00	\$375,000	\$74.13
Greencastle, Lot 103	4,950	E	45 ft	R1 Lot	Nov-00	\$250,000	\$50.51
Nice Ct, Lot 226	4,084	N	41 ft	R1 Lot	Jan-01	\$317,500	\$77.74
Nice Ct/ Lot 233	6,670	S & E	55 ft	R1 Lot	Mar-01	\$420,500	\$63.04
Peninsula Rd. Lot 191	4,109	E	40 ft	R1 Lot	Mar-01	\$299,000	\$72.77
Romany Dr. Lot 173	4,500	N	45 ft	R1 Lot	Apr-01	\$350,000	\$77.78
Peninsula Rd. Lot 92	4,443	W	44 ft	R1 Lot	May-01	\$299,000	\$67.30
Romany Dr. Lot 80	4,443	N	44 ft	R1 Lot	Feb-02	\$350,000	\$78.78
Monaco Dr. Lot 34	4,000	W	40 ft	R1 Lot	Mar-02	\$345,000	\$86.25
Romany Dr. Lot 185	4,696	S	66 ft	R1 Lot	May-02	\$475,000	\$101.15
Nice Ct. Lot 233	6,670	S & E	55 ft	R1 Lot	Jun-02	\$445,000	\$66.72
Peninsula Rd. Lot 221	5,121	E	40 ft	R1 Lot	Jun-02	\$375,000	\$73.23
Greencastle, Lot 99	5,184	S	45 ft	R1 Lot	Jul-02	\$237,000	\$45.72
Greencastle, Lot 102	<u>4,950</u>	E	45 ft	R1 Lot	Aug-02	<u>\$355,000</u>	<u>\$71.72</u>
Average	4.827					\$360,088	\$74.60

<i>Oxnard Shores Inland</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Lot Frontage</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
SEABREEZE WAY, LOT 133	4,000	--	40 ft	R1 Lot	Apr-00	\$250,000	\$62.50
Seabreeze Way, Lot 135	4,072	--	42 ft	R1 Lot	Jun-00	\$205,000	\$50.34
Oceanaire St, Lot 76	4,000	--	40 ft	R1 Lot	Jan-01	\$215,000	\$53.75
Beachcomber St, Lot 3	4,091	--	40 ft	R1 Lot	May-01	\$255,000	\$62.33
Sandpiper Way, Lot 80	4,000	--	40 ft	R1 Lot	Jun-01	\$135,000	\$33.75
Seabreeze Way, Lot 36	4,072	--	42 ft	R1 Lot	Jun-01	\$165,000	\$40.52
Seabreeze Way, Lot 147	4,073	--	40 ft	R1 Lot	Jun-01	\$160,000	\$39.28
Terramar Way, Lot 189	4,060	--	40 ft	R1 Lot	Jun-01	\$148,000	\$36.45
Terramar Wy, Lot 205	4,217	--	45 ft	R1 Lot	Jul-01	\$250,000	\$59.28
Breakers Way, Lot 61	4,000	--	40 ft	R1 Lot	Aug-01	\$120,000	\$30.00
Seabreeze Way, Lot 157	4,072	--	40 ft	R1 Lot	Sep-01	\$130,000	\$31.93

<i>Oxnard Shores Inland</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Lot Frontage</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
Oceanaire St. Lot 67	4,000	--	40 ft	R1 Lot	Oct-01	\$250,000	\$62.50
Sandpiper Way, Lot 90	4,072	--	41 ft	R1 Lot	Dec-01	\$160,000	\$39.29
Reef Way, Lot 84	4,085	--	40 ft	R1 Lot	Jan-02	\$180,000	\$44.06
Seabreeze Way, Lot 136	4,000	--	40 ft	R1 Lot	Mar-02	\$230,000	\$57.50
Seabreeze Way, Lot 115	4,072	--	41 ft	R1 Lot	Apr-02	\$187,000	\$45.92
Oceanaire St, Lot 49	<u>4,000</u>	--	40 ft	R1 Lot	Apr-02	<u>\$262,500</u>	<u>\$65.63</u>
Average	4,052					\$194,265	\$47.94

<i>Oxnard Shores Ocean Front</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Lot Frontage</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
1551 MANDALAY							
BEACH RD	6,205	Yes	50 ft	R1 Lot	May-00	\$495,000	\$79.77
Mandalay Bch Rd, Lot 21	4,000	Yes	32 ft	R1 Lot	Sep-00	\$425,000	\$106.25
Mandalay Bch Rd, Lot 34	4,000	Yes	40 ft	R1 Lot	Sep-00	\$355,000	\$88.75
Mandalay Bch Rd, Lot 35	4,000	Yes	40 ft	R1 Lot	Sep-00	\$380,000	\$95.00
Marine Way, Lot 64	4,395	Yes	32 ft	R1 Lot	Sep-00	\$445,000	\$101.25
Mandalay Bch Rd, Lot 142	4,320	Yes	32 ft	R1 Lot	Oct-00	\$425,000	\$98.38
Marine Way, Lot 63	4,395	Yes	32 ft	R1 Lot	Nov-00	\$530,000	\$120.59
Mandalay Bch Rd, Lot 15	2,990	Yes	32 ft	R1 Lot	Dec-00	\$495,000	\$165.55
Mandalay Bch Rd, Lot 38	4,320	Yes	32 ft	R1 Lot	Dec-00	\$535,000	\$123.84
Marine Way, Lot 64	4,395	Yes	32 ft	R1 Lot	Dec-00	\$575,000	\$130.83
1501 Mandalay Beach Rd	6,486	Yes	60 ft	R1 Lot	Jan-01	\$560,000	\$86.34
Mandalay Bch Rd, Lot 4	3,765	Yes	45 ft	R1 Lot	Jan-01	\$499,000	\$132.54
Capri Way, Lot 52	5,424	Yes	45 ft	R1 Lot	Mar-01	\$627,000	\$115.60
Mandalay Bch Rd, Lot 10	2,755	Yes	32 ft	R1 Lot	Apr-01	\$559,500	\$203.09
Capri Way, Lot 53	3,840	Yes	32 ft	R1 Lot	Apr-01	\$629,000	\$163.80
Mandalay Bch Rd, Lot 35	4,000	Yes	40 ft	R1 Lot	Sep-01	\$625,000	\$156.25
Mandalay Bch Rd, Lot 21	4,000	Yes	32 ft	R1 Lot	Apr-02	\$605,000	\$151.25
Mandalay Bch Rd, Lot 42	4,320	Yes	32 ft	R1 Lot	Apr-02	\$700,000	\$162.04
Mandalay Bch Rd, Lot 38	4,320	Yes	32 ft	R1 Lot	Apr-02	\$741,500	\$171.64
Mandalay Bch Rd, Lot 31	2,880	Yes	32 ft	R1 Lot	May-02	\$650,000	\$225.69
Mandalay Bch Rd, Lot 1	6,250	Yes	60 ft	R1 Lot	May-02	\$725,000	\$116.00
Mandalay Bch Rd, Lot 46	4,614	Yes	32 ft	R1 Lot	Jun-02	\$700,000	\$151.71
Capri Way, Lot 59	<u>6,210</u>	Yes	45 ft	R1 Lot	Sep-02	<u>\$950,000</u>	<u>\$152.98</u>
Average	4,430					\$575,261	\$129.86

<i>Oxnard Shores Multi Family</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Lot Frontage</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
Driftwood St, Lot 24	7,691	--	61 ft	R3 Lot	Aug-01	\$170,000	\$22.10
Driftwood St, Lot 16	7,360	--	61 ft	R3 Lot	Jun-02	\$245,000	\$33.29
Neptune Sq, Lot 262	8,016	--	69 ft	R3 Lot	Jun-01	\$275,000	\$34.31
Neptune Sq, Lot 263	<u>8,016</u>	--	69 ft	R3 Lot	Jun-01	<u>\$270,000</u>	<u>\$33.68</u>
Average	7,771					\$240,000	\$30.89

Leeward Estates Canal Lots

Seventeen canal frontage lots with easements for private boat docks have been sold in the Leeward Estates neighborhoods of Mandalay Bay over about the past 30 months. Prices ranged from \$250,000 to \$525,000 per lot. The average lot price was \$360,000, or about \$75.00 per square foot for an average 4,827 square foot lot. It is interesting to note that if compared to the average price paid for a detached home in Leeward Estates over the same time period (\$766,015 per sales summary in Exhibit B), the average improved lot ratio is 47% before payment of fees. Including the average \$20,000 in fees, a finished lot ratio of nearly 50% is indicated. This ratio is considerably higher than the previous top end ratio supported by bulk lot sales data, which could be anticipated given the different motivation and economic feasibility considerations that impact the purchase of a group of lots versus a single lot purchase. Another improved lot ratio comparison may be derived by comparing the highest vacant lot price received (\$525,000) with the average of the five highest home prices received in the development (\$1,219,200). The resultant improved lot ratio is 43%, while the finished lot ratio after fees would be about 45%. In my opinion, analysis of the individual lot sales data by this methodology tends to give support to the comparison conclusions drawn in the bulk lot sale analysis.

In my opinion, comparison of prices paid for canal lots in the Leeward Estates neighborhood may be made to the subject detached residence lots at Westport on the basis of price per square foot of land area. My analysis of sales data starts with the recent average selling price for such lots in the amount of \$75 per square foot. Adjustments to this average comparative land value are made when appropriate for impact fees and lack of private boat docks. Regarding the potential impact of CFD special taxes, the market data indicates that no discount in pricing estimates for the subject lots is warranted when compared to prices received for lots in older existing neighborhoods that are not subject to CFD special taxes. After adjustment, the market data supports the following unit values for lots within the detached housing neighborhoods of Westport at Mandalay Bay.

Estate Lots	\$70/square foot
Waterway Lots.....	\$80/square foot
Channel Lots.....	\$80/square foot

Oxnard Shores Oceanfront Lots

As expected, these are the most expensive lots in the district and have shown a substantial increase in value over the past 30 months. The range in prices for lots actually sold over the past 12 months is from \$605,000 to \$950,000. The average price for these most recent sales between September 2001 and September 2002 is \$712,000, while the sales recorded during the prior six-month period reflect an average price of \$556,500, about 22% less. Comparing the average ocean front lot price for the past 12 months to the most recent prices paid for new oceanfront homes (\$1,477,000), reflects an improved lot ratio of 48% and a finished lot ratio equivalent after fees of about 50%. The purpose of presenting this data is not for direct comparison, since the oceanfront location definitely results in higher values than can be supported for the Westport at Mandalay Bay lots. However, the data is useful in terms of relative bracketing of property values in the district and in lending support to the finished lot ratio discussion and analysis presented as part of the bulk lot sale comparison methodology. In general, my conclusion from analysis of this data, particularly considering and comparing recorded sales since September 2001, is that canal lots at Westport are worth about 40% less

than the oceanfront lots in Oxnard Shores. If this comparative adjustment is applied to the average price for lots that sold recently at Oxnard Shores, it suggests that the most desirable canal lots at Westport Mandalay Bay are not worth more than \$420,000 in finished lot condition.

Oxnard Shores Inland Lots

The next grouping of detached residence lot sales at Oxnard Shores consist of infill lots scattered in the neighborhoods between Mandalay Beach Road and Harbor Boulevard. Recent prices for these 4,000 square foot lots have ranged from \$120,000 to \$262,500 per lot, with an average price per lot of \$200,000 or about \$50.00 per square foot of land area. These lots have no ocean frontage, benefiting only from proximity to the Coastal luxury homes and sharing in the overall Coastal environment of the neighborhood. In this regard, it is my opinion that comparative prices per square foot of land area indicated by these sales may be used in deriving finished lot value estimates for the Westport duplex and townhouse units. In my opinion, such comparative units would range from \$50.00 to \$55.00 per square foot, on a finished lot basis.

This data is also helpful in supporting a differential in lot values that do not offer canal frontage and boat dock opportunities. When compared to the lot sales over a similar time period within Leeward Estates, an average price differential of about \$25 per square foot of land area is indicated for the canal/boat dock amenity.

Oxnard Shores R3 Lots

Recent sales of these lots to accommodate development of triplexes and quads top out at about \$34.00 per square foot. In my opinion, they are not relevant comparison to any of the units proposed at Westport Mandalay Bay.

Having considered the market data and units of comparison associated with individual purchases of residential lots, indications of retail market value may be formed for the subject Westport neighborhood land parcels, assuming condition as finished lots.

Individual Lot Sale Comparison Value Estimates Per Lot (Unit)

Estate Lots	
5,500 sq.ft. x \$70.00/sq.ft.	\$385,000
Inland Waterway Lots	
5,000 sq.ft. x \$80.00/sq.ft.	\$400,000
Channel Lots	
4,000 sq.ft. x \$80.00/sq.ft.	\$320,000
Village Duplex Units	
3,500 sq.ft. x \$50.00/sq.ft.	\$175,000
Townhouse Villas	
2,400 sq.ft. x \$55.00/sq.ft.	\$132,000
Stacked Flat Condos	
Direct Comparisons	None

Subject Lot Pending Transactions

The status of pending transactions and negotiations involving Westport neighborhood land parcels is again referenced below as Table 13. The basis for arriving at per lot or per unit land prices reflects an assumed condition as finished lots. However, as is common in the market for this type of property, sale transactions will close upon approval of final tract maps with parcels in condition as either blue top lots or as mass-graded pads with utilities and street access to the site. At the time of closing, finished lot prices referenced will be reduced by remaining development costs and fees that are required to bring the land to a finished lot condition. Such costs are a point of mutual agreement between the parties. For purposes of consistency in comparison to market value methodologies previously presented, continued reference will be made to the finished lot values.

Table 13
Westport at Mandalay Bay - Lot Sale Status

<i>Product</i>	<i># Units</i>	<i>Offer/Contract Price Per Finished Lot</i>	<i>Status</i>	<i>Merchant Builder</i>	<i>Projected Closing Date</i>
Condo-Stacked Flats	88	\$100,000	Asking	--	--
Townhouses	88	\$130,000	Escrow	Beazer Homes	November-02
Duplexes	34	\$120,588	Escrow	Beazer Homes	January-02 April-03
SFR - 5,500 s.f. lots Without Private Docks	14	\$420,000	Asking	--	May-03
SFR - 5,000s.f. lots With Private Docks	45	\$410,000	Asking	--	May-03 June-03 July-03
SFR - 4,000 s.f. lots With Private Docks	37	\$320,000	Escrow	Larwin Co.	April-03

A Purchase Agreement was executed on September 25, 2001 for land designated as the site of 88 Townhouse Villa units. The agreed finished land value is \$130,000 per unit, with a net purchase price (after site finishing costs to the buyer) of \$81,349 per unit. The buyer, Beazer Homes Holding Corporation, placed a \$715,869.14 non-refundable cash deposit into escrow on October 2, 2001, with the balance due in cash at close of escrow. The deposit represents 10% of the stated net sale price for the land as mass-graded, raw lots. Escrow closing is scheduled during November 2002.

A Purchase Agreement was executed on January 9, 2002 for sale of the land parcels designated as the site for the 34 Village Duplex units to Beazer Homes. The price, reflecting an assumed land condition as a rough-graded super pad, is \$120,588 per unit. The seller has received a cash deposit in the amount of 10% of the total purchase price, with balance of the price payable in cash at close of escrow. The closing is scheduled in two phases, to correlate with recording of the tract maps. The initial phase of 13 units is anticipated to close in January 2003, followed by the second phase closing of 21 lots no later than April 30, 2003.

An offer from JM Development, Inc. to buy the land designated as the site for the 45 Inland Waterway lots (5,000 square feet) and 45 boat slip easements, and the 14 Estate Lots (5,500 square feet) did not progress past the due diligence review to a formal purchase contract. The offer price reflected a finished site value of \$410,000 per lot for the Inland Waterway Lots, and \$420,000 per lot for the Estate Lots. Prices cited reflect finished lots. The actual net sale price was to be the residual land value of blue top lots after an estimated cost to finish of \$54,000 per lot. Interest in these lots has been merchant builders, but there are currently no formal offers pending.

A Purchase Agreement was executed on September 9, 2002 for the 37 Channel lots (including easements for boat slips). The gross sale price is in the amount of \$320,000 per finished lot, with a net price of \$281,398 per lot after buyer improvement obligations. The property is to be delivered to the buyer, the Larwin Company, in condition of blue top lots with recorded track map. Lots are scheduled to close in two phases with the first 19 lots due to close no later than April 30, 2003. Close of escrow for the second phase of 18 lots is scheduled to occur 8 months following the close of the first phase lots. Price for the second phase lots is to be adjusted upward at the rate of 8% per annum for the time period between the dates of closing of the two phases.

RETAIL VALUE ESTIMATES

A summary of the indicated market values for the subject land as finished lots that result from the Sales Comparison analyses presented is found below as Table 14. In some cases, the spread in lot pricing estimates among the various comparative methodologies requires further analysis and correlation, to be addressed in the discussion that follows. Consideration has been given to actual contract or offer prices, which are well supported by independent analysis of alternative market data. After arriving at a concluded value for the subject land assuming condition as finished lots, a deduction was made for the remaining estimated site finishing costs and fees in order to arrive at an estimate of retail value for the property in its presumed condition at time of sale to merchant builders. Following are my opinions of retail values for each of the Westport product areas.

Table 14

Westport At Mandalay Bay - Finished Land Value Estimates

Product	Bulk Lot Sales Analysis Market Value Estimate	Individual Lot Sales Analysis Market Value Estimate	Escrow/Offer Status	Asking Price
Estate Lots	\$424,410	\$385,000	\$420,000 (2)	\$420,000
Inland Waterway Lots	\$420,540	\$400,000	\$410,000 (2)	\$410,000
Channel Lots	\$325,080	\$320,000	\$320,000 (1)	--
Village Duplex Lots	\$168,000	\$175,000	\$120,588 (1)*	--
Townhouse Villa Lots	\$130,900	\$132,000	\$130,000 (1)	--
Stacked Condo Units	\$105,700	N/A		\$100,000

(1) Escrow

(2) Expired Offer

* Net price-super pad

Estate Lots - 5,500 Square Feet

Westport at Mandalay Bay will offer 14 estate lots that will front on the expanded Reliant Energy Canal, but will not have private boat docks. The absence of private boat docks tends to reduce the desirability and value of these lots in comparison to the Inland Waterway lots, for instance. On the other hand, these lots will still have canal frontage and views, and benefit from the larger lot size of 5,500 square feet. Pricing estimates for these lots derived from available market data exhibit a broad range from \$385,000 per lot to \$424,000 per lot on a finished lot basis. I have placed emphasis on previous offers for these lots, reflecting a finished lot price of \$420,000. Additional support is offered by the finished lot ratio analysis price estimate of \$424,000 per lot. In my opinion, the retail value of the subject parcel assuming condition as finished residential lots is estimated as follows.

Retail Market Value - Finished Residential Lots	
14 lots x \$420,000/lot	\$5,880,000
Less Site Finishing Costs & Fees	<u>476,864</u>
Estimated Retail Value-Estate Lots	\$5,403,136
Rounded To	\$5,403,000

Inland Waterway Lots - 5,000 Square Feet

The Westport project will offer 45 Inland Waterway lots of 5,000 square feet in size. These lots will have canal frontage and private boat docks easements. Analysis of market data supports the expired purchase offer at a finished lot price of \$410,000 per lot. In my opinion, the retail value of the subject parcel assuming condition as finished residential lots is estimated as follows.

Retail Market Value - Finished Residential Lots	
45 lots x \$410,000/lot	\$18,450,000
Less Site Finishing Costs & Fees	<u>1,528,826</u>
Estimated Retail Value-Inland Waterway Lots	\$16,921,174
Rounded To	\$16,921,000

Channel Lots - 4,000 Square Feet

The number of smaller canal frontage lots with private boat docks easements will number 37. These lots are currently in escrow to be sold based on a finished lot price of \$320,000 per lot, a price well supported by the market. In my opinion, the retail value of the subject parcel assuming condition as finished residential lots is estimated as follows.

Retail Market Value - Finished Residential Lots	
37 lots x \$320,000/lot	\$11,840,000
Less Site Finishing Costs & Fees	<u>1,428,256</u>
Estimated Retail Value-Inland Waterway Lots	\$10,411,744
Rounded To	\$10,412,000

Village Duplex Lots – 3,500 Square Foot Pads

A total of 34 duplex homes are proposed for Westport at Mandalay Bay. Best evidence of market value is the pending sale at a price of \$120,588 per unit for a graded super pad. In my opinion, the retail value of the subject parcel assuming condition as 16 finished residential lots is estimated as follows.

Retail Market Value – Super Pad Residential Lots	
34 units x \$120,588/unit	\$4,100,000

Townhouse Villa Units – 2,400 Square Foot Pads

Westport at Mandalay Bay will offer 88 townhouse villa units. Analysis of market data supports the pending purchase transaction at a finished lot price of \$130,000 per unit. In my opinion, the retail value of the subject parcel assuming condition as finished land condition is estimated as follows.

Retail Market Value - Finished Residential Lots	
88 units x \$130,000/unit	\$11,440,000
Less Site Finishing Costs & Fees	<u>4,281,306</u>
Estimated Retail Value-Inland Waterway Lots	\$7,158,694
Rounded To	\$7,159,000

Condominium/Commercial Parcel

This mixed-use parcel includes 88 stacked flat condominium units to be built over 22,000 square feet of commercial and retail space. Analysis of market data supports the asking price at a finished lot price of \$100,000 per unit. In my opinion, the retail value of the residential portion of the subject parcel assuming finished land condition is estimated as follows.

Retail Market Value - Finished Residential Lots	
88 units x \$100,000/unit	\$8,800,000
Less Site Finishing Costs & Fees	<u>2,630,897</u>
Estimated Retail Value-Inland Waterway Lots	\$6,169,103
Rounded To	\$6,169,000

This parcel also will include 22,000 square feet of airspace condominium right, with zoning and permits to construct commercial, office, retail or restaurant uses. Contributory value is estimated as the market value of land necessary to support this amount of retail/office space, as compared to sales of commercial land parcels. Expected site coverage is 20% for retail/commercial development. This would suggest an equivalent site area of 88,000 square feet, or about 2.02 acres, in support of the commercial use component of this parcel. Presented on the following page, as Table 15, is a summary of commercial land sales at other locations in the city of Oxnard. Adjustments have been made to the prices to include the level of special tax district bonded indebtedness in order to make a consistent comparison to the subject.

Special assessment district bonded indebtedness for the commercial condo space is assumed at a level equivalent to about \$1.75 per square foot of land area otherwise required to support 22,000 square feet of commercial space. After analysis of the commercial land sale market data presented in Table 15 below, and considering the assumed level of special tax bonded indebtedness, it is my opinion that land for this use has a market value of \$6.50 per square foot, resulting in the following contributory value estimate.

Retail Market Value – Commercial Land Equivalent	
88,000 sq.ft. x \$6.50/sq.ft.	\$572,000

Total estimated market value of the parcel is calculated as the sum of the condominium and commercial development components as follows.

Estimated Value of Condo Development Rights.....	\$6,169,000
Estimated Value of Commercial Development Rights.....	<u>572,000</u>
Estimated Retail Value - Mixed Use Parcel	\$6,741,000

Table 15

Oxnard Commercial Land Sales

<i>Data No.</i>	<i>Location</i>	<i>Land Sq.Ft.</i>	<i>Sale Date</i>	<i>Price</i>	<i>Per Sq.Ft.</i>	<i>Assmnt. Bonds</i>	<i>Adj. Price</i>	<i>Use</i>
1	NEC Wankel Wy. & Lombard St.	36,155	Aug-99	\$235,000	\$6.51	\$0.35	\$6.86	Medical Office
2	N/S Wankel Wy., E/O Lombard St.	32,670	Jul-00	\$200,000	\$6.12	\$0.35	\$6.47	Retail/office
3	N/S Wankel Wy. @ Graves Ave.	30,056	Mar-01	\$198,500	\$6.60	\$0.31	\$6.91	Speculative Land
4	N/S Wankel Wy. W/O Graves Ave.	65,340	May-01	\$415,000	\$6.35	\$0.31	\$6.66	2 lots; speculative land
5	SEC Gonzales Rd. & Solar Drive	41,382	Oct-00	\$410,000	\$9.91	\$0.31	\$10.22	Finished lot with landscaping.
6	NWC Gonzales Rd. & Outlet Center Dr.	207,346	Mar-01	\$1,437,500	\$6.93	\$0.75	\$7.68	Credit union office
7	NWC Lombard St. & Wankel Wy.	131,116	May-02	\$918,000	\$7.00	\$0.70	\$7.70	Medical office & showroom.
8	N/S Wankel Wy., W/O Graves Ave.	65,340	Jun-02	\$718,740	\$11.00	\$0.00	\$11.00	Medical Office

DEVELOPMENTAL ANALYSIS APPROACH TO VALUE

Methodology

In this approach to value, a model for the entitlement, development and sale of the land to merchant builders is made which estimates the pattern for expenditures and receipt of sales revenue over the projected life of the land development project. By discounting the projected net revenue to allow for developer's profit and the time value of money, an estimate of the "as is" land value results which is the residual of the development process. Some of the steps in the appraisal process employed in this methodology have been previously presented, with estimates made for gross lot sale revenue and site development costs. Other estimates are now made for the length of the construction and absorption periods, property taxes, general and administrative costs, marketing costs, financing costs, and the discount rate.

Gross Revenue

Revenue from the sale of land to merchant builders reflects the assumed condition of land as either blue top lots or mass-graded finished pads. Accordingly, the previously estimated retail land values of the various product areas in Westport are net of estimates for site finishing work, fees, and permits in arriving at the estimate of gross land sales revenue. Revenue is reflected in the cash flow model as being received as either a 5% or a 10% down payment, as called for in the purchase agreements, with balance received upon closing of each sale according to the projected lot delivery schedule. No inflation factor is applied to the estimated bulk sale prices of the subject lots and land parcels. As previously summarized, gross revenue from land sales is estimated in the aggregate as \$50,736,000. Reimbursement of CFD improvement costs is assumed upon completion of construction, projected as March 2003 for the Wooley Road street improvements, sanitary sewer and water facilities, and August 2003 for the channel improvements. Total projected CFD improvement reimbursement is estimated in the amount of \$7,585,000. Additional reimbursement for infrastructure work outside of the CFD improvements is estimated in the amount of \$645,000.

Site Development Costs

Estimated master land development costs and finishing costs of the lots are provided by the master land developer, SunCal Companies, and are assumed to be accurate. Supporting calculations for these estimates have been reviewed. Land development costs incurred to date total approximately \$13,276,000, with an estimated \$17,305,000 in costs remaining to complete the project. It is noted that remaining master land development cost estimates include a contingency allowance of 10% of hard construction costs, and site finishing cost estimates include a contingency allowance of 10% of hard construction costs. Both allowances are deemed adequate. No further adjustment for inflation has been recognized in the cash flow model, since a majority of the remaining costs are projected to be spent within less than 12 months. Reference is again made to a summary of these cost estimates on page 31 of this appraisal report.

Discounted Cash Flow Projection Period

As of the effective date of the appraisal, site clearing, grading, offsite improvements and canal construction has been underway (with interruptions) for about 12 months. The construction timetable projects substantial completion of the infrastructure improvements over a nine-month period, or by the end of July 2003. Remaining miscellaneous work is scheduled to continue through December 2003. Land sales to merchant builders are projected to close periodically with completion of the site development work in each project area. The first closing of the "super pad" site for the 88 townhouse units is expected in the initial month of the cash flow projection period, November 2002. Closing of the other residential product land parcels is projected, according to the phasing estimates presented earlier, in December 2002 and in April through July 2003. Sale of the mixed-use commercial/condo site is projected upon final completion of construction in December 2003. It is projected that final reimbursement of CFD improvements for the canal construction costs will occur in August 2003. The cash flow projections have been estimated and discounted on a monthly basis.

Real Estate Taxes

An allowance for real estate taxes payable during the construction and holding period is made, reflecting an adjustment to the current assessed value, assuming a sale of the property as of November 1, 2002. Pro rata property tax estimates are made for installment payments due in December 2002, accounting for projected closings of the land sale transactions prior to the December tax payment date. Similar prorated property tax estimates that take into account the declining land base due to projected sale activity is made for tax payments that are due in April and December 2003. An allowance for CFD special taxes on the mixed-use site is included in the December 2003 property tax estimate.

General And Administrative

Included within this indirect cost category are such items as administrative and office overhead, construction management, and insurance. Noting the amount of site development work that has already been completed, the estimate for remaining general and administrative expense through completion of construction is 5.5% of master land development costs, or \$952,000. This expense item has been spread over the eleven-month construction and land absorption period, in equal amounts of \$68,000 per month.

Marketing Costs

Total marketing costs are estimated as 3% of gross land sales. This amount has been split between sales commissions (2%) and legal, title and escrow charges (1%). These costs are projected to be incurred at the time of closing of the land sale transactions.

Financing Costs

It is assumed that a land development loan will be required to fund site development costs. Assumptions reflective of the current market financing costs and loan payback are:

Loan Fee	1% of principal borrowed
Annual Interest Rate (Prime Plus 1%).....	5.75% applied to monthly loan balance
Loan Payback Rate	50% of gross sales revenue

Discount Rate

My investigation of the market suggests that a single rate discounting methodology best fits the analysis most likely to be reflected in the market for the subject property as an entitled, semi-improved land parcel. Such an analysis discounts the receipt of net revenue over time to an estimate of current residual land value through use of a discount rate or internal rate of return that allows for the perceived risk inherent in development and marketing of the project, as well as sufficient profit to attract investment.

Surveys performed over the years, as well as my own research, suggest that land developers and investors tend to consistently identify an acceptable yield rate for entitled residential land development projects as being between about 20% and 30%. Raw land without entitlements would be expected to command yield rates well in excess of 30%, a reflection of the uncertainty and timing required to secure the necessary development approvals. The high end of the yield rate range for entitled land is attributable to projects with higher perceived risks, such as projects that are lacking in some entitlements; have prolonged development and absorption periods due to large size or unfavorable market conditions; or face an extremely competitive market. On the other hand, smaller projects that may be expected to experience short development and absorption periods would be attractive at a lower yield rate. Another factor that affects the yield rate is the scarcity of readily developable land in the particular market since, in cases of strong demand and short supply, merchant builders are known to pay more for land and accept smaller profit margins, decreasing some of the risk factors to the master land developer. The range in discount rates cited generally reflects the risks associated with a land development project at the beginning of development of master land improvements. However, as of the date of value, the status of the subject Westport land development project is much farther along in both the development and marketing cycle, suggesting that a slightly lower discount rate is appropriate to reflect the lower level of risk that the development and marketing of the project will be completed according to the projections. In such a case, it is my opinion that the appropriate discount rate comparison tends toward yield requirements of merchant builders, generally falling within a range of about 17% to 20%. The summary chart on the following page as Table 16 is offered in support of the trend in yield rate requirements for residential developments, from the perspective of both master land developers and merchant builders.

Characteristics of the subject property and the market, in my opinion, suggest that a yield rate of 18% would be supportable in the market, in my opinion. This estimate is below the 20% discount rate that would be indicated to be the minimum discount rate normally sought for a residential land development, and reflects the unique physical and marketing circumstances that affect the subject property. In one respect, reduced level of risk is indicated for the project since it fits a unique market niche, and no other coastal projects are far enough along in the entitlement process to present competition to the lot sale program. The only exception would be limited availability of scattered vacant lots within the already developed neighborhoods of Leeward Estates. Duration of the remaining construction and marketing period is estimated to be short, approximately 14 months from the date of the appraisal. Initial market acceptance of the project by merchant builders has been good, with firm contracts and hard deposits in place for three of the neighborhoods, and interest expressed in the two other neighborhoods. Preliminary discussions with a potential buyer for the mixed-use parcel have taken place but, thus far, have not progressed to a formal offer. Sufficient contingency has been recognized in

the remaining site improvement cost estimates, in my opinion, to adequately address risk to the projected return that might result from cost overruns. On the other hand, this is not to suggest that the project is not entirely without risk. It is widely noted that demand for high-end homes tends to suffer the most in an economic downturn, and the subject project will offer among the highest-priced new housing in the immediate area. Only newly constructed homes with oceanfront proximity can be expected to command higher prices than homes to be built on the subject water-oriented lots. It is also noted that some risk exists that sale of the lots to merchant builders will occur without delay upon completion of infrastructure and site improvements. Recognizing these inherent risks, I have estimated a yield rate of 18% in discounting the projected cash flow stream into an estimate of "as is" land value for the subject property, assuming a bulk sale as of the date of value.

Table 16

Price Waterhouse Coopers - Land Yield Rate Survey

<u>Time Period</u>	<u>Range</u>	<u>Median</u>
Mid Year 1999	20% - 35%	24%
Year End 1998	20% - 35%	25%
Mid Year 1998	14% - 70%	25%
Year End 1997	12% - 50%	25%
Mid Year 1997	15% - 40%	25%

CB Richard Ellis - Developer Survey - Residential Land Yield

<u>Time Period</u>	<u>Range</u>
2000 Projection	20% - 25%
1999	20% - 30%
1998	20% - 30%+
1997	20% - 30%+

Korpacz Real Estate Investor Survey - Land Yield Rate Survey

<u>Time Period</u>	<u>Average Yield</u>	
	<u>Free & Clear</u>	<u>Financed</u>
2nd Qtr. 2002	19.00%	20.00%
4th Qtr. 2001	19.96%	20.70%
2nd Qtr. 2001	20.00%	22.14%
4th Qtr. 2000	15.25%	18.50%

Mater Land Developer/Advisor Survey

<u>Company</u>	<u>Leveraged Yields</u>
Newland Communitites	25% - 30%
Inst. Housing Partners	25% - 30%

Residential Builder Survey

<u>Company</u>	<u>Unleveraged Yields</u>
Brookfield Homes	20%
Standard Pacific	17% - 20%
PLC Land	High teens/low 20% s

Estimated Residual Land Value

A discounted cash flow analysis is presented in Exhibit B in the Addendum of this report. Indicated residual land value reflecting the “as is” condition of the Westport at Mandalay Bay property as of November 1, 2002 is rounded to an estimate of **\$34,475,000**.

Estimated Market Exposure Time

The property has all necessary entitlements and is proceeding with development of site and infrastructure improvements according to the master plan of development. Initial market acceptance from merchant builders has been good, with contracts and purchase letters of intent progressing for three of the subject product lines. The primary limitation affecting marketing of the property on a bulk sale basis is the limited number of master land developers willing to acquire and complete the master land development improvements. In my opinion, a period of approximately six months or less would be required to attract a buyer to the property and allow performance of the required due diligence prior to consummation of a sale.

VALUATION

Based on the examination and study made and my experience as a real estate appraiser, I have formed the opinion that the market value of the subject property, in “as is” condition, as of November 1, 2002, as enhanced by infrastructure improvements to be financed by CFD-1, Westport-Mandalay Bay, is in the amount of:

THIRTY-FOUR MILLION FOUR HUNDRED SEVENTY-FIVE THOUSAND DOLLARS
(\$34,475,000)

LIMITING CONDITIONS

This report is made expressly subject to the conditions and stipulations following.

- 1) No responsibility is assumed by Parkcenter Realty Advisors for matters, which are legal in nature.
- 2) No opinion of title is rendered and the property is appraised as though free of all encumbrances and the title marketable.
- 3) The appraisal covers the property described only.
- 4) No survey of the boundaries of the property has been made. All areas and dimensions furnished our appraiser(s) are assumed to be correct.
- 5) Sources of information are believed to be correct and, where feasible, have been verified.
- 6) That the term "market value", as used herein, is defined as, "the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:
 - a) buyer and seller are typically motivated;
 - b) both parties are well informed or well advised, and acting in what they consider their own best interests;
 - c) a reasonable time is allowed for exposure in the open market;
 - d) payment is made in terms of cash in United States dollars or in terms of financial arrangements comparable thereto; and
 - e) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale."
- 7) That the date of value to which the conclusions and opinions expressed in this report apply, is set forth in the letter of transmittal. Further, that the dollar amount of any value opinion herein rendered is based upon the purchasing power of the American dollar on that date.
- 8) That the appraiser(s) assumes no responsibility for economic or physical factors, which may affect the opinions herein stated occurring at some date after the date of value.
- 9) That the appraiser(s) reserves the right to make such adjustments to the valuation herein reported, as may be required by consideration of additional data or more reliable data that may become available.

- 10) That maps, plats, and exhibits included **herein** are for illustration only as an aid in visualizing matters discussed within the report. **They should not be considered as survey, or relied upon for any other purpose, nor should they be removed from, reproduced, or used apart from this report.**
- 11) By reason of this appraisal, Parkcenter Realty Advisors is not required to give testimony or to be in attendance in court or at any **governmental** or other hearing with reference to the property without prior arrangements **having been made relative to such additional employment.**
- 12) In this engagement, Parkcenter Realty Advisors has used their best efforts to perform the appraisal in a professional manner to **the Standards of the Appraisal Institute, however, no warranties, assurances or guarantees of any kind are expressed or implied and the appraiser(s) accept no liability in furnishing this report.**
- 13) Disclosure of the contents of this **appraisal report** is governed by the By-Laws and Regulations of the Appraisal Institute.

Neither all nor any part of the contents of **this report** (especially any conclusions as to value, the identity of the appraiser(s) or firm (**Parkcenter Realty Advisors**) with which they are connected, or any reference to the Appraisal Institute or to the MAI or RM designation) shall be disseminated to the public through **advertising media, public relations media, sales media or any other public means of communication** without the prior written consent and approval of the authors.

- 14) This appraisal report is prepared for the **sole and exclusive use** of the client identified herein for the stated intended use. **No third parties** are authorized to rely upon this report without the express prior written consent of **Parkcenter Realty Advisors.**

CERTIFICATION

Parkcenter Realty Advisors certifies that, **to the best of their knowledge and belief,**

- the appraisal assignment was not based on a **requested minimum valuation, a specific valuation, or the approval of a loan;**
- the statements of fact contained in **this report** are true and correct;
- the reported analyses, opinions, and **conclusions** are limited only by the reported assumptions and limiting conditions, and are our **personal, unbiased professional analyses, opinions, and conclusions;**
- we have no present or prospective **interest in the property** that is the subject of this report, and we have no personal interest or bias with **respect** to the parties involved;

- our compensation is not contingent on an action or event resulting from the analyses, opinions, or conclusions in, or the use of, this report;
- our analyses, opinions, and conclusions were developed, and this report has been prepared in conformity with the requirements of the Code of Professional Ethics and Standards of Professional Practice of the Appraisal Institute as well as the Uniform Standards of Professional Practice of the Appraisal Standards Board of the Appraisal Foundation;
- the use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives;
- as of the date of this report, Christopher N. Hardy has completed the requirements under the continuing education program of the Appraisal Institute;
- we have made a personal inspection of the property that is the subject of this report;
- no one provided significant professional assistance to the persons signing this report; and
- in accordance with the USPAP Competency Provision, we certify that we have the knowledge and experience to complete this assignment and have appraised this property type before.

Respectfully submitted,

PARKCENTER REALTY ADVISORS

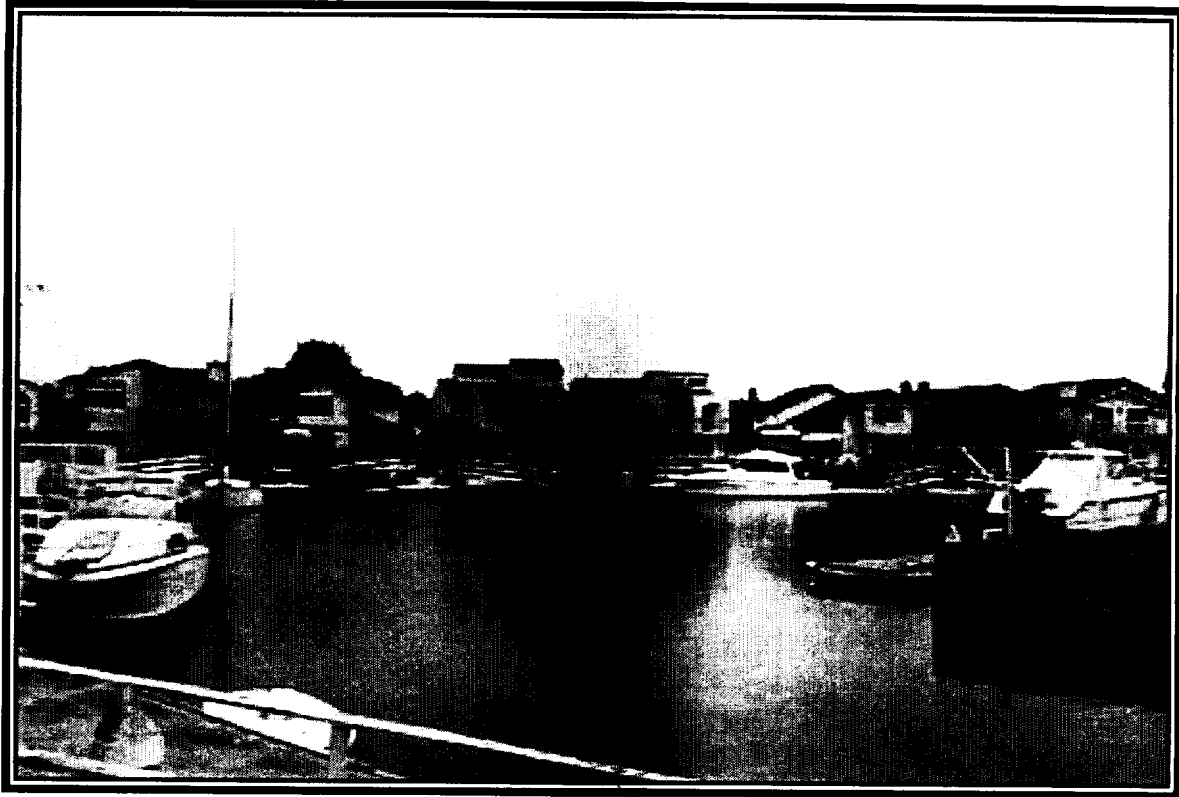
By:

Christopher N. Hardy, MAI
 Senior Vice President
 Certified General Real Estate Appraiser
 State of California No. AG003369

CNH:pmd

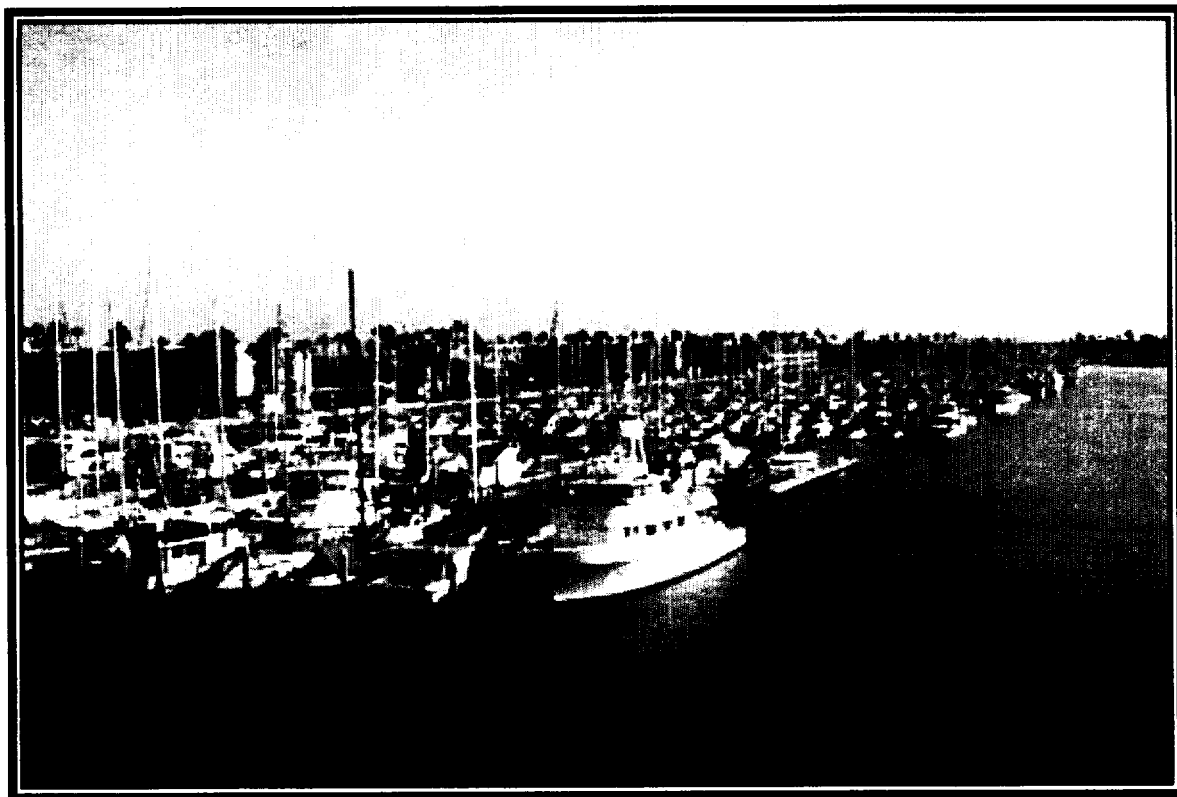
ADDENDUM

EXHIBIT A - NEIGHBORHOOD PHOTOGRAPHS



Typical Canal Settings In Leeward Estates Mandalay Bay Neighborhoods





Channel Islands Marina



Seaport Village Wharf-Channel Islands Harbor

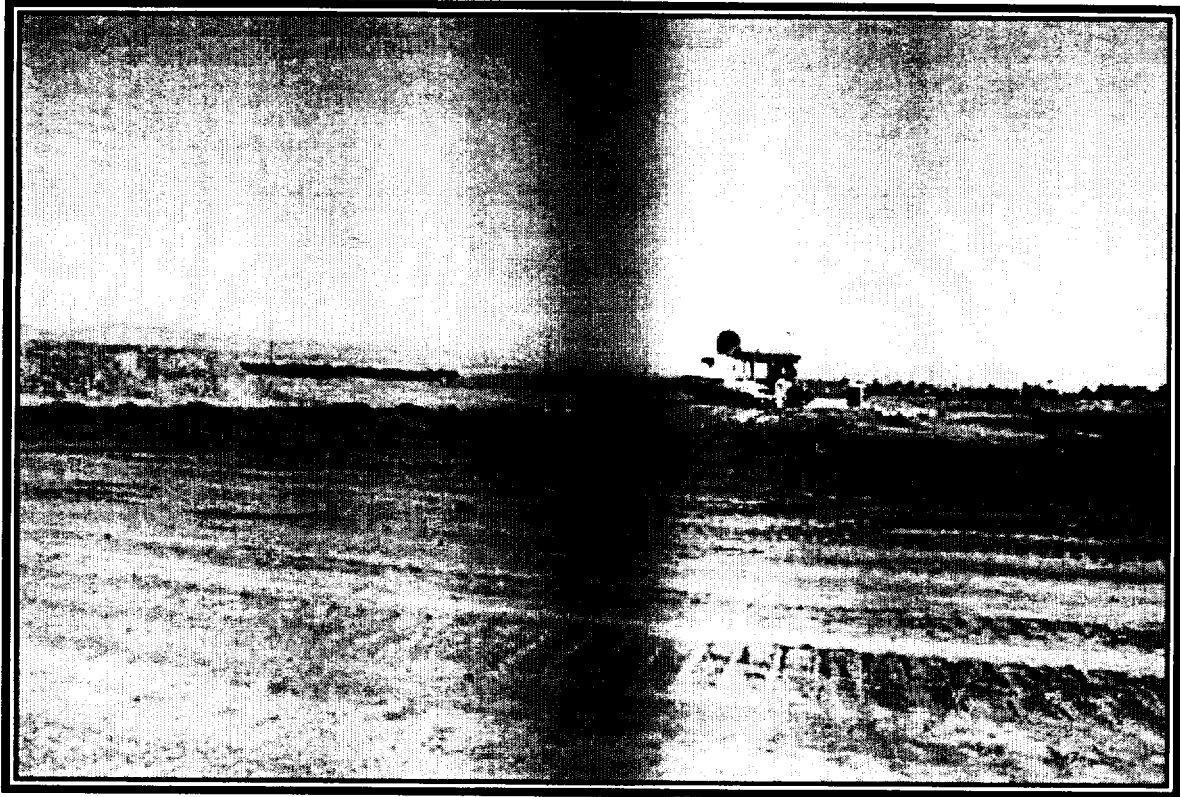


Harbour Pointe Condos, Mandalay Bay

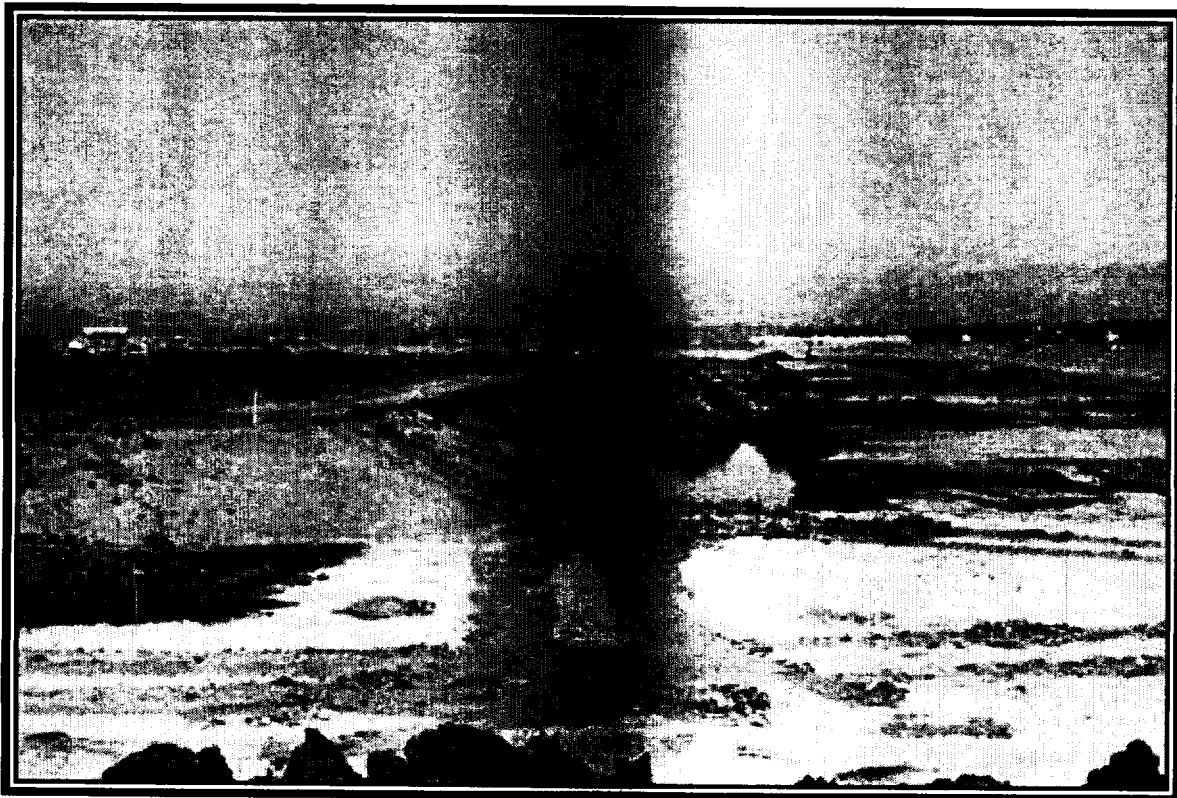


Channel View From West Portion Of South Island-Mandalay Bay

EXHIBIT B - SUBJECT PHOTOGRAPHS



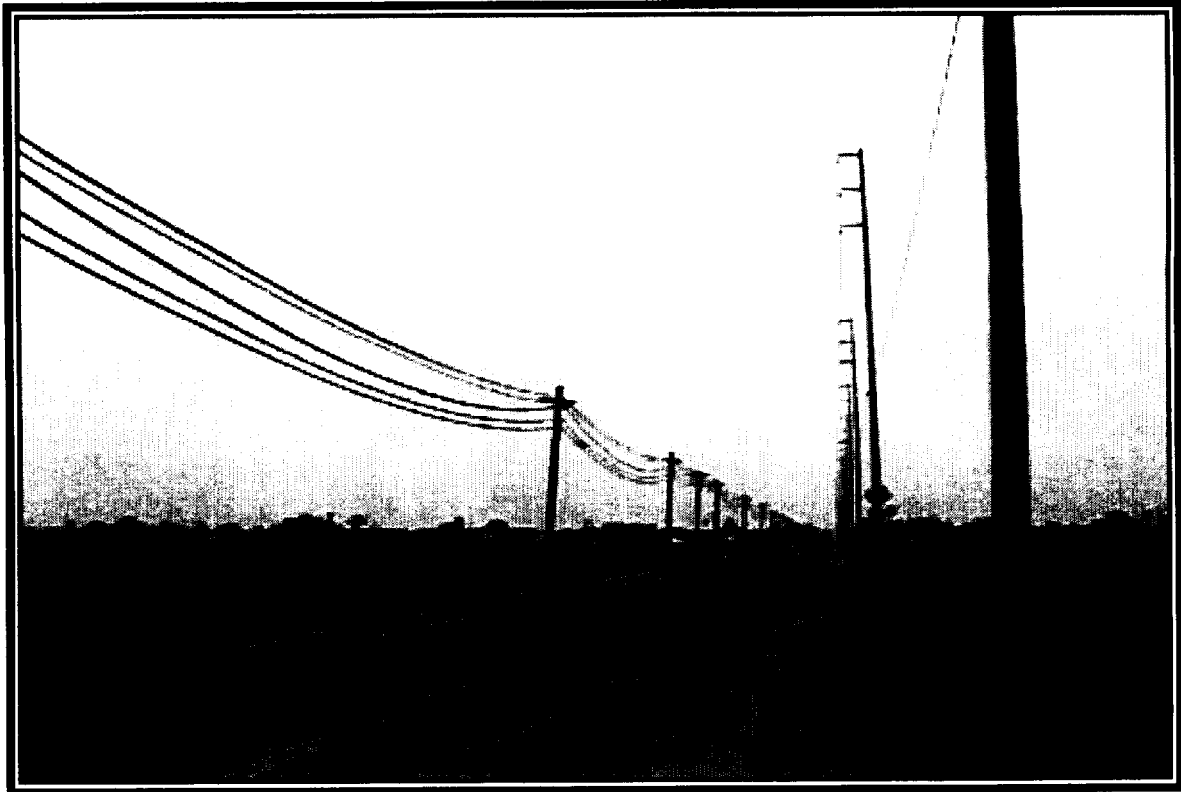
View East At Mid Site



East Canal Construction In Process



Wooley Road Viewed West



East View Along Wooley Road



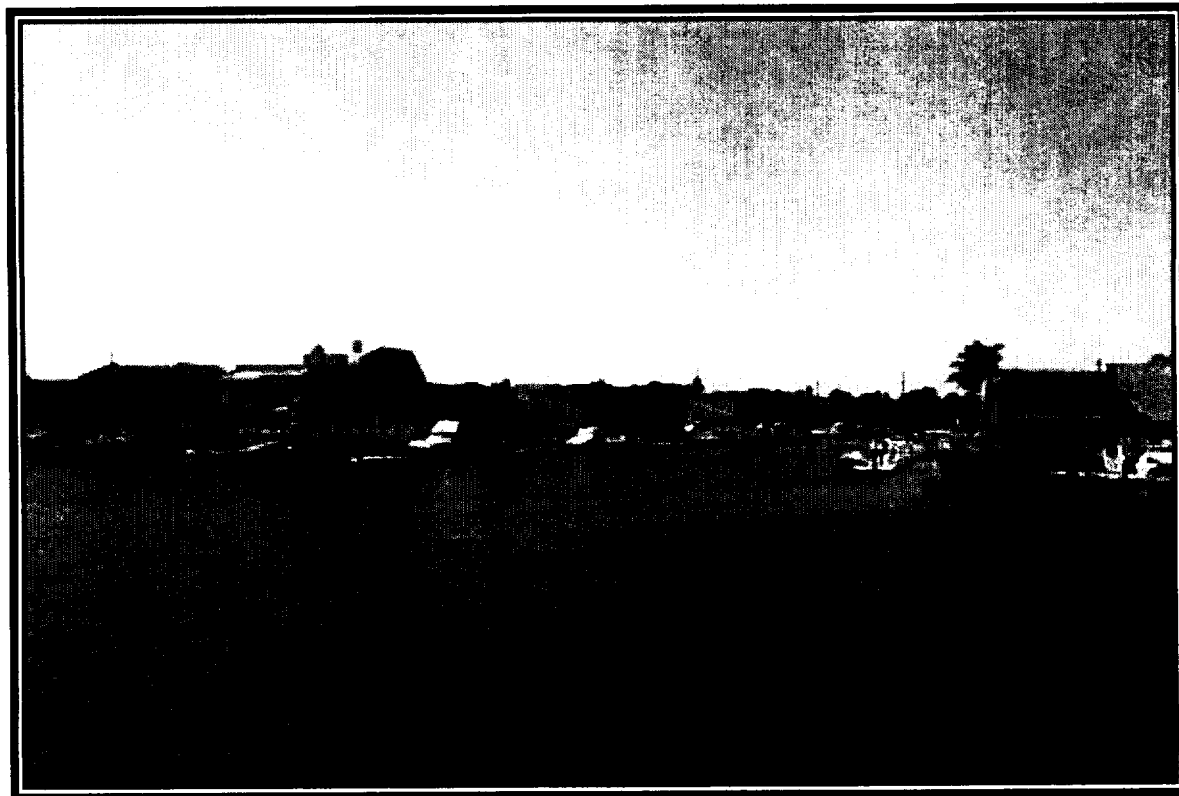
North Canal Construction In Process



Southwest Corner Of Property



Reliant Energy Canal Bordering West Of Property



View Of Leeward Estates Across Channel



Wooley Road Improvements



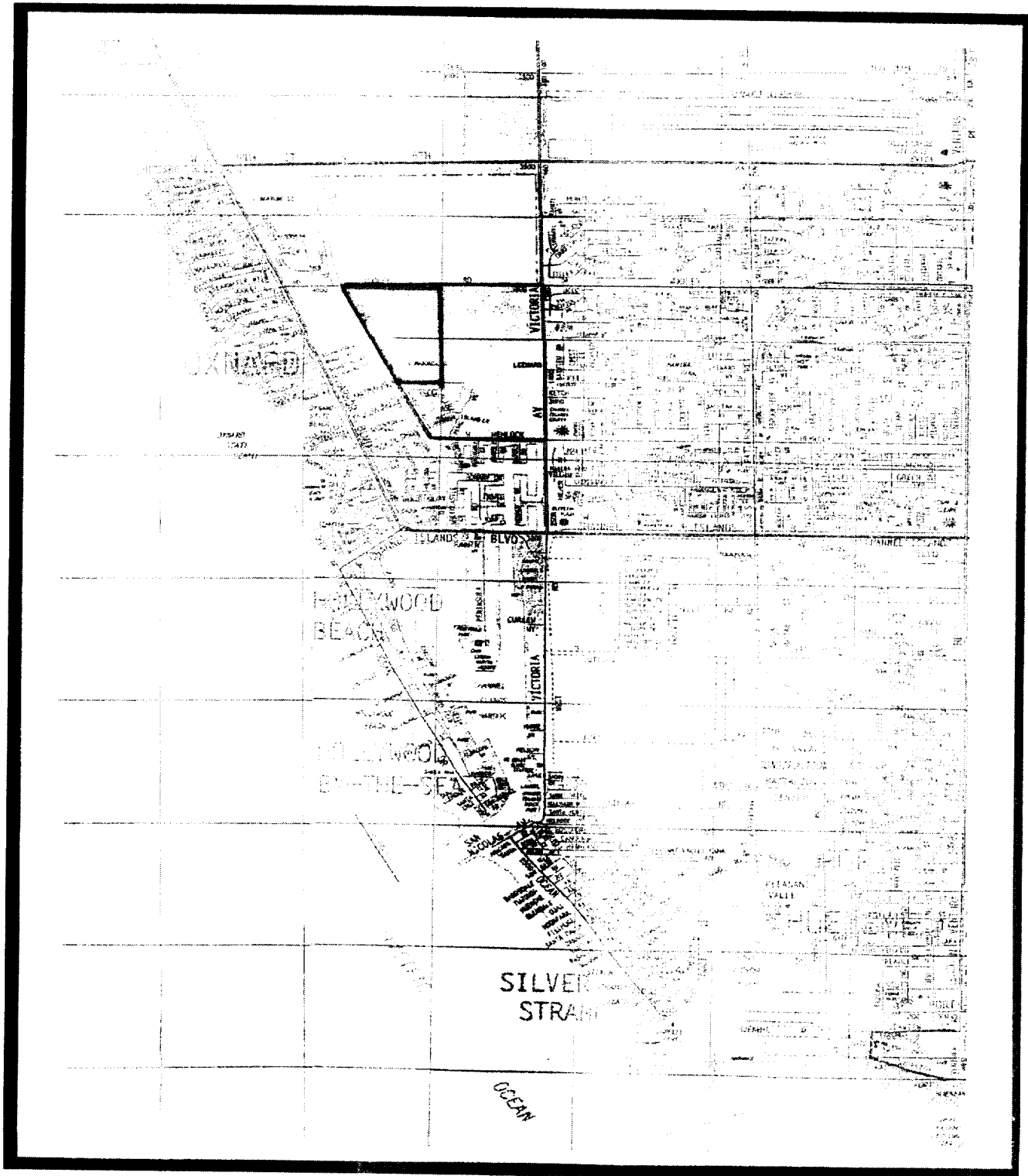
EXHIBIT C - NEIGHBORING AREAS, RESIDENTIAL RE-SALES DATA

HARBOUR POINTE CONDO SALES

HARBOUR POINTE CONDOS - SUMMARY OF SALES ACTIVITY

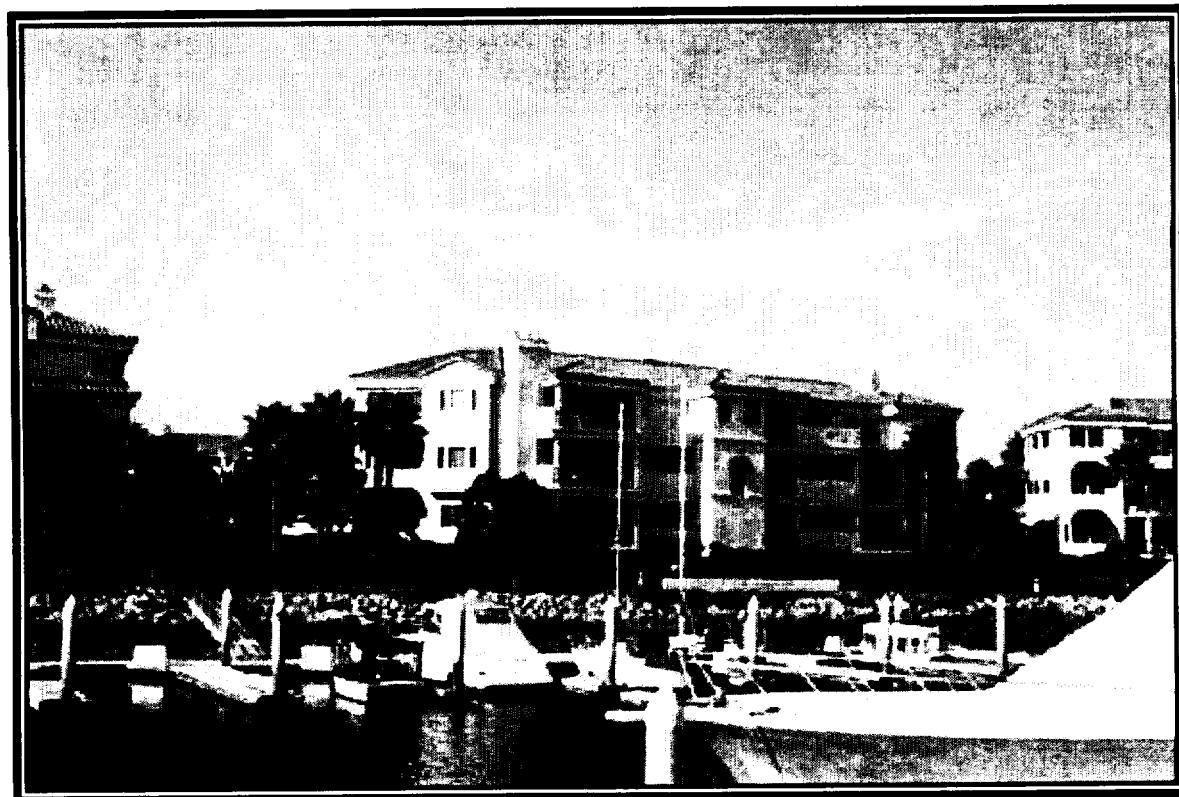
<i>Address</i>	<i>Bldg. Sq.Ft.</i>	<i>Yr. Blt.</i>	<i>Floor Location</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
1709 Pearl Way	2,164	1992	Q-2	1	2	2	Sep-00	\$315,000	\$145.56
4214 Harbour Island	2,164	1988	A-3	1	2	2	Oct-00	\$365,000	\$168.67
1727 Emerald Isle Way	1,937	1991	G-2	1	2	2	Nov-00	\$358,000	\$184.82
1736 Emerald Isle Way	2,164	1991	K-2	1	2	2	Nov-00	\$335,000	\$154.81
4210 Harbour Island	1,937	1988	A-2	1	2	2	May-00	\$335,000	\$172.95
4220 Harbour Island	1,937	1988	B-1	1	2	2	Jul-00	\$370,000	\$191.02
Average	2,051								\$169.64
1741 Pearl Way	1,937	1992	O-1	1	2	2	Jan-01	\$365,000	\$188.44
1711 Pearl Way	2,164	1992	Q-2	1	2	2	Feb-01	\$325,000	\$150.18
4246 Harbour Island	1,937	1988	C-2	1	2	2	Jun-01	\$330,000	\$170.37
4206 Harbour Island	2,164	1988	A-2	1	2	2	Apr-01	\$325,000	\$150.18
4233 Harbour Island	2,164	1988	E-3	1	2	2	Mar-01	\$365,000	\$168.67
1758 Emerald Isle Way	2,663	1991	Penthse	1	2	2	Apr-01	\$555,000	\$208.41
1709 Emerald Isle Way	2,164	1991	H-2	1	2	2	Aug-01	\$450,000	\$207.95
1717 Pearl Way	2,164	1992	Q-3	1	2	2	Jul-01	\$480,000	\$221.81
4216 Harbour Island	1,937	1988	A-3	1	2	2	Sep-01	\$400,000	\$206.50
4223 Harbor Island	2,164	1988	E-1	1	2	2	Nov-01	\$399,000	\$184.38
4228 Harbour Island	1,937	1988	B-3	1	2	2	Aug-01	\$394,500	\$203.67
4211 Harbour Island	1,937	1992	N-3	1	2	2	Dec-01	\$385,000	\$198.76
Average	2,111								\$188.28
1741 Pearl Way	1,937	1992	O-1	1	2	2	Feb-02	\$430,000	\$221.99
1733 Emerald Isle Way	1,937	1991	G-3	1	2	2	Apr-02	\$430,000	\$221.99
1711 Pearl Way	2,164	1992	O-2	1	2	2	Escrow	\$480,000	\$221.81
4226 Harbour Island	2,164	1988	B-2	1	2	2	Sep-02	\$480,000	\$221.81
1729 Emerald Isle Way	2,164	1991	G-2	1	2	2	Aug-02	\$485,000	\$224.12
1714 Emerald Isle Way	2,663	1991	Penthse	1	2	2	Listing	\$750,000	\$281.64
Average (Excluding Listing)	2,073								\$222.35

HARBOUR POINTE CONDO SALES





Harbour Island Stacked Flat Condos – Harbour Pointe



THE COLONY CONDO SALES

THE COLONY AT MANDALAY BEACH

Plan	Martinique	Madiera	Antigua	Capri	Cannes	San Tropez	San Sebastian	Vina Del Mar	Costa De Oro
Square Feet	1,260	1,350	1,545	1,600	1,700	1,900	2,350	2,350	2,700
# Bdrms	2	2	2	2	2	3	2	3	3
# Baths	2	2	2	2	2	2.5	2.5	2.5	2.5
1999									
# Sales	11	4	2	5	0	1	1	0	0
Agg Price	\$2,536,000	\$973,265	\$554,000	\$1,617,500					
Avg Price	\$230,545	\$243,316	\$277,000	\$323,500		\$408,650	\$432,000		
Per Sq Ft	\$182.97	\$180.23	\$179.29	\$202.19		\$215.08	\$183.83		
Low	\$207,000	\$225,000	\$259,000	\$310,000					
High	\$260,000	\$258,265	\$295,000	\$340,000					
Ocean View									
# Sales	2	1	1	0	0	0	0	3	0
Avg Price	\$293,000	\$479,000	\$315,000					\$543,000	
2000									
# Sales	12	7	8	8	1	2	0	1	2
Agg Price	\$2,930,500	\$1,880,000	\$2,467,000	\$2,877,000		\$858,500			\$1,027,500
Avg Price	\$244,208	\$268,571	\$308,375	\$359,625	\$435,000	\$429,250		\$475,000	\$513,750
Per Sq Ft	\$193.82	\$198.94	\$199.60	\$224.77	\$255.88	\$225.92		\$202.13	\$190.28
Low	\$215,000	\$240,000	\$275,000	\$325,000		\$422,500			\$477,500
High	\$270,000	\$365,000	\$339,000	\$480,000		\$436,000			\$550,000
Ocean View									
# Sales	0	1	1	0	0	0	0	0	0
Avg Price		\$487,000	\$597,000						
2001									
# Sales	8	6	6	7	0	0	0	3	0
Agg Price	\$2,237,500	\$1,793,950	\$2,091,388	\$2,553,000				\$1,618,000	
Avg Price	\$279,688	\$298,992	\$348,565	\$364,714				\$539,333	
Per Sq Ft	\$221.97	\$221.48	\$225.61	\$227.95				\$229.50	
Low	\$255,000	\$271,000	\$280,000	\$330,000					
High	\$305,000	\$320,000	\$465,000	\$425,000					
Ocean View									
# Sales	1	1	0	0	0	0	0	0	0
Avg Price	\$495,000	\$575,000							
2002									
# Sales	13	5	7	8	0	1	0	0	1
Agg Price	\$4,228,914	\$1,557,638	\$2,729,900	\$2,963,400		\$525,000			
Avg Price	\$325,301	\$311,528	\$389,986	\$370,425		\$525,000			\$579,000
Per Sq Ft	\$258.18	\$230.76	\$252.42	\$231.52		\$276.32			\$214.44
Low	\$305,000	\$292,750	\$352,500	\$310,000				\$800,000	
High	\$375,000	\$329,000	\$435,000	\$410,000				\$849,000	
Ocean View									
# Sales	1	0	0	1	0	0	0	2	1
Avg Price	\$395,000			\$738,888				\$824,500	\$775,000

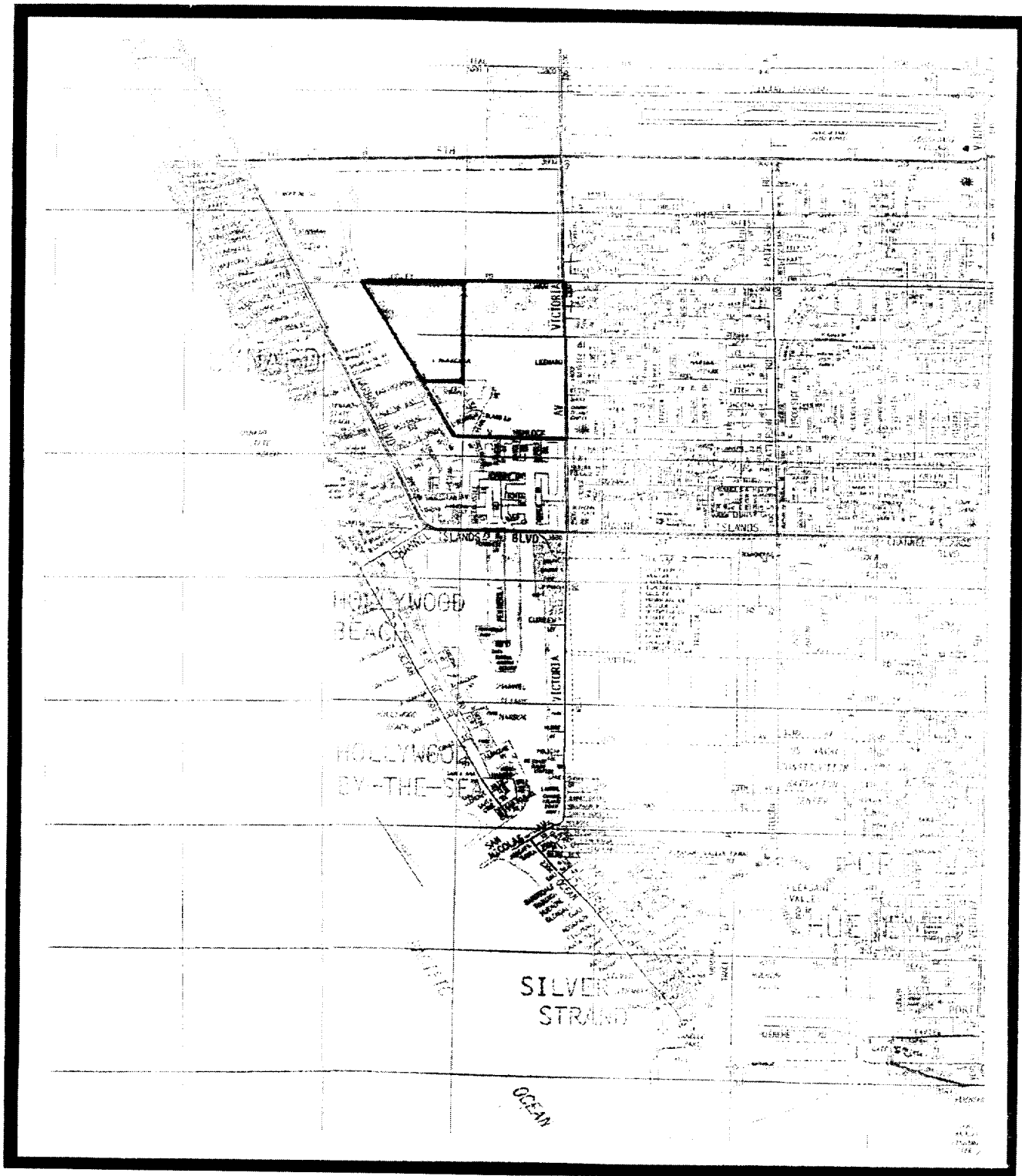
THE COLONY - SUMMARY OF SALES ACTIVITY

<i>Address</i>	<i>Bldg. Sq.Ft.</i>	<i>Yr. Built</i>	<i># Stories</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
2226 Martinique Ln	1,459	1985	2	2	2	Aug-00	\$285,000	\$195.34
4471 Antigua Way	1,627	1985	2	2	2	Aug-00	\$345,000	\$212.05
1923 Majorca Dr	1,217	1985	1	2	2	Aug-00	\$260,000	\$213.64
2065 San Sebastian	1,549	1987	2	2	2	Aug-00	\$300,000	\$193.67
2236 Martinique Ln	1,627	1985	2	2	2	Sep-00	\$343,000	\$210.82
2241 Martinique Ln	1,627	1985	2	2	2	Sep-00	\$325,000	\$199.75
2161 Martinique Ln	1,459	1985	2	2	2	Sep-00	\$280,000	\$191.91
1984 San Tropez	1,627	1987	2	2	2	Sep-00	\$365,000	\$224.34
4697 San Sebastian	1,549	1987	2	2	2	Sep-00	\$334,000	\$215.62
2325 Vina Del Mar	2,692	1985	2	3	2.5	Oct-00	\$550,000	\$204.31
4417 Antigua Way	1,627	1985	2	2	2	Oct-00	\$327,000	\$200.98
2027 Majorca Dr	1,549	1985	2	2	2	Nov-00	\$275,000	\$177.53
1900 Majorca Dr	1,627	1985	2	2	2	Nov-00	\$343,000	\$210.82
1976 San Tropez	1,627	1987	2	2	2	Nov-00	\$369,000	\$226.80
4452 Antigua Way	1,368	1985	1	2	2	Dec-00	\$211,455	\$154.57
Average	1,615							\$202.14
2365 Martinique Ln	1,368	1985	1	2	2	Jan-01	\$271,000	\$198.10
2011 San Sebastian	1,627	1987	2	2	2	Jan-01	\$425,000	\$261.22
1967 San Sebastian	1,217	1987	1	2	2	Jan-01	\$495,000	\$406.74
2151 Martinique Ln	1,627	1985	2	2	2	Feb-01	\$274,500	\$168.72
4472 Antigua Way	1,217	1985	1	2	2	Feb-01	\$255,500	\$209.94
1933 Majorca Dr	1,217	1985	1	2	2	Feb-01	\$272,000	\$223.50
1905 Majorca Dr	1,217	1985	1	2	2	Feb-01	\$268,000	\$220.21
2200 Martinique Ln	1,627	1985	2	2	2	Mar-01	\$290,000	\$178.24
2251 Martinique Ln	1,459	1985	2	2	2	Apr-01	\$329,000	\$225.50
1970 San Tropez	1,627	1987	2	2	3	Apr-01	\$320,000	\$196.68
2137 Martinique Ln	1,627	1985	2	2	2	Jul-01	\$343,000	\$210.82
2206 Martinique Ln	1,627	1985	2	2	2	Aug-01	\$305,000	\$187.46
2376 Vina Del Mar	1,627	1985	2	2	2	Aug-01	\$351,000	\$215.73
2333 Vina Del Mar	2,360	1985	2	3	2.5	Aug-01	\$534,500	\$226.48
4441 Antigua Way	1,217	1985	1	2	2	Aug-01	\$256,000	\$210.35
4681 San Sebastian	1,627	1987	2	2	2	Aug-01	\$354,000	\$217.58
1947 San Tropez	1,217	1987	1	2	2	Aug-01	\$303,000	\$248.97
2376 Vina Del Mar	1,627	1985				Aug-01	\$351,000	\$215.73
4717 San Sebastian	1,369	1987	1	2	2	Aug-01	\$320,000	\$233.75
4674 San Sebastian	1,550	1987				Sep-01	\$465,000	\$300.00
2131 Martinique Ln	1,627	1985	2	2	2	Sep-01	\$350,000	\$215.12
2103 Martinique Ln	1,368	1985	1	2	2	Sep-01	\$309,000	\$225.88
2212 Cannes Square	2,360	1985	2	2	2	Nov-01	\$530,000	\$224.58
2323 Vina Del Mar	2,360	1985				Dec-01	\$540,000	\$228.81
1952 San Tropez Cir	1,218	1987				Dec-01	\$303,000	\$248.77
1932 San Tropez Cir	1,218	1987	1	2	2	Dec-01	\$359,545	\$295.19
4451 Antigua Way	1,549	1985				Dec-01	\$337,500	\$217.88
2274 Martinique Ln	1,368	1985	1	2	2	Dec-01	\$310,000	\$226.61
2351 Martinique Ln	1,459	1985	2	2	2	Dec-01	\$350,000	\$239.89
2271 Martinique Ln	1,459	1985	2	2	2	Dec-01	\$330,000	\$226.18
Average	1,535							\$230.15

THE COLONY - SUMMARY OF SALES ACTIVITY (continued)

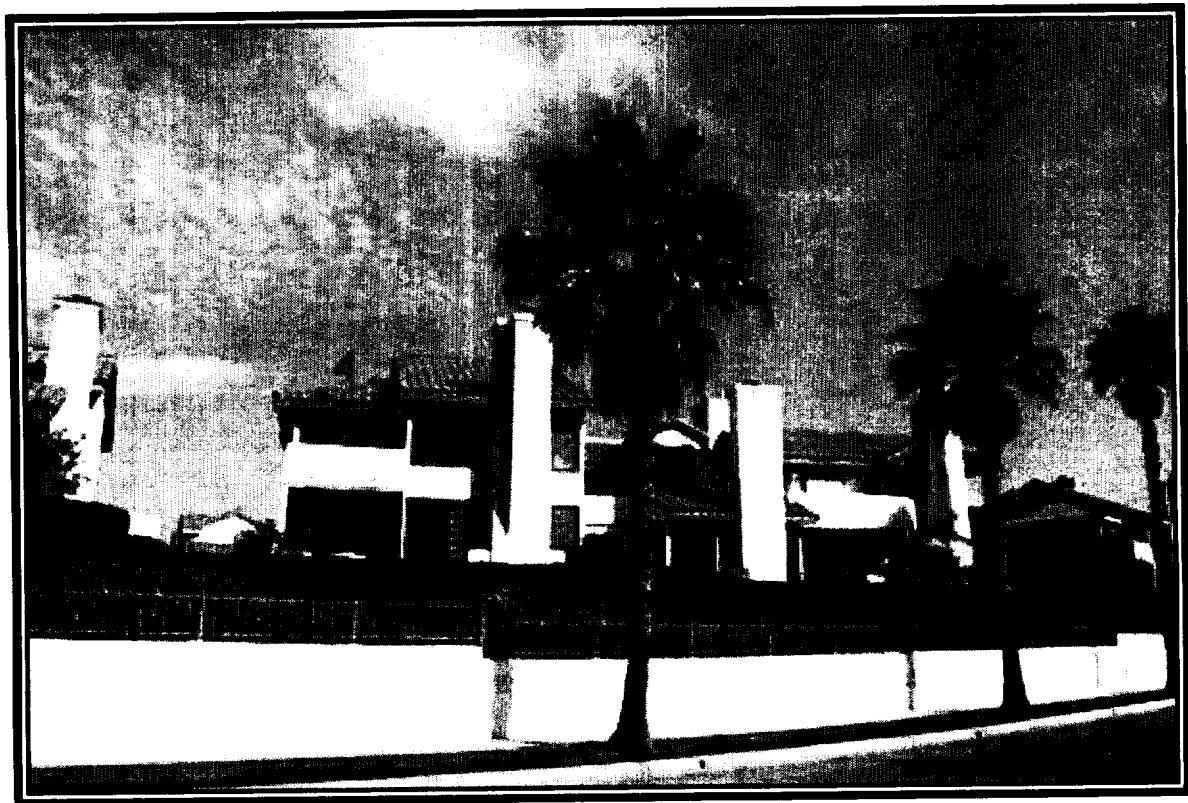
<i>Address</i>	<i>Bldg. Sq.Ft.</i>	<i>Yr. Built</i>	<i># Stories</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
2266 Martinique Ln	1,459	1985	2	2	2	Feb-02	\$330,000	\$226.18
2263 Martinique Ln	1,628	1985	2	2	2	Feb-02	\$356,500	\$218.98
4760 San Sebastian	1,766	1987	2	2	2	Feb-02	\$739,000	\$418.46
2221 Martinique Ln	1,459	1985	2	2	2	Feb-02	\$352,500	\$241.60
2124 Vina Del Mar	2,692	1985	2	3	2.5	Feb-02	\$579,000	\$215.08
2043 Majorca Dr	1,218	1985	1	2	2	Feb-02	\$305,000	\$250.41
2055 Majorca Dr	1,218	1985	1	2	2	Mar-02	\$310,000	\$254.52
2204 Martinique Ln	1,368	1985	1	2	2	Mar-02	\$298,000	\$217.84
4475 Antiqua Way	1,218	1985	1	2	2	Apr-02	\$307,500	\$252.46
2281 Martinique Ln	1,627	1985	2	2	2	Apr-02	\$360,000	\$221.27
2303 Vina Del Mar	2,360	1985	2	3	2.5	Apr-02	\$800,000	\$338.98
2241 Martinique Ln	1,627	1985	2	2	2	Apr-02	\$370,000	\$227.41
2317 Martinique Ln	1,627	1985	2	2	2	Apr-02	\$310,000	\$190.53
2345 Martinique Ln	1,369	1985	1	2	2	Apr-02	\$329,000	\$240.32
2250 Martinique Ln	1,627	1985	2	2	2	May-02	\$355,000	\$218.19
4481 Antigua Way	1,369	1985	1	2	2	May-02	\$319,500	\$233.38
2234 Martinique Ln	1,368	1985	1	2	2	May-02	\$305,000	\$222.95
1904 Majorca Dr	1,217	1985	1	2	2	May-02	\$375,000	\$308.13
2175 Martinique Ln	1,114	1985	1	2	2	May-02	\$311,000	\$279.17
4706 San Sebastian	1,218	1985	1	2	2	Jun-02	\$395,000	\$324.30
2305 Martinique Ln	1,113	1985	1	2	2	Jun-02	\$310,000	\$278.53
2161 Martinique Ln	1,459	1985	2	2	2	Jun-02	\$380,000	\$260.45
2223 Martinique Ln	1,113	1985	1	2	2	Jul-02	\$320,000	\$287.51
2013 Majorca Dr	1,368	1985	1	2	2	Jul-02	\$329,000	\$240.50
2227 Martinique Ln	1,459	1985	2	2	2	Jul-02	\$380,000	\$260.45
2354 Vina Del Mar	2,059	1985	2	3	3	Jul-02	\$555,000	\$269.55
2257 Martinique Ln	1,459	1985	2	2	2	Jul-02	\$377,500	\$258.74
2121 Vina Del Mar	2,059	1985	2	3	3	Jul-02	\$555,000	\$269.55
2141 Martinique Ln	1,459	1985	2	2	2	Jul-02	\$380,000	\$260.45
2244 Martinique Ln	1,113	1985	1	2	2	Aug-02	\$309,000	\$277.63
2253 Martinique Ln	1,113	1985	1	2	2	Aug-02	\$340,000	\$305.48
4487 Antiqua Way	1,550	1985	2	2	2	Aug-02	\$415,000	\$267.74
2065 San Sebastian	1,550	1985	2	2	2	Aug-02	\$425,000	\$274.19
2112 Vina Del Mar	2,059	1985	2	3	3	Aug-02	\$525,000	\$254.98
2370 Vina Del Mar	1,627	1985	2	2	2	Aug-02	\$404,000	\$248.31
2313 Vina Del Mar	2,360	1985	2	3	2.5	Aug-02	\$849,000	\$359.75
Average	1,536							\$261.84

THE COLONY CONDO SALES





The Colony at Mandalay Beach – Condominiums

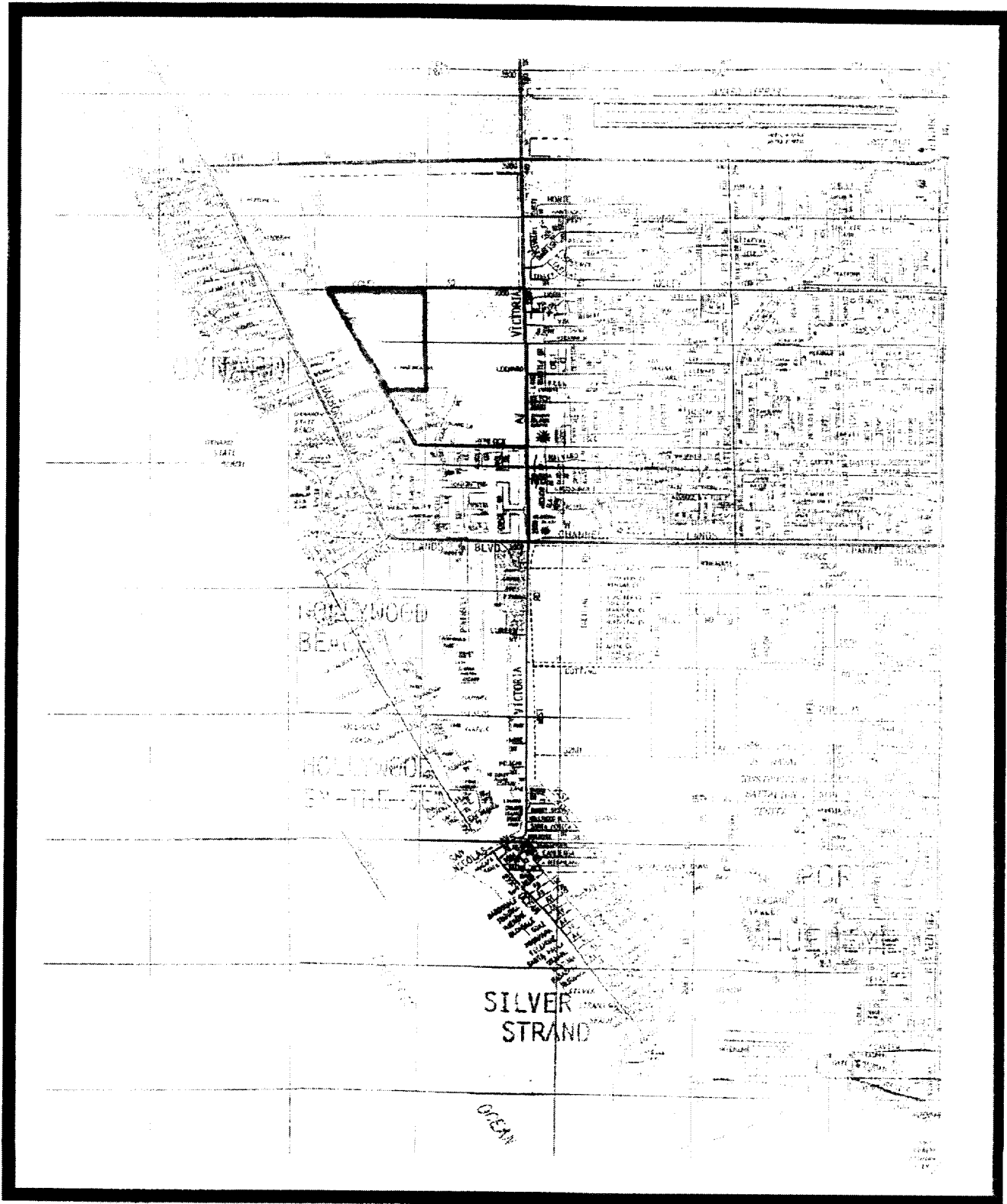


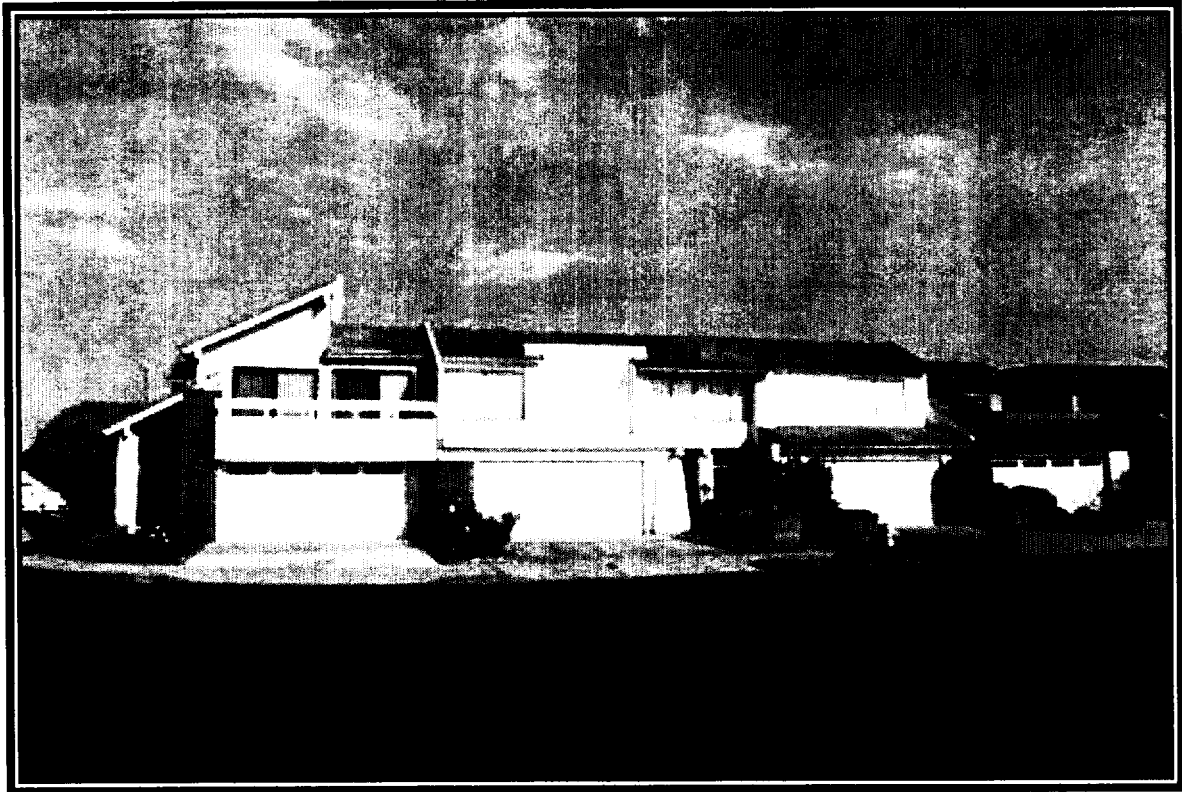
MANDALY BAY TOWNHOUSE SALES

MANDALAY BAY TOWNHOUSES - SUMMARY OF SALES ACTIVITY

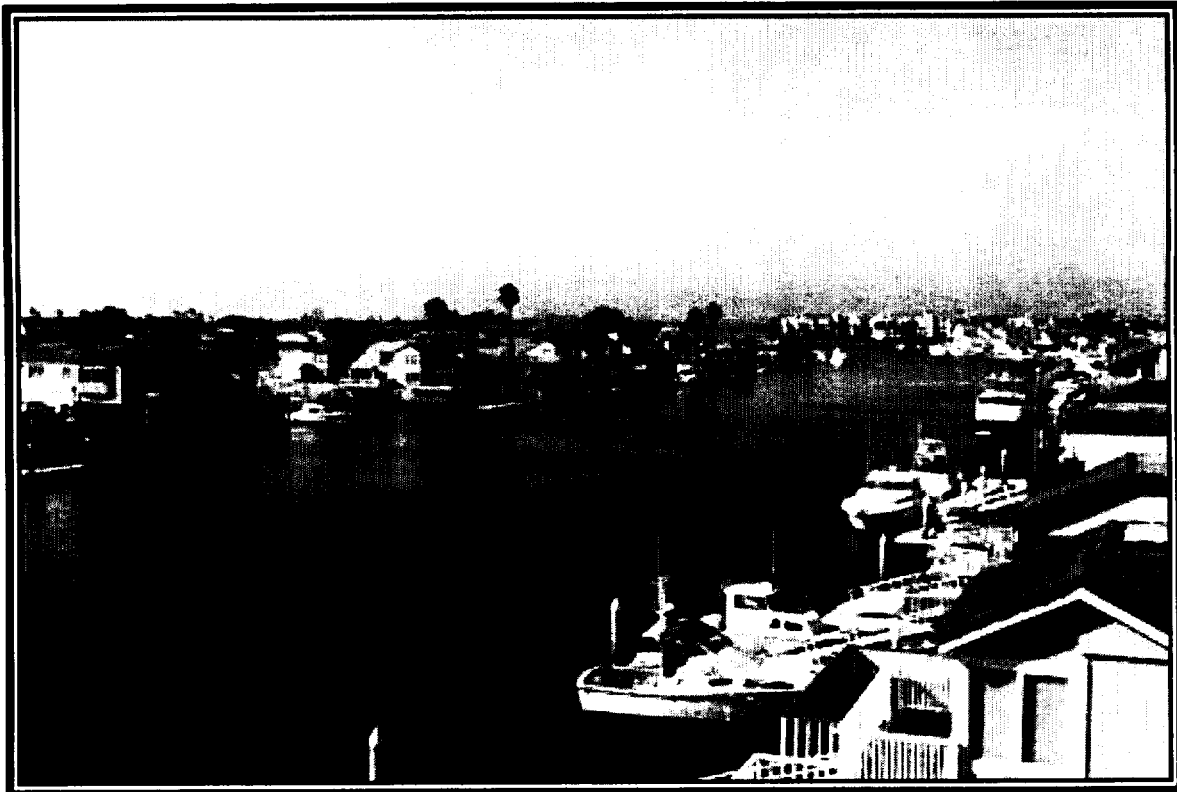
<i>Address</i>	<i>Lot Sq. Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg. Sq. Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq. Ft.</i>
4525 Lyme Bay	3,400	N & E	34 ft	2,192	Twnehse	1971	2	4	3	Sep-00	\$450,000	\$205.29
4521 Lyme Bay	2,800	E	28 ft	2,237	Twnehse	1971	2	3	2.5	Sep-00	\$485,000	\$216.81
4565 Falkirk Bay	2,800	N	28 ft	1,216	Twnehse	1976	1	2	2	Sep-00	\$425,000	\$349.51
4414 Gateshead Bay	2,800	E	28 ft	2,164	Twnehse	1976	2	3	2	Sep-00	\$570,000	\$263.40
2454 Jamestown Ct.	3,400	N & E	34 ft	2,250	Twnehse	1971	2	3	2.5	Oct-00	\$795,000	\$353.33
4562 Eastbourne Bay	2,800	S	28 ft	1,216	Twnehse	1976	1	2	2	Nov-00	\$325,000	\$267.27
4430 Falkirk Bay	<u>2,800</u>	E	28 ft	<u>1,216</u>	Twnehse	1976	1	2	2	Dec-00	<u>\$420,000</u>	<u>\$345.39</u>
Average	2,971			1,784							\$495,714	\$285.86
2251 Kingsbridge Ln.	3,100	W	31 ft	1,800	Twnehse	1971	2	3	2.5	Jan-01	\$460,000	\$255.56
2511 Jamestown Ct.	2,800	W	28 ft	2,237	Twnehse	1971	2	3	2.5	Feb-01	\$480,000	\$214.57
4440 Meridian Ave.	2,940	S	28 ft	1,991	Twnehse	1971	2	3	2.5	Feb-01	\$485,000	\$243.60
4624 Falkirk Bay	3,120	S	34 ft	1,376	Twnehse	1976	1	2	2	Feb-01	\$379,000	\$275.44
4608 Falkirk Bay	2,800	S	28 ft	1,216	Twnehse	1976	1	2	2	Feb-01	\$398,000	\$327.30
4540 Falkirk Bay	2,800	S	28 ft	1,216	Twnehse	1976	1	2	2	Feb-01	\$395,000	\$324.84
4516 Falkirk Bay	2,800	S	28 ft	2,734	Twnehse	1976	2	2	2.5	Mar-01	\$637,500	\$233.17
2450 Jamestown Ct.	2,800	N	28 ft	2,237	Twnehse	1971	2	3	2.5	May-01	\$486,000	\$217.26
2530 Oldham Cir.	2,800	E	28 ft	1,991	Twnehse	1971	2	3	2.5	Jul-01	\$479,000	\$240.58
4610 Eastbourne Bay	2,800	S	28 ft	1,620	Twnehse	1976	2	3	2	Jul-01	\$475,000	\$293.21
2000 Kingsbridge Wy.	3,252	E	33 ft	2,192	Twnehse	1971	2	4	3	Aug-01	\$465,000	\$212.14
2110 Kingsbridge Wy.	2,800	E	20 ft	2,192	Twnehse	1971	2	4	3	Aug-01	\$500,000	\$228.10
2041 Kingsbridge Wy.	2,950	E	29.5 ft	1,800	Twnehse	1971	2	3	2.5	Aug-01	\$345,000	\$191.67
2160 Kingsbridge Wy.	2,800	SE	28 ft	1,800	Twnehse	1971	2	3	2.5	Sep-01	\$485,000	\$269.44
2551 Jamestown Ct.	2,800	W	28 ft	1,800	Twnehse	1971	2	3	2.5	Sep-01	\$507,500	\$281.94
2160 Kingsbridge Wy.	2,800	S	28 ft	1,800	Twnehse	1971	2	3	2.5	Sep-01	\$485,000	\$269.44
2565 Greencastle Ct.	5,413	w	40 FT	1,800	Twnehse	1971	2	3	2.5	Oct-01	\$575,000	\$319.44
2310 Jamestown Ln.	4,400	E	44 ft	2,802	Twnehse	1971	2	4	2.5	Oct-01	\$750,000	\$267.67
4620 Eastbourne Bay	3,000	S	30 ft	2,153	Twnehse	1976	1	2	3	Oct-01	\$572,000	\$265.68
4541 Falkirk Bay	3,000	NW	30 ft	1,376	Twnehse	1976	1	2	2	Nov-01	\$460,000	\$334.30
2215 Kingsbridge Ln.	2,800	N	40 ft	2,300	Twnehse	1971	2	3	2.5	Nov-01	\$525,000	\$228.26
4565 Gateshead Bay	2,800	NW	28 ft	1,620	Twnehse	1976	2	3	2	Dec-01	\$473,000	\$291.98
2510 Oldham Cir.	<u>2,800</u>	E	28 ft	<u>2,237</u>	Twnehse	1971	2	3	2.5	Dec-01	<u>\$520,000</u>	<u>\$232.45</u>
Average	3,060			1,926							\$492,913	\$261.65
2221 Jamestown Ln.	3,401	N	34 ft	1,376	Twnehse	1976	1	2	2	Jan-02	\$535,000	\$388.81
4611 Falkirk Bay	2,800	NW	28 ft	4,792	Twnehse	1991	3	3	3.5	Jan-02	\$530,000	\$110.60
4536 Falkirk Bay	2,800	SE	28 ft	2,264	Twnehse	1976	2	3	2	Mar-02	\$490,000	\$216.43
4555 Costa De Oro	2,800	NW	28 ft	1,216	Twnehse	1976	1	2	2	Mar-02	\$457,500	\$376.23
4515 Gateshead Bay	2,800	NW	28 ft	1,804	Twnehse	1976	2	4	2	Mar-02	\$490,000	\$271.62
2231 Kingsbridge Ln.	3,402	W	35 ft	2,192	Twnehse	1971	2	4	3	Apr-02	\$537,000	\$244.98
4565 Falkirk Bay	2,800	NW	28 ft	1,216	Twnehse	1976	1	2	2	Apr-02	\$485,000	\$398.85
4566 Eastbourne Bay	2,800	SE	28 ft	1,620	Twnehse	1976	2	3	2	May-02	\$480,000	\$296.30
4135 W. Channel Is.	2,921	N	28 ft	1,800	Twnehse	1971	2	3	2.5	Jun-02	\$518,000	\$287.78
2435 Oldham Cir.	2,885	NW	29 ft	1,800	Twnehse	1971	2	3	2.5	Jun-02	\$540,000	\$300.00
2160 Jamestown Wy.	3,032	SE	28 ft	1,991	Twnehse	1971	2	3	2.5	Jun-02	\$576,000	\$289.30
2335 Jamestown Wy.	3,244	W	33 ft	1,376	Twnehse	1976	1	2	2	Jun-02	\$475,000	\$345.20
2001 Kingsbridge Wy.	3,252	W	33 ft	2,192	Twnehse	1971	2	4	3	Jun-02	\$590,000	\$269.16
4445 Falkirk Bay	3,800	NE	38 ft	1,376	Twnehse	1976	1	2	2	Jun-02	\$475,000	\$345.20
4565 Costa De Oro	3,180	NW	32 ft	1,376	Twnehse	1976	1	2	2	Jun-02	\$469,000	\$340.84
4510 Gateshead Bay	2,800	SE	28 ft	1,804	Twnehse	1976	2	4	2	Jul-02	\$510,000	\$282.71
4567 Gateshead Bay	2,800	NW	28 ft	1,216	Twnehse	1976	1	2	2	Jul-02	\$479,000	\$393.91
4350 Meridian Ave.	2,800	SE	28 ft	1,991	Twnehse	1971	2	3	2.5	Jul-02	\$330,000	\$165.75
2111 Kingsbridge Wy.	2,800	W	28 ft	2,237	Twnehse	1971	2	3	2.5	Jul-01	\$590,000	\$263.75
2151 Jamestown Wy.	<u>3,426</u>	SE	32 ft	<u>2,840</u>	Twnehse	1971	2	5	3.5	Aug-02	<u>\$760,000</u>	<u>\$267.61</u>
Average	3,027			1,924							\$515,825	\$292.75

MANDALAY BAY TOWNHOUSE SALES





Townhouses In Four-Plex On Kingsbridge Road, Mandalay Bay



Main Channel Leading Into Mandalay Bay

LEEWARD ESTATES HOME SALES

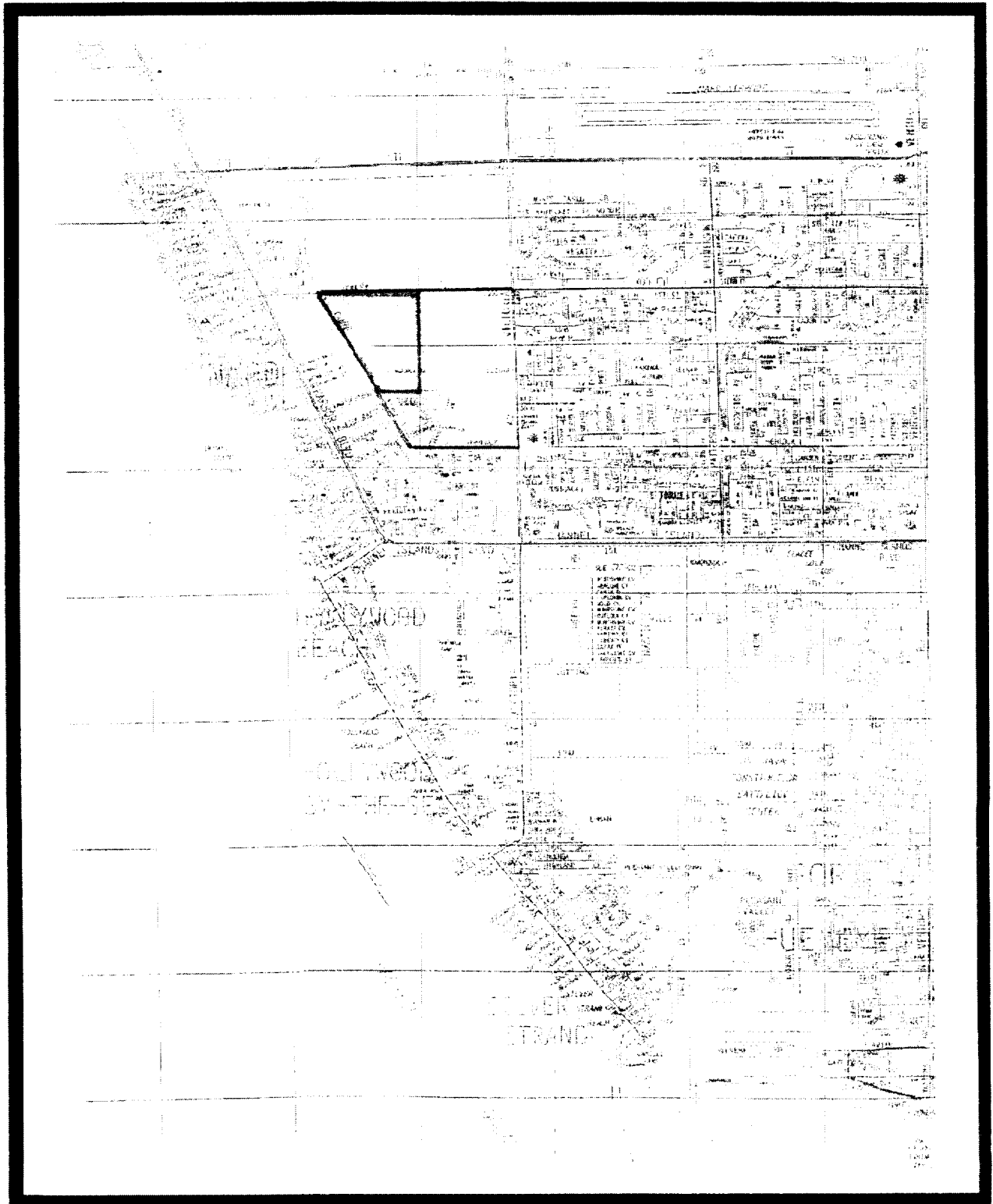
LEEWARD ESTATES - SUMMARY OF SALES ACTIVITY

<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg. Sq.Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
<u>HOME SALES</u>												
4205 Romany Dr	4,175	N	47.5 ft	4,207	SFR	1991	3	2	2.5	Jun-00	\$1,000,000	\$237.70
2340 Peninsula Dr	4,452	W	45 ft	3,135	SFR		2	3	3	Aug-00	\$785,000	\$250.40
2121 Victoria Ave	4,860	W	40.5 ft	2,565	SFR	1978	3	4	3	Sep-00	\$575,000	\$224.17
4201 Romany Dr	4,350	N	44 ft	4,266	SFR	1977	2	3	3.5	Sep-00	\$1,375,000	\$322.32
2255 Victoria Ave.	4,000	W	40 ft	2,248	SFR	1972	2	3	2.25	Nov-00	\$490,000	\$217.97
2350 Greencastle Wy	4,000	E	69 ft	2,042	SFR	1977	2	3	2.75	Nov-00	\$635,000	\$310.97
2131 Ravoli Dr	6,970	S	55 ft	3,841	SFR	1971	2	5	5	Nov-00	\$1,100,000	\$286.38
2440 Peninsula Rd.	<u>4,000</u>	W	40 ft	<u>3,353</u>	SFR	1981	2	4	3.25	Dec-00	<u>\$630,000</u>	<u>\$187.89</u>
Average	4,601			3,207							\$823,750	\$254.73
2354 Greencastle Wy	4,500	S & E	50 ft	2,999	SFR	1977	2	3	3	Jan-01	\$1,150,000	\$383.46
3940 W. Hemlock St.	4,000	S	40 ft	2,728	SFR	1987	2	3	3	Mar-01	\$620,000	\$227.27
2035 Victoria Ave	4,000	W	40 ft	2,866	SFR	1980	2	3	3.5	Mar-01	\$589,000	\$205.51
2130 Napoli Dr	7,195	S	55 ft	2,852	SFR	1981	2	3	2.5	Jun-01	\$874,000	\$306.45
2541 Victoria Ave	4,000	W	42 ft	2,750	SFR	1981	2	4	3	Jun-01	\$750,000	\$272.73
2014 Napoli Dr	4,000	E	40 ft	2,865	SFR	1974	2	3	3	Jun-01	\$675,000	\$235.60
2361 Monaco Dr.	4,000	W	40 ft	1,987	SFR	1973	1	3	2.5	Jul-01	\$649,000	\$326.62
4041 Nice Ct.	4,100	N	42 ft	2,243	SFR	1977	2	3	3	Jul-01	\$592,000	\$263.93
3930 Hemlock St	4,000	S	40 ft	2,318	SFR	1985	2	3	3	Jul-01	\$740,000	\$319.24
2041 Greencastle Wy	4,833	W	41 ft	3,220	SFR	1985	2	4	3	Aug-01	\$990,000	\$307.45
3840 Hemlock St.	4,000	S	40 ft	2,989	SFR	1980	2	3	2.5	Aug-01	\$740,000	\$247.57
2310 Jamestown Ln	4,400	E	45 ft	2,802	SFR	1971	2	4	2.5	Oct-01	\$750,000	\$267.67
4040 Ischia Dr	4,000	S	40 ft	1,943	SFR	N/A	2	3	2.5	Oct-01	\$535,000	\$275.35
2161 S. Victoria	4,800	W	40 ft	2,062	SFR	1978	2	2	2.5	Nov-01	\$605,000	\$293.40
2300 Peninsula Rd	4,500	E	45 ft	3,177	SFR	1980	2	3	3.5	Nov-01	\$950,000	\$299.02
2034 Napoli Dr	4,376	E	40 ft	2,443	SFR	1976	2	3	3.25	Nov-01	\$565,000	\$231.27
2540 Peninsula Rd	4,520	E	54 ft	3,801	SFR	1981	2	3	3.25	Dec-01	\$630,000	\$165.75
2525 Peninsula Rd	5,661	W	44 ft	3,480	SFR	1980	2	3	3.25	Dec-01	\$840,000	\$241.38
2240 Monaco Dr	4,192	E	42 ft	2,388	SFR	N/A	2	2	2.5	Dec-01	\$535,000	\$224.04
2241 Greencastle Ln	<u>4,275</u>	W	45 ft	<u>2,367</u>	SFR	1969	2	3	2.5	Dec-01	<u>\$687,500</u>	<u>\$290.45</u>
Average	4,468			2,714							\$723,325	\$269.21
2241 Monaco Dr	4,298	W	40 ft	3,020	SFR	N/A	2	4	2.5	Jan-02	\$740,000	\$245.03
2051 Peninsula Rd	4,444	W	44 ft	2,098	SFR	1977	2	3	2.5	Feb-02	\$749,000	\$357.01
4020 Ischia Dr	4,547	S	70 ft	2,266	SFR	1978	2	2	2.5	Apr-02	\$745,000	\$328.77
2531 Victoria Ave	4,240	W	42 ft	1,730	SFR	N/A	1	3	2.5	Apr-02	\$580,000	\$335.26
2221 Monaco Dr	7,196	N & W	55 ft	3,831	SFR	1980	2	4	4	Aug-02	\$1,471,000	\$383.97
4020 Hemlock St	<u>6,000</u>	S	45 ft	<u>2,332</u>	SFR	1977	3	3	2.25	Aug-02	<u>\$703,000</u>	<u>\$301.46</u>
Average	5,121			2,546							\$831,333	\$325.25

LEEWARD ESTATES - SUMMARY OF SALES ACTIVITY (continued)

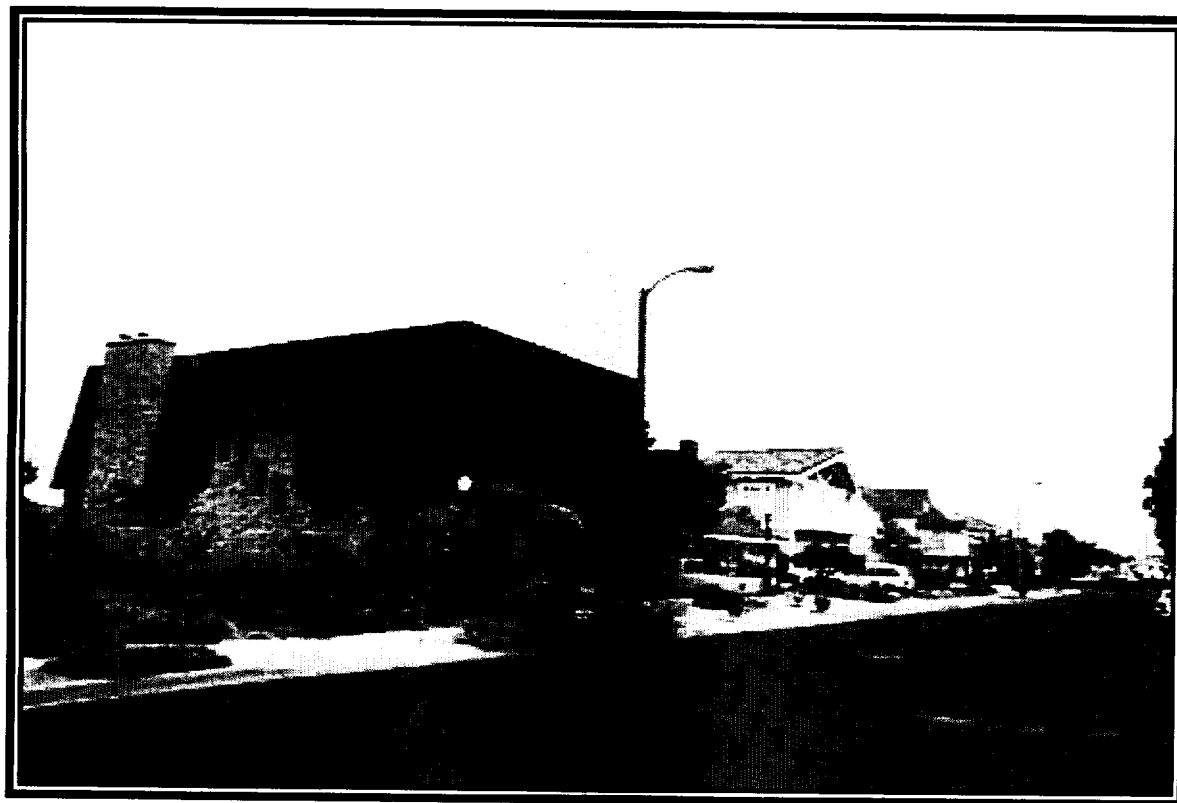
<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Exposure</i>	<i>Dock Length</i>	<i>Bldg. Sq.Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
Ravoli Dr. Lot 137	4,518	E	42 ft	N/A	Lot	N/A	--	--	--	May-00	\$270,000	\$59.76
Greencastle. Lot 59	4,036	W	69 ft	N/A	Lot	N/A	--	--	--	May-00	\$433,500	\$107.41
Greencastle. Lot 120	4,623	SW	44 ft	N/A	Lot	N/A	--	--	--	Aug-00	\$525,000	\$113.56
Romany Dr. Lot 181	5,059	E	50 ft	N/A	Lot	N/A	--	--	--	Nov-00	\$375,000	\$74.13
Greencastle. Lot 103	<u>4,950</u>	E	45 ft	N/A	Lot	N/A	--	--	--	Nov-00	<u>\$250,000</u>	<u>\$50.51</u>
Average	4,637										\$370,700	\$81.07
Nice Ct. Lot 226	4,084	N	41 ft	N/A	Lot	N/A	--	--	--	Jan-01	\$317,500	\$77.74
Nice Ct/ Lot 233	6,670	S & E	55 ft	N/A	Lot	N/A	--	--	--	Mar-01	\$420,500	\$63.04
Peninsula Rd. Lot 191	4,109	E	40 ft	N/A	Lot	N/A	--	--	--	Mar-01	\$299,000	\$72.77
Peninsula Rd. Lot 92	4,443	W	44 ft	N/A	Lot	N/A	--	--	--	May-01	\$299,000	\$67.30
Romany Dr. Lot 173	<u>4,500</u>	N	45 ft	N/A	Lot	N/A	--	--	--	Apr-01	<u>\$350,000</u>	<u>\$77.78</u>
Average	4,761										\$337,200	\$71.73
Romany Dr. Lot 80	4,443	N	44 ft	N/A	Lot	N/A	--	--	--	Feb-02	\$350,000	\$78.78
Monaco Dr. Lot 34	4,000	W	40 ft	N/A	Lot	N/A	--	--	--	Mar-02	\$345,000	\$86.25
Romany Dr. Lot 185	4,696	S	66 ft	N/A	Lot	N/A	--	--	--	May-02	\$475,000	\$101.15
Nice Ct. Lot 233	6,670	S & E	55 ft	N/A	Lot	N/A	--	--	--	Jun-02	\$445,000	\$66.72
Peninsula Rd. Lot 221	5,121	E	40 ft	N/A	Lot	N/A	--	--	--	Jun-02	\$375,000	\$73.23
Greencastle. Lot 99	5,184	S	45 ft	N/A	Lot	N/A	--	--	--	Jul-02	\$237,000	\$45.72
Greencastle. Lot 102	<u>4,950</u>	E	45 ft	N/A	Lot	N/A	--	--	--	Aug-02	<u>\$355,000</u>	<u>\$71.72</u>
Average	5,009										\$368,857	\$74.79

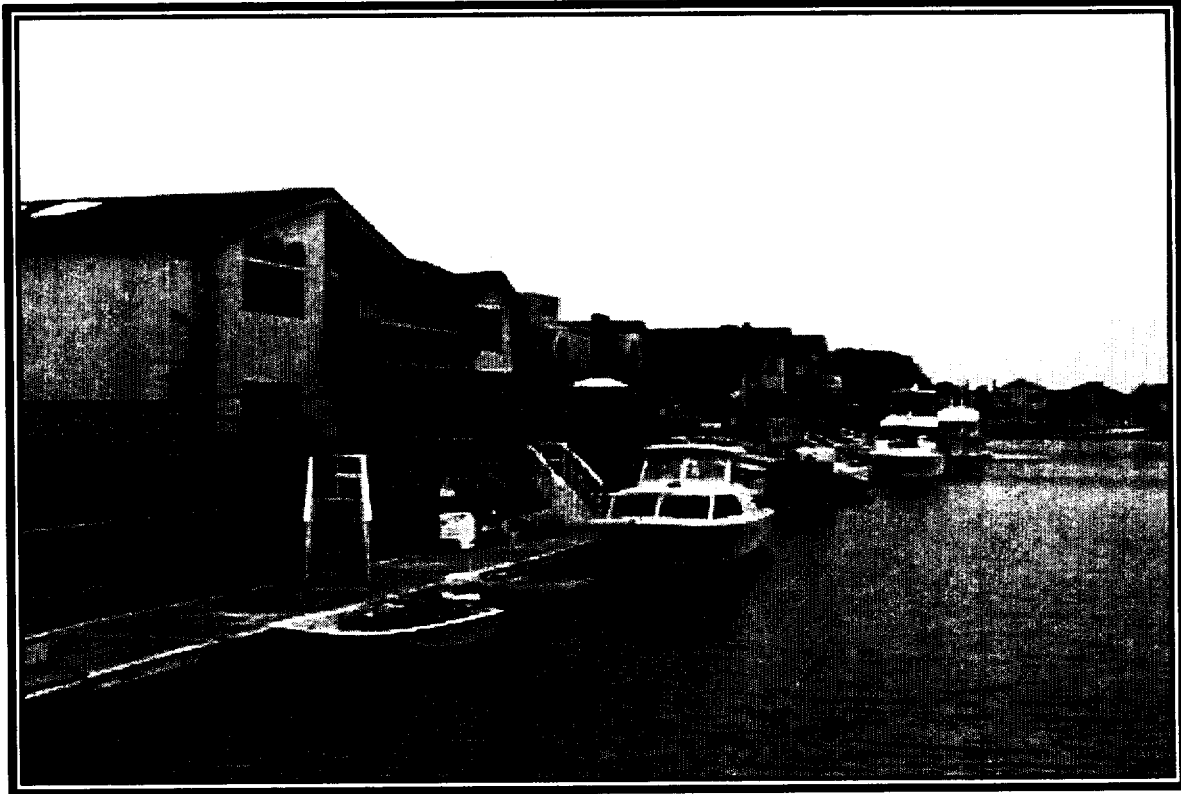
MANDALAY BAY DETACHED HOME SALES



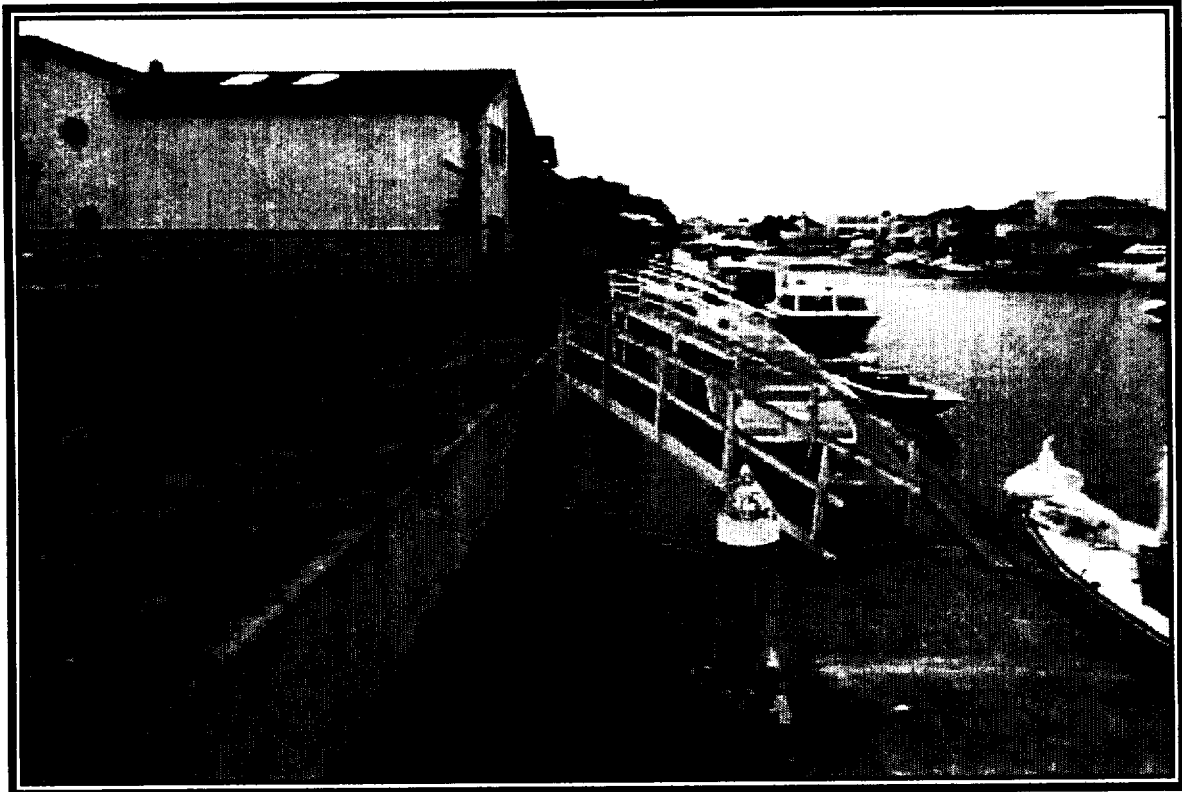


Detached Canal Homes In Leeward Estates Neighborhoods





Leeward Estates Private Docks Along Canal Frontage



Bulkhead And Dock Detail In Existing Canal Neighborhood

OXNARD SHORES SALES

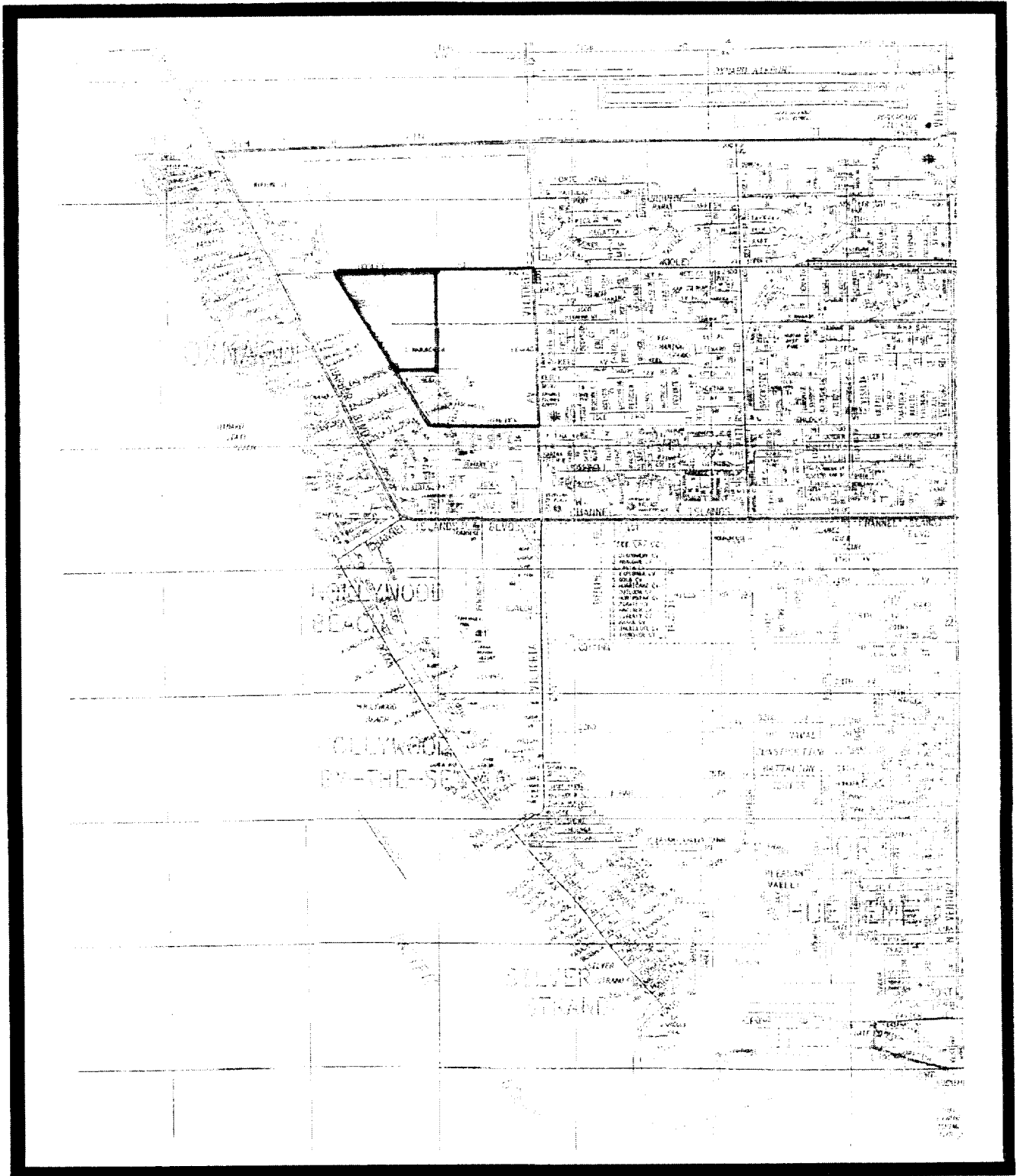
OXNARD SHORES RESIDENTIAL LOTS - SUMMARY OF SALES ACTIVITY

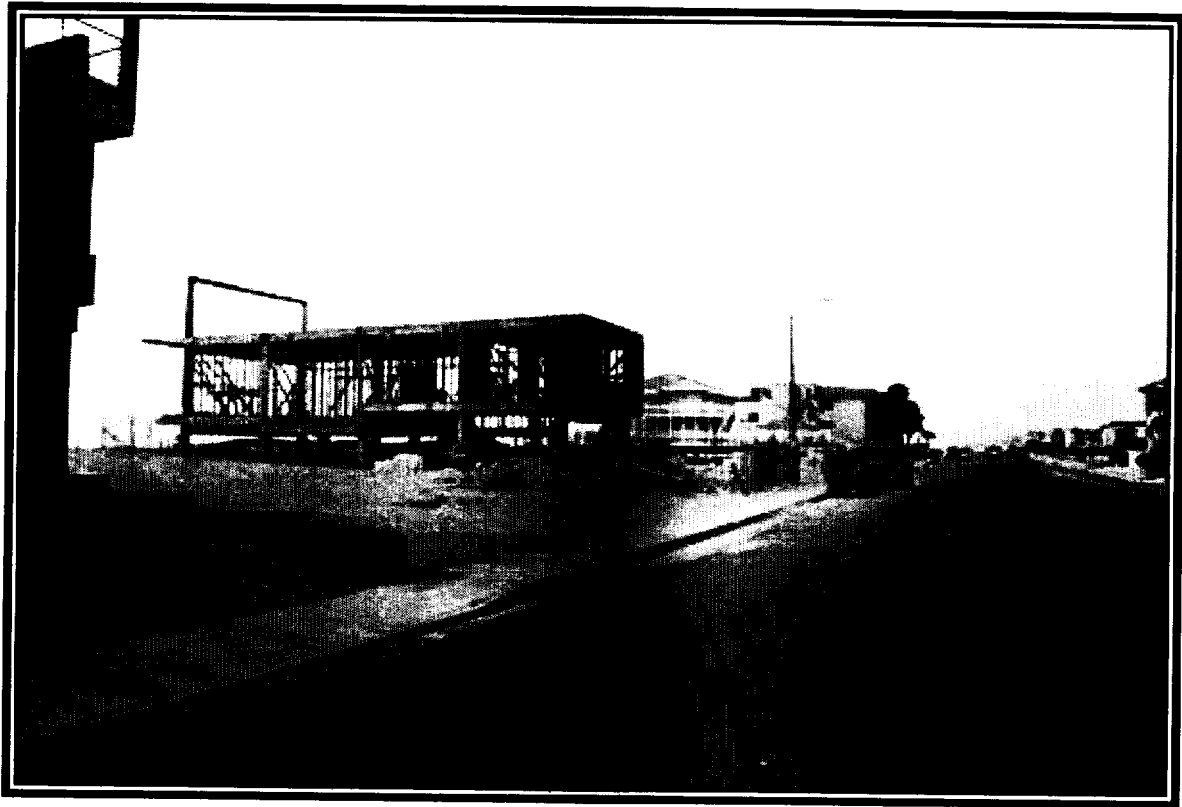
<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Lot Frontage</i>	<i>Type</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
1551 Mandalay Beach Rd	6,205	Yes	50 ft	R1 Lot	May-00	\$495,000	\$79.77
Mandalay Bch Rd, Lot 21	4,000	Yes	32 ft	R1 Lot	Sep-00	\$425,000	\$106.25
Mandalay Bch Rd, Lot 34	4,000	Yes	40 ft	R1 Lot	Sep-00	\$355,000	\$88.75
Mandalay Bch Rd, Lot 35	4,000	Yes	40 ft	R1 Lot	Sep-00	\$380,000	\$95.00
Marine Way, Lot 64	4,395	Yes	32 ft	R1 Lot	Sep-00	\$445,000	\$101.25
Mandalay Bch Rd, Lot 142	4,320	Yes	32 ft	R1 Lot	Oct-00	\$425,000	\$98.38
Marine Way, Lot 63	4,395	Yes	32 ft	R1 Lot	Nov-00	\$530,000	\$120.59
Mandalay Bch Rd, Lot 15	2,990	Yes	32 ft	R1 Lot	Dec-00	\$495,000	\$165.55
Mandalay Bch Rd, Lot 38	4,320	Yes	32 ft	R1 Lot	Dec-00	\$535,000	\$123.84
Marine Way, Lot 64	<u>4,395</u>	Yes	32 ft	R1 Lot	Dec-00	<u>\$575,000</u>	\$130.83
Average	4,302					\$466,000	
1501 Mandalay Beach Rd	6,486	Yes	60 ft	R1 Lot	Jan-01	\$560,000	\$86.34
Mandalay Bch Rd, Lot 4	3,765	Yes	45 ft	R1 Lot	Jan-01	\$499,000	\$132.54
Capri Way, Lot 52	5,424	Yes	45 ft	R1 Lot	Mar-01	\$627,000	\$115.60
Mandalay Bch Rd, Lot 10	2,755	Yes	32 ft	R1 Lot	Apr-01	\$559,500	\$203.09
Capri Way, Lot 53	3,840	Yes	32 ft	R1 Lot	Apr-01	\$629,000	\$163.80
Mandalay Bch Rd, Lot 35	<u>4,000</u>	Yes	40 ft	R1 Lot	Sep-01	<u>\$625,000</u>	\$156.25
Average	4,378					\$583,250	
Mandalay Bch Rd, Lot 21	4,000	Yes	32 ft	R1 Lot	Apr-02	\$605,000	\$151.25
Mandalay Bch Rd, Lot 38	4,320	Yes	32 ft	R1 Lot	Apr-02	\$741,500	\$171.64
Mandalay Bch Rd, Lot 42	4,320	Yes	32 ft	R1 Lot	Apr-02	\$700,000	\$162.04
Mandalay Bch Rd, Lot 31	2,880	Yes	32 ft	R1 Lot	May-02	\$650,000	\$225.69
Mandalay Bch Rd, Lot 1	6,486	Yes	60 ft	R1 Lot	May-02	\$725,000	\$111.78
Mandalay Bch Rd, Lot 46	4,614	Yes	32 ft	R1 Lot	Jun-02	\$700,000	\$151.71
Capri Way, Lot 59	6,210	Yes	45 ft	R1 Lot	Sep-02	\$950,000	\$152.98
Average	4,690					\$724,500	\$154.48
Seabreeze Way, Lot 133	4,000		40 ft	R1 Lot	Apr-00	\$250,000	\$62.50
Seabreeze Way, Lot 135	4,072		42 ft	R1 Lot	Jun-00	\$205,000	\$50.34
Oceanaire St, Lot 76	4,000		40 ft	R1 Lot	Jan-01	\$215,000	\$53.75
Beachcomber St, Lot 3	4,091		40 ft	R1 Lot	May-01	\$255,000	\$62.33
Sandpiper Way, Lot 80	4,000		40 ft	R1 Lot	Jun-01	\$135,000	\$33.75
Seabreeze Way, Lot 36	4,072		42 ft	R1 Lot	Jun-01	\$165,000	\$40.52
Seabreeze Way, Lot 147	4,073		40 ft	R1 Lot	Jun-01	\$160,000	\$39.28
Terramar Way, Lot 189	4,060		40 ft	R1 Lot	Jun-01	\$148,000	\$36.45
Terramar Wy, Lot 205	4,217		45 ft	R1 Lot	Jul-01	\$250,000	\$59.28
Breakers Way, Lot 61	4,000		40 ft	R1 Lot	Aug-01	\$120,000	\$30.00
Seabreeze Way, Lot 157	4,072		40 ft	R1 Lot	Sep-01	\$130,000	\$31.93
Oceanaire St, Lot 67	4,000		40 ft	R1 Lot	Oct-01	\$250,000	\$62.50
Sandpiper Way, Lot 90	4,072		41 ft	R1 Lot	Dec-01	\$160,000	\$39.29
Reef Way, Lot 84	4,085		40 ft	R1 Lot	Jan-02	\$180,000	\$44.06
Seabreeze Way, Lot 136	4,000		40 ft	R1 Lot	Mar-02	\$230,000	\$57.50
Oceanaire St, Lot 49	4,000		40 ft	R1 Lot	Apr-02	\$262,500	\$65.63
Seabreeze Way, Lot 115	<u>4,072</u>		41 ft	R1 Lot	Apr-02	<u>\$187,000</u>	<u>\$45.92</u>
Average	4,052					\$194,265	\$47.94
Neptune Sq, Lot 262	8,016		69 ft	R3 Lot	Jun-01	\$275,000	\$34.31
Neptune Sq, Lot 263	8,016		69 ft	R3 Lot	Jun-01	\$270,000	\$33.68
Driftwood St, Lot 24	7,691		61 ft	R3 Lot	Aug-01	\$170,000	\$22.10
Driftwood St, Lot 16	<u>7,360</u>		61 ft	R3 Lot	Jun-02	<u>\$245,000</u>	\$33.29
Average	7,771					\$240,000	\$30.89

OXNARD SHORES NEWER HOMES - SUMMARY OF SALES ACTIVITY

<i>Address</i>	<i>Lot Sq.Ft.</i>	<i>Ocean Exposure</i>	<i>Ocean Frontage</i>	<i>Bldg. Sq.Ft.</i>	<i>Type</i>	<i>Yr. Built</i>	<i># Sty</i>	<i># Bdrms</i>	<i># Baths</i>	<i>Sale Date</i>	<i>Sale Price</i>	<i>Per Sq.Ft.</i>
1417 Marine Way	4,384	Yes	32 ft	4,400	SFR	2003	2	4	4	Listing	\$1,995,000	\$453.41
1005 Mandalay Beach Rd	2,880	Yes	32 ft	N/A	SFR	2003	2	3	3	Listing	\$1,695,000	
791 Mandalay Bch Rd	2,656	Yes	32 ft	3,100	SFR	2002	3	3	3	Escrow	\$1,595,000	\$514.52
1413 Marine Way	4,395	Yes	32 ft	4,500	SFR	2002	2	5	5	Listing	\$1,950,000	\$433.33
931 Mandalay Bch Rd	4,064	Yes	32 ft	4,200	SFR	2002	2	4	4	Escrow	\$1,795,000	\$427.38
1425 Marine Way	4,395	Yes	32 ft	4,395	SFR	2001	2	4	4.5	Jul-01	\$1,250,000	\$284.41
815 Mandalay Bch Rd	2,834	Yes	32 ft	3,200	SFR	2001	2.5	3	2.5	Aug-02	\$1,550,000	\$484.38
815 Mandalay Bch Rd	2,834	Yes	32 ft	3,200	SFR	2001	2.5	3	2.5	Aug-01	\$1,400,000	\$437.50
665 Mandalay Bch Rd	2,490	Yes	30 ft	3,200	SFR	2000	2	3	2.5	Mar-02	\$1,400,000	\$437.50
671 Mandalay Beach Rd	2,490	Yes	30 ft	3,000	SFR	2000	2	3	2.5	Listing	\$1,695,000	\$565.00
1073 Mandalay Bch Rd	4,371	Yes	32 ft	3,112	SFR	1996	2	3	2.5	Oct-01	\$1,350,000	\$433.80
915 Mandalay Beach Rd	4,000	Yes	40 ft	4,756	SFR	1995	2	6	6	Dec-00	\$1,400,000	\$294.37
791 Mandalay Beach Rd	2,656	Yes	32 ft	3,300	SFR	1992	2.3	3	3	Escrow	\$1,595,000	\$483.33
1511 Mandalay Bch Rd	6,195	Yes	50 ft	3,500	SFR	1990	2	4	3.5	Listing	\$1,650,000	\$471.43
867 Mandalay Beach Rd	9,367	Yes	40 ft	1,860	SFR	1970	1	3	2	Jul-01	\$950,000	\$510.75
961 Mandalay Beach Rd	10,164	Yes	40 ft	1,723	SFR	1965	2	3	3	Aug-00	\$660,000	\$383.05
1115 Capri Way	6,328	Yes	45 ft	1,388	SFR	1965	1	3	1.75	Mar-01	\$900,000	\$648.41
841 Mandalay Beach Rd	4,724	Yes	40 ft	1,762	SFR	1963	2	3	2	Mar-01	\$890,000	\$505.11
1520 Mandalay Beach Rd	9,674	--	--	2,983	SFR	2000	2	3	3	Jun-01	\$796,000	\$266.85
5032 Almafı Way	6,433	--	--	2,983	SFR	2000	2	3	3	Jun-01	\$710,000	\$238.02
5024 Amalfi Way	6,117	--	--	2,876	SFR	2000	2	3	3	Jan-01	\$660,000	\$229.49
5020 Amalfi Way	5,959	--	--	3,066	SFR	2000	2	3	3	Aug-01	\$740,000	\$241.36
5011 Shoreline Way	6,027	--	--	3,066	SFR	2000	2	3	3	Dec-00	\$655,000	\$213.63
5015 Shoreline Way	6,235	--	--	2,876	SFR	2000	2	3	3	Sep-00	\$620,000	\$215.58
5021 Shoreline Way	6,393	--	--	3,352	SFR	2000	2	3	3	May-01	\$759,000	\$226.43
5025 Shoreline Way	6,551	--	--	2,983	SFR	2000	2	4	3	Jun-01	\$707,000	\$237.01
1540 Mandalay Bay Rd	8,098	--	--	3,352	SFR	2000	2	3	3	Jun-01	\$899,000	\$268.20
5030 Amalfi Way	6,275	--	--	3,066	SFR	2000	2	3	3	Jul-00	\$647,000	\$211.02
4945 Oceanaire St	4,000	--	--	3,253	SFR	1993	2	4	2.5	Mar-02	\$652,500	\$200.58
5311 Seabreeze Way	4,073	--	--	3,324	SFR	1990	3	3	2.5	Dec-00	\$615,000	\$185.02
5311 Seabreeze Way	4,073	--	--	3,324	SFR	1990	3	3	2.5	Nov-01	\$618,500	\$186.07
4821 Shoreline Way	4,103	--	--	2,835	SFR	1990	2	3	2.5	Apr-02	\$735,000	\$259.26
4833 Oceanaire St	4,000	--	--	2,954	SFR	1989	3	4	3	Dec-01	\$560,000	\$189.57
5312 Outrigger Way	4,805	--	--	4,001	SFR	1989	3	3	2.5	Oct-00	\$665,000	\$166.21
5146 Corbina Way	4,000	--	--	3,457	SFR	1989	3	4	4	May-01	\$700,000	\$202.49
4843 Oceanaire St.	4,000	--	--	2,954	SFR	1989	3	4	N/A	Dec-00	\$609,000	\$206.16
5227 Sealane Way	4,347	--	--	2,546	SFR	1986	2	3	2.5	Jan-01	\$578,000	\$227.02
4902 Amalfi Way	4,527	--	--	2,585	SFR	1986	2	3	N/A	Sep-00	\$455,000	\$176.02
5201 Breakwater Way	4,000	--	--	1,459	SFR	1984	1	2	1.75	Mar-01	\$335,000	\$229.61
4915 Shoreline Way	4,776	--	--	2,172	SFR	1983	2	3	2.75	Dec-00	\$465,000	\$214.09
518 Marlin Way	4,148	--	--	2,130	SFR	1977	2	4	3	Feb-01	\$475,000	\$223.00
4830 Amalfi Way	4,154	--	--	1,152	SFR	1972	1	3	2	Aug-01	\$337,000	\$292.53
4927 Oceanaire St.	4,000	--	--	2,131	SFR	1972	2	3	2.5	Aug-01	\$410,000	\$192.40
1111 Mandalay Beach Rd	4,400	--	--	1,788	SFR	1965	2	3	2	Jan-01	\$439,000	\$245.53
4806 Island View St	4,079	--	--	1,710	SFR	1965	1	3	2	Oct-00	\$390,000	\$228.07

OXNARD SHORES SALES





Mandalay Beach Road In Oxnard Shores



New Homes On Amalfi Way, Oxnard Shores



Surfrider Way, Oxnard Shores



Vacant Lot On Seabreeze Way, Oxnard Shores

EXHIBIT D - DISCOUNTED CASH FLOW ANALYSIS

WESTPORT AT MANDALAY BAY - DISCOUNTED CASH FLOW ANALYSIS

	Annual Discount Rate		Residual Land Value												Total
	18.00%	1.50%	\$34,475,495												
	Nov-02	Dec-02	Jan-03	Feb-03	Mar-03	Apr-03	May-03	Jun-03	Jul-03	Aug-03	Sep-03	Oct-03	Nov-03	Dec-03	Total
Land Absorption															
5,500 SF Lots	0	0	0	0	0	0	14	0	0	0	0	0	0	0	14
5,000 SF Lots	0	0	0	0	0	0	14	18	13	0	0	0	0	0	45
4,000 SF Lots	0	0	0	0	0	19	0	0	18	0	0	0	0	0	37
Duplex Units	0	0	13	0	0	21	0	0	0	0	0	0	0	0	34
Townhouse Units	88	0	0	0	0	0	0	0	0	0	0	0	0	0	88
Condo Units	0	0	0	0	0	0	0	0	0	0	0	0	0	88	88
Commercial Land-Ac.	0	0	0	0	0	0	0	0	0	0	0	0	0	2.02	2.02
Land Sale Revenue															
Land Sale Deposits	1,646,457	1,116,215	0	0	0	0	0	0	337,050	0	0	0	0	0	3,099,722
Gross Land Sales	6,442,841	0	1,410,880	0	0	7,358,347	10,134,121	6,430,045	9,455,827	0	0	0	0	6,403,956	47,636,017
Commissions @ 2.23%	(143,675)	0	(31,463)	0	0	(164,091)	(225,991)	(143,390)	(210,865)	0	0	0	0	(142,808)	(1,062,283)
Net Sale Proceeds	7,945,622	1,116,215	1,379,417	0	0	7,194,256	9,908,130	6,286,655	9,582,012	0	0	0	0	6,261,148	49,673,456
CFD Reimbursement	0	0	0	0	300,000	0	0	0	0	7,285,000	0	0	0	0	7,585,000
Other Reimbursements	0	0	520,000	125,000	0	0	0	0	0	0	0	0	0	0	645,000
Total Gross Revenue	7,945,622	1,116,215	1,899,417	125,000	300,000	7,194,256	9,908,130	6,286,655	9,582,012	7,285,000	0	0	0	6,261,148	57,903,456
Development Costs															
Site Prep & Grading	(550,000)	(972,139)	(1,204,325)	(1,325,080)	(1,078,695)	(1,000,000)	(955,000)	(600,000)	(320,401)	(110,000)	(106,752)	0	0	0	(8,222,392)
Street Improvements	(200,000)	(200,000)	(200,000)	0	0	(150,000)	(200,000)	(300,000)	(100,000)	(100,000)	0	0	(100,000)	(49,735)	(1,599,735)
Sewer	(25,000)	(75,000)	(75,000)	0	(25,000)	(25,000)	(75,000)	(75,000)	(74,103)	0	0	0	0	0	(449,103)
Water	(50,000)	0	0	0	(25,000)	(50,000)	(75,000)	(75,000)	(75,000)	(33,646)	0	0	0	0	(383,646)
Storm Drain	(200,000)	(200,000)	0	(100,000)	(100,000)	(150,000)	(150,000)	(30,000)	(22,721)	0	0	0	0	0	(952,721)
Amenities & Special	(150,000)	(150,000)	(150,000)	(350,000)	(100,000)	(150,000)	(200,000)	(200,000)	(200,000)	(75,000)	(75,000)	(100,000)	(100,000)	(113,069)	(2,363,069)
Utilities	(300,000)	(250,000)	(100,000)	(75,000)	(41,916)	0	0	0	0	0	0	0	0	0	(766,916)
Contingency @10.2%	(150,450)	(188,408)	(176,391)	(188,708)	(165,302)	(155,550)	(168,810)	(130,560)	(80,807)	(32,502)	(18,539)	(10,200)	(20,400)	(13,373)	(1,500,000)
Fees, Bonds, Permits	(100,000)	(78,664)	0	0	0	0	0	0	0	0	0	0	0	0	(178,664)
Engineering/Consulting	(150,000)	(100,000)	(100,000)	(100,000)	(100,000)	(100,000)	(100,000)	(100,000)	(38,975)	0	0	0	0	0	(888,975)
Indirect Costs															
Property Taxes	0	(53,000)	0	0	0	(150,000)	0	0	0	0	0	0	0	(200,877)	(403,877)
General & Admin	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(68,000)	(952,000)
Marketing/Closing	(71,516)	0	(15,661)	0	0	(81,678)	(71,516)	(71,373)	(104,960)	0	0	0	0	0	(416,703)
Total Costs	(2,014,966)	(2,335,211)	(2,089,377)	(2,206,788)	(1,953,913)	(2,080,228)	(2,063,326)	(1,649,933)	(1,084,967)	(419,148)	(268,291)	(178,200)	(288,400)	(445,054)	(19,077,801)
Net Revenue	5,930,657	(1,218,996)	(189,966)	(2,081,788)	(1,653,913)	5,114,028	7,844,805	4,636,721	8,497,046	6,865,852	(268,291)	(178,200)	(288,400)	5,816,094	38,825,655
Development Loan Funds	0	2,335,211	2,089,377	2,206,788	1,953,913	0	0	0	0	419,148	268,291	178,200	288,400	0	9,739,328
Loan Repay	0	0	(705,440)	0	0	(3,679,174)	(3,221,420)	(1,188,470)	0	0	0	0	0	(1,180,790)	(9,975,293)
Cash Flow	\$5,930,657	\$1,116,215	\$1,193,977	\$125,000	\$300,000	\$1,434,855	\$4,623,384	\$3,448,252	\$8,497,046	\$7,285,000	\$0	\$0	\$0	\$4,635,304	\$38,589,689
Periodic Discount Rate	0.9852	0.9707	0.9563	0.9422	0.9283	0.9145	0.9010	0.8877	0.8746	0.8617	0.8489	0.8364	0.8240	0.8118	
Present Value	\$5,843,011	\$1,083,467	\$1,141,821	\$117,773	\$278,478	\$1,312,235	\$4,165,793	\$3,061,051	\$7,431,450	\$6,277,246	\$0	\$0	\$0	\$3,763,168	\$34,475,495

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Retail Land Pricing Analysis							
	5,500 SF	5,000 SF	4,000 SF	Duplex	Townhouse	Condo	Commercial
	<u>Lots</u>	<u>Lots</u>	<u>Lots</u>	<u>Lots</u>	<u>Lots</u>	<u>Lots</u>	<u>Land/Ac</u>
Finished Lot Price	\$420,000	\$410,000	\$320,000	\$120,588	\$130,000	\$100,000	\$283,140
Costs & Fees	\$34,062	\$33,974	\$38,602	\$0	\$48,651	\$29,897	\$0
Price/Lot at Sale	\$385,938	\$376,026	\$281,398	\$120,588	\$81,349	\$70,103	\$283,140

	Nov-02	Dec-02	Jan-03	Feb-03	Mar-03	Apr-03	May-03	Jun-03	Jul-03	Aug-03	Sep-03	Oct-03	Nov-03	Dec-03	Total
Loan Fee:	1.00%														
Interest Rate (Prime +1):	5.75%														--
Monthly Interest Rate:	0.48%														9,739,328
Loan Repay (% of Sales):	50.00%														138,572
Land Development Loan															97,393
Beginning Balance	0	0	2,358,563	3,774,696	6,021,639	8,023,945	4,383,219	1,182,802	0	0	423,339	696,341	879,660	1,175,159	0
Loan Funds	0	2,335,211	2,089,377	2,206,788	1,953,913	0	0	0	0	419,148	268,291	178,200	288,400	0	9,739,328
Interest	0	0	11,301	18,087	28,854	38,448	21,003	5,668	0	0	2,029	3,337	4,215	5,631	138,572
Loan Fees	0	23,352	20,894	22,068	19,539	0	0	-1,188,470	0	4,191	2,683	1,782	2,884	0	97,393
Loan Payoff	0	0	-705,440	0	0	-3,679,174	-3,221,420	0	0	0	0	0	0	-1,180,790	(9,975,293)
Ending Loan Balance	0	2,358,563	3,774,696	6,021,639	8,023,945	4,383,219	1,182,802	0	0	423,339	696,341	879,660	1,175,159	0	--

EXHIBIT E - PROFESSIONAL QUALIFICATIONS

PROFESSIONAL QUALIFICATIONS
CHRISTOPHER N. HARDY, MAI

Education: University of Redlands, Redlands California
Bachelor of Science – Engineering, 1972

Employment: Senior Vice President – PARKCENTER REALTY ADVISORS, 1982-Present
801 North Parkcenter Drive, Suite 210, Santa Ana, California
Providing investment and marketing consulting services in the acquisition, sale, leasing, portfolio management, valuation, land use and development planning of investment real estate. Clients include industrial corporations, development companies, investors, financial institutions, governmental agencies and non-profit organizations.

Vice President – LANDAUER ASSOCIATES, INC., Santa Ana, California, 1979-1982
Providing consultation and appraisal services for all types of investment real estate.

Senior Valuation Engineer – INTERNAL REVENUE SERVICE
Los Angeles, California, 1972-1979

Professional Organizations:

Member Appraisal Institute (MAI)
Southern California Chapter, Elected Positions:
President, 1993
Vice President, 1992
Secretary Treasurer, 1991
Board of Directors, 1989-1990
Assistant Secretary, 1988

Currently certified under the continuing education program of the Appraisal Institute.

State Certification: Certified General Real Estate Appraiser; State of California
No. AG003369; Valid until April 3, 2004

Coursework: Successfully completed and passed the following courses and examinations as given by the American Institute of Real Estate Appraisers:
Course 1A, Principles of Real Estate Appraisal
Course 1B, Capitalization Theory and Techniques
Course II, Urban Properties
Course VI, Investment Analysis
Standards of Professional Practice

Expert Witness: United States Tax Court
Orange County Superior Court

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APPENDIX C

FORM OF APPROVING LEGAL OPINION

[Closing Date]

Honorable City Council
City of Oxnard
Oxnard, California

Re: *\$9,740,000 Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard 2002 Special Tax Bonds*

Ladies and Gentlemen:

We have examined the Constitution and laws of the State of California, a record of the proceedings of the City of Oxnard (the "City") taken in connection with the formation of Community Facilities District No. 2001-01 of the City of Oxnard (Westport at Mandalay Bay) (the "District") and the authorization and issuance of the District's 2002 Special Tax Bonds in the aggregate principal amount of \$9,740,000 (the "Bonds") and such other information and documents as we consider necessary to render this opinion. In rendering this opinion, we have relied upon certain representations of fact and certifications made by the District, the City, the owner of the land within of the District, the initial purchaser of the Bonds and others. We have not undertaken to verify through independent investigation the accuracy of the representations and certifications relied upon by us.

The Bonds have been issued pursuant to the Mello-Roos Community Facilities Act of 1982, as amended, being Sections 53311 et seq. of the Government Code of the State of California), and an Indenture, dated December 1, 2002 (the "Indenture"), by and between the District and Wells Fargo Bank, National Association, as fiscal agent (the "Fiscal Agent"). All capitalized terms not defined herein shall have the meanings set forth in the Indenture.

The Bonds are dated as of the date of hereof and mature on the dates and in the amounts set forth in the Indenture. The Bonds bear interest payable semiannually on each March 1 and September 1, commencing on March 1, 2003, at the rates per annum set forth in the Indenture. The Bonds are registered Bonds in the form set forth in the Indenture redeemable in the amounts, at the times and in the manner provided for in the Indenture.

Based upon our examination of the foregoing, and in reliance thereon and on all matters of fact as we deem relevant under the circumstances, and upon consideration of applicable laws, we are of the opinion that:

(1) The Bonds have been duly and validly authorized by the District and are legal, valid and binding limited obligations of the District, enforceable in accordance with their terms and the terms of the Indenture, except as the same may be limited by bankruptcy, insolvency, reorganization, fraudulent conveyance or transfer, moratorium or other similar laws affecting generally the enforcement of creditors' rights, by the exercise of judicial discretion in accordance with general principals of equity or otherwise in appropriate cases and by limitations on remedies against public agencies in the State of California; provided, however, we express no opinion as to the enforceability of the covenant of the District contained in the Indenture to levy Special Taxes for the payment of Administrative Expenses. The Bonds are limited obligations of the District but are not a debt of the City, the State of California or any other

political subdivision thereof within the meaning of any constitutional or statutory limitation, and, except for the Special Taxes, neither the faith and credit nor the taxing power of the District, the City, the County of Ventura, the State of California, or any other political subdivision is pledged for the payment thereof.

(2) The Indenture has been duly adopted by the District and, assuming the due authorization, execution and delivery thereof by the Fiscal Agent, constitutes a valid and legally binding obligation of the District, except as the same may be limited by bankruptcy, insolvency, reorganization, fraudulent conveyance or transfer, moratorium or other similar laws affecting generally the enforcement of creditors' rights, by the exercise of judicial discretion in accordance with general principals of equity or otherwise in appropriate cases and by limitations on remedies against public agencies in the State of California. The Indenture creates a valid pledge of, and the Bonds are secured by, the Net Taxes and the amounts on deposit in certain funds and accounts established under the Indenture, as and to the extent provided in the Indenture.

(3) Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of corporations.

(4) Interest on the Bonds is exempt from State of California personal income tax.

(5) The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity are to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bond Owner will increase the Bond Owner's basis in the applicable Bond. Original issue discount that accrues to the Bond Owner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations (as described in paragraph 3 above), and is exempt from State of California personal income tax.

The amount by which a Bond owner's original basis for determining loss on sale or exchange in the applicable Bond (generally the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received) and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner.

The opinions expressed in paragraphs (3) and (5) above as to the exclusion from gross income for federal income tax purposes of interest and original issue discount on the Bonds are subject to the condition that the District and the City comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds to assure that such interest and original issue discount will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest and original issue discount on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The

District and the City have covenanted to comply with all such requirements. Except as forth in paragraphs (3), (4) and (5) above, we express no opinion as to any tax consequences related to the Bonds.

Certain agreements, requirements and procedures contained or referred to in the Indenture, the Tax Certificate executed by the District and other documents related to the Bonds may be changed, and certain actions may be taken or omitted, under the circumstances and subject to the terms and conditions set forth in such documents. We express no opinion as to the exclusion from gross income for federal income tax purposes of interest (and original issue discount) on any Bond if any such change occurs or action is taken or omitted upon advice or approval of bond counsel other than Stradling Yocca Carlson & Rauth, a Professional Corporation.

We are admitted to the practice of law only in the State of California, and our opinion is limited to matters governed by the laws of the State of California and federal law. We assume no responsibility with respect to the applicability or the effect of the laws of any other jurisdiction and express no opinion as to the enforceability of the choice of law provisions contained in the Indenture.

We express no opinion herein as to the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the Bonds and expressly disclaim any duty to advise the owners of the Bonds with respect to matters contained in the Official Statement or other offering material.

The opinions expressed herein are based upon an analysis of existing statutes, regulations, rulings and judicial decisions and cover certain matters not directly addressed by such authorities.

We call attention to the fact that the foregoing opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether such actions or events are taken (or not taken) or do occur (or do not occur).

Respectfully submitted,

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APPENDIX D

RATE AND METHOD OF APPORTIONMENT OF SPECIAL TAX FOR COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY) OF THE CITY OF OXNARD

A Special Tax as hereinafter defined shall be levied on all Assessor's Parcels in Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard ("CFD No. 1") and collected each Fiscal Year commencing in Fiscal Year 2002-03, in an amount determined by the Council through the application of the appropriate Special Tax for "Developed Property," "Property Owner Association Property," "Taxable Public Property," and "Undeveloped Property" as described below. All of the real property in CFD No. 1, unless exempted by law or by the provisions hereof, shall be taxed for the purposes, to the extent and in the manner herein provided.

A. DEFINITIONS

The terms hereinafter set forth have the following meanings:

"Acre or Acreage" means the land area of an Assessor's Parcel as shown on an Assessor's Parcel Map, or if the land area is not shown on an Assessor's Parcel Map, the land area shown on the applicable final map, parcel map, condominium plan, or other recorded County parcel map. The square footage of an Assessor's Parcel is equal to the Acreage multiplied by 43,560.

"Act" means the Mello-Roos Community Facilities Act of 1982, as amended, being Chapter 2.5, Division 2 of Title 5 of the Government Code of the State of California.

"Administrative Expenses" means the following actual or reasonably estimated costs directly related to the administration of CFD No. 1: the costs of computing the Special Taxes and preparing the annual Special Tax collection schedules (whether by the City or designee thereof or both); the costs of collecting the Special Taxes (whether by the County or otherwise); the costs of remitting the Special Taxes to the Trustee; the costs of the Trustee (including its legal counsel) in the discharge of the duties required of it under the Indenture; the costs to the City, CFD No. 1 or any designee thereof of complying with arbitrage rebate requirements; the costs to the City, CFD No. 1 or any designee thereof of complying with City, CFD No. 1 or obligated persons disclosure requirements associated with applicable federal and state securities laws and of the Act; the costs associated with preparing Special Tax disclosure statements and responding to public inquiries regarding the Special Taxes; the costs of the City, CFD No. 1 or any designee thereof related to an appeal of the Special Tax; the costs associated with the release of funds from an escrow account; and the City's annual administration fees and third party expenses. Administrative Expenses shall also include amounts estimated or advanced by the City or CFD No. 1 for any other administrative purposes of CFD No. 1, including attorney's fees and other costs related to commencing and pursuing to completion any foreclosure of delinquent Special Taxes.

"Assessor's Parcel" means a lot or parcel shown in an Assessor's Parcel Map with an assigned Assessor's Parcel number.

"Assessor's Parcel Map" means an official map of the Assessor of the County designating parcels by Assessor's Parcel number.

"Assigned Special Tax" means the Special Tax for each Land Use Class of Developed Property, as determined in accordance with Section C below.

“Backup Special Tax” means the Special Tax applicable to each Assessor’s Parcel of Developed Property, as determined in accordance with Section C below.

“Bonds” means any bonds or other debt (as defined in Section 53317(d) of the Act), whether in one or more series, issued by CFD No. 1 under the Act.

“CFD Administrator” means an official of the City, or designee thereof, responsible for determining the Special Tax Requirement and providing for the levy and collection of the Special Taxes.

“CFD No. 1” means Community Facilities District No. 1 (Westport at Mandalay Bay) of the City.

“City” means the City of Oxnard.

“Condominium Property” means all Assessor’s Parcels of Residential Property which are designated as CVC in the Oxnard Local Coastal Program as depicted in the zoning map included as Exhibit A to this Rate and Method of Apportionment.

“Council” means the City Council of the City, acting as the legislative body of CFD No. 1.

“County” means the County of Ventura.

“Developed Property” means, for each Fiscal Year, all Taxable Property, exclusive of Property Owner Association Property, or Taxable Public Property, for which a building permit for new construction was issued as of January 1 of the previous Fiscal Year.

“Duplex Property” means all Assessor’s Parcels of Residential Property which are designated as R-2-C in the Oxnard Local Coastal Program as depicted in the zoning map included as Exhibit A to this Rate and Method of Apportionment.

“Fiscal Year” means the period starting July 1 and ending on the following June 30.

“Indenture” means the indenture, fiscal agent agreement, resolution or other instrument pursuant to which Bonds are issued, as modified, amended and/or supplemented from time to time.

“Land Use Class” means any classes listed in Table 1.

“Lot Size” for any Assessor’s Parcel of Single Family Property means the Acreage multiplied by 43,560.

“Maximum Special Tax” means the maximum Special Tax, determined in accordance with Section C below, that can be levied in any Fiscal Year on any Assessor’s Parcel.

“Non-Residential Floor Area” for any Non-Residential Property means the total of the gross area of the floor surfaces within the exterior wall of the building, not including space devoted to stairwells, basement storage, required corridors, public restrooms, elevator shafts, light courts, vehicle parking and areas incident thereto, mechanical equipment incidental to the operation of such building, and covered public pedestrian circulation areas, including atriums, lobbies, plazas, patios, decks, arcades and similar areas, except such public circulation areas or portions thereof

that are used solely for commercial purposes. The determination of Non-Residential Floor Area shall be made by reference to the building permit(s) issued for such Assessor's Parcel.

"Non-Residential Property" means all Assessor's Parcels of Developed Property for which a building permit(s) was issued for a non-residential use.

"Outstanding Bonds" means all Bonds which are deemed to be outstanding under the Indenture.

"Property Owner Association Property" means, for each Fiscal Year, any Assessor's Parcel within the boundaries of CFD No. 1 that was owned by or irrevocably offered for dedication to a property owner association, including any master or sub-association, as of January 1 of the previous Fiscal Year. However, any property which constitutes the "pad-area" under a residential or non-residential building shall not be considered Property Owner Association Property.

"Proportionately" means for Developed Property that the ratio of the actual Special Tax levy to the Assigned Special Tax is equal for all Assessor's Parcels of Developed Property. For Undeveloped Property, "Proportionately" means that the ratio of the actual Special Tax levy per Acre to the Maximum Special Tax per Acre is equal for all Assessor's Parcels of Undeveloped Property.

"Public Property" means, for each Fiscal Year, (i) any property within the boundaries of CFD No. 1 that was owned by or irrevocably offered for dedication to the federal government, the State, the City or any other public agency as of January 1 of the previous Fiscal Year; provided however that any property leased by a public agency to a private entity and subject to taxation under Section 53340.1 of the Act shall be taxed and classified in accordance with its use; or (ii) any property within the boundaries of CFD No. 1 that was encumbered, as of January 1 of the previous Fiscal Year, by an unmanned utility easement making impractical its utilization for other than the purpose set forth in the easement.

"Residential Property" means all Assessor's Parcels of Developed Property for which a building permit has been issued for purposes of constructing one or more residential dwelling units.

"Single Family Property" means all Assessor's Parcels of Residential Property which are designated as R-W-1 in the Oxnard Local Coastal Program as depicted in the zoning map included as Exhibit A to this Rate and Method of Apportionment.

"Special Tax" means the special tax to be levied in each Fiscal Year on each Assessor's Parcel of Developed Property, Undeveloped Property, Property Owner Association Property, and Taxable Public Property to fund the Special Tax Requirement.

"Special Tax Requirement" means that amount required in any Fiscal Year for CFD No. 1 to: (i) pay debt service on all Outstanding Bonds; (ii) pay periodic costs on the Bonds, including but not limited to, credit enhancement and rebate payments on the Bonds; (iii) pay Administrative Expenses; (iv) pay any amounts required to establish or replenish any reserve funds for all Outstanding Bonds; (v) pay directly for acquisition or construction of CFD No. 1 facilities eligible under the Act; and (vi) pay for reasonably anticipated delinquent Special Taxes based on the delinquency rate for Special Taxes levied in the previous Fiscal Year; less (vii) a credit for funds available to reduce the annual Special Tax levy, as determined by the CFD Administrator pursuant to the Indenture.

"State" means the State of California.

“Taxable Property” means all of the Assessor’s Parcels within the boundaries of CFD No. 1 which are not exempt from the Special Tax pursuant to law or Section E below.

“Taxable Public Property” means all Assessor’s Parcels of Public Property that are not exempt pursuant to Section E below.

“Townhouse Property” means all Assessor’s Parcels of Residential Property which are designated as R-3-C in the Oxnard Local Coastal Program as depicted in the zoning map included as Exhibit A to this Rate and Method of Apportionment.

“Trustee” means the trustee or fiscal agent under the Indenture.

“Undeveloped Property” means, for each Fiscal Year, all Taxable Property not classified as Developed Property, Property Owner Association Property, or Taxable Public Property.

B. ASSIGNMENT TO LAND USE CATEGORIES

Each Fiscal Year, all Taxable Property within CFD No. 1 shall be classified as Developed Property, Taxable Public Property, Property Owner Association Property, or Undeveloped Property, and shall be subject to Special Taxes in accordance with the rate and method of apportionment determined pursuant to Sections C and D below. Residential Property shall be assigned to Land Use Classes 1 through 6 based on the type of use and the Lot Size, as applicable. Non-Residential Property shall be assigned to Land Use Class 7.

C. MAXIMUM SPECIAL TAX RATE

1. Developed Property

a. Maximum Special Tax

The Maximum Special Tax for each Assessor’s Parcel classified as Developed Property shall be the greater of (i) the amount derived by application of the Assigned Special Tax or (ii) the amount derived by application of the Backup Special Tax.

b. Assigned Special Tax

The Assigned Special Tax for Fiscal Year 2002-03 for each Land Use Class is shown below in Table 1.

TABLE 1

**Assigned Special Taxes for Developed Property
For Fiscal Year 2002-03
Community Facilities District No. 1**

<i>Land Use Class</i>	<i>Land Use</i>	<i>Description</i>	<i>Assigned Special Tax</i>
1	Single Family Property	Lot Size > 5,500 s.f.	\$4,025.57 per unit
2	Single Family Property	Lot Size 4,500 — 5,500 s.f.	\$3,817.92 per unit
3	Single Family Property	Lot Size < 4,500 s.f.	\$3,001.48 per unit
4	Duplex Property	NA	\$1,868.85 per unit
5	Townhouse Property	NA	\$1,359.16 per unit
6	Condominium Property	NA	\$1,156.23 per unit
7	Non-Residential Property	NA	\$0.6993 per square foot of Non-Residential Floor Area

c. Backup Special Tax

The Fiscal Year 2002-03 Backup Special Tax for an Assessor's Parcel of Developed Property shall equal \$0.6576 per square foot of the Assessor's Parcel.

d. Increase in the Assigned Special Tax and Backup Special Tax

On each July 1, commencing on July 1, 2003, the Assigned Special Tax and the Backup Special Tax shall be increased by an amount equal to two percent (2%) of the amount in effect for the previous Fiscal Year.

e. Multiple Land Use Classes

In some instances an Assessor's Parcel of Developed Property may contain more than one Land Use Class. The Assigned Special Tax levied on an Assessor's Parcel shall be the sum of the Assigned Special Taxes for all Land Use Classes located on that Assessor's Parcel. The Maximum Special Tax that can be levied on an Assessor's Parcel shall be the sum of the Maximum Special Taxes that can be levied for all Land Use Classes located on that Assessor's Parcel. For an Assessor's Parcel that contains both Residential Property and Non-Residential Property, the Acreage of such Assessor's Parcel shall be allocated to each type of property based on the amount of Acreage designated for each land use as determined by reference to the site plan approved for such Assessor's Parcel. The CFD Administrator's allocation to each type of property shall be final.

2. Undeveloped Property, Property Owner Association Property, and Taxable Public Property

a. Maximum Special Tax

The Fiscal Year 2002-03 Maximum Special Tax for Undeveloped Property, Property Owner Association Property, and Taxable Public Property shall be \$28,646 per Acre.

b. Increase in the Maximum Special Tax

On each July 1, commencing on July 1, 2003, the Maximum Special Tax for Undeveloped Property, Property Owner Association Property, and Taxable Public Property, shall be increased by an amount equal to two percent (2%) of the amount in effect for the previous Fiscal Year.

D. METHOD OF APPORTIONMENT OF THE SPECIAL TAX

Commencing with Fiscal Year 2002-03 and for each following Fiscal Year, the Council shall levy the Special Tax until the amount of Special Taxes equals the Special Tax Requirement. The Special Tax shall be levied each Fiscal Year as follows:

First: The Special Tax shall be levied Proportionately on each Assessor's Parcel of Developed Property at up to 100% of the applicable Assigned Special Tax as needed to satisfy the Special Tax Requirement;

Second: If additional monies are needed to satisfy the Special Tax Requirement after the first step has been completed, the Special Tax shall be levied Proportionately on each Assessor's Parcel of Undeveloped Property at up to 100% of the Maximum Special Tax for Undeveloped Property;

Third: If additional monies are needed to satisfy the Special Tax Requirement after the first two steps have been completed, then the levy of the Special Tax on each Assessor's Parcel of Developed Property whose Maximum Special Tax is determined through the application of the Backup Special Tax shall be increased Proportionately from the Assigned Special Tax up to the Maximum Special Tax for each such Assessor's Parcel;

Fourth: If additional monies are needed to satisfy the Special Tax Requirement after the first three steps have been completed, then the Special Tax shall be levied Proportionately on each Assessor's Parcel of Property Owner Association Property and Taxable Public Property at up to the Maximum Special Tax for Property Owner Association Property or Taxable Public Property.

Notwithstanding the above, under no circumstances will the Special Tax levied against any Assessor's Parcel of Residential Property for which an occupancy permit for private residential use has been issued be increased by more than ten percent as a consequence of delinquency or default by the owner of any other Assessor's Parcel within CFD No. 1.

E. EXEMPTIONS

No Special Tax shall be levied on up to 30.72 Acres of Public Property. Tax-exempt status will be assigned by the CFD Administrator in the chronological order in which property becomes

Public Property. However, should an Assessor's Parcel no longer be classified as Public Property its tax-exempt status will be revoked.

Public Property that is not exempt from Special Taxes under this section shall be subject to the levy of the Special Tax and shall be taxed Proportionately as part of the fourth step in Section D above, at up to 100% of the applicable Maximum Special Tax for Taxable Public Property.

F. APPEALS AND INTERPRETATIONS

Any landowner or resident may file a written appeal of the Special Tax on his/her property with the CFD Administrator, provided that the appellant is current in his/her payments of Special Taxes. During the pendency of an appeal, all Special Taxes previously levied must be paid on or before the payment date established when the levy was made. The appeal must specify the reasons why the appellant claims the Special Tax is in error. The CFD Administrator shall review the appeal, meet with the appellant if the CFD Administrator deems necessary, and advise the appellant of its determination. If the CFD Administrator agrees with the appellant, the CFD Administrator shall eliminate or reduce the Special Tax on the appellant's property and/or provide a refund to the appellant. If the CFD Administrator disagrees with the appellant and the appellant is dissatisfied with the determination, the appellant then has 30 days in which to appeal to the Council by filing a written notice of appeal with the City Clerk, provided that the appellant is current in his/her payments of Special Taxes. The second appeal must specify the reasons for its disagreement with the CFD Administrator's determination.

Interpretations may be made by the Council by ordinance or resolution for purposes of clarifying any vagueness or ambiguity in this Rate and Method of Apportionment.

G. MANNER OF COLLECTION

The Special Tax shall be collected in the same manner and at the same time as ordinary *ad valorem* property taxes; provided, however, that CFD No. 1 may directly bill the Special Tax, may collect Special Taxes at a different time or in a different manner if necessary to meet its financial obligations, and may covenant to foreclose and may actually foreclose on delinquent Assessor's Parcels as permitted by the Act.

H. PREPAYMENT OF SPECIAL TAX

The following definitions apply to this Section H:

"**CFD Public Facilities**" means either \$6.9 million in 2001 dollars, which shall increase by the Construction Inflation Index on July 1, 2002, and on each July 1 thereafter, or such lower number as (i) shall be determined by the CFD Administrator as sufficient to provide the public facilities to be provided by CFD No. 1 under the authorized bonding program for CFD No. 1, or (ii) shall be determined by the Council concurrently with a covenant that it will not issue any more Bonds to be supported by Special Taxes levied under this Rate and Method of Apportionment as described in Section D.

"**Construction Fund**" means an account specifically identified in the Indenture to hold funds which are currently available for expenditure to acquire or construct public facilities eligible under the Act.

“Construction Inflation Index” means the annual percentage change in the Engineering News-Record Building Cost Index for the City of Los Angeles, measured as of the calendar year which ends in the previous Fiscal Year. In the event this index ceases to be published, the Construction Inflation Index shall be another index as determined by the CFD Administrator that is reasonably comparable to the Engineering News-Record Building Cost Index for the City of Los Angeles.

“Future Facilities Costs” means the CFD Public Facilities minus (i) public facility costs previously paid from the Construction Fund, (ii) moneys currently on deposit in the Construction Fund, and (iii) moneys currently on deposit in an escrow fund that are expected to be available to finance public facilities costs.

“Outstanding Bonds” means all Previously Issued Bonds which are deemed to be outstanding under the Indenture after the first interest and/or principal payment date following the current Fiscal Year.

“Previously Issued Bonds” means all Bonds that have been issued by CFD No. 1 prior to the date of prepayment.

The obligation of an Assessor’s Parcel to pay the Special Tax may be prepaid and permanently satisfied as described herein; provided that a prepayment may be made only for Assessor’s Parcels of Developed Property or Undeveloped Property for which a building permit has been issued, and only if there are no delinquent Special Taxes with respect to such Assessor’s Parcel at the time of prepayment. An owner of an Assessor’s Parcel intending to prepay the Special Tax obligation shall provide the CFD Administrator with written notice of intent to prepay. Within 30 days of receipt of such written notice, the CFD Administrator shall notify such owner of the prepayment amount of such Assessor’s Parcel. The CFD Administrator may charge a reasonable fee for providing this service. Prepayment must be made not less than 45 days prior to the next occurring date that notice of redemption of Bonds from the proceeds of such prepayment may be given to the Trustee pursuant to the Indenture.

The Prepayment Amount (defined below) shall be calculated as summarized below (capitalized terms as defined below):

	Bond Redemption Amount	
plus		Redemption Premium
plus		Future Facilities Amount
plus		Defeasance Amount
plus		Administrative Fees and Expenses
less		Reserve Fund Credit
<u>less</u>		<u>Capitalized Interest Credit</u>
Total: equals		Prepayment Amount

As of the proposed date of prepayment, the **Prepayment Amount** (defined below) shall be calculated as follows:

Paragraph No.:

1. For Assessor's **Parcels of Developed Property**, compute the Assigned Special Tax and Backup Special Tax. For Assessor's **Parcels of Undeveloped Property** for which a building permit has been issued, compute the Assigned Special Tax and Backup Special Tax for that Assessor's Parcel as though it was **already** designated as Developed Property, based upon the building permit which has **already been** issued for that Assessor's Parcel.
2. (a) Divide the Assigned Special Tax computed pursuant to paragraph 1 by the total estimated Assigned Special Taxes for the entire CFD No. 1 based on the Developed Property Special Taxes which could be charged in the current Fiscal Year on all expected development through buildout of CFD No. 1, excluding any Assessor's Parcels which have been prepaid, and

(b) Divide the Backup Special Tax computed pursuant to paragraph 1 by the total estimated Backup Special Taxes at buildout for the entire CFD No. 1, excluding any Assessor's Parcels which have been prepaid.
3. Multiply the larger quotient computed pursuant to paragraph 2(a) or 2(b) by the Outstanding Bonds to compute the amount of Outstanding Bonds to be retired and prepaid (the "Bond Redemption Amount").
4. Multiply the Bond Redemption Amount computed pursuant to paragraph 3 by the applicable redemption premium, if any, on the Outstanding Bonds to be redeemed (the "Redemption Premium").
5. Compute the current Future Facilities Costs.
6. Multiply the larger quotient computed pursuant to paragraph 2(a) or 2(b) by the amount determined pursuant to paragraph 5 to compute the amount of Future Facilities Costs to be prepaid (the "Future Facilities Amount").
7. Compute the amount needed to pay interest on the Bond Redemption Amount from the first bond interest and/or principal payment date following the current Fiscal Year until the earliest redemption date for the Outstanding Bonds.
8. Confirm that no Special Tax delinquencies apply to such Assessor's Parcel.
9. Determine the Special Taxes levied on the Assessor's Parcel in the current Fiscal Year which have not yet been paid.
10. Compute the minimum amount the CFD Administrator reasonably expects to derive from the reinvestment of the Prepayment Amount less the Future Facilities Amount and the Administrative Fees and Expenses from the date of prepayment until the redemption date for the Outstanding Bonds to be redeemed with the prepayment.
11. Add the amounts computed pursuant to paragraphs 7 and 9 and subtract the amount computed pursuant to paragraph 10 (the "Defeasance Amount").

12. Verify the administrative fees and expenses of CFD No. 1, including the costs of computation of the prepayment, the costs to invest the prepayment proceeds, the costs of redeeming Bonds, and the costs of recording any notices to evidence the prepayment and the redemption (the "Administrative Fees and Expenses").
13. If reserve funds for the Outstanding Bonds, if any, are at or above 100% of the reserve requirement (as defined in the Indenture) on the prepayment date, a reserve fund credit shall be calculated as a reduction in the applicable reserve fund for the Outstanding Bonds to be redeemed pursuant to the prepayment (the "Reserve Fund Credit"). No Reserve Fund Credit shall be granted if reserve funds are below 100% of the reserve requirement.
14. If any capitalized interest for the Outstanding Bonds will not have been expended at the time of the first interest and/or principal payment following the current Fiscal Year, a capitalized interest credit shall be calculated by multiplying the larger quotient computed pursuant to paragraph 2(a) or 2(b) by the expected balance in the capitalized interest fund after such first interest and/or principal payment (the "Capitalized Interest Credit").
15. The Special Tax prepayment is equal to the sum of the amounts computed pursuant to paragraphs 3, 4, 6, 11 and 12, less the amounts computed pursuant to paragraphs 13 and 14 (the "Prepayment Amount").
16. From the Prepayment Amount, the amounts computed pursuant to paragraphs 3, 4, 11, 13 and 14 shall be deposited into the appropriate fund as established under the Indenture and be used to retire Outstanding Bonds or make debt service payments. The amount computed pursuant to paragraph 6 shall be deposited into the Construction Fund. The amount computed pursuant to paragraph 12 shall be retained by CFD No. 1.

The Prepayment Amount may be sufficient to redeem other than a \$5,000 increment of Bonds. In such cases, the increment above \$5,000 or integral multiple thereof will be retained in the appropriate fund established under the Indenture to be used with the next prepayment of bonds or to make debt service payments.

As a result of the payment of the current Fiscal Year's Special Tax levy as determined under paragraph 9 (above), the CFD Administrator shall remove the current Fiscal Year's Special Tax levy for such Assessor's Parcel from the County tax rolls. With respect to any Assessor's Parcel that is prepaid, the Council shall cause a suitable notice to be recorded in compliance with the Act, to indicate the prepayment of Special Taxes and the release of the Special Tax lien on such Assessor's Parcel, and the obligation of such Assessor's Parcel to pay the Special Tax shall cease.

Notwithstanding the foregoing, no Special Tax prepayment shall be allowed unless the amount of Assigned Special Taxes that may be levied on Taxable Property within CFD No. 1 both prior to and after the proposed prepayment is at least 1.1 times the maximum annual debt service on all Outstanding Bonds.

I. TERM OF SPECIAL TAX

The Special Tax shall be levied for a period not to exceed forty years, commencing in Fiscal Year 2002-2003.

Exhibit A

Oxnard Local Coastal Program Zoning Map

APPENDIX E

INFORMATION CONCERNING THE DEPOSITORY TRUST COMPANY

The information concerning The Depository Trust Company ("DTC") set forth herein has been supplied by DTC, and the Community Facilities District assumes no responsibility for the accuracy thereof.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 2 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 85 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Government Securities Clearing Corporation, MBS Clearing Corporation, and Emerging Markets Clearing Corporation, (NSCC, GSCC, MBSCC, and EMCC, also subsidiaries of DTCC), as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has Standard & Poor's highest rating: AAA. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond (a "Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase, but Beneficial Owners are expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co, or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed

by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bond, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Community Facilities District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Community Facilities District or Fiscal Agent, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, the Fiscal Agent, or the Community Facilities District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and interest payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Community Facilities District or the Fiscal Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving notice to the Community Facilities District or the Fiscal Agent. Under such circumstances, in the event that a successor securities depository is not obtained, Bonds are required to be printed and delivered.

The Community Facilities District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

APPENDIX F

FORMS OF CONTINUING DISCLOSURE AGREEMENTS

FORM OF DISTRICT CONTINUING DISCLOSURE AGREEMENT

COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY) OF THE CITY OF OXNARD 2002 SPECIAL TAX BONDS

THIS CONTINUING DISCLOSURE AGREEMENT (this "Disclosure Agreement") is made and entered into as of December 1, 2002, by Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard (the "Issuer") and NBS Government Finance Group (the "Dissemination Agent"), in connection with the issuance by the Issuer of the above-captioned bonds (the "Bonds"). The Bonds are being issued pursuant to an Indenture, dated as of December 1, 2002, by and between the District and Wells Fargo Bank, as Fiscal Agent (the "Indenture").

The Issuer and the Dissemination Agent hereby agree as follows:

SECTION 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered, for the benefit of the Owners and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with the Rule.

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture and the Rate and Method of Apportionment, which apply to any capitalized term used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"*Annual Report*" shall mean any Annual Report provided by the Issuer pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

"*Beneficial Owner*" shall mean any person who (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bond (including a person holding Bond through a nominee, depository or other intermediary), or (b) is treated as the owner of any Bond for federal income purposes.

"*Disclosure Representative*" shall mean the General Manager, the Director of Finance or such other officer or employee as the Issuer shall designate in writing to the Dissemination Agent from time to time.

"*Dissemination Agent*" shall mean NBS Government Finance Group, or any successor Dissemination Agent designed in writing by the Issuer.

"*Listed Events*" shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

"*National Repository*" shall mean any Nationally Recognized Municipal Securities Information Repository for purpose of the Rule.

"*Official Statement*" shall mean the Issuer's official statement with respect to the Bonds.

“*Participating Underwriter*” shall mean E. J. De La Rosa & Co., Inc.

“*Repository*” shall mean each National Repository and each State Repository.

“*Rate and Method of Apportionment*” means that certain Rate and Method of Apportionment of Special Tax approved pursuant to the Resolution of Formation, as amended in accordance with the Act and the Indenture.

“*Resolution of Formation*” means Resolution No. 11,823 adopted by the City Council of City of Oxnard on October 3, 2000, pursuant to which City of Oxnard formed the Issuer.

“*Rule*” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“*State Repository*” shall mean any public or private repository or entity designated by the State of California as a state repository for the purpose of the Rule and recognized as such by the Securities and Exchange Commission. As of the date of this Disclosure Agreement, there is no State Repository.

“*Tax-exempt*” shall mean that interest on the Bonds is excluded from gross income for federal income tax purposes, whether or not such interest is includable as an item of tax preferences or otherwise includable directly or indirectly for purposes of calculating any other tax liability, including any alternative minimum tax or environmental tax.

SECTION 3. Provision of Annual Reports.

(a) Not later than six months after the end of the Issuer’s fiscal year (which currently ends on June 30), commencing with the fiscal year ending June 30, 2003, the Issuer shall, or shall cause the Dissemination Agent to, provide to each Repository and the Participating Underwriter an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Agreement. Not later than 15 business days prior to the date referred to in the prior sentence hereof, the Issuer shall provide the Annual Report (in a form suitable for filing with the Repositories) to the Dissemination Agent. The Annual Report may be submitted as a single document or as separate documents comprising a package and may include by reference other information as provided in Section 4 of this Disclosure Agreement. The Issuer shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by it hereunder. The Dissemination Agent may conclusively rely upon such certification of the Issuer and shall have no duty or obligation to review such Annual Report.

(b) If by the date required in subsection (a) the Dissemination Agent has not received a copy of the Annual Report, the Dissemination Agent shall contact the Issuer to determine if the Issuer will be filing the Annual Report in compliance with subsection (a).

(c) If the Dissemination Agent is unable to verify that an Annual Report has been provided to the Repositories and the Participating Underwriter by the date required in subsection (a), the Dissemination Agent shall send a notice in substantially the form attached as Exhibit A to the Municipal Securities Rulemaking Board (“MSRB”) and each State Repository.

(d) The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report and the name and address of each National Repository and each State Repository, if any;

(ii) provide any **Annual Report** received by it to each Repository and the Participating Underwriter, as provided herein; and

(iii) if it has provided the **Annual Report** pursuant to (ii) above, file a report with the Issuer certifying that the **Annual Report** has been provided pursuant to this Disclosure Agreement, stating the date it was provided and listing all the Repositories to which it was provided.

SECTION 4. **Content of Annual Reports.** The Issuer's Annual Report shall contain or include by reference:

(a) **Financial Statements.** The audited financial statements of the Issuer for the most recent fiscal year of the Issuer then ended. If the audited financial statements are not available by the time the Annual Report is required to be filed, the Annual Report shall contain any unaudited financial statements of the Issuer in a format similar to the audited financial statements, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) **Financial and Operating Data.** The Annual Report shall contain or incorporate by reference the following information:

(i) the principal amount of **Bonds** outstanding as of the September 2 preceding the filing of the Annual Report;

(ii) the balance in each fund **under** the Indenture as of the September 2 preceding the filing of the Annual Report;

(iii) the assessed valuation of the **Taxable Property** within the Issuer;

(iv) a table setting forth the annual Special Tax delinquency rate within the Issuer at June 30 for each fiscal year on which a delinquency exists, listing for each fiscal year the total Special Tax levy, the amount delinquent and the percent delinquent;

(v) the status of any foreclosure actions being pursued by the Issuer with respect to delinquent Special Taxes;

(vi) the number of parcels **with** respect to which a building permit for new construction has been issued prior to **January 1st** preceding the Fiscal Year in which the Annual Report is being filed, provided that such information need not be included for any year in which a property owner is required to supply it pursuant to an undertaking by the property owner to supply financial and operating data; and

(vii) the status of the **construction** of the public improvements to be acquired or constructed with proceeds of the **Bonds** and any changes in the types of public facilities to be constructed or acquired from those described in the Official Statement.

(c) Any or all of the items listed in (a) or (b) above may be included by specific reference to other documents, including official statements of **debt issues** of the Issuer or related public entities, which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB. The Issuer shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the Issuer shall give, or cause the Dissemination Agent to give, notice of the occurrence of any of the following events with respect to the Bonds, if material:

- (1) principal and interest payment delinquencies,
- (2) non-payment related defaults,
- (3) unscheduled draws on the Reserve Fund reflecting financial difficulties,
- (4) unscheduled draws on any credit enhancements reflecting financial difficulties,
- (5) substitution of credit or liquidity providers, or their failure to perform,
- (6) adverse tax opinions or events adversely affecting the Tax-Exempt status of the Bonds,
- (7) modifications to the rights of Bond Owners,
- (8) unscheduled redemption of any Bond,
- (9) defeasances,
- (10) any release, substitution, or sale of property securing repayment of the Bonds, and
- (11) rating changes.

(b) Whenever the Issuer obtains knowledge of the occurrence of a Listed Event, the Issuer shall as soon as possible determine if such event would be material under applicable federal securities laws.

(c) If the Issuer has determined that the Listed Event would be material under applicable federal securities laws, the Issuer shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (d).

(d) If the Dissemination Agent has been instructed by the Issuer to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB and each State Repository and the Participating Underwriter. Notwithstanding the foregoing, notice of Listed Events described in subsections (a)(8) and (9) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Owners of affected Bonds pursuant to the Indenture.

(e) In the event that the Issuer's fiscal year changes, the Issuer shall give notice of such change to the Dissemination Agent and shall instruct the Dissemination Agent to report such change in the same manner and to the same parties as a material Listed Event would be reported pursuant to this Section.

(f) The Issuer hereby agrees that the undertaking set forth in this Disclosure Agreement is the responsibility of the Issuer, and the Dissemination Agent shall not be responsible for determining

whether the Issuer's instructions to the Dissemination Agent under this Section comply with the requirements of the Rule.

SECTION 6. Termination of Reporting Obligation. The obligations of the Issuer and the Dissemination Agent under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the Issuer shall give notice of such termination in the same manner as for a Listed Event under Section 5.

SECTION 7. Dissemination Agent. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under the Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign by providing (i) thirty days written notice to the Issuer, and (ii) upon appointment of a new Dissemination Agent hereunder.

SECTION 8. Amendment.

(a) This Disclosure Amendment may be amended, by written agreement of the parties, without the consent of the Owners, and any provision of this Dissemination Agreement may be waived, if all of the following conditions are satisfied: (1) such amendment or waiver is made in connection with a change in circumstances that arises from a change in legal (including regulatory) requirements, a change in law, or a change in the identity, nature or status of the Issuer or the type of business conducted thereby, (2) the undertakings in this Disclosure Agreement as so amended or waived would, in the opinion of a nationally recognized bond counsel, have complied with the requirements of the Rule as of the date of this Disclosure Agreement, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances, and (3) the amendment or waiver either (i) is approved by the Owners of the Bonds in the same manner as provided in the Indenture for amendments to the Indenture with the consent of Owners or (ii) does not, in the determination of the Community Facilities District, materially impair the interests of the Owners or Beneficial Owners of the Bonds.

(b) To the extent any amendment to this Disclosure Agreement results in a change in the type of financial information or operating data provided pursuant to this Disclosure Agreement, the first Annual Report provided thereafter shall include a narrative explanation of the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

(c) If an amendment is made to the basis on which financial statements are prepared, the Annual Report for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. Such comparison shall include a quantitative and, to the extent reasonably feasible, qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information.

SECTION 9. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Issuer chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, the Issuer shall have no obligation under this Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the Issuer or the Dissemination Agent to comply with any provision of this Disclosure Agreement, any Owner or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Issuer and/or the Dissemination Agent to comply with their respective obligations under this Disclosure Agreement. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Agreement in the event of any failure of the Issuer or the Dissemination Agent to comply with this Disclosure Agreement shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and the Issuer agrees to indemnify and save the Dissemination Agent and its officers, directors, employees and agents, harmless against any loss, expense and liabilities which they may incur arising out of or in the exercise or performance of their powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. Any Dissemination Agent shall be paid (i) compensation by the Issuer for its services provided hereunder in accordance with a schedule of fees to be mutually agreed to; and (ii) all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder. The Dissemination Agent shall have no duty or obligation to review any information provided to it by the Issuer pursuant to this Disclosure Agreement. The obligations of the Issuer under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. No person shall have any right to commence any action against the Dissemination Agent seeking any remedy other than to compel specific performance of this Disclosure Agreement. The Dissemination Agent shall not be liable under any circumstances for monetary damages to any person for any breach under this Disclosure Agreement.

SECTION 12. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Participating Underwriter and Owners and Beneficial Owners from time to time of the Bonds; and it shall create no rights in any other person or entity.

SECTION 13. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

COMMUNITY FACILITIES DISTRICT NO. 2001-01
(WESTPORT AT MANDALAY BAY) OF THE CITY
OF OXNARD

By: _____
Its: _____

NBS GOVERNMENT FINANCE GROUP, as
Dissemination Agent

By: _____
Its: _____

EXHIBIT A

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard

Name of Bond Issue: Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard, 2002 Special Tax Bonds

Date of Issuance: December 19, 2002

NOTICE IS HEREBY GIVEN that Community Facilities District No. 2001-01 (Westport at Mandalay Bay) of the City of Oxnard (the "Issuer") has not provided an Annual Report with respect to the above-named Bonds as required by Section 3 of the District Continuing Disclosure Agreement, dated as of _____, 2002. [The Issuer anticipates that the Annual Report will be filed by _____.]

Dated: _____

NBS GOVERNMENT FINANCE GROUP

FORM OF DEVELOPER CONTINUING DISCLOSURE AGREEMENT
COMMUNITY FACILITIES DISTRICT NO. 1 (WESTPORT AT MANDALAY BAY)
OF THE CITY OF OXNARD
2002 SPECIAL TAX BONDS

This Developer Continuing Disclosure Agreement, dated as of December 1, 2002 (the "Disclosure Agreement"), is made and entered into by and between LB/L – SunCal Mandalay Bay LLC (the "Developer") and NBS Government Finance Group, as dissemination agent (the "Dissemination Agent") in connection with the issuance by Community Facilities District No. 1 (Westport at Mandalay Bay) of the City of Oxnard (the "Issuer") of its 2002 Special Tax Bonds (the "Bonds") pursuant to an Indenture, dated as of December 1, 2002, by and between the Issuer and Wells Fargo Bank, as Fiscal Agent (the "Indenture").

The Developer and the Dissemination Agent covenant and agree as follows:

SECTION 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered for the benefit of the Bond Owners and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission.

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture or parenthetically defined herein, which apply to any capitalized terms used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"*Affiliate*" of another Person means (a) a Person directly or indirectly owning, controlling, or holding with power to vote, 25% or more of the outstanding voting securities of such other Person, (b) any Person 25% or more of whose outstanding voting securities are directly or indirectly owned, controlled, or held with power to vote, by such other Person, and (c) any Person directly or indirectly controlling, controlled by, or under common control with, such other Person; for purposes hereof, control means the power to exercise a controlling influence over the management or policies of a Person, unless such power is solely the result of an official position with such Person.

"*Annual Report*" means any Annual Report provided pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

"*Annual Report Date*" means the date that is two months after the end of Developer's fiscal year, which fiscal year currently ends December 31. The first Annual Report Date shall be March 1, 2003.

"*Assumption Agreement*" means an agreement between a Major Developer, or an Affiliate thereof, and the Dissemination Agent containing terms substantially similar to this Disclosure Agreement, whereby such Major Developer or Affiliate agrees to provide Annual Reports, Semi-Annual Reports and notices of Listed Events with respect to the portion of the Property owned by such Major Developer and its Affiliates.

"*Bond Counsel*" means an attorney or a firm of attorneys whose experience in matters relating to the issuance of obligations by the states and their political subdivisions and the tax-exempt status of the interest thereon is recognized nationally.

"Development Plan" means, with respect to a Major Developer, the specific improvements such Major Developer intends to make, or cause to be made, to the portion of the Property owned by such Major Developer in order for such portion of the Property to reach the Planned Development Stage, the time frame in which such improvements are intended to be made and the estimated costs of such improvements. As of the date hereof, the Development Plan for the Property owned by the Developer and its Affiliates is described in the Official Statement under the caption "PROPERTY OWNERSHIP AND DEVELOPMENT."

"Dissemination Agent" means NBS Government Finance Group, acting in its capacity as the Dissemination Agent hereunder, or any successor Dissemination Agent designated in writing by the Developer and which has filed with the Issuer a written acceptance of such designation.

"Event of Bankruptcy" means, with respect to a Person, that such Person files a petition or institutes a proceeding under any act or acts, state or federal, dealing with or relating to the subject or subjects of bankruptcy or insolvency, or under any amendment of such act or acts, either as a bankrupt or as an insolvent, or as a debtor, or in any similar capacity, wherein or whereby such Person asks or seeks or prays to be adjudicated a bankrupt, or is to be discharged from any or all of such Person's debts or obligations, or offers to such Person's creditors to effect a composition or extension of time to pay such Person's debts or asks, seeks or prays for reorganization or to effect a plan of reorganization, or for a readjustment of such Person's debts, or for any other similar relief, or if any such petition or any such proceedings of the same or similar kind or character is filed or instituted or taken against such Person and the same shall remain undismissed for a period of sixty days, or if a receiver of the business or of the property or assets of such Person is appointed by any court, or if such Person makes a general assignment for the benefit of such Person's creditors.

"Financing Plan" means, with respect to a Major Developer, the method by which such Major Developer intends to finance its Development Plan, including specific sources of funding for such Development Plan. As of the date hereof, the Financing Plan for the Developer and its Affiliates is described in the Official Statement under the caption "PROPERTY OWNERSHIP AND DEVELOPMENT."

"Financial Statements" means, with respect to a Major Developer, the full financial statements, special purpose financial statements, project operating statements or other reports reflecting the financial position of each entity, enterprise, fund, account or other person (other than a financial institution acting as a lender in the ordinary course of business) identified in such Major Developer's Development Plan or its Financing Plan as a source of funding for such Major Developer's Development Plan, which statements shall be prepared in accordance with generally accepted accounting principles, as in effect from time to time, and which statements may be audited or unaudited; provided that, if such financial statements or reports are otherwise prepared as audited financial statements or reports, then "Financial Statements" means such audited financial statements or reports.

"Independent Financial Consultant" means a financial consultant or special tax consultant or firm of such consultants generally recognized to be well qualified in the financial consulting or special tax consulting field, appointed and paid by the Developer, who is not controlled by either the Issuer or Developer, does not have any substantial interest (direct or indirect) in the Issuer or Developer and is not a member, officer or employee of the Issuer or Developer, but who may be regularly retained to make annual or other reports to the Issuer or Developer.

"Listed Event" means any of the events listed in Section 5(a) of this Disclosure Agreement.

"Major Developer" means, as of any date, any Property Owner, including the Developer, which owns a portion of the Property which has not reached the Planned Development Stage and the sum of the Maximum Special Tax then applicable to which, plus the Maximum Special Tax then applicable to all portions of the Property that have not reached the Planned Development Stage and that are owned by Affiliates of such Property Owner, is equal to or greater than 20% of the total Maximum Special Tax then applicable to all of the Property.

"National Repository" means any Nationally Recognized Municipal Securities Information Repository for purposes of the Rule.

"Official Statement" means the Official Statement, dated December 3, 2002, relating to the Bonds.

"Participating Underwriter" means E. J. De La Rosa & Co., Inc.

"Person" means an individual, a corporation, a partnership, an association, a joint stock company, a trust, a limited liability company, any unincorporated organization or a government or political subdivision thereof.

"Planned Development Stage" means the stage of development of the land in owned by the Developer and its Affiliates that the Developer intends to achieve with respect thereto. As of the date hereof, the Planned Development stage of the Developer is the development of the land within the Issuer to the point at which all final subdivision maps have been recorded, including providing the infrastructure required in connection therewith.

"Property" means the parcels within the boundaries of the Issuer subject to Special Taxes.

"Property Owner" means any Person that owns a fee interest in any portion of the Property that was, as of the date of this Disclosure Agreement, owned by the Developer.

"Repository" means each National Repository and each State Repository.

"Rule" means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

"Semi-Annual Report" means any Semi-Annual Report provided pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

"Semi-Annual Report Date" means the date that is eight months after the end of Developer's fiscal year, which fiscal year currently ends December 31. The first Semi-Annual Report Date shall be September 1, 2003.

"State Repository" means any public or private repository or entity designated by the State of California as a state repository for the purpose of the Rule and recognized as such by the Securities and Exchange Commission. As of the date of this Disclosure Agreement, there is no State Repository.

SECTION 3. Provision of Annual Reports and Semi-Annual Reports.

(a) Not later than five (5) business days prior to each Annual Report Date, the Developer shall provide to the Dissemination Agent an Annual Report which is consistent with the requirements of Section 4 hereof and which is in a form suitable for filing with the Repositories. The Annual Report may

be submitted as a single document or as separate documents comprising a package and may cross-reference other information as provided in Section 4 of this Disclosure Agreement; provided that the Financial Statements of the Developer (if required) may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if the audited Financial Statements are not available by that date. Not later than five business days after its receipt of the foregoing material from the Developer, the Dissemination Agent shall provide a copy thereof to each Repository and the Participating Underwriter. The Developer shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by it hereunder. The Dissemination Agent may conclusively rely upon such certification of the Developer and shall have no duty or obligation to review such Annual Report.

(b) Not later than five (5) business days prior to each Semi-Annual Report Date, the Developer shall provide to the Dissemination Agent a Semi-Annual Report which is consistent the requirements of Section 4 hereof and which is in a form suitable for filing with the Repositories. The Semi-Annual Report may be submitted as a single document or as separate documents comprising a package and may cross-reference other information as provided in Section 4 of this Disclosure Agreement. Not later than five business days after its receipt of the foregoing material from the Developer, the Dissemination Agent shall provide a copy thereof to each Repository and the Participating Underwriter. The Developer shall provide a written certification with each Semi-Annual Report furnished to the Dissemination Agent to the effect that such Semi-Annual Report constitutes the Semi-Annual Report required to be furnished by it hereunder. The Dissemination Agent may conclusively rely upon such certification of the Developer and shall have no duty or obligation to review such Annual Report.

(c) If the Dissemination Agent has not received a copy of the Annual Report by the date required in Subsection (a) or if the Dissemination Agent has not received a copy of the Semi-Annual Report by the date required in Subsection (b), the Dissemination Agent shall notify the Developer of such failure to receive the applicable report. If the Dissemination Agent is unable to verify that an Annual Report has been provided to the Repositories and the Participating Underwriter by the date required in Subsection (a), or if the Dissemination Agent is unable to verify that a Semi-Annual Report has been provided to the Repositories and the Participating Underwriter by the date required in Subsection (b), the Dissemination Agent shall send a notice to the Municipal Securities Rulemaking Board ("MSRB") and to the State Repository, if any, in substantially the form attached as Exhibit "A."

(d) The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report and the Semi-Annual Report, the name and address of each National Repository and each State Repository, if any;

(ii) provide any Annual Report and any Semi-Annual Report received by it to each Repository and to the Participating Underwriter, as provided herein; and

(iii) if it has provided the applicable report pursuant to (ii) above, file a report with the Issuer and the Developer certifying that it provided the Annual Report or the Semi-Annual Report, as the case may be, pursuant to this Disclosure Agreement, stating the date it was provided and listing all the Repositories to which it was provided.

SECTION 4. Content of Annual Reports and Semi-Annual Reports. (a) The Developer's Annual Report shall contain or incorporate by reference Financial Statements for each Major Developer

for the prior fiscal year if required; provided, that, if such information is required from Developer as to another Major Developer, the Developer shall only be required to provide such information that it has actual knowledge of after reasonable inquiry. If audited Financial Statements are required to be provided, and such audited Financial Statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited Financial Statements, if prepared by such Major Developer, and the audited Financial Statements shall be filed in the same manner as, or as an amendment or supplement to, the Annual Report when they become available. Such Financial Statements shall be for the most recently ended fiscal year for the entity covered thereby hereunder.

If the annual financial information or operating data provided in an Annual Report or a Semi-Annual Report is amended pursuant to the provisions hereof, the first Annual Report or Semi-Annual Report filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

As required by the Rule, if an amendment is made to the provisions hereof specifying the accounting principles to be followed in preparing Financial Statements, the annual financial information for the year in which the change is made shall present a comparison between the Financial Statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be provided in the manner as for a Listed Event under Section 5(c).

(b) The Developer's Annual Report and Semi-Annual Report shall contain or incorporate by reference the following information with respect to each Major Developer:

(i) If information regarding such Major Developer has not previously been included in an Annual Report, a Semi-Annual Report or the Official Statement, the Development Plan of such Major Developer; or, if information regarding such Major Developer has previously been included in an Annual Report, a Semi-Annual Report or the Official Statement, a description of the progress made in the implementation of the Development Plan of such Major Developer since the date of such information and a description of any significant changes in such Development Plan and the causes or rationale for such changes.

(ii) If information regarding such Major Developer has not previously been included in an Annual Report, a Semi-Annual Report or the Official Statement, the Financing Plan of such Major Developer; or, if information regarding such Major Developer has previously been included in an Annual Report, a Semi-Annual Report or the Official Statement, a description of any significant changes in the Financing Plan of such Major Developer and the causes or rationale for such changes.

(iii) If such Major Developer is a land developer entitling and selling raw land, a description of any sales of portions of the Property previously owned by such Major Developer during the period covered by such Annual Report or Semi-Annual Report, including the identification of each buyer and the number of acres sold.

If such Major Developer is a homebuilder, a statement as to the number of lots owned by it in for which building permits were issued during the six-month period covered by such Annual Report or Semi-Annual Report, the cumulative total of the lots for which building permits have been issued, the number of houses the construction of which it completed in during the six-month period covered by such

Annual Report or Semi-Annual Report, the cumulative total of such houses, the number of houses in sold by it during the six-month period covered by such Annual Report or Semi-Annual Report, and the cumulative total of such houses sold by it.

(iv) A description of the portion or portions of the Property that were owned by such Major Developer and any of its Affiliates as of the beginning and as of the end of the period covered by such Annual Report or Semi-Annual Report, how many acres or lots (for residential units) of such Property reached the Planned Development Stage during such period and how many acres or lots (for residential units) of such Property had not reached the Planned Development Stage as of the end of such period.

(v) With respect to any portion of the Property owned by such Major Developer and any of its Affiliates, a statement as to whether any taxes or assessment installments applicable to such portion of the Property are delinquent.

(vi) A description of any change in the ownership structure of the Major Developer and/or the financial condition of the Major Developer or any of its Affiliates if such change in ownership structure and/or financial condition could materially interfere with the Major Developer's ability to complete its Development Plan.

(vii) Any amendments to land use entitlements for any portion of the Property owned by a Major Developer that could have a material adverse affect on such Major Developer's most recently disclosed Financing Plan or Development Plan or on the ability of such Major Developer, or any Affiliate of such Major Developer, to pay installments of Special Taxes when due.

(viii) Any precondition to commencement or continuation of development on any portion of the Property owned by a Major Developer imposed by a governmental entity after the date of issuance of the Bonds which has not been previously disclosed and which could have a material adverse affect, or any change in the status of any such precondition that was previously disclosed in the Official Statement, an Annual Report or a Semi-Annual Report, which could have a material adverse affect, on such Major Developer's most recently disclosed Financing Plan or Development Plan or on the ability of such Major Developer, or any Affiliate of such Major Developer, to pay installments of Special Taxes when due.

(ix) Any previously undisclosed legislative, administrative or judicial challenges to development on any portion of the Property owned by such Major Developer, or any material change in the status of any such challenge that was previously disclosed in the Official Statement, an Annual Report or a Semi-Annual Report, that could have a material adverse affect on such Major Developer's most recently disclosed Financing Plan or Development Plan or on the ability of such Major Developer, or any Affiliate of such Major Developer, to pay installments of Special Taxes when due.

(x) Any changes in the alignment, design or likelihood of completion of significant public improvements affecting any portion of the Property owned by such Major Developer, including major thoroughfares, sewers, water conveyance systems and similar facilities that could have a material adverse affect on such Major Developer's most recently disclosed Financing Plan or Development Plan or on the ability of such Major Developer, or any Affiliate of such Major Developer, to pay installments of Special Taxes when due.

(xi) An update of the status of any previously reported Listed Event described in Section 5.

(c) In addition to any of the information expressly required to be provided under Subsections (a) and (b) of this Section, the Developer shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Major Developers that are Affiliates of each other may file either separate Annual Reports and Semi-Annual Reports or combined Annual Reports and Semi-Annual Reports covering all such entities. Any or all of the items listed above may be included by specific reference to other documents which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB. The Developer shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events. (a) The following events are Listed Events for purposes of this Agreement:

(i) Any conveyance by a Major Developer of any portion of the Property owned by such Major Developer to an entity that is not an Affiliate of such Major Developer, the result of which conveyance is to cause the transferee to become a Major Developer;

(ii) Any failure of a Major Developer, or any Affiliate of such Major Developer, to pay when due taxes or Special Taxes with respect to any portion of the Property owned by such Major Developer or Affiliate;

(iii) Any refusal to provide funds pursuant to or any termination of, or any event of default under, any line of credit, loan or other arrangement to provide funds to a Major Developer or its Affiliate or any other loss of a source of funds that could have a material adverse affect on such Major Developer's most recently disclosed Financing Plan or Development Plan or on the ability of such Major Developer, or any Affiliate of such Major Developer, to pay installments of Special Taxes when due;

(iv) The occurrence of an Event of Bankruptcy with respect to a Major Developer or any Affiliate of such Major Developer that owns any portion of the Property;

(v) The assumption of any obligations by a Major Developer pursuant to Section 6 hereof; and

(vi) A change in a Major Developer's fiscal year.

(b) Whenever the Developer obtains knowledge of the occurrence of a Listed Event, the Developer shall promptly (i) determine whether such event would be material under applicable federal securities laws and (ii) if the Developer determines that such event would be material under applicable federal securities laws, notify the Dissemination Agent and the Issuer in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to Subsection (c) and shall be in a format suitable for reporting to the MSRB and the State Repository, if any.

(c) If the Dissemination Agent has been instructed by the Developer to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB, the State Repository and the Participating Underwriter.

SECTION 6. Assumption of Obligations. If a portion of the Property owned by the Developer, or any Affiliate of the Developer, is conveyed to a Person that, upon such conveyance, will be a Major Developer, the obligations of the Developer hereunder with respect to the Property owned by such Major

Developer and its Affiliates may be assumed by such Major Developer or by an Affiliate thereof. In order to effect such assumption, such Major Developer or Affiliate shall enter into an Assumption Agreement.

SECTION 7. Termination of Reporting Obligation. The Developer's obligations hereunder shall terminate (except as provided in Section 12) upon the earliest to occur of (a) the legal defeasance, prior redemption or payment in full of all the Bonds, (b) the date on which those portions of the Rule which require this written undertaking are held to be invalid by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the Bonds, (c) the first date on which no Property Owner is a Major Developer, (d) the first date on which the Developer (i) is no longer a Major Developer and (ii) has no obligations hereunder with respect to any property because such obligations have been assumed by one or more Major Developers or Affiliates thereof pursuant to an Assumption Agreement or (e) the date as of which both of the following have occurred: (1) the City Council of the Issuer has adopted a resolution to the effect that the Issuer does not intend to issue any additional bonds payable from Special Taxes applicable to property in and (2) the Issuer has received a certificate from an Independent Financial Consultant to the effect that the aggregate amount of the Maximum Special Tax applicable to the Developed Property in is not less than 1.1 times the Annual Debt Service on bonds payable from Special Taxes applicable to property in then outstanding. The Developer's obligations under this Disclosure Agreement with respect to a Person that purchased Property from the Developer and that became a Major Developer as a result thereof shall terminate upon the earliest to occur of (w) date on which such Person is no longer a Major Developer, (x) the date on which the Developer's obligations with respect to such Person are assumed under an Assumption Agreement entered into pursuant to Section 6, (y) the date on which all Special Taxes applicable to the portion of the Property owned by such Major Developer and its Affiliates are prepaid in full and (z) the date described in clause (e) of the preceding sentence; provided however, until the occurrence of any of the events described in clauses (w) through (z), the Developer's obligations hereunder with respect to each other Major Developer, if any, shall remain in full force and effect. Upon the occurrence of any such termination prior to the final maturity of the Bonds, the Developer shall cause the Dissemination Agent to give notice of such termination in the same manner as for a Listed Event under Section 5(c).

SECTION 8. Dissemination Agent. The Developer may, from time to time, discharge the Dissemination Agent with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign by providing thirty days' written notice to the Developer and the Issuer. If at any time there is no other designated Dissemination Agent, the Developer shall be the Dissemination Agent. If the Dissemination Agent is an entity other than the Developer, the Developer shall be responsible for paying the fees and expenses of such Dissemination Agent for its services provided hereunder.

SECTION 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Developer and the Dissemination Agent may amend this Disclosure Agreement (and the Dissemination Agent shall agree to any amendment so requested by the Developer, so long as such amendment does not adversely affect the rights or obligations of the Dissemination Agent), and any provision of this Disclosure Agreement may be waived, provided that (a) if the amendment or waiver relates to Sections 3(a), 4 or 5(a) hereof, such amendment or waiver is made in connection with a change in legal requirements, change in law or change in the identity, nature, or status of the Developer or the type of business conducted; (b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of Bond Counsel approved by the Issuer and the Participating Underwriter, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and (c) the amendment or waiver either (i) is approved by the Bond Owners in the same manner as provided in the Indenture for amendments to the Indenture with the consent of Bond Owners, or (ii) does not, in the

opinion of the Issuer or Bond Counsel, materially impair the interests of the Bond Owners or Beneficial Owners of the Bonds.

SECTION 10. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Developer from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or Semi-Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Developer chooses to include any information in any Annual Report or Semi-Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, the Developer shall have no obligation under this Agreement to update such information or include it in any future Annual Report or Semi-Annual Report or notice of occurrence of a Listed Event.

SECTION 11. Default. In the event of a failure of the Developer or the Dissemination Agent to comply with any provision of this Disclosure Agreement, the Dissemination Agent may (and, at the written request of the Participating Underwriter or the Owners of at least 25% of the aggregate principal amount of Outstanding Bonds, and upon being indemnified to its reasonable satisfaction against the costs, expenses and liabilities to be incurred in compliance with such request, shall), or the Participating Underwriter or any Bond Owner or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Developer or the Dissemination Agent, as the case may be, to comply with its obligations under this Disclosure Agreement. A default under this Disclosure Agreement shall not be deemed an event of default under the Indenture, and the sole remedy under this Disclosure Agreement in the event of any failure of the Developer or the Dissemination Agent to comply with this Disclosure Agreement shall be an action to compel performance.

SECTION 12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall not have any responsibility for the content of any Annual Report, Semi-Annual Report or notice of a Listed Event. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and the Developer agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the reasonable costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding losses, expenses and liabilities due to the Dissemination Agent's negligence or willful misconduct or the negligence or willful misconduct of any of its officers, directors, employees and agents. The obligations of the Developer under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

The Dissemination Agent will not, without the Developer's prior written consent, settle, compromise or consent to the entry of any judgment in any pending or threatened claim, action or proceeding in respect of which indemnification may be sought hereunder unless such settlement, compromise or consent includes an unconditional release of the Developer and its Affiliates from all liability arising out of any such claim, action or proceedings. A request by the Dissemination Agent for the Developer's written consent shall be answered within a reasonable amount of time to allow the Dissemination Agent to act in a timely manner. If any claim, action or proceeding is settled with the consent of the Developer or if there is a judgment (other than a stipulated final judgment without the approval of the Developer) for the plaintiff in any such claim, action or proceeding, with or without the consent of the Developer, the Developer agrees to indemnify and hold harmless the Dissemination Agent to the extent described herein.

SECTION 13. Notices. Any notices or **communications** to or among any of the parties to this Disclosure Agreement may be given as follows:

Issuer: City of Oxnard
305 West Third Street
Oxnard, CA 93030
Attn: City Attorney

Dissemination Agent: NBS Government Finance Group
41661 Enterprise Circle North, Suite 225
Temecula, CA 92590

Developer: SunCal Companies
21601 Devonshire Blvd., Suite 116
Chatsworth, CA 91311
Attn: Project Manager

Participating Underwriter: E. J. De La Rosa & Co., Inc.
11900 W. Olympic Blvd., Suite 500
Los Angeles, CA 90064

SECTION 14. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Developer, the Participating Underwriter and Bond Owners and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 15. Assignability. The Developer shall not assign this Disclosure Agreement or any right or obligation hereunder except to the extent permitted to do so under the provisions of Section 6 hereof. The Dissemination Agent may, with prior written notice to the Developer and the Issuer, assign this Disclosure Agreement and the Dissemination Agent's rights and obligations hereunder to a successor Dissemination Agent.

SECTION 16. Counterparts. This Disclosure Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

LB/L SUNCAL MANDALAY BAY LLC

By: _____
Its: _____

NBS GOVERNMENT FINANCE GROUP, as
Dissemination Agent

By: _____
Its: _____

EXHIBIT A

**NOTICE TO MUNICIPAL SECURITIES RULEMAKING BOARD OF FAILURE TO
FILE ANNUAL REPORT**

Name of Obligated Person: LB/L SunCal Mandalay Bay LLC

Name of Bond Issue: Community Facilities District No. 2001-01 (Westport at Mandalay Bay) of the
City of Oxnard 2002 Special Tax Bonds

Date of Issuance: December 19, 2002

NOTICE IS HEREBY GIVEN that LB/L SunCal Mandalay Bay LLC has not provided [an
Annual Report] [a Semi-Annual Report] with respect to the above-named Bonds as required by Section 3
of the Developer Continuing Disclosure Agreement, dated as of December 1, 2002. LB/L SunCal
Mandalay Bay LLC anticipates that the required report will be filed by _____.

Dated: _____

NBS GOVERNMENT FINANCE GROUP,
as Dissemination Agent

cc: LB/L SunCal Mandalay Bay LLC

APPENDIX G

**MARKET ABSORPTION STUDY
SUMMARY AND CONCLUSIONS**

**COMMUNITY FACILITIES DISTRICT NO. 1
(WESTPORT AT MANDALAY BAY)**

**PREPARED FOR
CITY OF OXNARD
VENTURA COUNTY, CALIFORNIA**

**PREPARED BY
EMPIRE ECONOMICS, INC.**

*** OCTOBER 8, 2002 ***

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INTRODUCTION TO THE BOND FINANCING PROGRAM

The City of Oxnard has formed a Community Facilities District for Westport at Mandalay Bay (CFD No.1) as a means of funding the infrastructure that is required for the development of the forthcoming residential and commercial-retail projects. SunCal Mandalay Bay, LLC, the developer, anticipates a Bond Issue in the amount of some \$20+ million as a means of funding various public capital improvements including storm drains, roadway, parks/landscaping, water, sewer, channel and regional dry utilities.

Considering its proximity to the ocean as well as its ocean accessibility via waterways and canals, CFD No.1 provides prospective homeowners with a "unique" opportunity to reside in a coastal community. Furthermore, Westport at Mandalay Bay represents a sequential extension of other comparable communities in its neighborhood, and these have already established the area's strong reputation in the marketplace.

The City of Oxnard has retained Empire Economics, an economic and real estate consulting firm, to perform a Market Absorption Study for CFD No.1. The purpose of the Market Absorption Study is to provide an estimate of the probable absorption schedules for the forthcoming residential and commercial-retail properties.

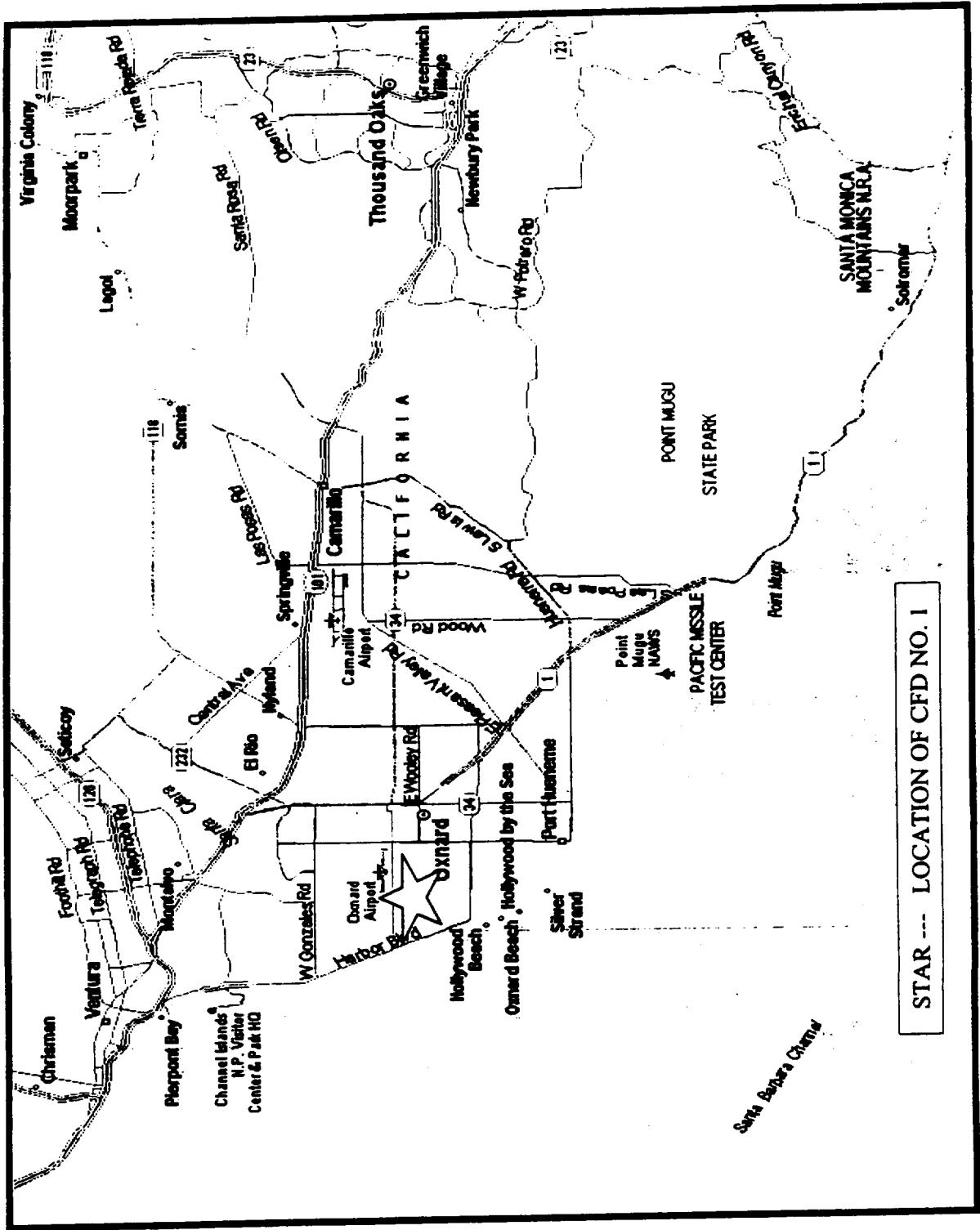
Specifically, from the viewpoint of prospective Bond Purchasers, the particular components of the infrastructure should be time-phased and location-phased in a manner that approximately coincides with the expected marketability/absorption of the forthcoming projects/properties in CFD No.1. Otherwise, to the extent that the infrastructure is not appropriately phased, then the following types of market inefficiencies may occur:

On the one hand, if certain projects do not have the infrastructure that is required to support their development in a timely manner, then they would not be able to respond to the demand in the marketplace, resulting in a market shortage.

On the other hand, if too much infrastructure is built, then projects for which there is not presently a market demand would incur high carrying costs due to the market surplus, and this could adversely impact their financial feasibility.

Thus, the Market Absorption Study formulates guidelines on the appropriate or optimal time-phasing and location-phasing of the infrastructure for the properties located in CFD No.1, as a means of providing the bond purchasers with a reasonable amount of security from a market absorption perspective.

LOCATION OF CFD NO. 1



CHARACTERISTICS OF THE EXPECTED PRODUCT MIX FOR CFD NO. 1 WESTPORT AT MANDALAY BAY

CFD No.1 (Westport at Mandalay Bay) consists of approximately 58 acres which has the following land-uses: 306 single-family, duplex, townhome, and condominium products and also 22,000 sq.ft. for a commercial/visitor center as well as parks, roads and open water. The following product mix and pricing information has been provided by SunCal Mandalay Bay, LLC.

- There are expected to be 88 condominium units, and these are anticipated to be priced at \$321,000 to 387,000 for some 1,400-1,800 sq.ft. of living area. This project currently does not have a builder, but the units are expected to commence escrow closings in mid-2004.
- There are expected to be 34 duplex units, and these are anticipated to be priced at \$448,000 to 504,000 for some 2,300-2,605 sq.ft. of living area. The lots in this project are expected to be purchased by Beazer Homes, and the units are expected to commence escrow closings in the 2nd-quarter of 2003.
- There are expected to be 88 townhomes, and these are anticipated to be priced at \$326,000 to 371,000 for some 1,700-2,400 sq.ft. of living area. The lots in this project are also expected to be purchased by Beazer Homes, and the units are expected to commence escrow closings in the 2nd-quarter of 2003.
- There are expected to be 37 single-family homes on lots of 4,000 sq.ft. with private docks, and these are anticipated to be priced at \$736,000-791,000 for some 2,752-3,011 sq.ft. of living area. The lots in this project are expected to be purchased by Larwin Company, and the units are expected to commence escrow closings in the 4th-quarter of 2003.
- There are expected to be 45 single-family homes on lots of 5,000 sq.ft. with private docks that are anticipated to be priced at \$935,000-1,018,000 for some 3,243-3,620 sq.ft. of living area. These homes are expected to commence escrow closings the 1st-quarter of 2004.
- There are expected to be 14 single-family homes on lots of 5,500 sq.ft. that are anticipated to be priced at \$952,000-1,046,000 for some 3,300-3,709 sq.ft. of living area. These homes are expected to commence escrow closings in the 1st-quarter of 2004.

Finally, CFD No.1 also has some 22,000 sq.ft. of commercial-retail, and this is blended in with the condominium units as a mixed use development.

Therefore, based upon the planning approvals as well as the representations from the various builders, CFD No. 1 has 306 forthcoming units for future development, and these have been partitioned into a diversified product mix, based upon their product types, price ranges and living areas.

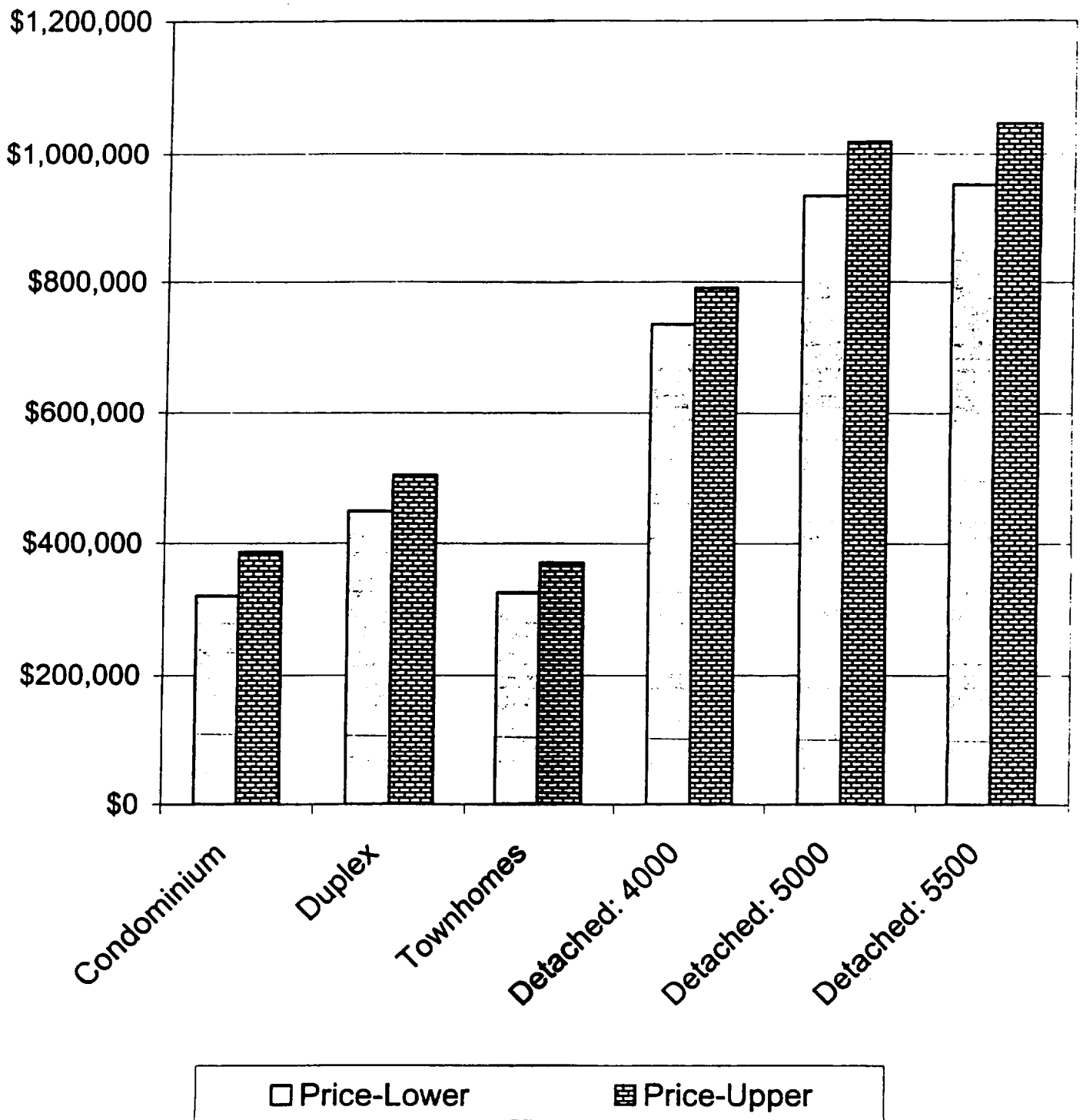
For additional information on the product mix characteristics, please refer to the following table and graph.

EXPECTED PRODUCT MIX **CITY OF OXNARD** **CFD NO.1 WESTPORT AT MANDALAY BAY**

October 2002; Subject to Revision

Product Types >	Product Characteristics					
	Condominium	Duplex	Townhomes	Detached: 4000 (Lots: 4000 sq ft.)	Detached: 5000 (Lots: 5000 sq ft.)	Detached: 5500 (Lots: 5500 sq ft.)
	No	No	No	Yes	Yes	No
Boat Docks						
Expected Builder	N/A	Beazer Homes	Beazer Homes	Larwin Company	N/A	N/A
Development Status						
Total	88	34	88	37	45	14
Occupied	0	0	0	0	0	0
Forthcoming:	88	34	88	37	45	14
Share - Forthcoming	28.8%	11.1%	28.8%	12.1%	14.7%	4.6%
Commence Escrow Closings >	2004	2003	2003	2003	2004	2004
Base Prices - Estimated (Developer)						
Lower	\$321,000	\$448,000	\$326,000	\$736,000	\$935,000	\$952,000
Average	\$354,000	\$476,000	\$348,500	\$763,500	\$976,500	\$989,000
Upper	\$387,000	\$504,000	\$371,000	\$791,000	\$1,018,000	\$1,046,000
Living Area - Estimated						
Lower	1,400	2,300	1,700	2,752	3,243	3,300
Average	1,600	2,453	2,050	2,882	3,432	3,505
Upper	1,800	2,605	2,400	3,011	3,620	3,709
Value Ratio	\$221	\$194	\$170	\$265	\$285	\$285

CFD NO. 1 WESTPORT AT MANDALAY BAY
EXPECTED PRICES FOR
THE FORTHCOMING HOMES



ROLE OF MARKET STUDY IN THE BOND FINANCING

The Market Absorption Study for CFD No. 1 has a multiplicity of roles with regards to the Bond Financing; accordingly, these are now discussed.

Marketing Prospects for the District's Products:

The Market Absorption Study provides an estimate of the absorption of the product types in CFD No. 1, through a consideration of the expected demand for each of these products in the Market Area, as a whole, along with the competitiveness or capture rate for each of CFD No. 1's products in the marketplace, in particular.

Special Tax Payment Analysis:

➤ Special Tax Revenues by Product Types:

The combined Ad Valorem Property Tax and Special Tax burden for the residential products is expected to amount to less than 2.00% of their respective market values. Accordingly, a component of this analysis are the expected prices/values for the various types of residential products in CFD No. 1. Consequently, Empire Economics performs a comprehensive analysis of the comparable projects in the marketplace, in order to evaluate the prices for the forthcoming products. This analysis was performed and completed in Summer 2001; furthermore, since the Special Tax Rates have already been set and housing prices have risen, it is not performed again herein.

➤ Aggregate Amount of Special Tax Revenues and Debt Service:

The amount of Special Tax Revenues generated by the properties in the District is then derived by using the aggregate number of residential units, along with their Special Taxes per unit. These Revenues determine the amount of the Annual Debt Service Payments that the District can accommodate, and hence the size of the Bond Issue that can be supported by CFD No. 1.

➤ Relative Shares of Special Tax Payments:

The Special Tax Payments required to meet the Annual Debt Service are paid by the developer or builders (for undeveloped property or unsold homes) and also by the final users/homeowners (on the fully improved/occupied properties); the proportionate shares of their payments vary on a year/year basis. The absorption schedules can be utilized to estimate the amount of the Special Tax Payments that are likely to be paid by the developer/builders: the longer the absorption time period, the greater their share of the Special Tax Payments.

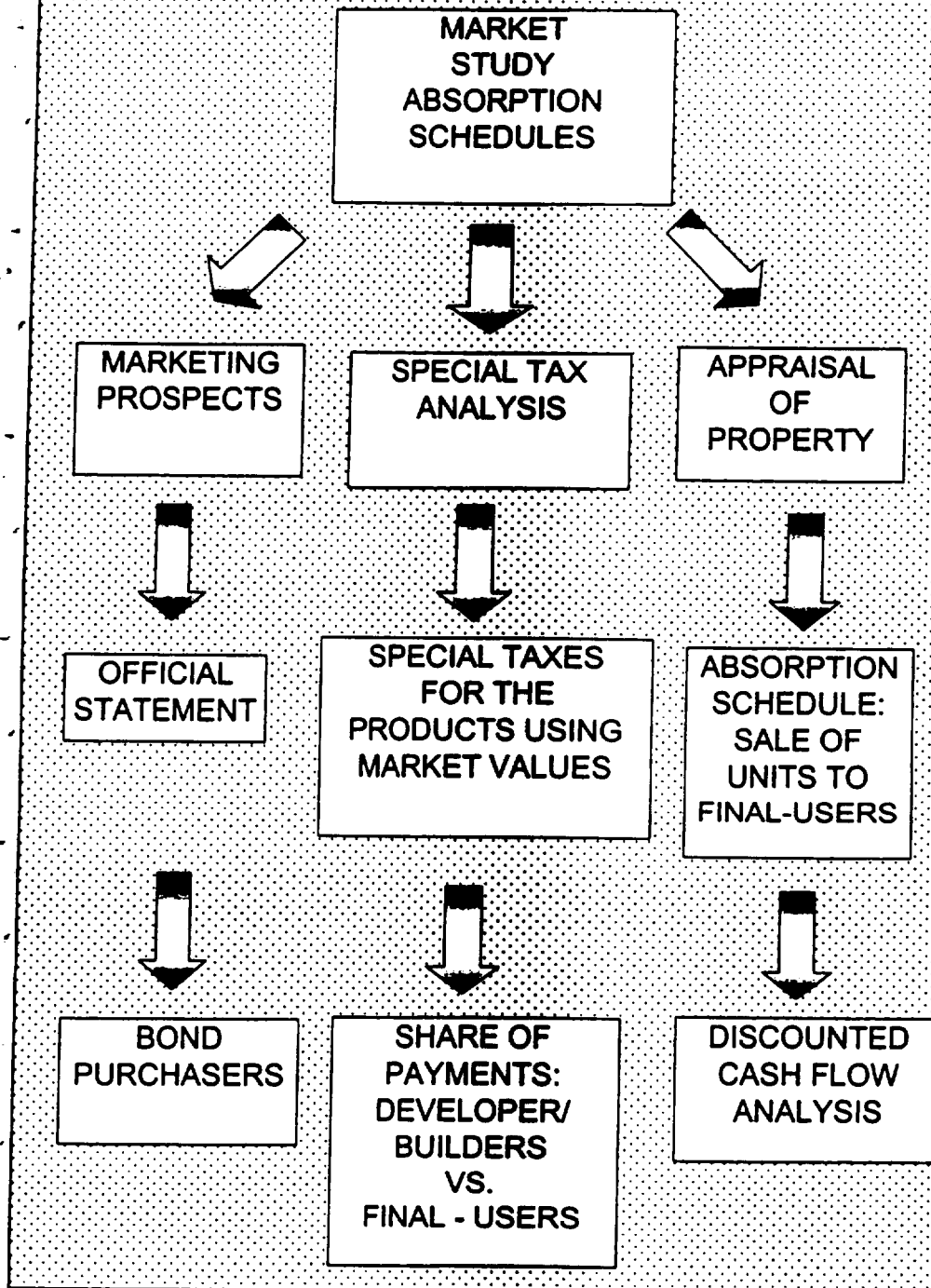
Appraised Value - Discounted Cash-Flow:

The Appraiser considers the absorption schedules as part of the Discounted Cash Flow Analysis which provides an estimate of the present value of the property to be developed in CFD No. 1; this reflects the security/collateral underlying the Bond Issue. The absorption schedules represent a critical component of the Appraisal: the longer the absorption time, the less the Discounted Value, as compared to the undiscounted Retail Value.

Structuring the Bond Issue:

The Issuing Agency for the Bond Issue, the City of Oxnard, along with the Financial Advisor and Underwriter can then utilize the Market Absorption Study, Appraisal, and Special Tax Revenue to structure the Bond Issue for CFD No. 1.

**ROLE OF THE MARKET ABSORPTION STUDY
CFD NO.1 WESTPORT AT MANDALAY BAY**



RECENT AND NEAR-TERM ECONOMIC CONDITIONS FOR THE US, CA AND SOUTHERN CALIFORNIA ECONOMIES

The US economy's longest post WW II expansion ended during the latter portion of 2001, after 40 quarters (10 years) the growth in real Gross Domestic Product (GDP) that amounted to some 40% (1.00%/qtr). By comparison, the other major Post WW II expansions were as follows: The Kennedy Johnson expansion had a span of 34 quarters during which real GDP grew by a total of 49% (1.44%/qtr). While the Reagan expansion had a span of 30 quarters over which real GDP grew by 35% (1.17%/qtr).

The current expansion faltered during the latter portion of 2001 due to the following factors: diminishing levels of corporate profits, lower stock market values which adversely impact both business (difficulty of raising capital) as well as consumers, and the Sept.-11 terrorist attacks along with their subsequent ramifications.

The Most Probable Economic Scenario is based upon the Federal Reserve Board (FRB) controlling interest rates in such a manner to countervail the adverse factors mentioned, thereby minimizing the duration and depth of the economic slowdown or recession (two successive quarterly negative changes in employment).

The US economy has recently experienced a moderate recession with regards to employment. During the 4th-2001 to 3rd-2002 time period, employment declined each quarter, for an overall average loss of some -0.95% on the average (just below 1.0%). Then, starting in the 4th-2002, the US economy is expected to enter its recovery phase, based upon actions taken by the Federal Reserve Board as well as substantially higher levels of government expenditures, thereby generating with moderate rates of growth by the early portion of 2003.

California is expected to perform at a stronger level than the US economy, since it experienced a deeper recession in the early 1990s, and underwent a more significant re-structuring. The CA economy experienced employment losses during 1st-2002 to 3rd-2002, with employment declining by some -0.29% on the average. The CA economy is expected to enter its recovery phase in the 4th-2002, with moderate rates of employment growth in 2003.

Therefore a comparison of the rates of employment growth rates for the US and CA economies reveals that the CA economy has performed better than the US economy during 4th-2001 to 3rd-2002; this represents a continuation of a pattern that began in 1996, when CA emerged from a major recession in the early 1990s.

By comparison, the SC economy experienced employment gains during 4th-2001 to 3rd-2002, with employment increasing by some 0.52%, on the average. The rates of employment growth for the various SC-Counties generally declined during the 4th-2001 to 3rd-2002 time period; however, employment growth remained positive throughout this time period, and so SC, as a whole, has not experienced any employment losses, thereby avoiding an economic recession.

Within the SC economy, there have been some differences in the performance of the various counties, with all of the counties experiencing employment gains except for Los Angeles County which encountered losses. Accordingly, the recent rates of employment growth for each of the SC-Counties during June 2001 to August 2002 have been as follows:

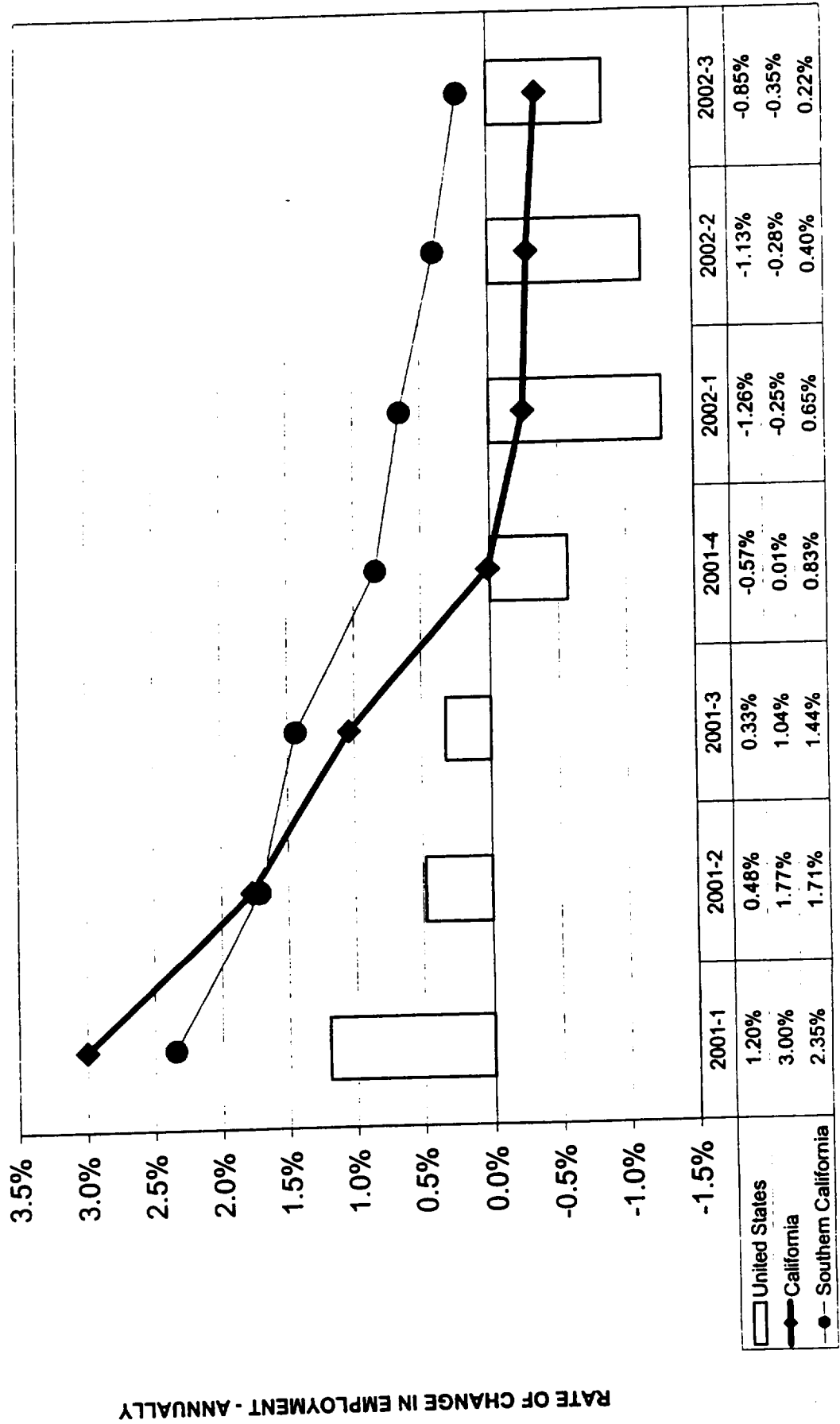
Ventura County:	+2,000
Riverside-San Bernardino Counties:	+26,000
Orange County:	-1,500
San Diego County:	+20,300
Los Angeles County:	-28,400

The Most Probable Economic Scenario for Southern California (SC) economy is that it is expected to outperform California economy for the following reasons: First, SC is less reliant on the "new economy" jobs than the San Francisco Area, and so the potential impacts of the recent stock market declines are not expected to have as much of an impact. Secondly, SC is expected to benefit from higher level of defense spending, including federal allocations prior to Sept.-11 as well as additional expenditures as a result of the Sept.-11 events.

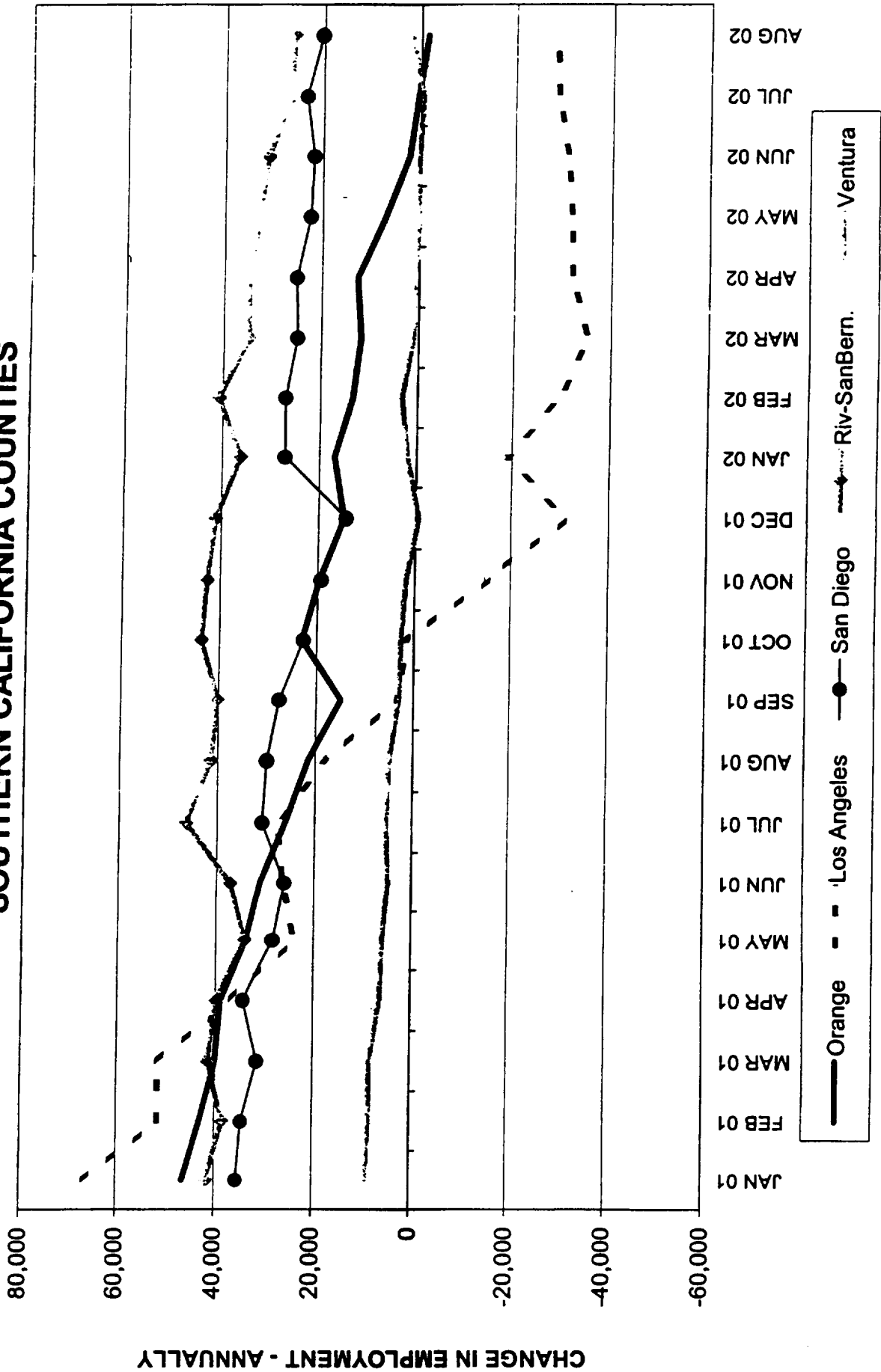
Implications of the Expected vs. Actual Economic Scenario

This Study is based upon the Most Probable Economic Scenario, since this has the highest probability of occurring, and so the estimated absorption schedules for the District have a usability span of some six months. If, over time, the actual economic conditions tend to outperform those of the Most Probable Scenario, then no revisions to the absorption schedules are deemed to be necessary, since the District's absorption prospects would actually become more favorable. However, if, over time, the actual economic conditions tend to under perform the Most Probable Scenario, then revisions to the Study would be necessary, since the absorption schedules represented in the original Study would probably be overstated.

RECENT/EXPECTED EMPLOYMENT TRENDS: UNITED STATES, CALIFORNIA AND SOUTHERN CALIFORNIA



RECENT EMPLOYMENT TRENDS SOUTHERN CALIFORNIA COUNTIES



RECENT ECONOMIC AND CONSTRUCTION ACTIVITY TRENDS/PATTERNS IN VENTURA COUNTY

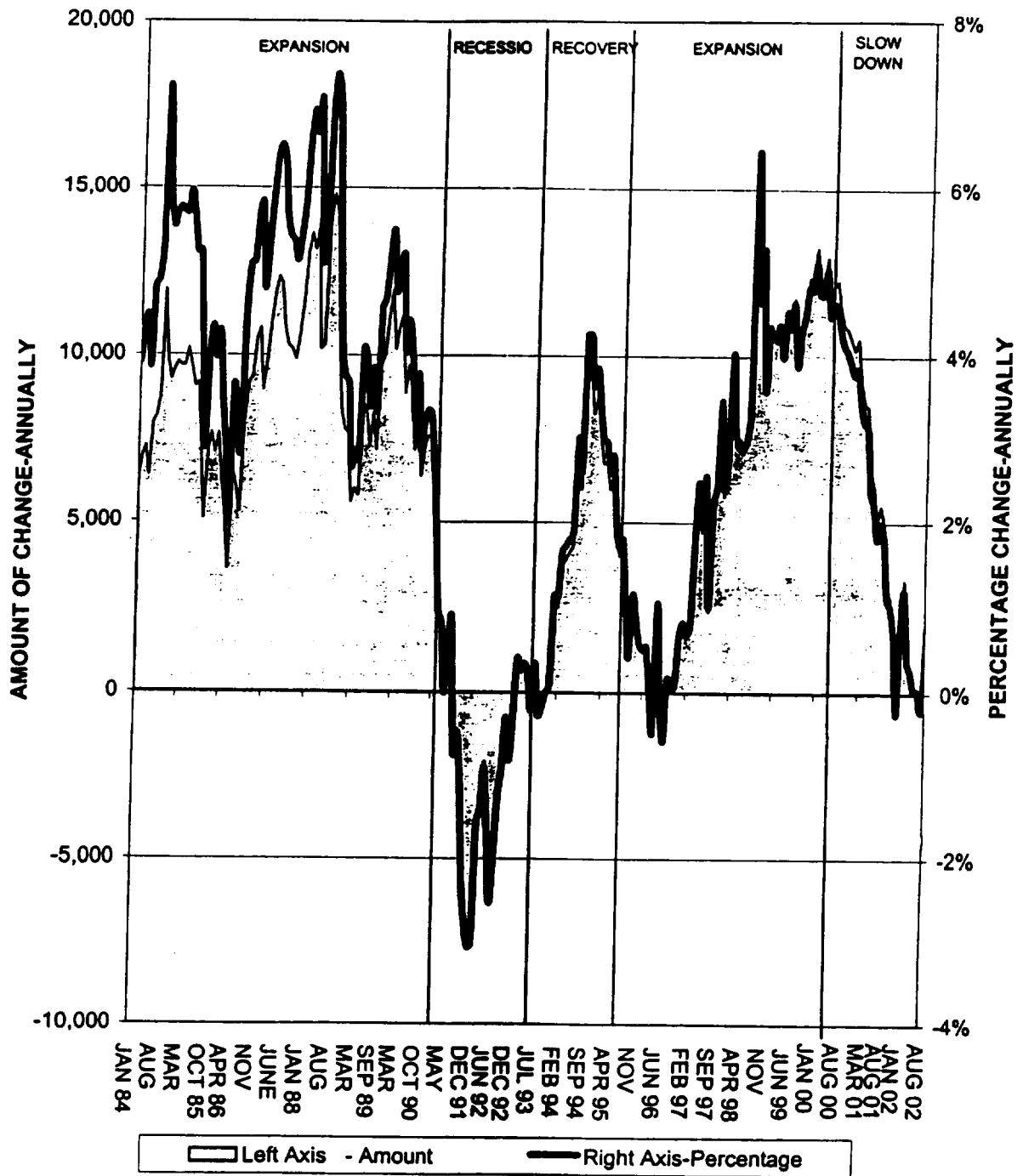
The recent employment and construction activity trends for Ventura County are now presented, in order to provide a background on the current economic and real estate conditions within the county, in particular.

The primary determinant underlying construction activity is employment growth, since this generates a demand for additional industrial and office buildings as well as new housing units which, in turn, generate a demand for commercial-retail centers. Accordingly, this is now discussed in order to provide a background for understanding the recent construction activity trends in Ventura County.

- Ventura County's employment growth was very strong during the 1984 to 1990 time period, with annual increases of some 9,145 jobs per year for growth rates of some 4.8% per year, on the average. However, there was an economic recession during 1991-1993 during which employment actually declined by some -1,692 or -0.72% per year on the average. Although an economic recovery started in 1993, growth was sluggish through most of 1994. Then, starting in November 1994 and continuing through February 2002, employment increased by some 6,648 positions per year, for a growth rate of some 2.65% per year, on the average. Since March 2002, there has been a moderation in the rate of growth, to some 567 positions per year, for growth rate of 0.1% on the average. So, the most recent employment statistics reveals that since March 2002, the rate of employment growth for Ventura County, although still positive, has been minimal.
- With respect to the construction of new single-family housing units, Ventura County experienced very high levels of activity during 1987-1990, when new single-family housing attained levels of some 730 units per quarter, on the average. However, the economic slowdown resulted in the levels of activity declining to less than 360 new single-family units per quarter during January 1991- October 1994. During November 1994 to June 2000, the levels of new single-family units increased to some 630 units per quarter, and then during July-2000 and continuing through 2nd-2002, the level of single-family homes rose even further, to some 718 units per quarter. Therefore, the single-family sector has recovered from its recessionary trough, and it has recently had a level of activity similar to the level of activity experienced during the latter 1980s.
- With respect to the construction of new multiple-family housing units, Ventura County experienced high levels of activity during 1987-1990, when new multiple-family units attained a level of some 333 units per quarter, on the average. However, the economic slowdown resulted in the levels of activity declining to less than 200 multiple-family units per quarter during January 1991 to October 1994. During November 1994 and continuing through 2nd 2002, the levels of new multiple-family units remained at their recessionary levels of less than 120 units per quarter. So, the levels of activity in the multiple-family sector are still below those experienced during the latter 1980s.

Therefore, the recovery of Ventura County's economy has resulted in strong levels of employment growth since 1998 through the latter portion of 2001; however, since early 2002, the rates of employment growth have diminished. The employment growth has enabled the single-family sector to establish a recovery, but the multiple-family sector is still languishing.

RECENT EMPLOYMENT TRENDS IN VENTURA COUNTY



RECENT HOUSING SALES AND PRICE TRENDS

CFD NO. 1 MARKET AREA

The recent trends for the sales and prices of existing (resale) homes in the CFD No.-1 Market Area, the south-westerly portion of Ventura, including the cities of Oxnard, Ventura and Camarillo as well as the nearby communities, during 1998-2001 time period are now discussed.

The recent sales of existing homes in the Market Area exhibited the following pattern:

- The prior peak level of activity occurred in 1988, when housing sales amounted to some 6,638 units.
- During the economic recession of the early-mid 1990's, sales of homes declined to some 3,600 units per year, a decrease of some 46% from the 1988 peak level.
- With the economic recovery starting in 1996, housing sales rose, attaining a level of some 6,000 units in 1999-2000, just slightly below the prior peak level that occurred in 1988.
- During 2001, the level of home sales rose to 6,636 units, a level that is similar to the prior peak that occurred in 1988.

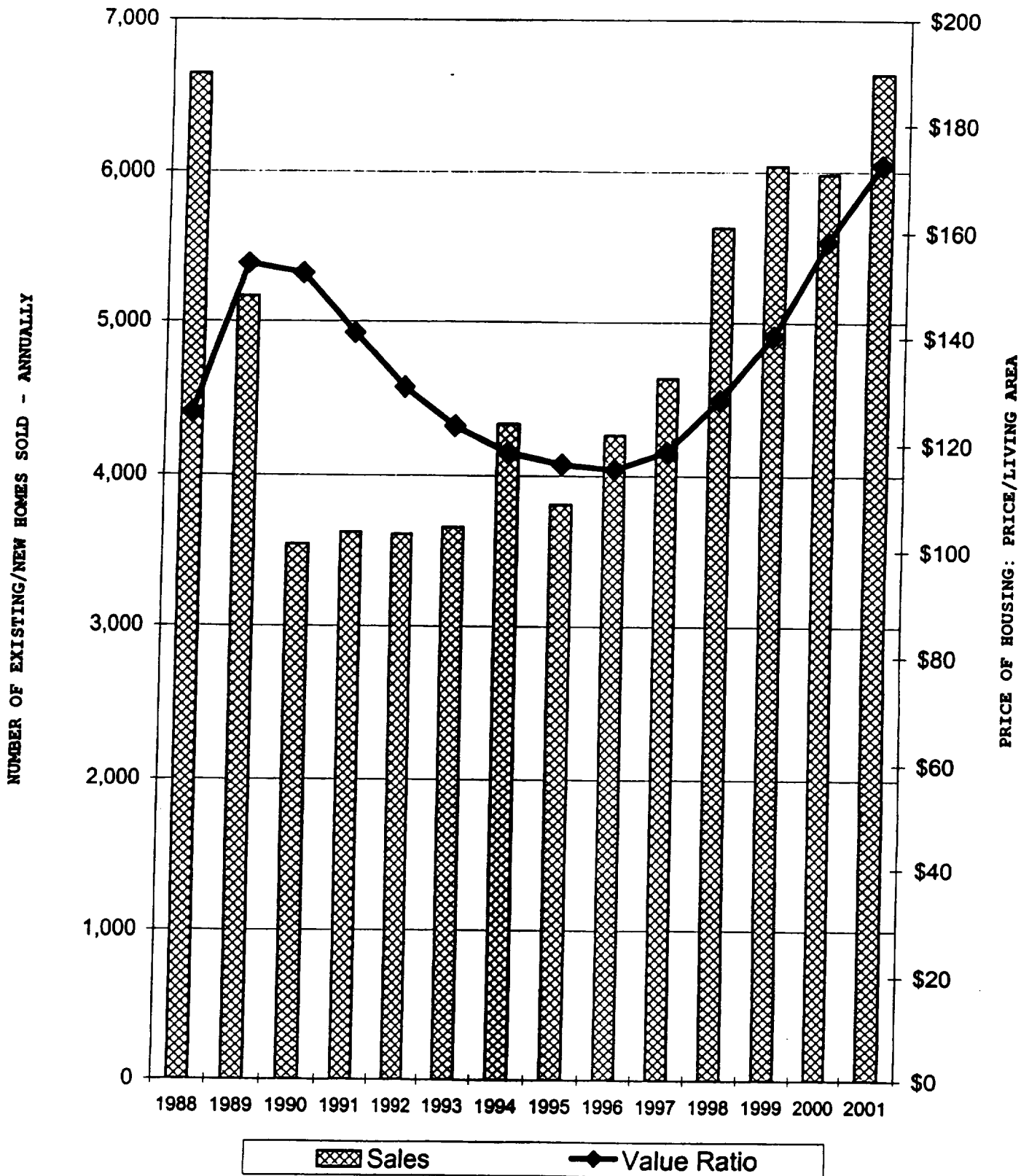
The recent housing price trends for existing homes in the CFD No.1 Market Area are analyzed utilizing both the prices of homes as well as their value ratios (price/living area). The changes in their value ratios are regarded as being more accurate indicators of housing price trends since they reflect "real" price ranges, rather than price changes resulting from variations in the sizes of their living areas.

- Housing prices decreased from a peak level of some \$240,671 in 1989 to a low of \$180,176 in 1996, a decline of some - 25.1%, due to the economic recession. Then, with the economic recovery and subsequent economic expansion, prices then rose to a record level of some \$265,267 in 2001, surpassing their prior peak by some 10%.
- With respect to the value ratio, the price per sq.ft. of living area, it declined from a peak level of \$154 in 1990 to a low of some \$115 in 1996, a total decrease of -25.0%. However, starting in 1997, value ratios increased, reaching a record level of some \$173 in 2001, surpassing their prior peak by some 12%.

Therefore, the Market Area has recently experienced moderately strong levels of housing sales and record levels of housing prices, as measured by both nominal prices as well as value ratios, attaining record levels of sales activity and prices in 2001.

For additional information on housing sales and prices in the CFD No. 2002-1 Market Area, please refer to the following graph.

MARKET CONDITIONS FOR EXISTING/NEW HOMES IN THE CFD NO.1 MARKET AREA



COMPETITIVE ANALYSIS OF THE PROJECTS IN THE CFD NO.1 HOUSING MARKET AREA

The competitiveness of the forthcoming projects in CFD No.1 are now evaluated by performing an analysis of the currently active comparable projects located within the Housing Market Area (HMA). Specifically, there are six forthcoming projects in CFD No.1 and sixteen comparable projects in the HMA; accordingly, their characteristics are now discussed.

With respect to the geographical locations of the projects, they are as follows:

- * CFD No.1: 6 forthcoming projects.
- * Oxnard: 9 active projects.
- * Ventura: 5 active projects.
- * Camarillo: 2 active projects.

With regards to the number of units in these projects, and the number of these that have closed escrow thus far, the aggregate number of homes amounts to 2,060 (including 306 in CFD No.1) and, of these, 454 have closed escrow; accordingly, their distribution is as follows:

- * CFD No.1: 306 units with 0 closed.
- * Oxnard 1,005 units with 190 closed.
- * Ventura: 434 units with 221 closed.
- * Camarillo: 315 units with 43 closed.

With respect to the sales rates of the homes in the active projects, based upon a consideration of escrow closing as well as reservations, their annual rates of sales of the comparable projects amount to some 863 per year, some 54 units per project per year, and their distribution is as follows:

- * CFD No.1: no sales thus far.
- * Oxnard: 547 homes for 9 projects, 61 units per project.
- * Ventura: 211 homes for 5 projects, 42 units per project.
- * Camarillo: 105 homes for 2 projects, for an average of 53 units per project.

The prices and sizes of living area for all of these projects (including CFD No.1) amount to some \$487,203 and 2,368 sq.ft., respectively, and this results in a value ratio of \$206, on the average; however, there are some substantial variations amongst the various areas, and these are as follows:

- * CFD No.1: \$652,917 for 2,653 sq.ft.; \$237/sq.ft.
- * Oxnard: \$407,418 for 2,292 sq.ft.; \$187/sq.ft.
- * Ventura: \$436,498 for 2,176 sq.ft.; \$205/sq.ft.
- * Camarillo: \$475,863 for 2,331 sq.ft.; \$204/sq.ft.

Finally, for Special Taxes/Assessments, all six of the projects in CFD No.1 have this but only one of the active projects has this, and they amount to the following:

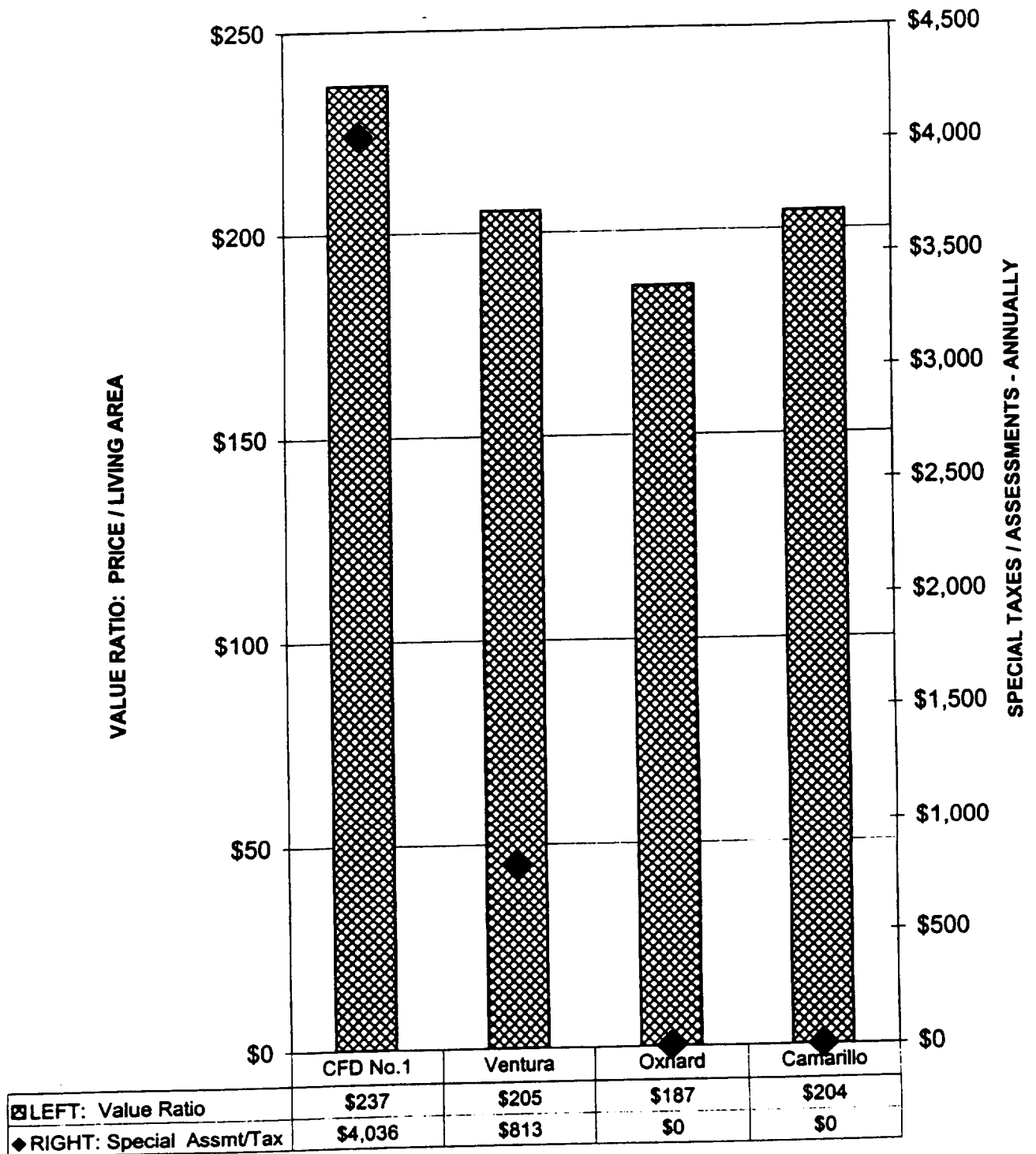
- * CFD No.1: all 6 projects, \$4,036/yr., a ratio of 0.62%.
- * Oxnard: none of the 9 projects.
- * Ventura: 1 project (out of the 5), \$813/yr., a ratio of 0.17%.
- * Camarillo: none of the 2 projects.

For additional information on these projects, please refer to the following table, and graphs.

CHARACTERISTICS OF THE 'COMPARABLE' PROJECTS IN THE HOUSING MARKET AREA BY GEOGRAPHICAL LOCATIONS

Project Locations	Project Code	Project	Builder	Product Type	Project Size and Sales			Housing Prices			Size of Living Area			Value Ratio		Special Assessment/Taxes	
					Total	Escrows Closed	Sales Rate Annually	Lower	Average	Upper	Lower	Average	Upper	Value Ratio	Year	Amount/	Ratio/
CFD No. 1	A	Westport @ Manditory Bay	N/A	Attached	86	0	N/A	\$31,000	\$354,000	\$387,000	1,400	1,600	1,800	\$221	\$1,880	\$1,880	0.55%
CFD No. 1	B	Westport @ Manditory Bay	Beazer Homes	Attached	86	0	N/A	\$328,000	\$348,500	\$371,000	1,700	2,050	2,400	\$170	\$2,304	\$2,304	0.66%
CFD No. 1	C	Westport @ Manditory Bay	Beazer Homes	Duplex	34	0	N/A	\$448,000	\$476,000	\$504,000	2,300	2,453	2,605	\$194	\$3,148	\$3,148	0.87%
CFD No. 1	D	Westport @ Manditory Bay	Larwin Company	4000	37	0	N/A	\$176,000	\$763,500	\$791,000	2,752	2,882	3,011	\$265	\$4,088	\$4,088	0.87%
CFD No. 1	E	Westport @ Manditory Bay	N/A	5000	45	0	N/A	\$835,000	\$876,500	\$1,018,000	3,243	3,432	3,620	\$265	\$4,872	\$4,872	0.50%
CFD No. 1	F	Westport @ Manditory Bay	N/A	5000	14	0	N/A	\$882,000	\$909,000	\$1,046,000	3,300	3,505	3,708	\$285	\$4,824	\$4,824	0.68%
Onward	1	Charmel Islands	Antelope Ventures	Attached	120	90	77	\$195,900	\$237,000	\$279,900	870	862	1,054	\$276			
Onward	2	Mayfield Village	JM Development, Inc.	3600	90	20	80	\$371,900	\$381,400	\$390,900	1,883	2,028	2,363	\$188			
Onward	3	Charmel Pointe	American Pacific Homes	3200	141	0	66	\$319,000	\$344,000	\$369,000	1,620	1,924	2,228	\$179			
Onward	4	Cambria	William Lyon Homes	3600	87	31	66	\$364,800	\$376,400	\$387,800	1,781	1,936	2,080	\$195			
Onward	5	Pacific Cove	Public Communities	4800	129	14	60	\$375,600	\$400,000	\$428,600	2,137	2,458	2,778	\$163			
Onward	6	Green Eagle	Western Pacific Housing	7189	198	0	46	\$427,600	\$483,600	\$479,600	2,188	2,525	2,863	\$180			
Onward	7	Cometide	William Lyon Homes	4800	190	26	68	\$448,800	\$468,000	\$472,800	2,619	2,782	2,945	\$166			
Onward	8	River Glen	D. R. Horton	6000	151	0	40	\$488,708	\$498,381	\$508,985	2,811	3,206	3,821	\$153			
Onward	9	Legacy	Western Pacific Housing	7200	70	0	37	\$480,000	\$515,000	\$540,000	2,564	2,847	3,100	\$181			
Ventura	10	Pacific Walk	Orion Company	Attached	26	0	50	\$315,000	\$332,000	\$349,000	1,236	1,473	1,707	\$225			
Ventura	11	Horseshoe	Guthrie Industries, Inc.	5000	175	127	51	\$296,900	\$347,900	\$386,900	1,378	1,928	2,478	\$180			
Ventura	12	Brookhollow	Burner Development	Attached	77	34	58	\$280,000	\$301,000	\$322,000	1,124	1,268	1,452	\$234			
Ventura	13	The Groves	Standard Pacific Homes	6000	135	44	45	\$450,000	\$490,000	\$530,000	2,106	2,578	3,049	\$180	\$413	\$413	0.17%
Ventura	14	Paradise Estates	R. W. Hermal & Sons	10000	21	18	7	\$887,000	\$711,500	\$726,000	3,367	3,615	3,863	\$197			
Camarello	15	Terra Linda	Paradise Homes	6000	153	43	56	\$432,850	\$465,225	\$487,500	1,746	2,231	2,716	\$209			
Camarello	16	Crestside	Paradise Homes	5500	182	0	50	\$445,000	\$488,500	\$528,000	1,910	2,430	2,960	\$200			
Statistical Summary																	
CFD No. 1					308	0	0	\$618,667	\$652,917	\$686,167	2,449	2,653	2,858	\$237	\$4,036	\$4,036	0.62%
Onward					1,005	190	847	\$397,827	\$407,418	\$427,208	1,900	2,292	2,594	\$187			
Ventura					434	221	211	\$408,398	\$438,498	\$464,598	1,843	2,176	2,510	\$205	\$413	\$413	0.17%
Camarello					315	43	105	\$438,975	\$475,863	\$512,750	1,828	2,331	2,833	\$204			
Grand Total					2,060	454	863	\$460,289	\$487,203	\$514,108	2,067	2,368	2,668	\$206	\$3,576	\$3,576	0.56%

CFD NO.1 HOUSING MARKET AREA VALUE RATIOS AND SPECIAL TAXES



COMPETITIVENESS ANALYSIS OF PROJECTS IN THE CFD NO. 1 BY MARKET SEGMENTS

The competitiveness of the forthcoming projects in CFD No.1 is based upon an evaluation of the currently active projects located within the competitive Housing Market Area (HMA). There are presently 16 active projects in the HMA, and another six forthcoming projects in CFD No.1. For purpose of the competitive market analysis, these projects have been partitioned into five market segments: Attached and Detached: \$325-400,000, \$450-500,000, \$500-800,000 and \$800,000+; accordingly, the characteristics of the projects in each of these market segments are now discussed.

Market Segment: Attached

Within the Housing Market Area, there are currently three active projects in this market segment and two forthcoming projects in CFD No.1. The projects in this market segment have some 399 housing units; of these, some 124 have closed escrow thus far. The three active projects have experienced an annualized sales rate of 185 housing units, for a sales rate of some 62 units per project, on the average. The prices of the homes amount to some \$314,680 for 1,455 sq.ft. of living area, resulting in a value ratio of \$225, on the average. The forthcoming projects in CFD No.1 have Special Taxes/Assessments of some \$2,132 per year, for a ratio of 0.61%.

Market Segment: Detached: \$325,000-\$400,000

Within the Housing Market Area, there are five active projects in this market segment, and no forthcoming projects in CFD No. 1. The projects in this market segment has some 613 housing units; of these, 192 have closed escrow. These projects have an annualized sales rate of 341 housing units, for a sales rate of some 68 units per project on the average. The prices of the homes amount to some \$369,994 for 2,055 sq.ft. of living area, resulting in a value ratio of \$181, on the average. These projects have no Special Taxes/Assessments.

Market Segment: Detached: \$450,000-\$500,000

Within the Housing Market Area, there are six active projects in this market segment, and one forthcoming project in CFD No. 1. The projects in this market segment have some 861 housing units; of these, some 122 have closed escrow thus far. The six active projects have experienced an annualized sales rate of 293 housing units, for a sales rate of some 49 units per project, on the average. The prices of the homes amount to some \$475,658 for 2,609 sq.ft. of living area, resulting in a value ratio of \$184, on the average. Of the active projects, one has Special Taxes/Assessments of some \$813 per year, for a ratio of 0.17%. While the forthcoming project in CFD No.1 has Special Taxes of \$3,168, for a ratio of 0.67%

Market Segment: Detached: \$500,000-\$800,000

Within the Housing Market Area, there are two active projects in this market segment, and one forthcoming project in CFD No.1. The projects in this market segment have some 128 housing units; of these, some 16 have closed escrow thus far. The active projects have experienced an annualized sales rate of 44 housing units, for a sales rate of some 22 units per project, on the average. The prices of the homes amount to some \$663,333 for 3,115 sq.ft. of living area, resulting in a value ratio of \$214, on the average. The forthcoming project has Special Taxes/Assessments of some \$5,088 per year, for a ratio of 0.67%

Market Segment: Detached: \$800,000+

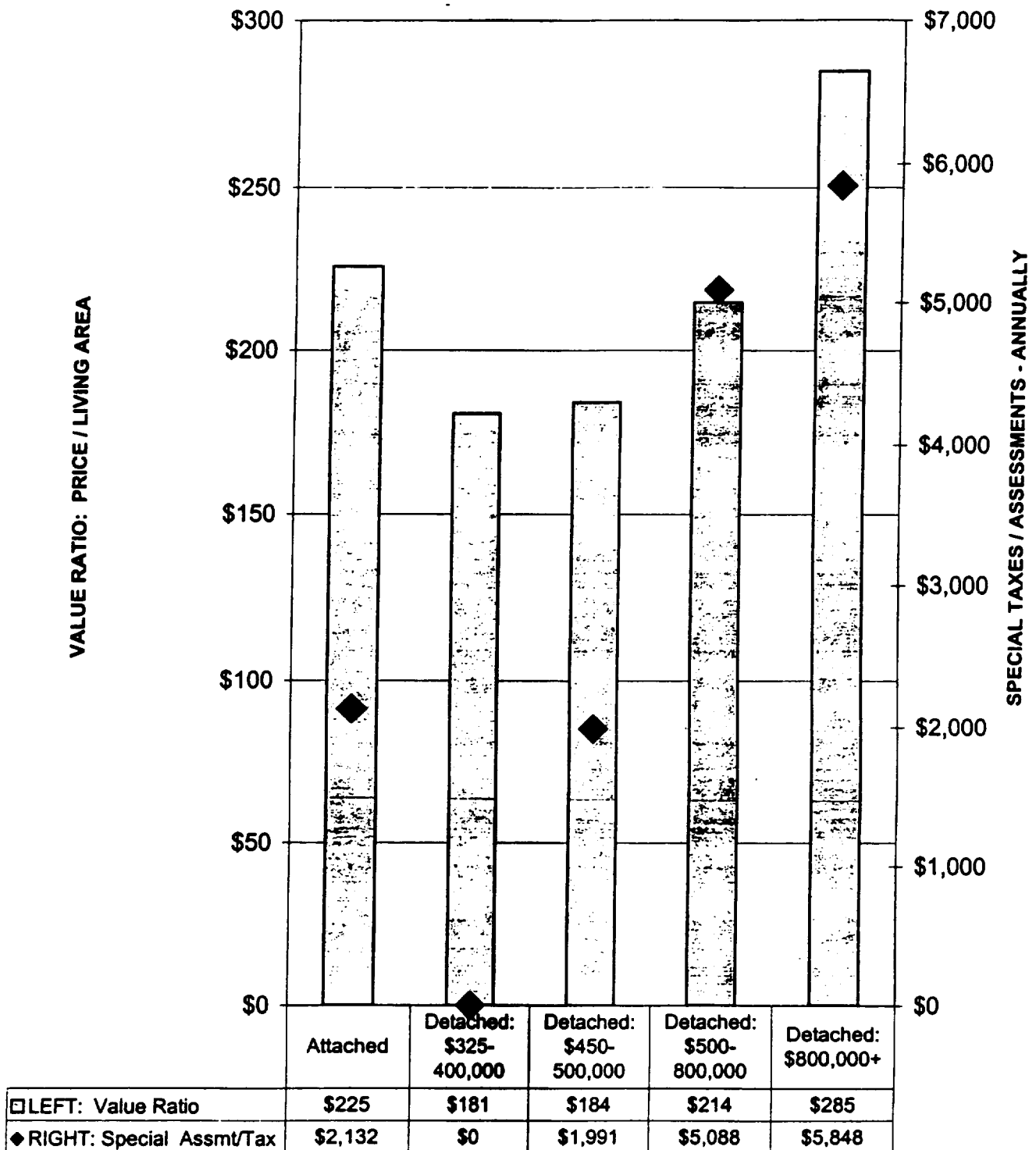
Within the Housing Market Area, there are no active projects in this market segment, and two forthcoming projects in CFD No. 1. The projects in this market segment have some 59 housing units; of these, none have closed escrow thus far. The prices of the homes amount to some \$987,750 for 3,468 sq.ft. of living area, resulting in a value ratio of \$285, on the average. These projects have Special Taxes/Assessments of some \$5,848 per year, for a ratio of 0.59%.

For additional information on the projects in the CFD No.1 Housing Market Area by the various market segments, please refer to the following table, and graphs.

CHARACTERISTICS OF THE 'COMPARABLE' PROJECTS IN THE HOUSING MARKET AREA BY MARKET SEGMENTS

Market Segments	Planned Community/s	Project	Builder	Product Type	Project Size and Sales		Housing Prices		Size of Living Area		Value Range	Special Assessments/Taxes	
					Total	Estimate Count	Lowest	Average	Upper	Lower	Upper	Amount/Year	Rate/Price
Attached	Onward	Channel Islands	Antelope Ventures	Attached	120	90	\$185,900	\$237,900	\$279,900	870	1,054	\$278	
Attached	Venture	Brookhollow	Buena Development	Attached	77	34	\$260,000	\$301,000	\$322,000	1,124	1,452	\$234	
Attached	Venture	Pacific Walk	Olson Company	Attached	26	0	\$315,000	\$332,000	\$349,000	1,239	1,473	\$225	
Attached	CFD No. 1	Westport @ Mandaley Bay	Seasider Homes	Attached	86	0	\$326,000	\$348,500	\$371,000	1,700	2,050	\$170	\$2,304 0.65%
Attached	CFD No. 1	Westport @ Mandaley Bay	N/A	Attached	86	0	\$321,000	\$354,000	\$387,000	1,400	1,800	\$221	\$1,960 0.55%
Detached \$325-400,000	Onward	Channel Pointe	American Pacific Homes	3,200	141	0	\$319,000	\$344,000	\$369,000	1,620	1,924	\$179	
Detached \$325-400,000	Onward	Hamletown	Griffin Industries, Inc.	5,000	175	127	\$299,990	\$347,990	\$365,990	1,378	1,828	\$180	
Detached \$325-400,000	Onward	Canabla	William Lyon Homes	3,800	87	31	\$364,990	\$378,480	\$387,990	1,781	1,838	\$195	
Detached \$325-400,000	Onward	Mayfield Village	JMI Development, Inc.	3,800	90	20	\$371,990	\$381,490	\$390,990	1,693	2,028	\$186	
Detached \$325-400,000	Onward	Pacific Cove	Pacific Communities	4,500	120	14	\$375,000	\$400,000	\$425,000	2,137	2,458	\$163	
Detached \$450-500,000	Onward	Glen Eagle	Western Pacific Housing	7,150	116	0	\$437,000	\$453,500	\$470,000	2,186	2,525	\$180	
Detached \$450-500,000	Onward	Coronado	William Lyon Homes	4,500	110	35	\$446,000	\$459,000	\$472,000	2,819	2,782	\$165	
Detached \$450-500,000	Camarko	Terra Linda	Paradise Homes	6,000	153	43	\$432,950	\$465,275	\$487,500	1,748	2,231	\$209	
Detached \$450-500,000	CFD No. 1	Westport @ Mandaley Bay	Seasider Homes	Duplex	34	0	\$448,000	\$478,000	\$504,000	2,300	2,453	\$194	\$3,168 0.67%
Detached \$450-500,000	Camarko	Creskade	Paradise Homes	5,500	162	0	\$445,000	\$488,500	\$528,000	1,910	2,430	\$200	
Detached \$450-500,000	Venture	The Groves	Standard Pacific Homes	6,000	135	44	\$450,000	\$530,000	\$530,000	2,108	2,578	\$190	\$813 0.17%
Detached \$450-500,000	Onward	River Glen	D. R. Horton	8,000	151	0	\$488,786	\$499,381	\$509,985	2,811	3,266	\$153	
Detached \$500-600,000	Onward	Legacy	Western Pacific Housing	7,200	70	0	\$490,000	\$515,000	\$540,000	2,594	2,847	\$181	
Detached \$500-600,000	Venture	Paradise Estates	R. W. Hertel & Sons	10,000	21	16	\$697,000	\$711,500	\$726,000	3,367	3,615	\$197	
Detached \$500-600,000	CFD No. 1	Westport @ Mandaley Bay	Larvin Company	4,000	37	0	\$736,000	\$783,500	\$791,000	2,732	2,882	\$265	\$5,088 0.67%
Detached \$600,000+	CFD No. 1	Westport @ Mandaley Bay	N/A	5,000	45	0	\$935,000	\$976,500	\$1,018,000	3,243	3,432	\$265	\$4,872 0.50%
Detached \$600,000+	CFD No. 1	Westport @ Mandaley Bay	N/A	5,000	14	0	\$952,000	\$999,000	\$1,046,000	3,300	3,505	\$285	\$6,824 0.65%
Statistical Summary													
Attached				5	399	124	\$287,580	\$314,660	\$341,780	1,227	1,455	\$225	\$2,132 0.61%
Detached \$325-400,000				5	613	192	\$348,194	\$389,994	\$393,794	1,722	2,055	\$181	
Detached \$450-500,000				7	861	122	\$448,874	\$476,858	\$501,842	2,211	2,609	\$184	\$1,991 0.42%
Detached \$500-600,000				3	126	16	\$641,000	\$683,333	\$695,987	2,804	3,115	\$214	\$5,088 0.67%
Detached \$600,000+				2	59	0	\$943,500	\$987,750	\$1,032,000	3,272	3,468	\$285	\$5,848 0.50%
Grand Total				22	2,060	454	\$460,299	\$487,203	\$514,108	2,067	2,368	\$206	\$3,576 0.59%

**CFD NO.1
HOUSING MARKET AREA
VALUE RATIOS AND SPECIAL TAXES**



ESTIMATED ABSORPTION SCHEDULES FOR THE FORTHCOMING PROJECTS IN CFD NO. 1

The purpose of this section is to estimate the absorption schedules for the forthcoming residential projects and commercial-retail products in CFD No. 1 (Westport at Mandalay Bay); accordingly, this is based upon a consideration of the following:

- First, the **POTENTIAL DEMAND** schedules for the residential projects and commercial-retail products for CFD No. 1 were derived based upon a consideration of the following:
 - * The growth prospects for the Southern California Market Region, as a whole.
 - * The growth prospects for the CFD No. 1 Market Area, in particular.
 - * The proportion of the Market Area demand that is expected to be captured by each of the products in CFD No. 1, based upon an evaluation of their competitiveness in the marketplace.

Thus, the result of this analysis is the potential demand for the forthcoming residential projects and commercial-retail products in CFD No. 1.

- Next, **MARKET ENTRY DEVELOPMENT SCHEDULE** or the ability of the properties in CFD No. 1 to respond to this demand is estimated. Accordingly, this is based upon a consideration of the time required for the properties to complete the infrastructure and planning approvals required for them to enter the marketplace. Furthermore, the time required for the builders to construct and deliver the residential products to the homeowners is also considered.

A critical assumption regarding the estimated absorption for forthcoming residential projects in CFD No.1 is that they enter the marketplace in a timely manner, during mid-2003 to mid-2004, and thereby establish their position in the marketplace. However, if their market-entry is delayed, then they may encounter significant competition from a nearby forthcoming comparable project, Seabridge, which is expected to have some 700+ housing units with similar product types and amenities. Accordingly, the market-entry for the forthcoming projects in CFD No.1 is considered to be a critical factor underlying the estimated absorption schedules.

- Then, based upon a consideration of the **POTENTIAL DEMAND** and the **MARKET ENTRY DEVELOPMENT SCHEDULE**, the absorption rate for each of the projects/properties is estimated, from the year in which the products are expected to enter the marketplace, and continuing thereafter on an annualized basis, until all of the units/acres are occupied/utilized.

The application of this algorithm results in Empire Economics absorption schedules for the residential projects and commercial-retail products in CFD No. 1.

Accordingly, based upon an analysis of the economic and real estate conditions along with the characteristics of the forthcoming residential projects and commercial-retail products in CFD No. 1, the estimated absorption schedules are as follows:

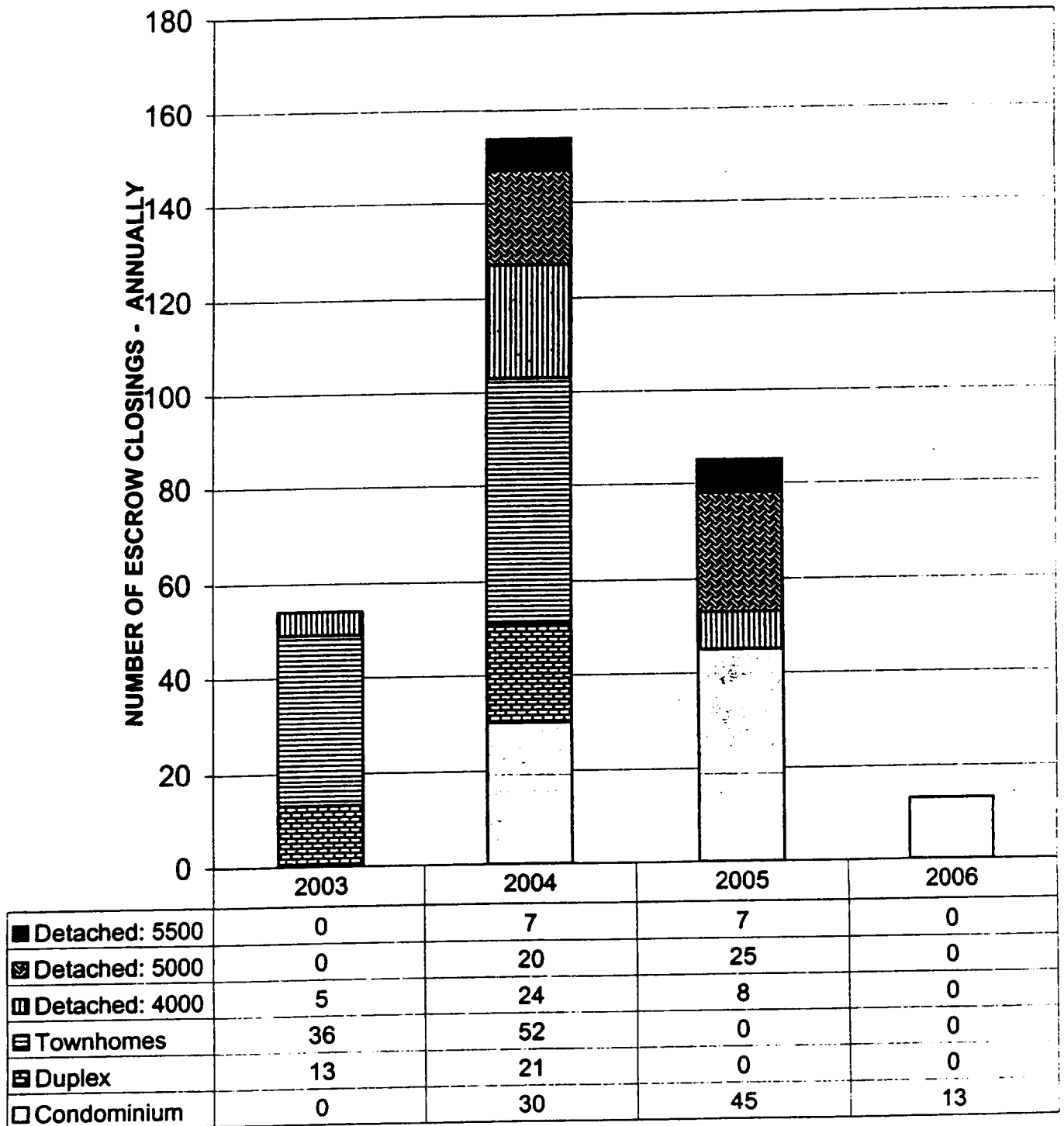
- With respect to the 88 condominiums that are expected to be priced at \$321,000-387,000 for some 1,400-1,800 sq.ft. of living area, which are situated in close proximity to the canals, they have an estimated absorption rate of some 35 units per year, on the average, during 2004-2006.
- With regards to the 88 townhome units that are expected to be priced at \$326,000-371,000 with 1,700-2,400 sq.ft. of living area, which are located on the interior portion of the site, they have an estimated absorption rate of some 44 units per year during 2003-2004.
- With respect to the 34 duplex homes that are expected to be priced at \$448,000-504,000 for some 2,300-2,605 sq.ft. of living area, which are situated in close proximity to the canals, they have an estimated absorption rate of some 17 units per year during 2003-2004.
- With regards to the 37 single-family detached homes on 4,000 sq.ft. lots that are expected to be priced at \$736,000-791,000 with 2,752-3,011 sq.ft. of living area, which are located along the canals, they have an estimated absorption rate of some 15 units per year during 2003-2005.
- With respect to the 45 single-family detached homes on 5,000 sq.ft. lots that are expected to be priced at \$935,000-1,018,000 with 3,243-3,620 sq.ft. of living area, which are located along the canals and have docks, they have an estimated absorption rate of some 22 units per year during 2004-2005.
- With regards to the 14 single-family detached homes on 5,500 sq.ft. lots that are expected to be priced at \$952,000-1,046,000 with 3,300-3,709 sq.ft. of living area, which are located along the canals, they have an estimated absorption rate of some 7 units per year during 2004-2005.
- For the commercial-retail centers, which have a total of 22,000 sq.ft. and are blended in with the condominiums, they are expected to be absorbed (constructed and leased by final users) by 2005.

Therefore, the forthcoming residential products in CFD No.1 are expected to commence escrow closings in the mid to latter portion of 2003, and attain an absorption rate of some 54 units in 2003, 154 units in 2004, 85 units in 2005 and 13 units in 2006, for a rate of an overall absorption of some 96 units per year, on the average, during the 2003-2005 time period.

Finally, if Ventura County were to experience an economic recession during the foreseeable future, then the absorption rates for the projects in CFD No.1 would be diminished. This is because CFD No.1 is a "unique" project considering its coastal location and canals, and, as such, it offers primarily luxury housing products. Consequently, a reduction in demand caused by a recession would result in projects located closer to the employment centers reducing their prices so that they could capture the demand that was previously going to Oxnard. Therefore, a recession would effectively elongate the time required for build-out by the amount of time that the economy was in a recessionary state.

For additional information on the estimated absorption schedules for the residential projects in CFD No.1, please refer to the following table and graph.

**CFD NO. 1 WESTPORT AT MANDALAY BAY
ESTIMATED RESIDENTIAL ABSORPTION SCHEDULES**



ESTIMATED ABSORPTION SCHEDULES

CITY OF OXNARD

CFD NO. 1 WESTPORT AT MANDALAY BAY

October 2002; Subject to Revision

Product Types >	Product Characteristics			Totals - Residential			Commercial
	Condominium	Duplex	Townhomes	Detached: 4000 (Lots: 4000 sq ft.)	Detached: 5000 (Lots: 5000 sq ft.)	Detached: 5500 (Lots: 5500 sq ft.)	
Boat Docks	No	No	No	Yes	Yes	No	Sq Ft
Expected Builder	N/A	Beazer Homes	Beazer Homes	N/A	N/A	N/A	
Development Status							
Total	88	34	88	37	45	14	306
Occupied	0	0	0	0	0	0	0
Forthcoming:	88	34	88	37	45	14	306
Share - Forthcoming	28.8%	11.1%	28.8%	12.1%	14.7%	4.8%	100.0%
Commenced Escrow Closings >	2004	2003	2003	2003	2004	2004	
Base Prices - Estimated (Developer)							
Lower	\$321,000	\$448,000	\$326,000	\$736,000	\$935,000	\$952,000	
Average	\$354,000	\$478,000	\$348,500	\$763,500	\$979,500	\$999,000	
Upper	\$387,000	\$504,000	\$371,000	\$781,000	\$1,018,000	\$1,046,000	
Living Area - Estimated							
Lower	1,400	2,300	1,700	2,752	3,243	3,300	
Average	1,600	2,453	2,050	2,882	3,432	3,505	
Upper	1,800	2,605	2,400	3,011	3,620	3,709	
Value Ratio	\$221	\$194	\$170	\$265	\$285	\$285	
2003	0	13	36	5	0	0	54
2004	30	21	52	24	20	7	154
2005	45	0	0	8	25	7	85
2006	13	0	0	0	0	0	13
Totals	88	34	88	37	45	14	306
Averages							96
							22,000

ASSUMPTIONS AND LIMITING CONDITIONS

The Market Absorption Study for CFD No. 1 is based upon various assumptions and limiting conditions; accordingly, these are as follows:

**Title to Property
Property Boundaries
Accuracy of Information from Others
Date of Study
Hidden or Unapparent Conditions
Opinions of a Legal/Specialized Nature
Right of Publication of Report
Soil and Geological Studies
Earthquakes and Seismic Hazards
Testimony or Court Attendance
Maps and Exhibits
Environmental and Other Regulations
Land-Use Regulations and Restrictions
Required Permits and Other Governmental Authority
Liability of Market Analyst
Presence and Impact of Hazardous Material
Structural Deficiencies of Improvements
Presence of Asbestos
Acreage of Property
Designated Economic Scenario
Provision of the Infrastructure; Role of Coordinator
Developer/Builders Responsiveness to Market Conditions
Financial Strength of the Project Developer/Builders
Market Absorption Study Timeliness of Results**

For additional information on the various assumptions and limiting conditions, please refer to the comprehensive Market Study.

